AARP FOUNDATION TAX-AIDE

CALIFORNIA

COUNSELOR REFERENCE MANUAL

(CRM)

For TaxSlayer Pro Online

TAX YEAR 2021



January 31, 2022

Suggestions? Corrections? Send email to jebroughton@gmail.com

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Where to Mail Returns and Payments

What	Internal Revenue Service	California Franchise Tax Board
Electronic filing with balance due (mail the payment and payment voucher ONLY)	Internal Revenue Service P.O. Box 802501 Cincinnati, OH 45280-2501 (Form 1040-V and payment)	Franchise Tax Board P.O. Box 9428**67** Sacramento, CA 94267-000**8** (CA Form 3582 and payment)
Paper return with balance due, and **check enclosed** (mail the signed return and the payment)	Internal Revenue Service P.O. Box 802501 Cincinnati, OH, 45280-2501 (Form 1040, needed documents, and payment)	Franchise Tax Board P.O. Box 9428**67** Sacramento, CA 94267-000**1** (CA Form 540, needed documents, and payment)
Paper return with (a) refund, (b) nothing due, or (c) balance due, **but check <u>not</u> enclosed** (mail the signed return)	Internal Revenue Service Ogden, UT, 84201-0002 (Form 1040 and needed documents)	Franchise Tax Board P.O. Box 942840 Sacramento, CA 94240-0001 (CA Form 540 and needed documents)
Amended return, with or without payment [If in response to a letter from the IRS or FTB, see the last row below, instead.]	Internal Revenue Service Ogden, UT, 84201-00**52** (1040-X, with or without payment; if payment is included, do *not* include a Form 1040-V)	Franchise Tax Board P.O. Box 9428**40** Sacramento, CA 94240-0001 (revised CA Form 540, Schedule X, with or without payment; if payment is included, do *not* include a Form 3582)
Estimated payments (mail the payment and voucher)	Internal Revenue Service Cincinnati, OH, 45280-250**2** (Form 1040-ES)	Franchise Tax Board P.O. Box 9428**67** Sacramento, CA 94267-000**8** (Form CA 540ES)
Automatic six-month extension – **with payment** (mail the form and payment)	Internal Revenue Service Cincinnati, OH, 45280-250**3** (Form 4868 with payment)	Franchise Tax Board P.O. Box 9428**67** Sacramento, CA 94267-000**8** (Form CA 3519 with payment)
Automatic six-month extension – no payment (mail the form)	Internal Revenue Service Ogden, UT, 84201-0002 (Form 4868)	Do not submit anything
Response to a letter from the IRS or FTB	Mail to address specified in letter, with 1040-X, if needed, any needed documentation, and payment as needed (if possible)	Mail to address specified in letter, with Schedule X and revised Form 540, if needed, any needed documentation, and payment as needed (if possible)

GENERAL INFORMATION

- Volunteering with AARP Foundation Tax-Aide: direct interested persons to **aarp.org/tavolunteer**, 888-775-2277, or put them in contact with your District Coordinator (DC) or Local Coordinator (LC).
- Those interested in volunteering for other AARP programs, including the AARP Foundation Experience Corps and the AARP Driver Safety Program, should be directed to **aarp.org/giving-back**; they can also call the above phone number.
- Donations: Tax-Aide volunteers cannot accept money, nor are they allowed to bring up the subject of donations with a taxpayer.
  - Taxpayers who ask about donations should be told that they may send a check payable to the "AARP Foundation Tax-Aide", to the AARP Foundation Tax-Aide Program, 601 E Street, NW, Washington DC 20049 (envelopes with this address already on them can be helpful). Ask them to write your sub-state - "CA1", "CA2", "CA3", "CA4", or "CA5" - on the memo line of the check.
    - ***Note:*** This mailing address is also on the Tax Record envelope (D12225).
- If the laptop computer in your custody is lost or stolen, you must report the loss/theft within 24 hours to your Local Coordinator AND to the AARP National Office, 800-424-2277, ext. 32038 or 36027 (202-434-2038/6027 outside of regular business hours). You also should promptly notify your local police department.

RESOURCES

AARP Foundation

- The Libraries section of the **Volunteer Portal** (volunteers.aarp.org) is where Tax-Aide program documents are kept.
  - The best way to find a document is to use a key word or phrase ("ACA" or "filing status", for example), to search all libraries.
- You should NOT act on information contained in "IRS Quality Alerts." Tax-Aide will redistribute relevant alerts as CyberTax messages, which are automatically sent to all Tax-Aide volunteers who have an email address in the Tax-Aide database.

Internal Revenue Service and Franchise Tax Board

- IRS website – Publications ("Pubs"), forms, and answers to tax questions: **irs.gov/**
- Franchise Tax Board (State of California)
  - Publications, forms, and answers to questions: **ftb.ca.gov**
  - Email for questions from Tax-Aide and similar free tax preparation services programs: **volunteercoordinator@ftb.ca.gov**
  - MyFTB – Information for a taxpayer: estimated tax payments made, balance due, CA wage and withholding information: **ftb.ca.gov/myftb** (requires prior year's state tax information to register for an account; PIN will be sent via mail, after registration, and is required to log in).

****Do not share Volunteer Hotline numbers with taxpayers****

IRS PHONE NUMBERS M-F 6am to 5:30pm, Sat 6am to 2pm, Pacific Time		**FTB PHONE NUMBERS** M-F 8am to 4pm, Pacific Time	
Volunteer Hotline*	**800-829-8482**	**Volunteer Hotline**	**800-522-5665**
Tax Information	800-829-1040	Volunteer Coordinator	916-845-7052
Automated Refund Info	800-829-1954	General Number	800-852-5711
e-file Help Desk (for rejects)	866-255-0654	Automated Service	800-338-0505
ID Protection Specialized Unit	800-908-4490	ID Theft Resolution Coordinator**	916-845-3669

* For tax law issues

** ***Note for CA state returns:*** In ID theft cases, paper-file the California return. The FTB will contact the taxpayer regarding discrepancies. The CA ID Theft Resolution Coordinator should be contacted only after a federal ID theft case has been set up.

TaxSlayer

- TaxSlayer has a Knowledgebase that can be consulted for answers to commonly asked questions: **taxslayerpro.com/support**.
- The "VITA/TCE User Guide – TaxSlayer Pro Online" is a comprehensive document, with extensive screen shots, for everything that the Tax-Aide program does in TaxSlayer. It can befound as follows: from the Main Menu, Office Client List, or similar pages, click on "VITA/TCE Publications and User Guides" in the left navigation bar, wait for "Loading media" to finish, click on the "Attachments" tab, then click on "TaxSlayer Pro Online User Guide".
  - The first 10 or so pages of content describe logins and passwords; the next 240+ pages are for administrators; the next 330+ pages cover how to prepare a tax return, and the final 100+ pages are again for EROs and administrators.
- The TaxSlayer VITA/TCE blog is at **vitablog.taxslayerpro.com**.
- During the tax season (roughly mid-January to mid-April), TaxSlayer provides real-time support via both chat and phone support (800-421-6346) from 8 a.m. to midnight, Eastern Standard Time, on weekdays, and 8 a.m. to 8 p.m. on weekends.
  - On-line chat is available from inside a taxpayer return – click on "Help & Support", and then "Chat With Us".
    - ***Note:*** Chat is *not* available from within Practice Lab.
  - Questions can also be emailed to **support@vita.taxslayerpro.com**; hours for review/response are the same as above.

California (sub)State Websites

- CA2: **http://aarpca2.org/**

Recommended steps for researching an unfamiliar topic

- Question the taxpayer thoroughly to obtain all relevant facts, while reviewing their Intake Booklet and the related tax form(s).
- Begin with **Pub 4012**, VITA/TCE Volunteer Resource Guide, which provides information for most common questions, including questions related to TaxSlayer, in an easy-to-use format. Keep in mind that the online version modified by the National Tax Training Committee (NTTC) has more information than the printed IRS publication issued in October 2021.
  - Pub 4491-X, VITA/TCE Training Supplement, is normally published by the IRS in December and contains updates to Pub 4012, Pub 4491, and other IRS publications.
  - The latest NTTC version of Pub 4012 is normally available as a link within Chromebooks; it is also in the Volunteer Portal (search on "4012").
  - can be found on the
  - While the NTTC version is **better** than the standard IRS version, the links in this manual are to the IRS version because the NTTC version, in the Portal, cannot be linked to.
  - NTTC also publishes a set of updated pages that can be printed, to replace selected pages in the IRS version of Pub 4012, for those who want to reference a printed copy of the NTTC version.
- Review what **this manual** recommends (if you're reading the paper version, remember that you can search the electronic version as well as use the paper index at the end of this manual.)
- Consult the instructions for the relevant tax form that you're working with.
  - In TaxSlayer, if not in a return: click on "IRS Publications, Instructions, and Fill-In Forms" (left navigation menu), then "Instructions".
  - In TaxSlayer, if in a return: click the taxpayer's name to get the pull-down menu > Helpful Tools > IRS Publications.
  - CA: **ftb.ca.gov/forms/search**
- For federal tax questions, consult **Pub 17** – use a key word search in the electronic version or, in the paper version, start in the index looking under a main heading first and then a subheading.
- For California tax questions, consult one of these FTB Pubs:
  - California Personal Income Tax Booklet – Instructions for Form 540 (**2020**) (**2021**)
  - **1001, Supplemental Guidelines to California Adjustments** (available via e-mail only)
  - 1005, Pension and Annuity Guidelines (**2020**) (**2021**)
  - **5130, VITA/TCE California Volunteer Reference Manual**
- Ask a more experienced counselor.

- Search the Libraries section of the **Volunteer Portal** (volunteers.aarp.org.)
- Use one of the Volunteer Hotlines listed on page **1.**

WHAT TAX-AIDE CAN AND CANNOT DO - SCOPE

In general

- The AARP Foundation Tax-Aide Program is limited in scope. Our mission is to provide high-quality free income tax assistance and tax form preparation to low and moderate-income individual taxpayers, with special attention to those ages 50 and older.
- The NTTC publishes the *Tax-Aide Scope Manual*, a comprehensive list of which federal tax forms are in-scope and which are ***out-of-scope***. The manual can be downloaded from the **Volunteer Portal** (volunteers.aarp.org; search on "Scope"). Each site should have a printed or electronic version of this document for reference.
  - ***Note:*** The IRS version of Pub 4012 also has a "Scope of Service" section (pages 5 through 16). ***Do not use this*;** it differs slightly from the Tax-Aide scope. Where the two differ, the NTTC-defined scope should be followed.
- Also ***out-of-scope*** are high-income tax returns, due to two issues.
  - The additional Medicare tax on earned income or a net investment income tax applies when modified adjusted gross income exceeds $250,000 for MFJ, $125,000 for MFS, and $200,000 for the other filing statuses.
  - If the taxpayer has *any* (net) business income [Line 3 of Schedule 1], the maximum is even lower – if adjusted gross income less the taxpayer's standard or itemized deductions exceeds $157,500 for any filing status other than MFJ, then the return is ***out-of-scope*** because of the complications of calculating the 20% Qualified Business Income ("QBI") deduction.
  - ***Note:*** It is **not** appropriate to spend time preparing a return simply to determine if a threshold has been reached (if so, the time of the preparer and taxpayer has been wasted). If the AGI appears to be close to the threshold, the taxpayer should be advised that he/she needs to go to a paid preparer or use tax-preparation software.
- TaxSlayer does not provide the needed functionality to handle federal tax returns involving bona fide residents of Puerto Rico who moved to the United States in 2021 and have income earned in Puerto Rico in 2021 or have a Puerto Rico pension to which the taxpayer contributed. Accordingly, such returns are ***out-of-scope***.
- When something is ***out-of-scope***, there are two possible ways of dealing with it:
  - If the issue involves something that must be reported on a tax return, then the taxpayer is to be advised that Tax-Aide cannot prepare the return.
    - For example, rental income **must** be reported, even if the taxpayer can claim a loss [the tax return is required to *document* the claimed loss], but rental income from a building is ***out-of-scope.***
  - If the issue involves something that is optional – for example, the deduction for a Simplified Employee Pension (SEP) plan (Schedule 1, Line 16), then the taxpayer has a choice:
    - (1) Don't take that option (almost always this will be claiming a credit or a deduction), and have Tax-Aide prepare the return, for free.
      - If the taxpayer chooses this option, **document the decision** in a note (page **9**) and on the second or third page of Intake Booklet.
      - Be aware that it is *not an option* to omit expenses on Schedule C, because omitting information from a tax return *cannot legally be done if that omission benefits the taxpayer.* [Increasing the net income on Schedule C can increase various credits, including EIC, that depend on the amount of earned income.]
    - (2) Use a paid tax preparer or use tax-preparation software, particularly where the option involves significant dollar amounts. You must advise the taxpayer of this choice.

Taxpayer and/or spouse not available

- A return when the taxpayer (and/or spouse, if MFJ return) is **deceased** is in scope unless there is some other reason why it is out-of-scope. No documentation of relationship or right of representation is required for Tax-Aide to prepare the return.
  - For signature requirements, see the section Deceased Person - Signature Requirements on page **131**.
- A return where one of a married couple is **not present** *is in scope*. Paragraph 4.4.3 of the 2021-2022 *Policy and Procedures Manual of Tax-Aide* says that "Local Coordinator discretion is needed if only one taxpayer is

present at the time the return is prepared". For signature requirements, see the section Married Filing Jointly on page 130.

- A return where the taxpayer is **alive** but not present (or, for MFJ returns, neither of the couple is present) is ***out-of-scope*** unless the person who has the taxpayer's paperwork has a Power of Attorney form with authority to **sign for the taxpayer**, as discussed in the section Power of Attorney (POA) on page 131. This ***out-of-scope*** determination includes a parent who wants Tax-Aide to do the return for a child, as well as the opposite.

Preparation of a return that is out-of-scope

Knowingly going out of scope is a violation of the Tax-Aide Standards of Professionalism and should be reported to your LC; an incident report must be submitted.

- Volunteers who knowingly prepare returns with out-of-scope tax topics or forms risk the loss of protection from personal liability; they also are subject to counseling and may be removed from the program for failure to follow program policy.

Other critical issues

- The Tax-Aide program only prepares individual tax returns (Form 1040). (Form 1040-SR has larger font and better readability but is otherwise the same.)
- Tax returns for other entities are ***out-of-scope***.
- Regardless of training and/or certification, if you are not confident in your knowledge of forms or issues relating to a taxpayer's return, you are not to prepare or review that return.
- When volunteers are not certain that a complete and accurate return can be prepared, taxpayers should be referred to another counselor or to another site, or to a paid preparer. Alternatively, taxpayers may elect to prepare their own returns, using either free software (see **irs.gov/filing**) or purchased software.
  - The IRS maintains a list of federal tax preparers with credentials and select qualifications, such as enrolled agents, at **irs.treasury.gov/rpo/rpo.jsf** ; this is searchable by credential and location (zip code.)
  - The California Society of Enrolled Agents (csea.org) has a **search page** to locate nearby EAs.
- ***CA policy:*** Federal or California returns that require income splitting are ***out-of-scope*****,** primarily because California is a community property state. Income-splitting is required for:
  - MFS returns (see limited exceptions, in the Married Filing Separately section, page 16)
  - For Registered Domestic Partners (RDP), in their federal returns, as well as any CA return filed as MFS
  - Returns of any filing status where a divorce occurred in 2021, but there was an intact household at any time earlier in the calendar year
  - Innocent spouse returns

CA policy: California scope

- For full-year residents of California, a CA tax return (Form 540) will always be done when a federal tax return is done, unless the taxpayer has already filed a CA return, for example by using **CalFile**.
- For part-year residents and for those not residing in California but having income sources in the state, the required form for state filing, CA Form 540NR, is ***out-of-scope***.
  - A site is allowed to prepare only the Federal return in such cases if the State Coordinator sets policy to allow this. Otherwise the federal return is ***out-of-scope*** as well.
- For a taxpayer who was a non-resident of California for the entire year, the *federal return* is in-scope. If the state where the taxpayer resided **does** have a state income tax, the taxpayer must be advised of their responsibility to file a state income tax return for that state, if a state return is required for that taxpayer.
  - Having Tax-Aide do the federal return makes sense if the taxpayer can do the state return themselves. But if a paid preparer must be used for the state return, the paid preparer almost always will do the federal return (again).
  - Document this discussion in a note (page 9) and on page 1 of the taxpayer's Intake Booklet.

ONLINE PROCEDURES

- TaxSlayer Pro Online is web-based software that is accessed via an Internet browser.
  - ***Note:*** In this manual, the software is referred to simply as "TaxSlayer".

LOGIN PROCEDURES

- If you are logging into TaxSlayer from a new computer (one from which you have not logged in to TaxSlayer previously), **or from a new browser**, then after you type your username and password, TaxSlayer will display the **Verify Account** page.
  - You will need to select a delivery option to get a security code needed for logging in.
    - Your Local Coordinator should have set up these for your username: a cell phone number (for a text) and/or an email address (for an email).
  - ***Tip:*** If your site does its Quality Review process by having the reviewer use the computer of the preparer, *and* the preparer logs off and the reviewer logs on as part of this process, then *each person who will be doing reviews might want to log into* ***every computer*** *where they are likely to do a review,* ***before*** *the site is active for the day, to avoid having to do multi-factor authentication during the day.*
  - After fifteen days, your multi-factor authentication (MFA) expires, and you will have to authenticate yourself again when you log in. You'll also have to go through the MFA process if you log in after clearing cookies from your web browser.
- If you forget your password, you will have to go through the multi-factor authentication process to reset your password.
- When you create a new password, your password must be at least **eight** characters long, and must contain at least one special character - !@*& and so on.
  - Remember that passwords are case-sensitive. (Usernames are not.)
  - Passwords expire after 90 days.

AT START OF THE DAY

- Verify that you are connected to the Internet.
- Open TaxSlayer in your browser.
  - The same URL is used for preparing or amending both current year and prior year returns: **https://vita.taxslayerpro.com/ProAvalon/Login/**
  - Returns prepared for training purposes are done in the Practice Lab, which is at a different URL, and has different usernames and passwords
    - Logging into Practice Lab is via **https://vita.taxslayerpro.com/IRSTraining/en/Account/Access**
- Log into TaxSlayer.
  - ***Note: if this is the first time you have logged onto TaxSlayer from this computer, you need to authenticate yourself.***
    - TaxSlayer will send an email or a text message, depending on what you specify; you'll need to enter the code from the email or text message to confirm your identity. (Tip: if you have online access to TaxSlayer, then you probably have online access to your email, but text messages are generally sent more quickly.)
- ***Note:*** After 12 minutes of inactivity within a return, TaxSlayer will display a pop-up warning. After 15 minutes of inactivity ("idle time"), a user will be logged out of that return.

NAVIGATION WITHIN A RETURN

- When you're in a return, the normal layout of your screen is a column on the left for navigation (including a search box), plus a main work area with either a menu or with fields for entering information. In addition, the taxpayer's name will show in the upper right *after* Basic Information has been entered; this is important because a pull-down menu displays when you click on the taxpayer's name, as discussed below. (See **page D-3 of Pub 4012** for an illustration; the taxpayer's name is "Taxpayer Sample".)
- On a menu page – for example, **Income**, in the Federal Section – you can click *anywhere on a line* to select the action ("Begin" or "Edit") for that line; *you don't need to directly click the "Begin" or "Edit" button.*

Left Navigation Bar

Note: The left navigation bar will be hidden if your screen or browser window is too narrow. In such cases, you can force it to appear by clicking the double right-arrows in the upper left of the browser window.

- Most of the items on the navigation bar are self-explanatory. Some brief notes:
  - "Enter the Form Number" is discussed in the section Getting to a Specific Page to Enter Information, on page **6**; note that text (like "INT" can also be entered.)

- The "E-file" section is the final section to be worked. It must be done for **every** return, even if that return will be paper filed. It is where bank account information is entered, and taxpayer demographic information is collected.
- Summary/Print opens the **Calculation Summary** (Form 1040) page. The dollar amounts on this page are links; clicking on a dollar amount will open the specific TaxSlayer page where information can be entered or changed.
  - ***Tip:*** The **Calculation Summary** page, when initially opened, compresses the left navigation bar to a thin strip with only icons showing. Hovering the mouse over the icons that are visible will automatically expand the width of the navigation bar.
  - ***Tip:*** Click on the **Summary View** icon (green) to see an expandable view of the tax return, with links that similarly go to specific TaxSlayer pages. This may be easier than navigating Form 1040 and its related.
- When clicked, three items on the left navigation bar - Basic Information, Federal Section, and Summary/Print –will show subsections; this can be a faster way to get to those subsections.

- After information has been entered into a data entry page, a related item will appear in the left navigation bar when it is fully expanded vertically. For example, entering a 1099-R in TaxSlayer will cause "Retirement Income" to appear in the Income section of the left navigation bar.
- ***Warning:*** if you're on a page where you've entered information, *don't* click on a left navigation link after you've finished entering information. Instead, **click "Continue" to save what you've entered**, *then* (from the menu page that you'll now on) click to go elsewhere.

Taxpayer Name Drop-Down List

Clicking on the taxpayer's name, or the downward-pointing symbol to its right, displays a drop-down list, which TaxSlayer calls **Tools**. [The taxpayer's name will show only *after* all Basic Information has been entered.]

- Clicking on "Your Office" will exit the return, taking you to the screen where you can start a new return, or do a client search to find an existing return.
- "Si hablo Espanol?", when clicked, shows a pop-up window. If you select "Espanol", then TaxSlayer pages will be in Spanish, not English; similarly, tax forms will print in Spanish.
  - This is a *toggle* – to return to English, click on this option, then, in the pop-up window, select "English."
  - If you select this option, then on the **Personal Information** page, you should also put a checkmark in the box "Taxpayer prefers to receive written communications from the IRS in a language other than English."
- Clicking on "Notes" opens a pop-up where notes can be added, and existing notes can be seen. (For more information, see the Notes section, on page **9**.)
- "Helpful Tools", a pop-up window, has only three useful links:
  - "IRS Publications" opens a new browser window with the **IRS page to search for publications, instructions, and forms**.
  - "Prior Year Comparison" compares the current tax year return to *any* prior year tax return which has been done at the same site. This is, currently, a very limited comparison, of ten summary lines on the tax return, not a complete line-by-line match.
    - ***Note:*** This is also available from the **Calculation Summary** (Summary/Print) page.
  - "Print or View Your Return" is a shortcut to display the PDF for the return. It is essentially the equivalent of clicking "Summary/Print" in the left navigation bar.
  - ***Note:*** The "User Manual" link is *not recommended* – the User Guide it links to is not tailored for Tax-Aide, and it is not updated. Pub 4012 is a better resource.
- "Quick File" is a way to build a list of pages that TaxSlayer will then display, sequentially, for entering information.
  - At most Tax-Aide sites, many tax returns involve Carryforward from the prior year; in such cases, using Quick File is not useful. For that reason, and because Quick File functionality has not been fully developed, this manual does not discuss this TaxSlayer functionality.

Getting to a Specific Page to Enter Information

- **In the Federal Section,** a specific TaxSlayer page can be reached in three ways:
  - (1) Click on a specific section along the left navigation bar (for example, in the Federal Section, select "Deductions"). Then drill down as needed – for example, you could select "Credits Menu", then "Child Care Credit (Form 2441)". That would bring you to the **F2441 - Child Care Credit - Page 1** page.

    - If information has already been entered for a type of income, expense, or credit, an individual item will appear in the left menu.
    - ***Note:*** You should not see the "Guide Me" option unless the preparer setup for your username is wrong.]
  - (2) In the left navigation bar, use the search box "Enter the Form Number." Often, you'll only need to enter a few characters.
    - You aren't limited to just form *numbers* – for example, typing "SSA" (or "ssa"; capitalization isn't relevant) will generate a list of five links, four leading to the **Social Security SSA-1099** page.
    - ***Note:*** **In this manual, the suggested text to be entered into the search box, to get to a specific page, is shown by the underlined text within the bolded name of a TaxSlayer page.**
    - A few pages in the Federal Section are **no**t reachable from the search box – the only way to get to them is via the menu structure. When that is the case, this manual will say so.
    - **Pub 4012, starting on page O-8**, has a six-page list of forms and topics for navigating TaxSlayer, showing the search keyword for each. [The list in the NTTC version is nine pages.]
  - (3) Click on "Summary/Print", in the left navigation bar, which generates a Form 1040; then click on any blue dollar figure (for example, on Line 1, "Wages, salaries, tips, etc.") to go to the related TaxSlayer page (in this example, that would be the **W-2** page.)
- **In the State Section,** the only way to navigate is by the menu system (click on the edit icon to start editing or reviewing information entered in this section.)

ENTERING INFORMATION

Concepts

> **• Information entered on a page is NOT saved until you click "Continue", "Save", or "Save & Enter Another"** If your session times out before you do make that click, data entered on the page will not be saved.
>
> **• In the State Section, you must click "Continue" or "Back" until you reach the top-level state menu.** At that point, TaxSlayer will let you exit the State Section.

- Most TaxSlayer pages don't have a "Back" button. Instead, clicking "Continue" is the equivalent of saying "I'm done with this page, take me up one level."
  - It's possible to use a **browser** action (back arrow) to go back one page in TaxSlayer.
- Pages for entering information usually have a "Cancel" button. If you don't want to enter any information on that page or decide that you don't want to keep changes you made, click "Cancel" rather than "Continue."
  - If you click "Continue", TaxSlayer sometimes saves the page, even though no information was entered. That opens the possibility that a page without any entries will be printed in the tax return, and, even worse, that the e-file will contain a page that could cause an IRS reject.
- When you open a page, information from other places may be used to fill (as appropriate) fields on that page. For example, on a TaxSlayer **W-2** page, the Employee address information is filled using information from the **Personal Information** page.
  - **If you later change the information on the source page, that change does not replicate on other pages where information has been entered.**
    - For example, suppose that you entered information into two **W-2** pages, then realized, when working on a 1099-R form, that the taxpayer's address was entered incorrectly in the Basic Information section. So, you go to the **Personal Information** page and change the address information there. You're still not done - you must go to those two **W-2** pages and check the employee addresses there, to make sure that they're correct – because they won't have changed when you changed the address on the **Personal Information** page.
- TaxSlayer's general approach is that each taxpayer document has a matching TaxSlayer page. But sometimes there won't be a 100 percent match – information on a paper document might need to be entered in TaxSlayer both on a main page and *somewhere else*.
  - If *somewhere else* is a TaxSlayer page within the Federal Section of TaxSlayer, this isn't a big deal – you should finish the main page, then go to that other page.

        - For example, if a Form SSA-1099 has Medicare premiums and the taxpayer has a Schedule C business income, you usually enter the premiums under General Expenses in the Schedule C, to claim the SEHI deduction, rather than on the **Social Security SSA-1099/RRB-1099 Tier I** page.
    - If *somewhere else* is in the State Section, you should **delay** entering information there until you've finished the Federal Section of the tax return.
    - If you don't immediately go to a second TaxSlayer page to finish entering information, you should highlight which information on the paper document has to be entered later (if you have paper documents), and/or make a written note about information, and/or create an internal TaxSlayer note (see page 9), and/or use a post-it to mark the document. In other words: **you should have a system** so that you don't forget about later entering this information.
        - There are significant advantages to creating an internal note in TaxSlayer whenever you need to defer entering information.
        - With an internal note, you'll automatically be reminded when you start the process of completing the E-file section, because the first page in that section shows all notes.
        - The reviewer will similarly see all internal notes when finishing the quality review, in the E-file section, or earlier if the reviewer specifically checks for notes. That's why preparers generally shouldn't delete notes – just change them to indicate something was DONE rather than needing to be done.
- Although TaxSlayer has Notes, they can't be used for **calculating totals**, as for example if there are multiple property-tax payments during a year. If you calculate a total, and then enter only that total into TaxSlayer, it is recommended that the calculation be documented in the taxpayer's records and/or typed into a note, depending on local policy.

Specifics

- On a TaxSlayer page for entering information, fields marked with a red asterisk (*) are *required* to have an entry. If "Continue" is clicked when such a field does not have an entry, TaxSlayer will display an error message.
- In TaxSlayer, *calendar dates* are entered in three separate fields: Month, Day, and Year. If no data has yet been entered, the format is shown by MM DD YYYY.
    - If date information is typed, rather than entered using the drop-down list, ***do not* type leading zeros** for the month or day of month. For example, January 6th would be "1" for the month and "6" for the day, *not* "01" and "06". (If you type "01" or "06", TaxSlayer will not put anything in the field.) Use the tab key to move between fields.
    - In some cases, such as on the **Capital Gains Transaction page**, you can't enter February 29 until you select the year, so TaxSlayer can confirm that it was a leap year.
- Dollar amounts can be entered with or without cents.
    - If you want to enter a dollar amount **without** cents, round **up** for 50 to 99 cents, round **down** for 1 to 49 cents.
        - If you are adding two or more dollar amounts to determine the amount to enter into a TaxSlayer field, don't round the individual numbers. Include the cents when adding dollar amounts; round only the total.
    - If you prefer, or are directed by your LC, enter cents and let TaxSlayer do the rounding.
        - ***Note:*** When you enter a dollar amount that includes cents, TaxSlayer will round that dollar amount after you save the information on that page (after you click "Continue")
- There are several ways to reduce the number of times you need to take a hand off the keyboard to use your computer mouse or trackball or similar:
    - Tab between fields.
    - Tab to a button ("Begin" or "Continue", for example) and press [Enter] ([Return]) instead of clicking on the button.
        - You can tell when a button has been selected because its background color will turn black. [This is, unfortunately, not helpful for "Edit" buttons, whose background color already is black.]
    - For check boxes, use the space bar to select that check box, or to unselect it.
        - ***Note:*** You can also click anywhere on the line with the check box to select that check box.
    - In a drop-down list, type the first letter of the choice you want, and then use the up or down arrow, if necessary, to go to the exact choice.
- Regardless of how you enter alphabetical information, TaxSlayer will print returns with ALL CAPITAL LETTERS.

  - You may find that entering information is faster if you turn on caps lock. For Chromebooks, that's done using the Search key, on the left of the keyboard (the key has an icon of a magnifying glass) plus the [Alt] key.
- TaxSlayer will automatically remove periods and extra (double) spaces in text fields.
- If, after you click "Continue", you see an error message appear at the top of a page, you can go directly to the problem field on that page by clicking on the error message.

COMMUNICATING WITHIN TAXSLAYER

Return Tags

- On the **Client Search (Office Client List)** page, and on the final page of the E-file section, returns can be marked with *tags*, such as "Waiting on Signature"; TaxSlayer refers to these as "return tags."
  - On the client list page, when you're looking at a row of information for a specific return, the icon for return tags is immediately to the left of the printer icon. It will be grayed out unless a tag has been created; click on it to add a return tag or delete (uncheck) an existing return tag.
- In Practice Lab, TaxSlayer provides a very limited set of return tags. In production, Local Coordinators can add desired return tags.
- The **Client Search (Office Client List)** page has a "Filter by Return Tag" field, which can be used, for example, to list all returns that have a return tag of "More information needed."
- *Notes* can be used to expand on a return tag. For example, for a return with the tag of "More Information Needed", a note would state exactly what information is missing.

Notes

- **Within a return,** TaxSlayer has a standard way to record free-form information: *notes* (also referred to as "personal notes" or "sticky notes".)
  - After the Basic Information section of a return is completed, the name of the taxpayer will appear at the upper right of the screen.
  - Clicking on the taxpayer's name, or the downward-pointing symbol to its right, displays a drop-down list, which includes "Notes."
  - Clicking on "Notes" opens a pop-up where notes can be added, and existing notes can be seen.
- Notes are limited to 200 characters.
- Notes **do carry forward** to the next year's return.
  - Carryforward notes are visible as part of the Carryforward process, at the beginning of the process of creating a new return.
    - If a Carryforward note is **not** applicable to the tax year being worked on (normally this would be tax year 2021), then delete the note.
- Creating or editing a note automatically includes the tax preparer's name, and a date/time stamp.
  - That information is visible when the note is opened after initially saving it, **but only from the Client Search (Office Client List) page.**
  - If the note is edited after being created, the note will show information about the *most recent* tax preparer who edited the note, and the date/time of that (most recent) edit, not when the note was created or previously edited.
- You can paste the contents of a group of spreadsheet cells to a note (for example, where you've added some dollar amounts together), but only the cell values will be copied, not the cell structure. So, for example, information in second and subsequent columns won't be aligned.
- You can change the color of the notes, but any change is made to *all* notes.
- If you want to look at **existing notes** when **within** a return, follow the same process (see above) for creating a note; you'll then see a pop-up window, "Found notes", which will list the title of each existing note.
  - To view the content of a note, **double-click** on the title of that note.
- On the **Client Search (Office Client List)** page, tax returns that have notes will have a *blue* flag, rather than a grayed-out flag, in the column to the right of the STATUS column.
  - Notes can also be **added** when at this page; the user interface is better than when adding notes within a return.
- Printing of notes:
  - Notes can be included as part of a print package if the Local Coordinator or another administrator, in the Advanced Print Setup Menu, selects "Print Supporting Notes with Tax Return."

- If notes exist for a return, and aren't included in the print packet, the notes can be printed from the **Client Search (Office Client List)** page: once notes are opened, click on the "Print PDF" button to create, then print, a PDF for all notes.

- In general, a preparer shouldn't delete a note that reminds the preparer of something that needs to be done. Instead, the note should be changed to indicate something was DONE. Retaining notes can be very helpful to the person doing the quality review.

INITIAL STEPS FOR A TAX RETURN

INTERVIEWING THE TAXPAYER

- ***Note:*** Some of this may have been done by a Client Facilitator (CF).
- Verify the taxpayer's Social Security number (see the Social Security Number section, page **13**) and identity (original photo-issued ID, such as valid U.S. driver's license, employer ID, school ID, U.S. state ID, Military ID, national ID, visa, or passport).
  - If there is no formal state or district policy addressing this, then a Local Coordinator **may**, at their discretion, establish a policy that only the taxpayer or spouse need be present at that Tax Aide site during preparation of a return. .
- Explain the tax-preparation process, particularly the responsibility of the taxpayer for the return, and that a separate QR is done.
- Review the information provided by the taxpayer on the first three pages of the Intake Booklet.
  - Complete the dependent information on page 1 (five columns in the greyed areas), if there are any dependents.
  - Confirm that the three consents have been responded to – for each, the taxpayer has either signed the page, or the CF or taxpayer has written "DENY" or "DECLINE", or similar, on the page.
    - If neither has occurred for a consent, determine what the taxpayer wants, and, if the taxpayer does not want to agree to the consent, mark the page accordingly.
  - If not comfortable with the complexity of the return, talk to your LC about another counselor preparing the return.
- Ask the taxpayer to provide any information that they might have omitted from the Intake Booklet.
  - Write that information on the relevant page in the Intake Booklet, preferably in a different color of ink than used by the taxpayer.
- Review all supporting documentation, such as SSA-1099 forms, Form W-2s, and Form 1099-Rs, and place these in the order they will be used (normally, in the order listed on pages 2 and 3 of the Intake Booklet.)
  - **Compare information on page 2 of the Intake Booklet to the documents provided by the taxpayer to determine that page 2 is correct and complete and to identify missing taxpayer documents; correct page 2 as needed.**
  - Make sure that no item is out of scope. Finding something ***later*** that is out of scope means that a lot of time of both the preparer and the taxpayer has been wasted.
    - The most common out of scope items are (a) income from rental property, (b) income from an oil and gas lease or other partnership (on a Schedule K-1 form), and (c) *out-of-scope* codes in box 7 of a Form 1099-R. But there are scores of other circumstances that make a return *out-of-scope*. The rule of thumb is that <u>if you see something unusual, research it immediately</u> – look in the scope manual, ask your LC or another counselor, etc.
  - **An electronic version of a tax form –** a document displayed on a taxpayer's phone, for example – **is acceptable.**
    - You have the option to refuse to use such a document, and to ask for a paper copy, if the electronic version is difficult to read.
    - If an electronic version of a tax document is used, it is recommended to note that, specifically, on the related page in the Intake Booklet.)
- Compare the dollar amounts on the 2020 return, if available, to any dollar amounts on page 2 of the Intake Booklet, and to the dollar amounts on the supporting documents for the 2021 return. Where there appear to be differences, ask the taxpayer about those differences.
  - **This is also a good way to identify missing documents.** After you have a general idea of the taxpayer's income (from reviewing documents, or from entering information into TaxSlayer), **consider whether total income seems adequate to live on**.

  - A taxpayer may be receiving Supplemental Security Income (SSI), which is not taxable, nor reported on tax returns, or living on savings, or doing something else that explains their low income and doesn't affect their tax return. Alternatively, the taxpayer may actually be a dependent of another person or may have omitted taxable income. *If stated sources of income seem clearly inadequate, ask the taxpayer for more information.*
- Remember that Tax-Aide policy is that the interview should be complete *before* starting to create a return in TaxSlayer.
  - For example, ***out-of-scope*** issues should be identified by doing a thorough interview, not when entering document information into TaxSlayer.

DETERMINING IF A RETURN SHOULD BE PREPARED

- **Charts A through C of Pub 4012** (pages A-1 through A-3) covers who **must** file.
  - **Changed beginning with tax year 2018:**
    - The filing threshold for MFS returns, and for MFJ returns where the taxpayer and spouse were separated as of December 31, is **$5**.
    - If filing MFJ, and either (a) the taxpayer did not live with the spouse on December 31, or (b) the spouse died during the tax year and two lived apart on the date of death, then the filing threshold is **$1** of gross income.
      - "Lived apart" means in separate households, not a temporary absence, such as being in a hospital
  - ***CA process note:*** A dependent may have no **federal** filing requirement but still be required to file a **CA** return. For 2021, if a dependent had income of more than $4,803 ($9,606 if filing MFJ, HoH, or QW), then the dependent must file a CA return (and a federal return should also be prepared, since the CA return uses federal tax information as its base).
    - However, if *unearned* income is greater than $350, then there is still a filing requirement if total income is greater than $1,100.
- Chart D (see **page A-4 of Pub 4012**) lists who would **benefit** from filing, even though they have no requirement to do so. The most common situations are:
  - To get a refund of federal and/or state income taxes withheld (for example, a return done for a dependent, who had taxes withheld on a Form W-2)
  - To get an income-based **refundable** credit: federal EIC, American Opportunity Credit, etc.
  - ***CA process note:*** A taxpayer with some earned income, either age 18-23 or age 65 or older, but without dependents, is not eligible for federal EIC, but **is** eligible for the *refundable* CalEITC if their (federal) AGI is less than $30,000, and therefore **should file.**
- If the taxpayer has **no taxable income** – that is, if the return was done, then Line 11, adjusted gross income, would be zero or even negative (due to capital loss carryover), but the taxpayer **needs** a tax return for legal or governmental reasons, or **wants** to file for any reason, including concerns about identity theft, then an adjustment is required so that the return can be e-filed, enter $1 as taxable interest, per Section 4 of **Revenue Procedure 2022-12**.
- If a taxpayer does not file a return, record the taxpayer as a Q&A on the daily Activity Log.
- For taxpayers who must file and who have one or more dependents who are old enough to work, ask about any earned income for the dependent(s). The dependent(s) may also be required to file (see **page A-2 of Pub 4012**)
- For taxpayers who must file and who have one or more dependents of any age, ask about any unearned income (typically interest, dividends, and/or capital gains) of the dependents.
  - Prior to tax year 2018, if a child under the age of 18, or under the age of 24 and a full-time student, had a certain amount of unearned income, the child was likely subject to the "Kiddie Tax", and the dependent's federal return was *out-of-scope*. [Unearned income includes *all taxable income other than earned income*: taxable interest, pension and annuity income, etc. "Unearned income" for the purpose of the "Kiddie Tax" also includes taxable scholarship and fellowship grants not reported on a Form W-2.]
  - Beginning with the 2018 tax year, because of changes in tax law, a dependent's return became *in-scope* even if the limit for unearned income ($2,100 for 2018; $2,200 for 2019, 2020 and 2021) was exceeded. However, a December 2019 law passed by Congress changed the law back, effective with tax year 2020, and authorized taxpayers to **elect** to use the older (2017 and earlier method) for 2018 and 2019, retroactively. If the taxpayer does so elect, the return is again ***out-of-scope*** if the limit is exceeded.
    - ***CA policy:*** Because California rules do not conform with the 2018 federal tax law change, the dependent's tax return remains ***out-of-scope*** for 2021 if the $2,200 limit is exceeded, **regardless** of the

option chosen, because the state return is ***out-of-scope*** for the newer (post-2017) option. The taxpayer needs to go to a paid tax preparer or use tax-preparation software to file the dependent's return.
  - CA requires **CA Form 3800** to be prepared in the case of a "Kiddie Tax". That form is ***out-of-scope.***

ORGANIZING YOUR WORK

- Putting documents in good order and keeping them that way through the entire process can reduce errors.
- While or after interviewing the taxpayer, sort all supporting documents by type, into the following sequence, if a Client Facilitator has not already done this. (The order follows the Intake Booklet.)

Supporting Document or Form	**TaxSlayer page (or menu)** (in Federal Section, unless otherwise specified)
Last year's tax return	Basic Information section
Social Security cards, ID cards	Basic Information section
Income	
W-2s – wages	**W-2** [underlined, shaded: type that text into the search box]
1098-T Taxable Scholarship	Income > Less Common Income > Other Compensation **> Scholarships and Grants** *(do not enter if fully offset by educational expenses)*
1099-INT – interest	**Interest and Dividend Income**
1099-DIV – dividends	**Interest and Dividend Income**
1099-G – State Tax Refund	Income > Form 1099-G Box 2 > **State Refund Worksheet**
Alimony received (if documented, which is not required)	**Alimony Received**
1099-MISC	**Form 1099-MISC**
1099-B – sale of securities	**Schedule D Capital Gains** menu
Broker's statement	Follow rules for 1099-INT, 1099-DIV, 1099-B, 1099-OID. *Also look for broker charges that could go to* ***Schedule A - Miscellaneous Deductions***
1099-R	**Form 1099-R**
RRB 1099-R (green form)	**RRB-1099-R**
1099-G Unemployment benefits	**Unemployment Compensation**
SSA-1099 Social Security	**Social Security SSA-1099**
RRB-1099 (blue form) Railroad Retirement tier 1	**Social Security SSA-1099**
W-2G Gambling Winnings	**W-2G Gambling Winning**
Schedule K-1 *(but verify there are no* ***out-of-scope*** *items*)	**Schedule K-1**
1099-LTC	**Form 8853 - Medical Savings Account** (scroll down)
Expenses	
Alimony paid - canceled checks	**Alimony Paid**
IRA contributions	**IRA Deduction**
1098-T Tuition Statement	**Form 8863 - Educational Credit**
Medical costs (list), miles (number)	**Schedule A - Medical Deductions**
1098 Mortgage interest	Deductions > Itemized Deductions > Mortgage Interest and Expenses (leads to **Schedule A Interest**) (search box: "Home **Mort**gage Interest")
Property tax bill, car registration or registration payment	Deductions > Itemized Deductions > Taxes You Paid (leads to **Schedule A - Taxes You Paid**) (search box: "Personal **Prop**erty Deduction)
Charitable donations (list), volunteer miles (number)	**Charity Cash Contributions**
1098-E or lender statement for student loan interest	**Student Loan Interest Deduction**
Life Events	
1099-C Cancellation of Debt (only non-business credit card debt is in-scope)	**Form 1099-C**
1099-S Sale of home	**Schedule D Capital Gains** menu
Health Care Coverage	
1095-A Health Insurance Marketplace Statement	Health Insurance section

- ***Note:*** **Pub 4012, starting on page O-8**, has a six-page list of forms and topics for navigating TaxSlayer, showing the search keyword for each, the respective 1040 line, and how to navigate to the related page in the

Federal Section of TaxSlayer. That list is particularly helpful for items not in the table above. The NTTC version of Pub 4012 has expanded the list by several pages.

STARTING A NEW RETURN

- On **Main Menu** page, go to the "Start New Tax Return" line and click "Select."
- Screenshots and other information about starting a return are in **Pub 4012, starting on page B-6**.

Taxpayer Profile

- If a taxpayer profile other than "Basic (no Profile)" is selected, TaxSlayer will, *after* the Basic Information section has been completed, sequentially open each TaxSlayer page in that profile, in the sequence listed in the profile, for you to enter information.
- Many tax returns involve Carryforward from the prior year; in such cases, a taxpayer profile is not useful. For that reason, and because the related TaxSlayer function, Quick File, has not been fully developed, this manual omits any further discussion of the taxpayer profile functionality.

Social Security Number

- If the return is for a **married couple**, one of whom is **deceased**, the Social Security number of the surviving spouse should be placed first on the tax return, as the primary taxpayer, regardless of whether that person was listed first on a prior year return.
  - ***Note:*** If Carryforward data is available from the prior year, and the deceased taxpayer was the primary taxpayer in that prior year, consider entering the SSN of the *deceased* taxpayer when starting a return, and then changing the information on the **Filing Status** page so that the surviving taxpayer is listed first. This option is desirable when the joint return has a lot of Carryforward data that otherwise would be lost.
    - If you choose this option, you must change names and Social Security numbers on the **Personal Information** page: the survivor becomes the primary taxpayer (is listed first) and the deceased person is listed as the spouse.
    - For this option, you will also need to switch identification on various pages ("Whose W-2 is this?"; "Recipient" for 1099-Rs, and so on), as you enter dollar information. (If you are unable to switch identification, then delete the page and create it again, with the correct taxpayer name.)
- The following are acceptable by Tax-Aide for Social Security number verification when used together with an acceptable photo ID, per **Pub 4299, Privacy, Confidentiality, and Civil Rights - A Public Trust** and the AARP Tax-Aide Policy and Procedures Manual (PPM).
  - **Last year's prepared return** (paragraph 6.6 of PPM)
  - Social Security card (a copy is acceptable)
    - ***Note:*** The Social Security Administration (SSA) may issue a card with the notation "VALID FOR WORK ONLY WITH DHS AUTHORIZATION" – this is a valid Social Security number.
  - Social Security Benefit Statement, Form SSA-1099 or RRB-1099
    - ***Note:*** SSA documents which show only a partial (truncated) SSN (for example, ***-**-1234) **are** acceptable for Social Security number verification **if** the number is consistent with other taxpayer documents, and the taxpayer presents acceptable photo identification.
  - A letter from the SSA showing name and Social Security number, or other documents from the SSA
  - An IRS letter or card assigning an ITIN
- If a tax form, such as a W-2, has an incorrect SSN, the return cannot be e-filed.
  - Rather than paper file, the taxpayer may, as an alternative, contact the payer to get a corrected tax form and then return to the site with that corrected form. If the taxpayer wants to do this, complete the return as far as possible, then mark it with a note and a return tag indicating that more information (the corrected form) is needed.
- If the taxpayer has a nine-digit number beginning with 9 and having a 7 or 8 as the fourth digit, this is an ITIN , not a SSN. [For details, see the section Individual Taxpayer Identification Number (ITIN), on page **143**.]
  - The taxpayer should bring the IRS letter which assigned their ITIN.
    - If a tax form has an incorrect ITIN, the return cannot be e-filed. However, if a tax form has a (bogus) SSN, **this does not affect the ability to e-file the return.**
  - If the IRS letter assigning an ITIN was issued prior to January 1, 2013, that **ITIN has *expired*** and needs to be renewed. Details are discussed on page **143**.
    - Also, any ITIN not used in the past three years (2020, 2019, or 2018) is also considered to be expired. It must be renewed.

- If the taxpayer has neither an SSN nor a valid ITIN, the taxpayer must file a Form W-7 with the tax return.
  - Enter 000-00-0000 as the SSN.
    - TaxSlayer will assign a non-duplicative SSN for such returns for your site, starting with 000-00-0001, and incrementing by 1.
  - The return must be paper filed. After the Basic Information section is completed, create a note (page 9) saying that, and include the reason.
  - In TaxSlayer, the very first page for W-7 information (asking the reason for filing the W-7) **must** be completed to avoid an error message.
    - In TaxSlayer, the page is at Federal Section > Miscellaneous Forms > **Application for ITIN (Form W-7)** [not reachable via the search box.]
    - Instructions for the form can be found at **irs.gov/pub/irs-pdf/iw7.pdf**; note the requirement for the taxpayer to provide supporting documentation when the form is submitted, in person or by mail.
    - If one or more fields on the printed Form W-7 are blank, because a question(s) was not answered in TaxSlayer, tell the taxpayer that they must fill in these fields, manually, before submitting the Form W-7 with the tax return.

Carryforward Information from the Prior Year Return

- If TaxSlayer finds a 2020 tax return for the SSN that has been entered, and Carryforward is possible to the 2021 tax return, it will display a **Pull Data to Current Return** page.
  - Carryforward is possible in two situations:The 2020 return was done at the site where the tax return is being done.
    - The 2020 return was done at a Tax-Aide, other TCE, or VITA site, and the taxpayer agreed to the first consent, which authorizes Carryforward to **any** Tax-Aide/TCE/VITA site.
    - ***Note:*** During the 2021 tax season, if TaxSlayer could not find a 2019 return for carryforward, it looked for a 2018 return. Whether something similar will be in effect for the 2022 tax season is not clear.
  - **Before** clicking "Continue", to accept the default of carrying forward **all** prior year data:
    - Compare the current year tax documents provided by the taxpayer against what is listed on the TaxSlayer page, to identify missing documents for the current year.
    - Uncheck the "Pull Item?" box for any document, such as a 1099-R or 1099-INT, where the taxpayer says that there was no withdrawal, or the account was closed, or other reasons why there is no current year document.
      - ***Warning:*** If the prior year return was MFJ, but the current year return is not (most commonly because the spouse died during the prior year), *make sure that all Carryforward items for the person no longer on the return* ***are removed*** *before telling TaxSlayer to continue.* If you fail to do this, the only way to remove an erroneous spousal Carryforward item, such as a 1099-R, is **to add the spouse back to the return, delete the item, then delete the spouse.**
    - Similarly, review the Carryforward notes – delete those that are not relevant to the 2021 return.
      - When in doubt, leave the note, but edit it to make clear that it is from 2020. (Deleting a note from the 2021 return does *not* remove it from the 2020 return.)

OPENING AN EXISTING RETURN

- You can open a previously created return from the **Main Menu** by selecting "Client Search." That takes you to the **Client Search (Office Client List)** page. (In TaxSlayer, "office" is the equivalent of "site".)
  - You'll see a list of returns, sorted by Social Security number. (This may not be obvious, because the first five digits of Social Security numbers may have been replaced by 5 "Xs" ; whether or not this is done is a local decision.)
    - ***Note:*** Your LC may allow you to see only the returns that you created. If so, and if accepted returns are moved to an "archive" preparer name ("Z ZZSITE", for example), then the list will be quite short.
    - Clicking on "Do Not Show Accepted Returns" is the other way to shorten the list.
  - You can sort the list by clicking on a column name, such as "STATUS" or "LAST".
- If the list of returns is more than one page, you can use the "Search Client list" box to search for text (part of a taxpayer's first name or last name, typically) or a number (part of a taxpayer's Social Security number or phone number).
  - ***Note:*** The search also includes the "PREPARER" column.
  - ***Note:*** If you're looking for a return that is in progress, checking the "Do Not Show Accepted Returns" box may be very helpful.

- When you find the return you want, click the "Select" button. TaxSlayer will open the return at the **Summary/Print** page, displaying "Calculating Return."
  - You can stop the calculating by clicking on either "Basic Information" or "Federal Section" in the left navigation bar.
- After it finishes calculating, TaxSlayer displays the **Calculation Summary** page for the return.
  - The **Calculation Summary** page, when initially opened, compresses the left navigation bar to a thin strip with only icons showing. You can expand the left navigation bar by clicking the double right arrows at the top, but you can also just *click on an icon* - for example, click the stethoscope icon to go to the Health Insurance section.
    - ***Note:*** To stop the "Calculating Return" process when you go into a return, click on a section name in the left navigation bar.
  - Alternatively, you can select a line in the Form 1040, or one of the six supporting schedules, for which you want to enter information or review what was entered; click on the blue dollar figure to go to the relevant page.
  - *New:* If you click the "Go to Last Checkpoint" button, TaxSlayer will go to the last page that was accessed in the return prior to reopening it, not including the **Calculation Summary** page itself.
- ***Note:*** If a return was started by *someone else* but is not yet complete, your LC may have to assign the return to your username so you to see the return and select it for editing.

BASIC INFORMATION

- **Pub 4012, starting on page B-12**, describes in detail how the Basic Information section of a return should be completed.
- Complete the required basic information using the first page of the taxpayer-completed Intake Booklet, plus last year's return, if available. Information about the taxpayer(s) and any dependents then flows from the Basic Information section to other pages in TaxSlayer.
  - **Pub 4012, starting on page B-4**, has a "Job Aide" that explains the various fields on the first three pages of the Intake Booklet.
- TaxSlayer won't allow work on other parts of the return until the Basic Information section is completed.

FILING STATUS

- ***Note:*** If the person listed as the *taxpayer* (as opposed to the *spouse*) is a nonresident alien (see **Pub 4012, pages L-1 to L-3**, to help determine this), then the return is ***out-of-scope***.
- Click to select the correct filing status. If you are unsure, the best options are:
  - **Pub 4012, page B-9**, has a six-question interview.
  - AARP Foundation's "Qualifying Child or Relative Resource Tool" has a decision tree for determining filing status, as well as a page of "Helpful Definitions". The decision tree is especially helpful for Head of Household and Qualifying Widow(er) statuses.
  - Online, you can use the IRS "Interactive Tax Assistant", at **irs.gov/help/ita** (select "What is My filing Status?".)
  - **Pub 501, Dependents, Standard Deduction, and Filing Information**, is the authoritative source.
- In TaxSlayer, you have the option of using the Filing Status Wizard (blue button, right side). ***Because TaxSlayer does not guarantee that the wizard covers all circumstances and that the result is always correct, using this wizard is not recommended.***
- ***Warning:*** If you change the filing status in a return, *TaxSlayer erases all information you entered in the State Section of the tax return.* So if there are any doubts about a filing status, these are best resolved before entering any needed information in the State Section.

Married

- An individual is "married" if they are married under domestic or foreign law as of December 31 of the tax year.
  - The IRS considers someone to be married unless there is a court decree for legal separation, including separate maintenance, or the marriage is permanently dissolved by divorce, or by death ***in a prior year***.
    - If there is a court decree for legal separation as of year-end, individuals must file as "Single" or, with a qualifying dependent, as "Head of Household".

  - Rules for determining filing status apply equally to common-law marriages which were established in a state that recognizes this type of marriage.
    - *CA legal note*: A common-law marriage cannot be created by consent or cohabitation within California's boundaries; California does not recognize such situations as creating a legal marriage. But it does recognize common-law marriages created in other states.
  - Filing rules are not affected if the spouse resided outside of the U.S. during the tax year.
  - Filing rules are not affected if the spouse does not have a Social Security number or ITIN.
- A surviving taxpayer normally would file as MFJ if their spouse died during the tax year, with the deceased spouse still listed on the tax return.
  - However, if the taxpayer *remarried*, the MFJ filing would be with the new spouse, and the filing status for the tax return of the deceased spouse would be MFS.
    - *CA policy:* If the deceased spouse lived with, or commingled funds with the surviving spouse for any part of the tax year, then both the MFJ and MFS returns are ***out-of-scope***.
- Married persons must file as MFJ, MFS, or HoH; they not eligible to file as Single.
- If either the taxpayer or spouse is geographically unavailable, an MFJ return is **still in scope** and can be prepared but must be done as a **paper return**.
  - The taxpayer who is being helped is responsible for getting the signature of his or her spouse, on the federal and state returns.
- If the spouse is a nonresident alien, an election can be made for the spouse to be treated as a resident, in which case the spouse's worldwide income must be included in the return. If the taxpayers wish to make this election, the return is ***out-of-scope,*** and they must go to a paid preparer or use tax-preparation software.
- *CA policy:* Tax returns for couples who are registered domestic partners (RDP) in CA are ***out-of-scope***.
  - Such couples **cannot file as MFJ on their federal return**. They are not legally married for federal tax purposes.
  - The IRS has ruled that registered domestic partners must each report, on their tax return, half the combined community income earned by the partners. Since determination of what is community income, and doing income-splitting, are both ***out-of-scope***, doing a federal return for someone who is a registered domestic partner is ***out-of-scope***.

Married Filing Separately

- MFJ is *almost always* a better filing status than MFS, in terms of taxes owed, but a married taxpayer may be unable or unwilling to file MFJ, and it does require the participation of the spouse.
- If the taxpayer has a court decree for legal separation, at year-end, the filing status must be either Single or HoH; MFS is *not* an option.
- For a taxpayer who is **not** legally separated, before deciding that the filing status should be MFS, make sure the taxpayer does not qualify as HoH, which is more advantageous.
  - To be qualified for the HoH status, the person must meet all five tests shown in box 7 of the "Determination of Filing Status – Decision Tree" on page 8 of the AARP Qualifying Child or Relative Resource Tool [Form D19929, **September 2021**]
- *CA policy:* CA state coordinators will decide if the districts within their split state can or cannot prepare MFS returns; state coordinators have the discretion to not allow such returns within state.
  - For tax year 2021, all districts in **CA1** *will* do MFS returns, if all criteria (below) are met; all districts in **CA4** and **CA5** *will not* do MFS returns; and in **CA2** and **CA3**, District Coordinators will decide whether their districts will do MFS returns or not, for returns where all criteria below are met.
- *CA policy:* In California, a community property state, Tax-Aide will prepare a return as MFS **ONLY** when all the following conditions are met [these conditions are more restrictive than those in **Pub 555, Community Property**]:
  - The couple has separated, has lived apart the entire year, there was no intention to reconcile throughout the tax year, AND there continues to be no intention to reconcile.
  - The taxpayer and spouse have not communicated about, or agreed to, an allocation of any community income.
  - If the taxpayer has earned income, the taxpayer and spouse did not transfer, directly or indirectly, any of this earned income before the end of the year (excluding transfers satisfying child support obligations or transfers of under $100). The taxpayer must report all earned income on his or her return.

- The taxpayer reports all his or her social security payments in full on the tax return, and reports all his or her 1099-R payments in full on the tax return.
- The taxpayer is willing to report, and does report, both separate (that is the taxpayer's) and community property interest, dividends, and capital gains on the return, with nothing allocated to the spouse.
- Preparation of the return is approved by the Local Coordinator.

- Filing as MFS requires the completion of Form 8958, Allocation of Tax Amounts Between Certain Individuals in Community Property State. *It is recommended that you do this before entering any income.*
  - Go to the **Married Filing Separately Allocations (Form 8958)** page [Federal > Miscellaneous Forms.]
    - If you go to this form *before* entering any income information into TaxSlayer, you do not need to allocate any income to the spouse.
    - [Workaround] If you go to this form *after* entering one or more income items into TaxSlayer, allocate $1 to the spouse for each of those items, so that TaxSlayer will allow the form to be completed.

Head of Household

- Normally a person filing as HoH is not married. But a married person **can** file as HoH rather than MFS if they meet all five tests on the right side of the "Determination of Filing Status – Decision Tree" page of the Qualifying Child or Relative Resource Tool (Form D19929, available in the Portal, can be ordered by LCs.)
  - ***CA policy:*** Because CA is a community property state, a HoH return is ***out-of-scope*** for a married taxpayer unless that taxpayer has lived apart from his or her spouse *for the entire year* and is also ***out-of-scope*** if there was **any** commingling of funds during the year, excluding transfers satisfying child support obligations or transfers of under $100.
    - ***Note:*** **In CA5 only,** a taxpayer who is legally married must file as MFJ or the return is ***out-of-scope.***
- If the filing status is marked as "Single", and an entry is made in TaxSlayer's Dependent section, TaxSlayer will then ask "You've selected a Single filing status but also added a dependent. Would you like to change your filing status to Head of Household?"
  - *Do not change the filing status* simply because TaxSlayer suggests this option. The "Single" status should have been selected *after* determining that no other person listed on page 1 of the Intake Booklet was a qualifying person for HoH status. If that determination wasn't made, then see the discussion at the beginning of the "Filing Status" section.
- *Note for CA state returns:* California requires that an additional form, CA Form 3532, be filled out for those filing as HoH.
  - TaxSlayer offers the option to complete this form immediately after you finish the **Personal Information** page. However, if the needed dependent information does not yet exist (no Carryforward, or a new qualifying dependent), then do not accept this option – complete the CA Form 3532 later.
  - Failure to complete the form *will* generate a warning message when starting the E-file section.
  - The page for entering information is at State Section > Basic Information > **Complete California Form 3532 (Head of Household.)**
    - Starting with tax year 2019, TaxSlayer offers a drop-down list to select the qualifying child.
      - ***Warning:*** TaxSlayer lists *all* dependents, rather than just dependents who qualify the taxpayer for this filing status.
    - "Number of days … " is normally "365" for those born during the year or died during the year.
    - For dependent income, enter the *federal* income of the dependent.
  - [Workaround] If, in the E-file section, TaxSlayer says that there is an error in how this form was completed, review all data, and make corrections as needed. If you don't see any errors, or TaxSlayer doesn't change the error message after you fix a mistake, then:
    - Save and exit the return, then reopen it, and determine if the error message has gone away.
    - If the error message persists, delete the entire CA state section, and create it again, being careful to correctly enter all required information into the TaxSlayer page for the Form 3552, as well as redoing any other state-related pages in which you entered information.
- *Note for CA state returns:* If the taxpayer cannot file as HoH in 2021 because the qualifying relative for HoH died in 2019 or 2020, **and** the taxpayer was at least 65 years old at year-end, see the Senior Head of Household Credit, Code 163, CA Form 540, Page 2, lines 43-45 section, on page **116**.
  - ***Note:*** This CA credit is non-refundable. If CA Form 540, Page 2, line 34, Tax, is zero, then there is no point in adding this credit to the CA return.

Qualifying Widow(er)

- QW status preserves the benefits of filing as MFJ.
- If the taxpayer's spouse died in 2019 or 2020, the taxpayer did not remarry by December 31, 2021, and the taxpayer has a child or stepchild for whom the taxpayer *can* or *might have been able to* claim a dependent exemption for the tax year, the taxpayer can file as QW in 2021.
  - A child does qualify as a dependent if he/she *would have been* a dependent except (a) the child's income is too high; (b) the child is filing a MFJ return, or (c) the *taxpayer* is a dependent of someone else.
- QW status also requires that:
  - That child must have lived in the taxpayer's home, except for temporary absences, for the entire year.
  - The taxpayer *did or could have* filed as MFJ for the year of the spouse's death.
  - The taxpayer paid more than half the cost of keeping up their home during the year.
- If the taxpayer appears to meet the above criteria, use the resource documents listed at the top of the Filing Status section (page **15**) to confirm eligibility.

Single

- As noted above, a person who is married at year end, and has no separation agreement in place by that time, can file as MFJ (with his or her spouse); as HoH, with a qualifying dependent and if meeting all other requirements; or as MFS. What that person **cannot** legally do is file as Single.
- ***CA policy:*** Because CA is a community property state, the return of a taxpayer who becomes divorced or legally separated *during* the tax year, and wants to file as single, is ***out-of-scope*** if the taxpayer did not *live apart from his or her spouse for the entire year* and is also ***out-of-scope*** if there was **any** commingling of funds, other than alimony paid after the date of the divorce decree or legal separation agreement.

PERSONAL INFORMATION

Names

- When the return is e-filed, the IRS checks only the first four characters of the last name against their records.
  - You should check tax documents, such as Form W-2s, to make sure that the taxpayer's name is correct, keeping in mind that only those first four characters are critical. If there is an incorrect name, the **return must be paper filed**.
    - After the Basic Information section is completed, create a note (see page **9**) saying that, and why.
    - Rather than paper file, the taxpayer may, as an alternative, contact the payer to get a corrected tax form and then return to the site with that corrected form. If the taxpayer wants to do this, complete the return as far as possible, then mark it with a note and a return tag indicating that more information (the corrected form) is needed.
- The taxpayer's first name(s), initial, and last name, in TaxSlayer, should be as they appear on their Social Security card, prior year tax return, Social Security statement, etc. A hyphen can be entered only as part of a *last* name; for a first name, use a blank space rather than a hyphen.
  - If the taxpayer provides the prior year's return, use the name as entered and successfully filed last year, unless the taxpayer has notified the Social Security Administration (SSA) of a change in name (for example, because of a marriage).
    - If the SSA has been notified, use the new name in the tax return, and put information about the old name into a note (see page **9**).
    - If the taxpayer has **not** notified the SSA about a name change, or is unsure, use the prior name, but put information about the new name into a note (see page **9**).
  - If no prior year return is available, then consider the following:
    - Examples of how to determine the last name of a taxpayer are in Pub 4012, starting on **page B-13**.
    - When the Social Security card indicates multiple names, normally you enter all but the last in the first name field, leaving a space between each name. (For example, someone with a full name of ELIAM HUNTER SYKES WINSDORSON would have WINSDORSON as the last name, ELIAM HUNTER as the first name, and "S" as a middle initial, because the first name field is limited to 14 characters.)
      - *However,* for some who have Hispanic names, the last two names may constitute the legal last name. In that case, they should both be entered in the last name field.
  - It is good practice to enter questionable last names on the Social Security card or ITIN letter into a note (see page **9**), for use by your ERO in case the last name causes an e-file reject.

- For MFJ returns, TaxSlayer automatically enters the Spouse's last name as being the same as the Taxpayer. If it is different, then change it.
- ***Note for CA state returns:*** If the last name of the taxpayer (or, if a MFJ return, the spouse) has changed from the prior year tax return, enter that information in the State Section (Basic Information > Additional Personal Information).
- ***Note for CA state returns:*** If the last name of the taxpayer includes a hyphen, TaxSlayer will remove the hyphen on the CA return, to prevent the CA return from being rejected.

Date of Birth

- If an age-dependent credit is claimed, the IRS will check the date of birth against the IRS records.
- If the taxpayer is 71 to 73 years old in 2021 (that is, was born in 1948, 1949, or 1950), and has Form 1099-R income from an IRA, 401k, or similar source, review Required Minimum Distribution (RMD) requirements with the taxpayer.
  - A taxpayer's first RMD occurs in the year they reach age 72; though it can be deferred until April 1 of the following year.
  - More information about the RMD requirements and penalties can be found below, in the 5329 Part IX – RMD Not Taken section, on page **101**.
- The age of the taxpayer as of December 31 of the tax year is shown on the **Calculation Summary** (Form 1040) page (select Summary/Print on the left navigation menu), which also shows the age of the spouse (if any) and each dependent (if any.)

Spouse Social Security Number

- See the section Starting a New Return, on page **13**, for acceptable means of SSN or ITIN verification.
  - If the IRS letter assigning an ITIN was issued prior to January 1, 2013, that **ITIN has *expired*** and needs to be renewed. Details are discussed in the section Individual Taxpayer Identification Number (ITIN) on page **143**.
    - Also, any ITIN not used in the past three years (2020, 2019, or 2018) is also considered to be expired, and must be renewed.
- For **MFS returns**, if in scope, where the spouse's SSN or ITIN is not known, enter 111-00-1111. The return cannot be e-filed; the return **must be paper-filed**; write "unknown" wherever the spouse's SSN appears on Form 1040 and related forms.
  - After the Basic Information section is completed in TaxSlayer, create a note (page **9**) saying that the return must be paper-filed, and why.
- For **MFJ returns**, if the spouse has neither an SSN nor a valid ITIN, there are two possibilities: (1) the spouse is a nonresident alien **and** the taxpayer doesn't want to apply for an ITIN for the spouse, or (2) the taxpayer does want to file a Form W-7 with the tax return, in order to apply for an ITIN for the spouse.
  - For a nonresident alien, not applying for an ITIN, enter 111-00-1111 for the Social Security number. Otherwise, to start the process for applying for an ITIN, enter 000-00-0000; after you click "Continue", TaxSlayer will replace the SSN field with a note saying, "This return contains a Form W-7, Application for an ITIN for this Spouse."
  - The return **must** be paper filed; after the Basic Information section is completed, create a note (page **9**) saying that, and why.
  - If you entered 000-00-0000, the first page for W-7 information (asking the reason for filing the W-7) **must** be completed to avoid an error message.
    - In TaxSlayer, the page is at Federal Section > Miscellaneous Forms > **Application for ITIN (Form W-7)** [not reachable via the search box].
    - Instructions for the form can be found at **irs.gov/pub/irs-pdf/iw7.pdf**; note the requirement for the taxpayer to provide supporting documentation when the form is submitted.
    - If one or more fields on the printed Form W-7 are blank, because a question(s) was not answered in TaxSlayer, tell the taxpayer that they must fill in these fields, manually, before submitting the Form W-7 with the tax return.

Occupation(s)

- Complete as appropriate – RETIRED, UNEMPLOYED, and STUDENT are acceptable.
- DECEASED is the appropriate entry if the Taxpayer or Spouse died during or after the tax year.
  - See, in the next section, the "*Fourth box"* discussion, for more entries for a deceased taxpayer or spouse.

Other Personal Information

***Note**: there are 12 boxes below the Taxpayer's occupation, and nine boxes below the Spouse's occupation. The numbering below is for the Taxpayer's boxes. (For three of the Taxpayer boxes, the response depends on* the situation with both *Taxpayer and Spouse.)*

- [*First box*] Do *not* check "Check here if the Taxpayer can be **claimed as a dependent** on someone else's return" if **both** of the following are true, because if both are true, the taxpayer *can* claim others as dependents. [Checking the box prevents the taxpayer from being able to claim any dependents.]
  - (1) The person who *could* claim the taxpayer as a dependent *is not required to file a tax return*. (For example, most of that person's income was from Social Security.)
  - (2) The person who *could* claim the taxpayer as a dependent either (a) did not or will not file a tax return for the year, or (b) did or will file a tax return, but only to claim a refund of estimated or withheld taxes and did not or will not list the taxpayer as a dependent.
  - ***Note for CA state returns:*** If you checked that the taxpayer (or, for a MFJ return, the spouse) can be claimed as a dependent on someone else's return, you **do not** need to enter that information in the State Section; TaxSlayer automatically makes the appropriate adjustments on CA return.
- [*Second box*] A **full-time student** is a person who was enrolled for some part of at least five calendar months (which need not be consecutive) in a given calendar year, where the enrollment was for the number of hours or courses considered full-time attendance by the school.
  - Student status can be critical in determining if someone is a qualifying child.
- [*Third box*] Determine if the taxpayer and/or the spouse qualify as **blind**.
  - If so, check the appropriate boxes.
  - A letter from a physician or optometrist should be kept by the taxpayer if this is the first time they qualify as blind.
- [*Fourth box*] If the taxpayer or spouse is **deceased**, check the box, and enter the date of death.
  - The date of death is matched against the IRS's database (obtained from the SSA) – a mismatch may cause an e-file to be rejected.
    - Note: The Tax-Aide program does **not** require taxpayers to provide a death certificate.
  - Advise the taxpayer that processing time by the IRS will be longer than normal for deceased taxpayer returns.
  - If the deceased taxpayer had a pension without survivor benefits, any unrecovered employee pension contributions may be reported on Schedule A, line 16, on the final tax return for that taxpayer. See **Pub 575, Pension and Annuity Income**, for details.
  - If the return is filed by someone *other than* a surviving spouse, there are additional requirements **if a refund is due**, because *the IRS will not issue a refund in the name of a deceased taxpayer*. Specifically, the return must **include a Form 1310,** Statement of Person Claiming Refund Due a Deceased Taxpayer. There are two options: (1) e-file, with this form included in the return, and separately mail the form, signed, to the IRS, with any required documentation as described in the **instructions that accompany that form**.; or (2) paper-file the return, and *either* (a) attach a Form 1310 and any required documentation for that form, *or* (b) attach a court certificate showing appointment of the taxpayer as the personal representative for the estate.
    - Regardless of whether option (1) or option (2) is chosen, create a note (per page 9) saying what is being done, and why.
    - If e-filing, go to the page **Form 1310 for Refund Due a Deceased Taxpayer [**Federal Section > Miscellaneous Forms > Claim a Refund Due to a Deceased Taxpayer], and complete that form.
      - Print an extra copy of the Form 1310 for the taxpayer to sign and mail to the IRS.
    - ***Note for CA state returns:*** For this situation (return not filed by a surviving spouse, **and** a refund claimed), either Form 1310, with any appropriate supporting documents, or certified copies of the letters of administration or letters of testamentary, must be submitted with the state return, which should be **paper filed.**
  - ***Note for CA state returns:*** Additional information concerning a deceased taxpayer must always be entered in the State Section. This can be done after finishing the Basic Information section of the federal return.
    - Go to the **Complete if the Taxpayer or Spouse listed on the return is deceased** page [State Section > Basic Information > Deceased Taxpayer or Spouse].

    - Complete the decedent representative information. For a MFJ return, this is normally the surviving spouse. [And yes, it does seem odd to be entering the same last name twice on the same form.]
- [*Fifth box*] If the taxpayer has indicated that they want to direct an amount to the **Presidential Election Campaign Fund** (in the Intake Booklet, page 3, Part VII, question 2), then check the appropriate box(s).
    - This has no impact on the calculations for taxes owed or refunds due.
- [*Sixth box*] If the taxpayer or spouse served in a **combat zone** during the current tax year, the return is ***out-of-scope*** for regular Tax-Aide sites – refer the taxpayer to a military site or suggest that they go to a paid tax preparer or prepare their own return using tax-preparation software.
- [*Eighth box*] ***Note:*** A final entry of 2019 earned income (as opposed to an estimate, for evaluating possible benefits) **requires the 2019 tax return.**
    - **There is no need to check the box** if tax year 2019 earned income was less than tax year 2021 earned income. The taxpayer can benefit only when 2019 earned income is *higher*.
    - **There is no need to check the box** unless the taxpayer's 2021 earned income places them on the *upslope* of the earned income path. Here are the points at which taxpayers are no longer on the upslope – if their 2021 earned income is this amount or more, there is no value in entering a 2019 earned income amount.
        - No qualifying children: $9,820
        - One qualifying child: $10,640
        - Two or more qualifying children: $14,950
    - If you're unsure, there are no negative consequences from checking the box and entering a 2019 amount that turns out to be smaller than 2021 earned income, or so high that it is worse than the 2021 amount – in these two situations, TaxSlayer will just ignore the 2019 amount.
    - If the 2019 amount is not available, make a note, do the return, and come back to this page, where you can enter an *estimated* amount to see the potential value of having the TP return with a 2019 tax return (watch the refund monitor).
    - Entering information:
        - Leave the disaster designation as "Covid19".
        - For the field "Prior Year Earned income for Disaster Victims", ignore the words "for Disaster Victims". Also, for a MFJ return, enter total combined earned income for 2019, not just Taxpayer earnings.
        - For the remaining two fields, involving combat pay, see the discussion for the *Sixth box*, above.
- [*Ninth box*] The natural disaster must be **federally-declared**. Otherwise, do not check this box.
    - Per **fema.gov/disaster/declarations**, in 2021, in California, there were 11 federally-declared disasters, all for wildfires, from June 24th through the end of the year.
- [*Tenth box*] For the question regarding **virtual currency**, the responses to questions 7, 8, 9, and 15 in Part III of page 2 of the Intake Booklet (page 2 of Form 13614-C) touch on this. However, the question in TaxSlayer (which is from the first page of the Form 1040) includes *acquisition* of this type of currency during 2021, which might not be as income. So, it would be appropriate to ask, "Did you buy or otherwise receive any virtual or crypto currency, like Bitcoin, during 2021?"

Address

- The address entered in TaxSlayer is the **current mailing** address of the taxpayer, not the address where the taxpayer lived during the tax year, nor the physical address where the taxpayer currently lives *if* the taxpayer has his or her mail sent to another address.
- In the "Address (Number and Street)" field, fractions are allowed. This is also the field where a post office box or private mailbox ("PMB") would be entered; the PMB goes at the *end* of the field.
- The "Apartment" field is limited to letters and/or numbers and cannot be more than 6 characters. If necessary, put information like "Space 203" (for a mobile home) in the main address field.
    - TaxSlayer does not carry information in the Apartment field to the address line of tax documents entered into TaxSlayer. (Since the IRS does *not* validate addresses on tax documents, this isn't a big deal.)
- ZIP code – entering the ZIP code automatically fills the city and state, but you may need to manually change the city if the ZIP code is shared by multiple cities.
    - If entering the ZIP code doesn't automatically fill the City and State fields, recheck the ZIP code that you entered.
- ***Warning:*** if a TaxSlayer page that has the taxpayer address (for example, the **W-2** page) has been used, and subsequently the address in the **Personal Information** page is corrected, the correction *will not affect the TaxSlayer pages that have already been used.* In this example, the **W-2** page would need to be edited again to change the incorrect taxpayer address on that page.

- ***Note for CA state returns:*** If the address has changed from that on the prior year tax return, that fact should be in the State Section (Basic Information > Additional Personal Information.)

Phone Number

- *TaxSlayer requires a telephone number for the taxpayer to complete the* ***Personal Information*** *page.*
  - If the taxpayer does not have a phone or is unwilling to provide a number, ask if they will provide the phone number of a friend, relative, or neighbor, "just in case."
    - If the phone number entered is not that of the taxpayer, also create a note (see page 9).
- A phone number is important because Tax-Aide may need to call the taxpayer when a return is rejected, or where we discover, belatedly, that there is an error in the return. This is rare, but it does happen.
- Page 1 of the Intake Booklet asks for one phone number for the taxpayer and one for the spouse.
  - If these are the same, enter the number as the Daytime Telephone number.
  - If they are different, or if a taxpayer provides both a regular phone number and a cell phone number, enter one as the Daytime Telephone number and the other as the Secondary Telephone number.

DEPENDENTS AND QUALIFYING CHILDREN

- There are several good resources for determining if someone is a qualifying child or qualifying relative, including whether that person can be used to claim EIC:
  - AARP Foundation's "Qualifying Child or Relative Resource Tool" [**September 21, 2021, D19929 in the Portal**]
  - **Pub 4012, Tab C**
  - The Dependent Qualification Calculator at **cotaxaide.org/tools**
  - The IRS "Interactive Tax Assistant," at **irs.gov/help/ita** (select "Who Can I Claim as a Dependent?")
  - ***Note:*** Starting with the 2018 tax year, the term "dependent" essentially means a person who qualifies the taxpayer for either the child tax credit (up to $2000) or the credit for other dependents ($500).

Entering Information into TaxSlayer

- The "Dependents/Qualifying Persons" section of TaxSlayer is where two types of people are entered:
  - Living in the taxpayer's household, and either having a relationship (parent, daughter, etc.) or getting more than half of his or her support from the taxpayer – those who meet the support test (if a QC, that person doesn't provide more than half his or her support; if a QR, the taxpayer provided more than half the support)
  - Not living in the taxpayer's household, but having a relationship (parent, son, etc.) and being supported by the taxpayer.
- TaxSlayer automatically enters the taxpayer's last name as the dependent's last name. If that is incorrect, then change the last name.
- Enter dependents and qualifying children in the same sequence as on Page 1 of the Intake Booklet.
  - ***Note:*** The Intake Booklet asks the taxpayer to list "everyone who lived with you last year". A taxpayer who follows this instruction may list someone who is neither a qualifying child nor a dependent – for example, a roommate who pays a portion of the rent of an apartment. In such cases, do ***not*** try to enter that person into TaxSlayer. [Generally, the taxpayer won't know that person's SSN/ITIN, and won't understand why he/she is being asked for such information.]
- Checking the box labeled "Check box if the dependent does not have an SSN/ITIN/ATIN", and then checking "Yes" for "This dependent will be completing a Form W-7, Application for ITIN:" will require completing a Form W-7 within TaxSlayer.
  - Such a return **must be paper-filed** - create a note (page 9) saying that.
  - In TaxSlayer, the first page for W-7 information (asking the reason for filing the W-7) **must** be completed to avoid an error message.
    - In TaxSlayer, the page is at Federal Section > Miscellaneous Forms > **Application for ITIN (Form W-7)** [not reachable via the search box]; finish the Basic Information section before going there.
    - Instructions for the form can be found at **irs.gov/pub/irs-pdf/iw7.pdf**; note the requirement for the taxpayer to provide supporting documentation when the form is submitted.
  - If one or more fields on the printed Form W-7 are blank, because a question(s) was not answered in TaxSlayer, tell the taxpayer that they must fill in these fields, manually, before submitting the Form W-7 with the tax return.

- ***Note for CA state returns:*** California gives an exemption credit for dependents who would otherwise qualify but do not have a Social Security number and are ineligible for an ITIN. (If eligible for an ITIN, the taxpayer should file a W-7 – see the paragraph immediately above.)
  - To claim the CA dependent exemption credit in this situation, taxpayers will need to complete FTB Form 3568, Dependent Identification Number Requirement Exception (available only by e-mail) and attach the documentation required by that form to their tax return.
  - [Workaround] Checking the box that the dependent does not have an SSN/ITIN/ATIN, and then checking "No" regarding filing a W-7 *will block the federal return from being e-filed*. To avoid this problem, enter 111-00-1111 for the Social Security number of the dependent, and *answer "No" to the question "Was this person a U.S. citizen, U.S. national, or U.S. resident alien?"*
  - Put an electronic note into TaxSlayer to explain the situation.
  - The CA return must be **paper filed**; after printing it, line through the 111-00-1111 SSN and write "No ID".
  - **Although this credit was authorized by law in 2020, the credit is available retroactively for 2018 and 2019 tax years;** returns already filed for those years can be amended.
- Relationship – choose from the drop-down list.
  - ***Note:*** An adopted or fostered individual is treated as if biologically related.
  - For a *stepparent*, use "Parent".
    - ***Note:*** A parent of a taxpayer's stepparent is considered unrelated.
  - For a *great-grandchild*, use "Grandchild".
  - For a *great-niece* (or grandniece), and for a great-nephew (or grandnephew), the entry in TaxSlayer **depends on whether the person is a qualifying child**.
    - If the person meets the criteria to be a qualifying child, use "Niece" or "Nephew".
    - Otherwise, use "None." The person is considered unrelated.
  - If an *in-law*, use "Other". (An in-law is never a qualifying child but *can* be a qualifying relative for things like HoH status, education credits, and child and dependent care.)
  - ***CA legal note:*** In California, someone aged 21 or older is no longer a foster child. If that child is disabled, the foster parent needs to formally adopt the child to claim him or her as a qualifying child.
- Number of months the dependent lived in the home – choose from the drop-down list.
  - For dependents who were born or died during the tax year, select "12."
  - [Workaround] If the individual is a **qualifying relative** who did NOT live in the taxpayer's home for one month or more (for example, a son or daughter over the age of 24, living elsewhere all year, fully supported by the taxpayer), then select "Other Reasons," rather than entering zero.
    - If you enter zero months, TaxSlayer will only give the credit for other dependents if you tell it the parent has a Form 8332.
  - If the taxpayer is a noncustodial parent who has the right to claim a dependent credit for a **qualifying child** who lived with the custodial parent, **choose "Divorce/Separation". DO NOT enter "0" months**.
    - A divorce decree can be used in place of a Form 8332 only if it clearly states the name(s) of the dependent children and the years (including "ongoing") for which the claim to exemption has been released.
    - Click "Continue" twice to get to a checkbox to indicate this.
    - *Tax-Aide no longer sends a copy of the Form 8332 to the IRS.* ***Inform the taxpayer that they must retain that form for their records and provide it to the IRS upon request.***
- In the "Please answer the following" section:
  - "Over age 18" means that the dependent was at least 19 years old as of December 31 of the tax year.
  - A **full-time student** is a person who was enrolled for some part of at least five calendar months (which need not be consecutive) in a given calendar year, where the enrollment was for the number of hours or courses considered full-time attendance by the school.
    - If the dependent is age 24 or older as of December 31 of the tax year, checking the box for a full-time student makes no difference for tax purposes.
  - An **eligible educational institution** is an accredited postsecondary institution.
    - If there is any doubt as to accreditation, check the U.S. Department of Education database at **ed.gov/accreditation**.
    - Enrollment in high school *does meet the criteria for being a full-time student*.

- "Check if this qualifying child is NOT YOUR DEPENDENT" should be checked if the person does not pass all the tests to be a dependent; for example, if that person provided more than half of his or her support for the year. (For more information about those tests, see **page C-1 of Pub 4012**.)
  - Checking this box means that the person **will not be listed in the "Dependents" section of Form 1040.** It also prevents the taxpayer from getting the child tax credit or the credit for other dependents for that person.
- If the dependent is 16 years or older (for the 2021 return, this would mean being born in the year 2005 or earlier), **ask** the taxpayer if the dependent is married or not; do not assume unmarried status.
- The final checkbox, regarding a **Multiple Support Declaration, Form 2120**, is relevant only to **qualifying relatives**, not to qualifying children, and should be checked *only if the taxpayer did not pay over half of the dependent's support but still wants to claim the dependent as a qualifying relative.*
  - To make such a claim, no other person can have provided more than 50 percent support for the dependent.

- Taxpayers who are divorced or legally separated as of the end of a tax year cannot claim their (former) spouse as a dependent, even if that (former) spouse resides with the taxpayer, and even if the taxpayer provides more than half of the support for the (former) spouse.

Child Adoption

- Taxpayers who adopted a child in 2021 (in the Intake Booklet, on Page 2, Part V, question 3, "Adopt child?", is checked "Yes") can potentially receive significant tax benefits from doing so. They could reduce their income, if they received employer compensation, or can get both a federal and state tax credit, if they had adoption expenses that weren't reimbursed. However, both **Form 8839, Qualified Adoption Expenses**, and the CA Credit for Child Adoption Costs (Code 197) are ***out-of-scope***. Accordingly, there may be significant advantages for such a taxpayer to go to a paid tax preparer or use tax-preparation software.

Federal and State Differences

- ***CA process note:*** It is possible to **not claim a dependent on the federal return, but to do so on the state return, and to file both electronically.** This might be done so that a dependent claim an education credit, or because a taxpayer declines to claim a dependent on the federal return in order to avoid the ACA penalty for lack of insurance for that dependent.
  - To file a return where a dependent is not claimed on the federal Form 1040, but is claimed on the state Form 540:
    - Prepare the federal return and set the CA return to *paper*. After quality review, print the federal return for the taxpayer.
      - If the dependent is entered on the return, check two boxes – "Check if this qualifying child is NOT YOUR DEPENDENT", and "Check if you wish NOT to claim this dependent for Earned Income Credit purposes," so that the listed dependent doesn't affect the federal return.
    - Transmit the federal return.
    - Modify the federal return to add the dependent [if already on the return, uncheck the two boxes]; *add an electronic note about what you're doing*; and – after quality review – provide the taxpayer with the printed state return.
    - On the **E-File** page, check the "Send State Only" box, change the state return type to E-File, and transmit the state return.

IRS IDENTITY PROTECTION PIN

- If a taxpayer, spouse, or dependent has experienced IRS-related identity theft (a fraudulent tax return has been filed using their SSN or ITIN) and has previously worked with the IRS to fix this, the IRS will issue a CP01A letter with an IP PIN to be used for filing a return. The IRS will provide the taxpayer with a new IP PIN each year, prior to the start of the tax season; the IP PIN is to be used for all e-filed returns during the calendar year.
  - The taxpayer should have checked "Yes" for box 11 of Page 1 of the Intake Booklet, "… been a victim of tax related identity theft or issued an Identity Protection PIN?"
- Effective January 2021, residents of all states can also voluntarily apply online to get an IP PIN, as described in **Pub 5367, Identity Protection PIN Opt-in Program for Taxpayers**. Then, each year, they **must** obtain a new IP PIN through their account at **irs.gov/ippin** , or (planned for 2022) opt out of the program.
- For a MFJ return, enter the IP PIN only for whoever is shown on the IRS letter as having been issued that IP PIN. (But check to see if both the taxpayer and spouse have an IP PIN.)
- An IP PIN is entered on the **IRS Identity Protection Pin** page, which can be reached in one of two ways.

- From the **Basic Information** menu
- In the Federal Section [Miscellaneous Forms > IRS Identification Pin]

- If the taxpayer received an IP PIN but cannot find it, there are two options:
  - The taxpayer can call the IRS ID Theft hotline, 800-908-4490, to get the IP PIN reissued. The IRS will mail the IP PIN to the taxpayer's address of record within 21 days.
  - The taxpayer can go online (to **irs.gov/ippin** ; click on "Get an IP PIN") and, by accessing or creating an account (see above), retrieve their IP PIN.
- If the taxpayer is unable to retrieve or get a new IP PIN, then the return **must be paper-filed** (create a note - page 9 - saying that).
- More information can be found on **page P-2 of Pub 4012**, "Identity Theft Job Aid for Volunteers."

INTAKE BOOKLET – ADDITIONAL NOTES

- The first three pages of the Intake Booklet consist of IRS Form 13614-C, Intake/Interview & Quality Review Sheet.
- Page 1 of the Intake Booklet has the information about taxpayer disability that isn't entered in the Basic Information section of TaxSlayer, but may require action:
  - If the taxpayer checked "Yes" for box 6.b. or 9.b., **"Totally and permanently disabled"**, on Page 1 of the Intake Booklet, then the taxpayer may be eligible for the tax credit on Schedule R, Credit for the Elderly and Disabled, because of that disabled status.
    - Those 65 years and older are eligible for the credit as well, if low income; TaxSlayer handles that automatically. It does *not* handle disability automatically if the disabled taxpayer or spouse is below age 65, because **there is no way to enter disability information in the Personal Information section.**
    - Detailed information on this credit, including other criteria such as a low income, is on page 97.
  - Note that question 1 of part II, on page 1, does not ask if the taxpayer is single. Rather, a taxpayer who is not married must select from one of four options.
    - ***Note:*** **Widowed** has potential implications for the cost basis of the sale of a home as well as for the sale of marketable securities - see the section Entering Capital Gains and Losses on page 52 and the section Sale of Home on page 54.

NOTE: **The following sections often say, "Go to …", followed by the name of a TaxSlayer page, which will be in bold. The part of the page name that is underlined is the text that you can type into the TaxSlayer search box to go directly to that TaxSlayer page, as an alternative to using the menu structure.**

FEDERAL SECTION - INCOME

Note: **Page D-1 of Pub 4012** has a list of income that is *not* taxable and does *not* have to be entered into TaxSlayer.

LINE 1 - WAGES, SALARIES, AND TIPS

Go to the **W-2** page [Income > …]

- **Pages D-4 through D-6 of Pub 4012** have information on how to enter Form W-2 information into TaxSlayer.

Substitute W-2

- If the taxpayer has not received a Form W-2 by February 15th and has attempted to get a copy from their employer and failed, they can contact the IRS for possible assistance (800-829-1040, or in-person visit.)
- Alternatively, a substitute Form W-2 can be used. This requires a pay stub for the last pay period for which pay was received in the tax year, showing cumulative pay, and withholding for the year.
  - Start a **W-2** page, as usual, but select "This is a substitute W-2."
  - Fill out the rest of the TaxSlayer **W-2** page as usual, except:
    - If the employer EIN is unknown, leave that field blank. [New, May 2020].
    - ***CA process note:*** If the CA state EIN is not known, use "999999." ***Do not*** leave this field blank; that will prevent the income from being used to calculate the CalEITC.

- When you click "Continue", TaxSlayer will open a page to collect additional information that goes on the Form 4852.
  - If the employee has an ITIN, do *not* enter an SSN.
  - When the return is printed, it will include Form 4852, which must be signed by the taxpayer and mailed with the federal return.

- **The return must be paper-filed** - create a note (page 9) saying that.
  - ***Reminder:*** The taxpayer must sign Form 4852, automatically printed by TaxSlayer, which goes with the paper federal return.
  - ***Note for CA state returns:*** The taxpayer must also sign CA Form 3525, which goes with the paper CA return.
- The taxpayer may need to follow up with the Social Security Administration to get credit for FICA taxes paid.
  - The taxpayer should wait until they get an SSA statement that includes the tax year for which the return is being prepared before contacting SSA.
    - If the SSA statement shows that the employer failed to report wages to the SSA, the taxpayer should provide the SAA with a copy of the Form 4852.
- If the taxpayer later gets a W-2 with different information on it, the taxpayer may need to amend the tax return.

W-2 Form - Employee Name

- If this is a MFJ return, make sure the "Whose W-2 is this?" question has been answered correctly. (The default is the taxpayer.)
- If the employee's name on the Form W-2 does not match the name in the **Personal Information** page (for example, because of a name change), it is not possible to change the name on the TaxSlayer **W-2** page to match the paper Form W-2. In this situation:
  - Make sure that the Social Security number on the paper Form W-2 *does match* the SSN in TaxSlayer. If it does not match, then (assuming the form does in fact belong in this tax return) see the next section, below.
  - If the SSN is correct but the name is wrong, the return should still be e-filed. The taxpayer should contact the employer to get their name changed so that the next year's W-2 is correct.

W-2 Form - Employee SSN

- If the employee on the Form W-2 is filing using an ITIN, then any SSN on the paper Form W-2 will **not** be valid for that employee.
  - If TaxSlayer has an ITIN for the employee, on the **Personal Information** page, then it will automatically ask for "ITIN SSN" information on any **W-2** page for that employee. Type in the Social Security number shown on the paper Form W-2.
  - In this situation, the return **can still be e-filed.**
- If the taxpayer has an SSN but a different (incorrect) SSN is on the paper Form W-2, the employee must request a corrected Form W-2 from the employer.
  - If a corrected Form W-2 cannot be obtained, do not change the correct SSN on the TaxSlayer **W-2** page to match the incorrect SSN on the paper Form W-2.
    - The return **must be paper-filed,** and an explanation provided about the erroneous SSN; create a note in TaxSlayer (page 9) with that information.
- ***Note:*** A Form W-2 with a blank in the SSN box is invalid. If the taxpayer has such a Form W-2 and cannot get it corrected, the return is ***out-of-scope***.

W-2 Form – Employee Address

- If the employee address on the paper Form W-2 doesn't match what TaxSlayer fills in, on the **W-2** page (information taken from the **Personal Information** page), then *change the information on the **W-2** page in TaxSlayer* so that it matches the paper Form W-2.
  - If the information on the paper Form W-2 is simply not current (the employee has moved, or just changed the mailing address), no further action is required for the federal return.
    - ***Note for CA state returns:*** If the taxpayer address changed from that on the prior year tax return, that change must be entered in the State Section (Basic Information > Additional Personal Information.)
  - If the information on the paper Form W-2 is correct and the information in the **Personal Information** page is wrong, go back to the Basic Information section and change the taxpayer address.
    - This correction *will not affect TaxSlayer pages that have already been created.* You will need to go back and make corrections to those pages.

- If the information on the paper Form W-2 is current but incorrect (for example, the wrong street number), discuss with the taxpayer whether the employer has been notified of the need to make a correction.

W-2 Form - Employer's ID, Name, and Address

- If employer information has been entered into another return **at the same site** during the **current** or **prior** year, TaxSlayer will fill in employer name and address after the employer's identification number (EIN) is entered.
  - Make any changes necessary so that the information on the **W-2** page matches the paper copy. (Some employers use the same EIN for W-2s with different employer addresses.)
  - Ampersands (**&**), hyphens (**–**), and slashes (**/**) are allowed in the employer's name field.
- If the EIN field on the paper Form W-2 is missing:
  - Do not create a bogus number or enter a Social Security number for the EIN; that will result in the e-filed tax return being rejected by the IRS.
  - The taxpayer should contact the employer to get a valid EIN (but also see the next section, "Incorrect EIN".)
  - If the employer is no longer in business, or the taxpayer is otherwise unable to get a valid EIN, the return **must be paper filed**; create a note (page 9) saying that.
- ***CA process note:*** Form W-2s issued by California In-Home Supportive Services (IHSS), **now located in West Sacramento, at PO Box 1717** (EIN 94-2629822), will show the name of the person being cared for (often a relative) as the employer. For such W-2s, if TaxSlayer fills the Employer Name field, that field will almost certainly need to be changed. . ***The state EIN will also have to be changed.***
  - If the employer (person receiving care) and the employee (taxpayer**)** reside in the same home, see also the section W-2 Form – Excludable Medicaid Waiver Payments on page 30.
- Boxes 15 and beyond: See the section W-2 Form - State Information on page 33.

Incorrect EINs

- Unfortunately, occasionally an EIN is entered incorrectly. After the e-filed return is rejected by the IRS, the ERO or preparer normally must call the taxpayer to get the correct number. But sometimes it is possible to find the correct EIN online, so that the taxpayer doesn't need to be called.
- In TaxSlayer, in the Reports section, under "Other Data Reports", is the *EIN Report*, which lists, by employer name, all EINs entered in all returns done at the site during the tax year. *Note that this report is available for the three prior years as well as the current year.* [New, May 2020]
- Other sources for EINs, online, are:
  - Nice user interface, quick to check: **eintaxid.com**
  - 401K funds: **brightscope.com** ("I would like to … Research a 401K Plan")
  - Bogart "**EIN database**" (list)
  - The IRS has a database of registered charitable organizations, best searched via **melissa.com/v2/lookups/npo/**
- If an EIN that is found in an online search isn't very close to the number entered into TaxSlayer, *don't use it*. Instead, call the taxpayer to get the correct EIN.

W-2 Form – Entering Information

- Enter information from the paper Form W-2 into TaxSlayer exactly as shown on the paper form, unless otherwise stated below.
- The amount entered in box 1 will populate boxes 3 through 6, plus 16 (after the State Name has been selected.)
  - If the amounts in boxes 3 through 6 do not match the paper Form W-2, change the amounts on the TaxSlayer page so that everything *does* match.
  - If the amount in box 1 is subsequently changed, the change *will* affect the amounts in boxes 3 through 6.
    - ***Note for CA state returns:*** When you change the amount in box 1, TaxSlayer will ***not*** **change box 16, state wages**, which is used to calculate CalEITC. Normally, if you change the amount in box 1, you should make a **manual change to the box 16 amount.** However, be aware that sometimes box 16 should not equal box 1, as discussed in the section W-2 Form - State Information on page 33.
  - Normally, if there are **different** (non-zero) amounts in boxes 1 and 5, the difference will show up (be explained by) an entry in box 12. However, when an employee is making a *mandatory* contribution to a qualified retirement account, such as a 403(b), box 1 will be different than boxes 3 and 5, but there will not be a related entry in box 12.

  - If box 1 shows zero wages, the Form W-2 may be to report employer-paid sick pay or disability payments, which are non-taxable. (Look at box 12, for code J.) This is not necessarily a problem –this W-2 should **not** be entered into TaxSlayer, because the return will reject if e-filed
    - *If* there was any federal withholding (box 2), go to the **Other Federal Withholdings** page [Federal Section > Payments & Estimates], enter the amount, and click "Continue."
    - *If* there was any state tax withholding, enter it as described in the section State Tax Withheld, on page **118** [and ignore the restriction that the process is not supposed to be used for wages reported on W-2 forms, because this Form W-2 *isn't being entered into TaxSlayer.*]
- Box 7: Social Security Tips are reported here.
  - **If there is an amount in box 7**, the amounts calculated by TaxSlayer and shown in boxes 3, 4, 5, and 6 on the data entry page *may not match the amounts on the paper Form W-2*. If the amounts in TaxSlayer do not match, **change them.**
- Box 8, Allocated Tips: When an amount is entered here, TaxSlayer automatically adds Form 4137 to the tax return, and computes the Social Security and Medicare tax due (Line 5 of Schedule 2.)
- Box 10: Dependent Care Benefits from the employer are reported here. It is VERY important that this number, if present, be entered accurately, because it directly affects other benefit calculations.
  - If you enter an amount in box 10, then, after clicking "Continue", TaxSlayer will display a message: "In Box 10 you entered an amount for Dependent Care Benefits. Please be sure to complete a Form 2441 for this return."
  - If dependent care benefits paid by the employer are not fully offset by expenses, as entered on the **F2441 - Child Care Credit - Page 1** page, the difference will be included as income on Form 1040, Line 1. See the section Schedule 3, Line 2 - Credit for Child and Dependent Care Expenses below, page **90**.
- Unreported tips: If the W-2 is for a job that is likely to have tip income as part of employee compensation, see W-2 Form - Tip Income, page **32**.
- Box 12: If a code in box 12 is ***out-of-scope***, the entire return is also ***out-of-scope***.

Box 12 Code	Description
A, B, M, N	Uncollected amounts, including Social Security or Medicare taxes, which TaxSlayer will correctly carry to Schedule 2, Line 5 or Line 6.
C	Taxable cost for group term life insurance. Quite common, does not change anything as it is already included in box 1 wages
D, E, F, G, H, S	Elective deferrals that can make the return eligible for the Retirement Savings Contribution Credit (Line 4 of Schedule 3, discussed on page **95**). *If code G is in box 12, then box 13, Retirement plan, **must** be checked on the **W-2** page, even if unchecked on the paper Form W-2.*
J	Non-taxable employer-paid sick pay – see page **27** if there is a zero-dollar entry on line 1 of the W-2.
K	20% Excise tax on excess golden parachute payments
L	Substantiated employee business expense reimbursements.
P	Limited, beginning with tax year 2018, to taxpayers who are military personnel
Q	Non-taxable combat pay. Optionally used to calculate Earned Income Tax Credit - TaxSlayer will pick the correct option. ***Out-of-scope*** except for those with Military certification
R	Employer contributions to an Archer Medical Savings Account (MSA) – ***out-of-scope***
T	Adoption benefits – ***out-of-scope***
V	Income from the exercise of nonstatutory stock options (informational – income is included in box 1)
W	Employer contributions to an employee's Health Savings Account (HSA). An entry here is automatically added by TaxSlayer to line 9 of Form 8889 in the tax return. ***also requires CA adjustment.*** (See page **71**.)
Y	An elective deferral that is NOT eligible for Retirement Savings Credit
Z	Income under section 409A on a nonqualified deferred compensation plan
AA, BB, EE	Designated Roth contributions under a section 401(k), 403(b), or 457(b) plan. *If code EE, then box 13, "Retirement Plan", must be checked on the **W-2** page, even if unchecked on the paper Form W-2*
DD	Cost of employer-sponsored health coverage. (Any employer coverage is MEC for the ACA, but you still need to determine which individuals were covered as well as the months of coverage) – ***out-of-scope*** if the taxpayer or spouse had ACA premium tax credits (Form 1095-A) for the same period that the individual had employer-subsidized coverage
FF	Amount of permitted benefits under a qualified small employer health reimbursement arrangement (QSEHRA) - ***out-of-scope*** if taxpayer has Form 1095-A and income is low enough for PTC

Box 12 Code	Description
GG	Amount includible in gross income from qualified equity grants under section 83(i)(1)(A)
HH	Aggregate amount of income deferred under section 83(i) elections

- If there are more than **four** box 12 entries, there is a workaround:
  - Enter just the first four entries on a TaxSlayer **W-2** page, along with all other information on the paper Form W-2.
  - Reduce the amount in box 1, "Wages, Tips", by $1. [The change will not affect amounts in any other boxes of the TaxSlayer page.]
  - Click "Save & Enter Another" to save information entered in the **W-2** page.
  - On the second **W-2** page:
    - Enter the same employee and employer information as on the first **W-2** page.
    - In box 1, "Wages, Tips", enter $1. Then delete that amount from boxes 3 and 5. (If it appears in box 16, delete it there as well.)
    - In box 12, enter the information you did not have space to enter on the first **W-2** page.
  - Click "Continue" to save information entered in the second **W-2** page.
    - As a precaution, the program will ask you if you are sure you want to create a **W-2** page with the same EIN as a previously created **W-2** page. Check the box "Yes, I want to save this W-2 form", and again click "Continue."
  - When the return is sent electronically to the IRS, the program will add together the information on the two **W-2** pages.
- Returns with Code W, Health Savings Account (HSA) Employer Contribution, no longer must be prepared and reviewed by counselors who have HSA certification; the Advanced Certification test now includes qualifying to do returns involving HSAs.
  - Employer contributions to an HSA are not federally taxable. They are reported on Form 8889, which requires additional information. After completing the entry of Form W-2 information, and clicking "Continue", go to the **Form 8889 - Health Savings Account** page [Deductions > Adjustments > Health Savings Account.]
    - Specify whether coverage is self-only or family, and the number of months that the taxpayer was an eligible individual [eligibility requires being covered by a high deductible health plan (HDHP).]
    - If the taxpayer's documents don't include a **Form 5498-SA**, ask if they had made any *contributions* themselves during the tax year, other than through employer-related deductions that show on the W-2. If yes, the amount is separately entered, as discussed on page **71** below.
    - If the taxpayer's documents don't include a Form 1099-SA, ask the taxpayer if they received any *distributions* from the HSA trustee. If so, see the section HSA Distribution, on page **68**.
  - ***Note for CA state returns:*** CA does not recognize HSAs – TaxSlayer makes the adjustment, increasing state income. See Health Savings Accounts in CA, page **115**, for details and other required entries.
- Box 13: Check the applicable boxes to match what is on the paper Form W-2.
  - The "Retirement Plan" box determines IRA eligibility rules.
    - **Warning:** Some employers fail to check this box when they should. If you see "G" or "EE" in box 12 of the Form W-2, then put a checkmark in the "Retirement Plan" box on the TaxSlayer **W-2** page.
  - If the Statutory Employee box is checked, then, after "Continue" is clicked, TaxSlayer requires that the income be moved to a Schedule C. If a Schedule C hasn't yet been set up, it can be (with basic information, only) at this point, by clicking on "Create a Schedule C". Alternatively, "Continue with Return" can be selected, and the Schedule C can be completed later.
    - The employee can report expenses on that Schedule C, offsetting the reported income.
    - The income entered on the **W-2** page will *not* be included on Line 1 of Form 1040.
- Box 14: Enter the code(s) and dollar amount(s) on the paper Form W-2.
  - If there is an entry for a retirement contribution in this box (for example, "RET TS" or "401K"), this might be an elective contribution. Ask the taxpayer if this is the case. If so, select "Retirement (Not in Box 12) – Carry to Form 8880." (See the section Schedule 3, Line 4 - Retirement Savings Contribution Credit on page **95**.) But if the retirement contribution is *required* by the employer, then select "Retirement (Not in Box 12) – Do not carry to Form 8880."
  - ***Note for CA state returns:*** Union dues are potentially usable as a CA itemized deduction, subject to the 2%-of-AGI reduction. TaxSlayer does *not* automatically handle this. On the **Schedule A - Miscellaneous**

Deductions page, use the "ADD ADDITIONAL" box to enter this, IF it looks like CA itemization would benefit the taxpayer.

- ***CA process note:*** In TaxSlayer, **CA SDI** (which sometimes appears as just "SDI" on the paper Form W-2) is entered in box 14 of the TaxSlayer page.
  - TaxSlayer should carry the amount to line 5 of Schedule A, as a potential income tax deduction if itemizing.
- ***CA process note:*** California Voluntary Plan deductions (shown as VD, VPDI, or VI on the paper Form W-2) are also entered in box 14.
  - ***Note:*** VD, VPDI, or VI are included in determining excess SDI contributions, but are never carried to Schedule A, because they are not taxes.
- ***Note for CA state returns:*** The maximum amount subject to CASDI for 2021 is $128,298, for a maximum of $1,539.58 of SDI withholding.
  - If the maximum is exceeded, TaxSlayer properly computes the allowable credit, which goes on the CA return (CA Form 540, Page 3, line 74.)
  - ***Note:*** TaxSlayer does not consider VD/VPDI/VI deductions when calculating the maximum amount. *As a workaround, if this TaxSlayer issue causes the incorrect amount to be placed on line 74 of the CA 540, do the following*: (a) on the W-2 page, change VD/VPDI/VI to "SDI"; (b) if the taxpayer is itemizing on the federal return, and box 5 of Schedule A uses state taxes paid rather than general sales tax, and the $10,000 limit on state and local taxes (SALT) has not been reached, then reduce the amount of a different type of tax paid – for example, real estate taxes – to compensate for the extra added to the box 5a amount, and (c) if another type of tax was reduced on Schedule A, then make an adjustment – positive – to the CA itemized deduction amount – see the section Itemized Deductions Treated Differently by CA on page **114**.

- Boxes 15 and beyond: See the section W-2 Form - State Information on page **33**.

W-2 Form – Excludable Medicaid Waiver Payments

- ***CA process note:*** CA's In-Home Supportive Services (IHSS) (EIN 94-2629822) pays for the in-home care of certain needy individuals and reports the payments on **Form W-2**. The payer name is the person being cared for (the care recipient); the payer's address is always that of IHSS, in West Sacramento. IHSS payments are considered "Medicaid Waiver Payments" (MWP).
- Beginning with **Notice 2014-7**, the IRS issued a set of decisions that some IHSS payments ("difficulty of care") **might be excludable from taxable income.**
  - The definition of difficulty of care payments is that the *main home* of the care provider and the home of the care recipient **are the same**.
  - In this manual, a difficulty of care payment is referred to as "**excludable Medicaid Waiver Payment**", or as "excludable MWP". (Pub 4012 refers to such payments as "**qualified** Medicaid waiver payments".)
- Taxpayers *now have the option* (per an IRS change in policy made in late 2019) of treating excludable MWP as (1) regular income (both taxable and earned income), (2) **earned income but not taxable income**, or (3) **neither taxable nor earned income**. [In theory, a fourth option exists – taxable but not earned; however, this is never beneficial to the taxpayer and can be ignored.]
  - NTTC guidance is that this change is retroactive to all open years (that is, to 2018, 2019, and 2020 returns) as well as 2021 returns.
  - If a taxpayer has multiple excludable MWP payments (that is, the taxpayer provide care in the taxpayer's main home for two or more other individuals), the taxpayer must select the **same option** for **all** excludable MWP payments. [This is rare.]
    - However, for a MFJ return where both the taxpayer and spouse have excludable MWP [also rare], the option chosen for the taxpayer's excludable MWP and the option chosen for the spouse's excludable MWP may be different.
- The process for reporting excludable MWP payments is discussed in **Pub 4012, on page D-7**, and in a **four-page NTTC document**.
  - ***CA process note***: Section C of that document is not applicable in California; IHSS does not issue 1099-MISC or 1099-NEC documents for its payments to care providers.
- Key concepts:
  - (1) Use the Medicaid Waiver Payment box at the bottom of the W-2 screen to remove box 1 income from being taxable on the federal return.

    - The amount in this box **must** equal the amount in box 1, unless [this is unusual] the caregiver (taxpayer) and care recipient lived in the same household for only part of the year.
  - (2) If the amount in the MWP payment box is to be treated as earned income on the federal return, check the box just above the payment box.
  - (3) **If the care provider was not issued a W-2, you should construct one in TaxSlayer if the taxpayer has pay information for the year.**
- ***Note for CA state returns:*** As of mid-2021, California **allows excludable MWP to be included as earned income, or excluded from earned income calculations on the CA return.**
  - This change is retroactive to all open-year CA returns – that is, to 2017 through 2020 tax returns.
  - If the excludable MWP is treated as **taxable** on the federal return, it must be treated as earned income on the CA return; the taxpayer decision for CA returns involves only excludable MWP treated as **non-taxable** on the federal return.
  - The amount in box 16 of a W-2 (except wages in another state) is *primarily* what the CA return uses to calculate CA earned income. This amount, in TaxSlayer, flows to line 13 of FTB Form 3514.
- The critical issue on the federal return, for excludable MWP payments, is to **test all three options to determine which benefits the taxpayer the most on the federal return.** (Remember that EIC rises as earned income increases, then plateaus, and then decreases, ending at zero.) *Do not do this testing until, at minimum, all other income has been entered in TaxSlayer.*
  - ***CA process note:*** You want to test **five options, not three**, and determine what is best for the taxpayer **overall.** Those five options (numbering follows the NTTC document cited above) are:
    - (1a) **Not** taxable on the federal return, **not** earned income on the federal return, **not** earned income on the CA return
    - (1b) **Not** taxable on the federal return, **not** earned income on the federal return, earned income on the CA return
    - (2a) **Not** taxable on the federal return, earned income on the federal return, **not** earned income on the CA return
    - (2b) **Not** taxable on the federal return, earned income on the federal return, earned income on the CA return
    - (3) Taxable on the federal return, earned income on the federal return, earned income on the CA return
  - ***CA process note:*** **For the purpose of testing**, there are two ways to turn earned income "on" or "off" on the CA return, to determine which of the five options above is best.
    - *If there is a W-2 in TaxSlayer,* use box 16 on the W-2. If you set the amount to equal box 1, TaxSlayer then puts the amount onto line 13 of FTB Form 3514, making it earned income on the CA return. If you set it to zero, then the amount paid to the taxpayer is not treated as earned income on the CA return.
    - *If there is no W-2,* then to test options (1b), (2b), and (3) [earned income on the CA return], go into the CA state section, select "Credits", then "CA Earned Income Credit (Form 3514)", and enter the amount of the MWP payment(s) in the first dollar amount field. (For the two other options, nothing needs to be done.)
  - ***CA process note:*** **Once you have decided what the best option is**, you need to make sure that the Form 3514 reflects that choice.
    - *If there is a W-2 in TaxSlayer*:
      - If the MWP is to be treated as **non-taxable** on the federal return, go into the CA state section, select "Credits", then "CA Earned Income Credit (Form 3514)", and enter the amount of the MWP payment(s) in the first dollar amount field. Then, if the MWP is to be treated as *earned income* on the CA return, you're done. If it is not to be treated as earned income on the CA return, then enter the same amount into the second dollar amount field that as you did into the first dollar amount field. (These dollar amounts flow to boxes 13 and 14 respectively on Form 3514)
      - If the MWP is to be treated as **taxable** on the federal return, set box 16 on the W-2 to equal box 1 (the MWP must be treated as earned income on the CA return), and you're done.
    - *If there is no W-2 in TaxSlayer*, go into the CA state section, select "Credits", then "CA Earned Income Credit (Form 3514)", and enter the amount of the MWP payment(s) in the first dollar amount field.
      - If the MWP is to be treated as *earned income* on the CA return, you're done. If it is not to be treated as earned income on the CA return, then enter the same amount into the second dollar amount field that as you did into the first dollar amount field.
- When a taxpayer has excludable MWP, there should *always* be a note in the return (see page 9) saying what was done on the return.

  - It is also highly recommended that each site have a "Medicaid Waiver" (or similar) return tag that can be assigned to returns involving *potentially* excludable MWP, in addition to the regular tag(s). That makes it easy to find all taxpayers with this type of income, as well as to identify taxpayers for whom a prior year amendment might be desirable.
- [Workaround] If, after completing the return, either the AGI amount, on Line 11 of Form 1040, is zero (the taxpayer had no income other than excludable MWP), or if there is a positive amount on Line 11 but taxes withheld (Line 25d), is greater than Line 11, another adjustment is required in order to e-file the return.
  - Go to the **Dividend Income (Form 1099-DIV)** page [Income > Form 1099-INT / 1099-DIV > Interest or Dividend Income > …]; enter "IN ORDER TO E-FILE" as the Payer's Name, and enter $1 on the line for "Capital Gain to Schedule D (Box 2a)".
- [Workaround] One final adjustment may be needed on the federal return. If the taxpayer has qualifying expenses that can be used for the Child and Dependent Care (CDC) credit [Line 2 of Schedule 3], then the expense amounts, listed on the **F2441 - Child Care Credit - Page 1** page, may need to be reduced. The **total** of those expenses cannot exceed the **total** of (a) income on *other* W-2s (those which are *not* excludable MWP) plus net business income reported on Schedule 1, Line 3, plus any taxable income on W-2s for excludable MWP.
  - ***Note for CA state returns:*** The nonrefundable dependent care credit on CA Form 3506 will automatically be correct if any needed adjustment is made to the expense amounts on the federal Form 2441.
- **Final steps for 2021 returns: Make one or more notes in TaxSlayer, and on page 2 of the Intake Booklet, that (1) the taxpayer had excludable Medicaid Waiver Payment, (2) whether that was treated as earned income or not, and (3) any workarounds that you did to handle this.**
- Amending 2018 through 2020 federal returns
  - Note that the statute of limitations for amending (most) 2018 returns, to claim a refund, is April 15, 2022. Try to accommodate affected taxpayers as much as possible.

W-2 Form - Indian Tribal Income

- Tribe members often work on tribal land – for example, at a casino, and receive a Form W-2 for that work
- Tribal income is always taxable on the federal return.
- ***Note for CA state returns:*** Indian tribal income is exempt from CA taxes ONLY WHEN the recipient is (a) an enrolled member of a federally-recognized Indian tribe; (b) living **any** tribal land in California [prior to January 1, 2018, this had to be land of the *same* tribe]; and (c) the income was earned or derived from **any** California tribe's land [prior to January 1, 2018, this had to be land of the *same* tribe.]
  - For income meeting all three criteria, which is therefore exempt from CA taxes, reduce CA income as described in the section Manually Entering Income Differences on CA Schedule CA on page **110**.
- ***Note:*** If there is any question to the definition of "living on" tribal land, see **FTB Legal Ruling 2015-01**.

W-2 Form - Tip Income

- Employers can report tips on Form W2 in one of three ways:
  - Include tips reported by employees ("reported tips") in the taxable wages amount, in box 1 of Form W-2
  - Put tips reported by employees into box 7 ("Social Security tips"), which, when added to box 3, should equal box 1, Wages
  - Report "allocated tips" in box 8. This amount is calculated by the employer, based on sales or on pooled tips or information other than the tips reported as received by the employee.
    - If the taxpayer has maintained a tip log and advises that the total tips are less than the allocated tip amount, the taxpayer's tip amount should be used in box 8; if the actual tips are greater than the allocated tips, use the unreported tips field described in the following paragraph to increase the allocated amount to the taxpayer's actual amount.
- **There may be unreported tips.**
  - Unreported tips can occur because:
    - The employer did not report any tips in boxes 1, 7, or 8.
    - The tip amount reported by the employer on the W-2 understated the amount actually received by the taxpayer.
  - There is a box on the TaxSlayer **W-2** page to report unreported tips - below box 10.
    - When an amount is entered in this box, TaxSlayer automatically adds Form 4137 to the tax return, and computes the Social Security and Medicare tax due (Line 5 of Schedule 2).

- *If* the taxpayer has detailed records of tips received, *and* there are one or more months when the tips received (including those paid to the employee by the employer, either directly or as part of the employee's paycheck), were less than $20 for that month, then total the amounts for such months, and enter the amount in the first box of the **Form 4137 Social Security and Medicare Tax on Unreported Tip Income** page [Federal Section > Other Taxes > Tax on Unreported Tip Income.]

W-2 Form - State Information

- ***Note for CA state returns:*** **WARNING –** If you're entering information from an **IRS transcript**, there will be no state information. *You **must** set the state to "CA" (assuming that income was earned in California) if you want the California state tax return to be correct, particularly the California EITC amount.*
- Box 15: Enter the State ID number without dashes or spaces.
  - The State ID number is NOT the same as the federal ID number
  - The State ID number is required, whether or not state tax was withheld.
    - ***Note for CA state returns:*** If the State ID number is blank on the paper W-2, or an IRS transcript is being used for W-2 information, enter six nines (999999) in TaxSlayer. . Similarly, if the State ID number on a paper W-2 is **incorrect** (either fewer or more than eight digits, ignoring leading and trailing zeros), enter "999999."
  - ***Note for CA state returns:*** Form W-2s issued by California In-Home Supportive Services (IHSS) in Roseville (EIN 94-2629822) will show the name of the person being cared for (often a relative) as the employer. A **unique** CA tax ID is assigned to that person, as the employer; for such W-2s; if the State ID number is automatically filled by TaxSlayer, it is almost definitely **wrong** and should be manually changed.
- Box 16: As entered into TaxSlayer, this must equal the amount of wages that ends up being taxable by CA, whether via the Federal AGI (through the amount in box 1 of the W-2) or indirectly (through a CA Schedule CA adjustment related to that W-2). The only exception is discussed in the Boxes 15 and beyond: See the section W-2 Form - State Information on page **33**.
- W-2 Form – Excludable Medicaid Waiver Payments section on page **30**.
  - Normally box 16 equals box 1, and that's the default – TaxSlayer fills in box 16 with the amount in box 1. **But that can be wrong.** The most common exception is HSA contributions (Box 12, code W), which *are* taxable by CA (TaxSlayer handles the taxability automatically). For a W-2 with employer HSA contributions, box 16 should equal box 1 plus the amount for code W in box 12. (The paper W-2 may already reflect this, but if it does not, ignore what is on the paper W-2.)
- ***CA process note:*** Box 19 (Local Tax Paid)/box 20 (Local Name): If the paper Form W-2 has entries for CASDI, SDI, VPDI, VP, or VI in these boxes, **do not enter them into boxes 19 and 20 in the TaxSlayer page**. Instead, enter this information into box 14 (see above.)

W-2 Form for a Student

- If a Form W-2 was received for a student (usually for pay as a Teaching Assistant), the entire amount is taxable and cannot be reduced by student-related expenses.

Household Employee Income not on a W-2

- Income for those doing **household work** is reported on Schedule C ONLY WHEN the taxpayer has an independent business doing that type of work.
- Income for **household employees** (such employees are defined in **Pub 926**) must be reported on a Form W-2 by any employer who paid $2,300 or more in 2021; this is entered as a regular W-2.
  - If an employer paying more than $2,300 either fails to provide a Form W-2 or provides the wrong form (a 1099-NEC or a 1099-MISC), the taxpayer must go back to the employer to get the correct form. If the taxpayer is unable to obtain a W-2, then the return **cannot be prepared by Tax-Aide.**
- Income for household employees receiving less than $2,300 for all of 2021 from a specific employer, where no W-2 was issued, is included by TaxSlayer as part of Line 1, Wages, salaries, tips, etc., on Form 1040.
  - Enter the amount on the **Enter Household Employee Income** page [Income > Less Common Income > Other Compensation > Household Employee Income].
  - The total reported can be from multiple employers, as long as each paid less than $2,300 for tax year 2021.
  - If the employer issued an incorrect form (a 1099-NEC or a 1099-MISC), that form should be ignored (again, assuming the amount involved is less than the threshold that requires a W-2).

Work Release or Penal Income

- Income earned while an inmate (even if on work release with a private employer) is not considered earned income for the purposes of EIC, Additional Child Tax Credit, or Dependent Care Credit.
- Such income will have been reported on a W-2 and entered as such. To **exclude** this income from being considered for those credits, enter the wage amount on the **Prisoner Earned Income** page [Income > Less Common Income > Other Compensation.]
  - This is not entering the same income twice – think of it as an overlay of what was entered on the W-2.

Scholarships, Fellowships and Grants – Form 1098-T

- See **page J-1 of Pub 4012** regarding the tax treatment of scholarships and fellowships.
- To the extent that there is reportable income [some or all of any taxable income from scholarships, fellowships, and grants can be offset by qualified expenses], the income is reportable on the tax return of the person receiving the scholarship, even if that person is the dependent of another taxpayer.
  - See **page A-2 of Pub 4012** for filing requirements for dependents.
  - For 2021, if a dependent under the age of 19, or under the age of 24 and a full-time student, has more than $2,200 of unearned income, *including taxable scholarship and fellowship amounts not reported on a W-2,* the dependent's return is subject to the "Kiddie Tax". Because of a federal tax law change, such a tax return is now *in*-scope for Tax-Aide.. [Unearned income includes *all taxable income other than earned income*: taxable interest, pension, and annuity income, etc.] However, a December 2019 law passed by Congress authorized the taxpayer to **elect** to use the old (2017 and earlier method) for 2019 and 2018; if the taxpayer does so, the federal return is again ***out-of-scope***.
    - ***Note:*** Scholarships are ignored when **determining dependency** – they are treated as funds provided by a third party, not the child or the parents.
    - ***CA policy:*** Because California rules do not conform with the federal tax law change for 2018 and after, a dependent's tax return remains ***out-of-scope*** if the $2,200 limit is exceeded, because the state return is still ***out-of-scope***. The taxpayer needs to go to a paid tax preparer or use tax-preparation software to file the dependent's federal and state returns.
- If box 6, "Adjustments to scholarships or grants for a prior year, has an amount in it, the return is ***out-of-scope***.
  - If the scholarship is for a dependent, the parent's return is also ***out-of-scope***.
- For any scholarship, the taxpayer must determine if the scholarship/grant amount on the 1098-T was **greater than** qualified educational expenses that can be used to reduce the taxable amount of the scholarship.
  - The taxable scholarship amount MUST be reduced for tuition, fees, books, and/or equipment **to the extent** that the scholarship is awarded to cover specific expenses.
  - The taxable scholarship amount MAY be reduced for qualified educational expenses **if** the scholarship is not specific; the exact amount is a taxpayer decision, based on what is the best tax result.
    - Beginning with tax year 2018, Form 1098-T shows "qualified tuition and related fees" **paid** to the school during the tax year, not the amount billed. The amount spent for books and equipment must be determined by the taxpayer.
- **Important:** The (net) taxable scholarship amount is reported on the return of the person **receiving** the scholarship, even though educational expenses (if not used as an offset to the scholarship amount) will be reported on the return of the parent, if paid by the parent. So, if the scholarship is for a dependent, any (net) scholarship amount would be reported on the **dependent's return**, not on the taxpayer's return.
- Worksheet 1-1 on **page J-1 of Pub 4012** can be used to determine the taxable portion of a scholarship; this requires asking the taxpayer to determine how the scholarship money was used. However, the Education. Calculator, at **cotaxaide.org/tools/** , is better because it helps optimize what is reported as scholarship income.
- To enter any scholarship amount that is *not* offset by qualified expenses, go to the **Scholarships and Grants** page [Income > Less Common Income > Other Compensation.]
  - ***Note:*** There is a single entry for the taxpayer (and, if MFJ, one for the spouse). If there are multiple scholarships being reported as income for one person, total the scholarships, enter the total in TaxSlayer, and add a note (per page **9**) documenting your calculations.
  - The amount entered on this TaxSlayer page will appear on Line 1 of the 1040.
    - Scholarship income on Line 1 does *not* count as earned income for EIC calculations.
- ***Note:*** Student **loans** are never income. Expenses paid with borrowed funds, such as with student loans, **are** eligible for credit or deduction if the regular requirements are met.

- Also note that borrowed money, when spent, is a type of support, and affects the determination of whether a person can be claimed as a dependent. The person liable for repaying a loan is considered to the person providing the support from that loan.

LINE 2 - TAXABLE AND TAX-EXEMPT INTEREST

Foreign Accounts or Assets

- If, looking at a 1099-INT or similar form, the taxpayer appears to have foreign accounts or foreign financial assets:
  - Discuss with the taxpayer whether the accounts are in fact outside of the U.S. (look at payer information.)
  - If there were one or more foreign accounts, ask the taxpayer what the highest (approximate) value during the year for all accounts, combined was.
    - If the total account value was more than $10,000 at any time during the year, that requires FBAR filing of a FinCen 114 form, which is ***out-of-scope***, making the return ***out-of-scope.***
    - Otherwise, go to the **Did you have interest from a bank in a foreign country?** page [Income > Form 1099-INT / 1099-DIV > ...] and check *only* the first box.
  - If there were one or more foreign accounts, ask whether the taxpayer received a distribution from, or was the grantor of, or transferor to, a foreign trust. If yes:
    - Check the second box.
    - Inform the taxpayer of the requirement to file, *separately from the tax return*, **Form 3520, Annual Return To Report Transactions With Foreign Trusts and Receipt of Certain Foreign Gifts**.
    - Create a note (page 9) that you informed the taxpayer of the requirement to file Form 3520.
      - Form 3520 itself is ***out-of-scope*** – do not assist the taxpayer in completing this form.

Interest Income on Form 1099-INT

- ***Note:*** Mutual funds report their distributions as dividends, on Form 1099-DIV, even if they originate from interest earned on a fund's portfolio.

Note: Form 1099-INT includes a "FATCA filing requirement" checkbox to the left of box 12. If there is an entry in that box, then the return is ***out-of-scope.***

- Go to the **Interest Income** page [Income > Form 1099-INT / 1099-DIV > Interest or Dividend Income > Interest Income, Form 1099-INT, (including interest income < 1,500)]. Each 1099-INT is entered separately.
  - ***Note:*** Institutions that have paid less than $10 in interest during the tax year are not required to issue a 1099-INT. If the taxpayer reports receiving interest of between $0.50 and $9.99, use the **Interest Income** page to record this income, even though there is no 1099-INT.
    - Credit unions refer to payouts on depositor accounts as "dividends," because such payments are not *legally* required, even when rates are publicized in advance. However, for tax purposes, these "dividends" should be treated as interest. If $10 or more, such payments will be reported on a Form 1099-INT.
- Entering information from a Form 1099-INT is described on **pages D-8 through D-10 of Pub 4012**. Additional notes:
  - *If the taxpayer has children, make sure that the SSN on the 1099-INT is not that of a child.*
  - The Payer's Name is required but can be abbreviated.
  - ***CA process note:*** The Payer's TIN and Payer's Address **do not need to be entered**.
  - ***CA process note:*** For MFJ returns, because CA is a community property state there is no need to change the default of "Taxpayer", on the line "Taxpayer, Spouse, or Joint?"
  - The amount entered in box 2, "Early Withdrawal Penalty", is carried to Schedule 1, Line 18.
  - Box 3, "Interest on U.S. Savings Bonds and Treasury obligations": Part of the amount entered in Box 3 is *potentially* excludable from **federal** taxation, if the taxpayer had qualified educational expenses: see **Form 8815, Exclusion of Interest From Series EE and I U.S. Savings Bonds Issued After 1989**. However, Form 8815 is ***out-of-scope*** for Tax-Aide. The return *is* in-scope if the taxpayer is willing to *not* claim any exclusion that might be calculated using Form 8815; otherwise, the taxpayer should use a paid tax preparer, or tax software, to file a return that includes Form 8815.
    - A taxpayer who inherits EE or I savings bonds is treated as the original purchaser for the purpose of taxation on interest from the bonds. (The executor of the estate could have declared as income the interest up to the date of death of the original purchaser, with the estate paying taxes. This is unlikely.)

- ***CA legal note:*** Interest income from U.S. savings bonds, Treasury bonds and other direct obligations backed by the U.S. Government, including federal Land Banks and Federal Home Loan Banks, are not taxed by California. This does **not** include interest from Fannie Mae or Freddie Mac. ***Any amount in box 3 of the Form 1099-INT should also be entered into the box that is labeled "Amount of interest on U.S. Savings Bonds and Treasury Obligations that you want subtracted from your state return."***

o Box 5, "Investment Expenses", cannot, beginning with tax year 2018, be claimed as an itemized deduction on the federal Schedule A. It is part of the category of deductible expenses that were subject to a 2%-of-AGI reduction; the entire category has been eliminated for tax years 2018 through 2025.
- ***Note for CA state returns:*** California conforms to federal Schedule A deductions *as of 2015*, so this expense *is* allowable as a CA itemized deduction, subject to a 2%-of-AGI reduction.
  - **TaxSlayer handles this expense automatically**; the amount entered in Box 5 flows to CA Schedule CA, Part II, line 21. No entry is needed in Schedule A.

o Box 6, "Foreign Tax Withheld": An amount entered here will go to Schedule 3, Line 1, Foreign Tax Credit.
- As discussed on page **90** , if foreign taxes paid total more than $300 ($600 for a joint return), the taxpayer should be informed of his or her options.

o Box 8, "Tax Exempt Interest". TaxSlayer starts with the assumption that **all** interest that is tax exempt on the federal return (the amount entered in box 8) is *also exempt* from state tax. If that is not true, then the amount that *is* taxable by a state must be entered into TaxSlayer – click on "ADD INTEREST ITEMS."
- Generally, the payer will report, in percentages, how much of the exempt income is from various states; those amounts are used to determine how much of the exempt interest income is in fact taxable by a state.
- ***Note for CA state returns:*** Interest and dividends from state and municipal bonds of states other than CA *are* taxable on the CA return. But interest and dividends from U.S. territories such as *Puerto Rico*, Guam, and the U.S. Virgin Islands is treated the same as tax-exempt obligations issued by the state of California and its subdivisions.
  - The general rule is that if 50 percent or more of the assets held by a fund are CA tax-exempt, then only the tax-exempt income that is *not* from those obligations is subject to CA tax; if less than 50 percent is from CA-exempt obligations, then all of the interest that is reported in box 8 **is taxable** by CA.

o Box 9: The private activity bond (PAB) amount entered here flows to Form 6251
- Large amounts of PAB income can trigger the Alternative Minimum Tax, which would make the return ***out-of-*scope,** but this is quite unlikely. The total of PAB income, plus various other (unusual, and mostly out-of-scope) items, would have to exceed the Alternative Minimum Tax (AMT) exemption amount.
  - The amount exempt from regular tax varies by filing status; for 2021, the amount for MFJ is $114,600; for single taxpayers and HoH filers, it is $73,600; and for MFS filers it is $57,300 (half of the MFJ amount.)

o Boxes 10 through 13 ***are*** (generally) in-scope for Tax-Aide, beginning with tax year 2019.
- There are three ***out-of-scope*** situations: (1) the amount in box 11 is greater than the amount in box 1; (2) the amount in box 12 is greater than the amount in box 3, and (3) the amount in box 13 is greater than the amount in box 8.
- If there is an amount in box 13, enter that amount, and then **adjust the amount entered in box 8 –** the amount to be entered into TaxSlayer is the amount in box 8 on the paper 1099-INT, *minus* the amount in box 13 on the paper 1099-INT.
- ***CA policy:*** Some CA split-states and districts **may have** made amounts in these boxes ***out-of-scope.*** If a taxpayer with a 1099-INT has an entry in one of these boxes, check with your LC.

Original Issue Discount (OID) Interest

- On a Form 1099-OID, any amounts in box 6 (Acquisition premium), as well as a checkmark in FATCA filing requirement box (to the left of box 9), are ***out-of-scope***, and make the entire return ***out-of-scope***. Similarly, a return is ***out-of-scope*** if any adjustment is needed based on **Pub 1212, Guide to Original Issue Discount (OID) Instruments**, or if a Form 1099-OID should have been received by the taxpayer but was not.
  - ***CA policy:*** Some CA split-states and districts **may have** made box 5 (Market discount) and box 10 (Bond premium) ***out-of-scope.*** If a taxpayer with a 1099-OID has an entry in either box, check with your LC.
- OID interest is entered on its own TaxSlayer page. Go to the **Form 1099-OID** page [Income > Form 1099-INT / 1099-DIV > Interest or Dividend Income > Original Issue Discount, Form 1099-OID.]

- ***CA process note:*** The Payer's TIN and Payer's Address **do not need to be entered**
- Box 8: An amount here is treated the same way as an amount in box 3 of a Form 1099-INT – see the section immediately above.
  - ***Note:*** If box 8 has a negative amount, this is a deflation adjustment. In this situation, both the form and the return are ***out-of-scope***.
- ***Note for CA state returns:*** Box 9, Investment Expenses, automatically flows to CA Schedule CA, as discussed in the section above (see box 5, there.)
- Box 11: An amount here is treated the same way as an amount in box 8 of a Form 1099-INT – see the section immediately above.

HSA Interest

- CA does not recognize HSA trusts. Interest income earned in such a trust is taxable for CA – see the section Health Savings Accounts in CA, page **115**.

Seller-Financed Mortgages (Schedule B, Line 1a)

- Seller-financed mortgages occur when the taxpayer sells a property and helps the buyer finance the purchase by providing a loan for some or all of the sale price. The payments that the taxpayer (seller) then receives will, in most cases, consist of both interest and principal. Only interest income should be reported in TaxSlayer.
  - Detailed information about such situations can be found in **Pub 537, Installment Sales.**
  - ***Note:*** If the person making the loan (for example, a parent) never owned the property being purchased (in this example, by a son or daughter), then that loan is *not* a seller-financed mortgage, it's just a regular loan, with part of payments being interest and part being to reduce the principal amount of the loan. Only the interest part is reportable, in the same way that other forms of interest are reported, even if there is no Form 1099-INT. (See above for how to report such interest in TaxSlayer.)
- In the year that the sale of the property occurred, *if* the taxpayer had a gain, then the taxpayer (seller) had two choices: (1) report capital gains over the period of the loan, or (2) report all capital gains in the year of the sale, by including the entire sales price when calculating the capital gain or loss on the sale. If the seller chose the first of these – reporting capital gains over a period of time - then the return is ***out-of-scope***.
- *If* the return is in-scope, go to **Schedule B Seller Financed Interest** [Income > Form 1099-INT / 1099-DIV > Interest and Dividend Income >Seller Financed Interest Income.]
  - Enter the requested information.
    - If the Payer's (borrower's) Social Security number is not known, the return **must be paper-filed**; create a note (page **9**) saying that.
  - Click "Continue."

LINE 3 - DIVIDENDS

- Entering information from a Form 1099-DIV is described on **pages D-11 and D-12 of Pub 4012**.
  - ***Warning:*** Form 1099-DIV, and the entire tax return, is ***out-of-scope*** if there are any entries in boxes 2c, 2d, 9, or 10, or if the "FATCA Filing Requirement" box (to the left of box 11) has been checked.
  - ***Note for CA state returns:*** CA does not recognize HSA trusts. Dividend income earned in such a trust is not federally taxed but is taxable for the CA return – see the section Health Savings Accounts in CA, page **115**.
- Go to the **Dividend Income (Form 1099-DIV)** page [Income > Form 1099-INT / 1099-DIV > Interest or Dividend Income > Dividend Income, Form 1099-DIV.]
- The Payer's Name is required but can be abbreviated.
- ***CA process note:*** The Payer's TIN and Payer's Address **do not need to be entered**.
- ***CA process note:*** For MFJ returns, because CA is a community property state there is no need to change the default of "Taxpayer", on the line "Taxpayer, Spouse, or Joint."
- Enter amounts from boxes 1a, 1b, 2a ("Total capital gain distr."), 2b, 3, and 4 into TaxSlayer.
  - ***Note:*** Box 2b, "Unrecaptured Section 1250 Gain", **is** in-scope; ignore any statement to the contrary in Pub 4491.
  - ***Note:*** If there is an amount in box 3, advise the taxpayer that nondividend distributions are a return of investment (principal) and reduce the cost basis of their investments. (Such distributions are non-taxable.)
- Other *in-scope* information that appears on the Form 1099-DIV is entered as follows:
  - Box 5, "Section 199A dividends"
    - Of the amount entered in this box, 20% flows to the Qualified Business Income (QBI) deduction.

- Box 6, "Investment Expenses", cannot, as of January 1, 2018, be used as an itemized deduction on the federal Schedule A. It is part of the category of deductible expenses that were subject to a 2%-of-AGI reduction; the entire category has been eliminated.
  - ***Note for CA state returns:*** California conforms to federal Schedule A deductions *as of 2015*, so this expense *is* allowable as a CA itemized deduction, subject to a 2%-of-AGI reduction.
    - **TaxSlayer handles this expense automatically**; the amount entered in Box 6 flows to CA Schedule CA, Part II, line 21. No entry is needed in Schedule A.
- Box 7, "Foreign Tax Withheld": An amount entered here will be included on Schedule 3, Line 1, Foreign Tax Credit, as discussed on page **90**.
  - *Note:* If the total that flows to Line 1 is greater than $300 ($600 for a MFJ return), there are potential complications – see the discussion on page **90**.
- Box 11, "Exempt Interest Dividends". TaxSlayer starts with the assumption that **all** dividends that are tax exempt on the federal return (the amount entered in box 11) are *also exempt* from state tax. If that is not true, then the amount that *is* taxable by a state must be entered into TaxSlayer – click on "ADD INTEREST ITEMS."
  - Generally, the payer will report, in percentages, how much of the exempt income is from various states; those figures are used to determine how much of the exempt-interest dividend income is in fact taxable by a state.
  - ***Note for CA state returns:*** Interest and dividends from state and municipal bonds of states other than CA *is* taxable for the CA return. But interest and dividends from U.S. territories such as Puerto Rico, Guam, and the U.S. Virgin Islands are treated the same as for tax-exempt obligations issued by the state of California and its subdivisions.
    - The general rule is that if 50 percent or more of the income was from CA-exempt obligations, only the income that is *not* from those obligations is subject to CA tax; if less than 50 percent is from CA, then all of the interest that is reported in box 11 **is taxable** by CA.
    - Determining the amount will require a detailed review of the broker's statement or other documentation for the Form 1099-DIV.
- Box 12: To understand the context of any private activity bond (PAB) amount, see the discussion above regarding box 9 of a Form 1099-INT, on page **35**.
- Box 15: If there is an amount in this box, see the section State Tax Withheld, on page **118**.

Foreign Account or Assets

- If the 1099-DIV appears to be from a foreign source, see the section Foreign Accounts or Assets, on page **35**.

LINES 4 AND 5 - IRA DISTRIBUTIONS & PENSIONS AND ANNUITY INCOME

Distributions from an IRA Account Where Over-Age-70½ Contributions Have Been Made

- On the federal return, a distribution from an IRA account where over-age-70½ contributions have been made is treated no differently that a distribution from an account with no such contributions.***CA policy:*** CA does not conform to federal rules with regard to such contributions (they are not a reduction of income), and accordingly should not treat the related distributions as income, unlike on the federal return. However, it is difficult to impossible to determine the portion of the withdrawal that involves monies that California previously did not allow as a reduction of CA income. Even if adequate taxpayer or IRA custodial records are available, the allocation of the distribution almost certainly involves arbitrary assumptions, and are complicated by trying to account for *earnings or losses inside the IRA account.*Accordingly, it is CA policy that when IRA *withdrawals* are made from an account where contributions were made after age 70 1/2, there will be *no* CA adjustment *(no reduction of income*). 100% of such distributions will be treated as taxable on the CA return.
  - If the taxpayer wants to reduce the CA taxability of such an IRA withdrawal, the return is *out-of-scope* and the taxpayer should be referred to a paid preparer.

Required Minimum Distributions (RMDs)

- If the taxpayer (or, if a MFJ return, the spouse) was at least age 72 by December 31, 2021, and if they had a traditional IRA, then they were normally required to begin taking distributions from that IRA.
  - If the taxpayer or spouse reached that age, and there are no Form 1099-Rs in the documents provided by the taxpayer that involve *distributions*, discuss whether the taxpayer or spouse has any traditional IRA accounts, and if so, their RMD options.
  - If the taxpayer *does* have one or more Form 1099-Rs with *distributions,* discuss if the total distributions meet the total RMD requirements.

- If there is any question as to whether the taxpayer did in fact meet the RMD requirements, see section 5329 Part IX – RMD Not Taken, on page **101**, which includes a discussion of how to determine RMD amounts.

1099-R Forms

- Pensions and annuity income and IRA distributions are reported on three different versions of Form 1099-R:
  - The standard version, entered in TaxSlayer on the **Form 1099-R** page [Income > Form 1099-R / RRB, SSA > Add or Edit a 1099-R]
  - Form CSA 1099-R, issued by the U.S. government, which is a close variant of the standard form, and is entered on the same TaxSlayer page as the regular 1099-R. The differences are discussed in the section Office of Personnel Management (OPM) CSA 1099-R form, on page **47.**
  - Form RRB-1099-R, for railroad retirement pensions. Follow the instructions in the section which discusses that form, on page **47**; this form is entered on a different page than the regular 1099-R.
- Box 7 of the paper Form 1099-R is critical, because certain codes are ***out-of-scope***: code **2** (*if* the "IRA/SEP/SIMPLE" box is checked), code **5**, code **8**, code **9**, code **A**, code **D** (*if* a high-income taxpayer), code **E**, code **J** (*if* any part of the distribution is taxable, which needs to be determined), code **K**, code **N**, code **P**, code **R**, and code **T** (*if* any part of the distribution is taxable, which needs to be determined).
  - Occasionally the code in box 7 is two characters, not one. In such cases, if *either* character is ***out-of-scope***, then the form, and the entire return, is ***out-of-scope***.

1099-R Form - Recipient Name and SSN/ITIN

- For a MFJ return, select whether the recipient is the taxpayer or the spouse.
- If the SSN on the paper Form 1099-R is incorrect, the taxpayer needs to get a corrected form.
- If the SSN field on the paper Form 1099-R is blank, this is not a valid Form 1099-R.
  - ***Warning:*** If the taxpayer has an ITIN and presents a paper Form 1099-R which has an SSN on it, the return **must be paper-filed**. Create a note (page **9**) saying that. (***Note:*** If the paper form has the ITIN for the taxpayer, that's fine – the return can be e-filed.)

1099-R Form – Payer Information

- Payer's ID – enter the EIN.
  - If TaxSlayer has encountered that EIN on another return, **at the same site**, during the **current or prior** year, the name, and address information will automatically be filled in.
    - If this done, compare name and address information to the paper Form 1099-R and make corrections as needed. Several companies use the same EIN for multiple addresses; an EIN match can generate the correct company name but the wrong address.

1099-R Form – Recipient Address

- TaxSlayer automatically uses taxpayer information from the Basic Information section to fill in the Recipient Information section.
- If the TaxSlayer-provided address information does not match the address on the paper Form 1099-R, change the address on the TaxSlayer **1099-R** page to match the address on the paper Form 1099-R.
  - If there is no address on the Form 1099-R, leave the TaxSlayer-provided address as is.

1099-R Form – Distributions from Retirement Accounts

- Form 1099-R is used for two somewhat similar things: distributions from retirement accounts, and pension and annuity payments. Distributions are covered in *this section*; pensions and annuities are covered in a later section, on page **43**.
  - Generally, if a Form 1099-R is for a pension or annuity, then the checkbox "IRA/SEP/SIMPLE" (near the box 7 code), will be checked. However, for Roth distributions, this is not required.
  - Annuities and pensions (discussed later), will have, in box 7, one of the following codes: code **3**, code **4** (also used for distributions), code **6**, code **7** (also used for distributions), code **D**, or code **F**. All other codes are for distributions.
- Box 2a:
  - When an amount is entered in box 1, TaxSlayer automatically uses that to fill box 2a, with a note that the amount in box 2a can be changed.
    - If the amount that TaxSlayer automatically enters in box 2a **does match** the amount in box 2a on the paper Form 1099-R, then continue down the form, dealing with other entries into TaxSlayer.

        - **2021 exception:** The amount in box 2a may be spread across three years (2021, 2022, and 2023) if the taxpayer lives in a federally-declared disaster area for 2021, as listed in the instructions for **Form 8915-F, Qualified Disaster Retirement Plan Distributions and Repayments**. However, this is ***out-of-scope*** for the Tax-Aide program.
    - If the amount that TaxSlayer automatically enters in box 2a **does not match** box 2a on the Form 1099-R, then:
        - If the paper Form 1099-R has a *non-zero* amount in box 2a, enter that amount into TaxSlayer, in box 2a.
        - If box 2a is a zero (not just blank), and in box 2b there is **no** checkmark for "Taxable amount not determined", then the starting presumption should be that none of the distribution is taxable. This needs to be confirmed (focus on the amount in box 5 and the code in box 7, as discussed below); if the amount is not taxable, enter zero into box 2a in TaxSlayer.
        - If 2a is blank, box 2b will normally have a checkmark for "Taxable amount not determined". Use the information below to determine what is taxable.
    - If there is a question about what amount should be in box 2a:
        - Look at box 5, employee contributions. If the box 5 amount is the same as the box 1 amount, then none of the distribution is taxable, so box 2a on the TaxSlayer page should be changed to zero.
        - If box 5 is not helpful, then look at **page D-36 of Pub 4012**, "Taxable Amount Not Determined (Special Circumstances)", and also see the information about the meaning of the code(s) in Box 7, below.
- Checkbox below box 2a [new, 2019]
    - **Some** distributions do not affect the calculations for the Retirement Savings Contribution Credit, which is discussed on page **95**.
        - *Distributions* that are rollovers, or are related to Roth IRAs, or otherwise should not be included – see the list on **page G-17 of Pub 4012**.
        - *Pensions and annuities* where the taxpayer (or spouse, as relevant) *could not have made a voluntary contribution*. Military pensions are one example.
    - For such distributions, *check the "Does not qualify for Form 8880" box* to keep these distributions from affecting Form 8880 calculations.
- Box 5: An amount in this box, *for a distribution*, normally results in box 2a being the difference between box 1 and box 5.
    - If this is a Total Distribution (box 2b will be so checked), then remaining employee contribution may appear in box 5.
    - If box 5 is greater than box 1, the distribution may be from an annuity, and the loss (the difference between box 1 and box 5) may be deducted if itemizing – see the section Schedule A – Other Itemized Deductions (Line 16), starting on page **87**.
- Box 7 code: Take care in entering the code on the Form 1099-R.
    - The IRS **Instructions for Form 1099-R** has a "Guide to Distribution Codes" which is more detailed than the table on **pages D-40 and D-41 of Pub 4012**.
    - If multiple codes are shown (for example, "G4"), enter both codes into TaxSlayer.
        - For issues of *scope*, check each code separately.
            - ***Note:*** According to the AARP Foundation Tax-Aide Scope Manual, three codes - code **6**, code **U**, and code **W** - are in fact fully in-scope, and two codes - code **J** and code **T** - *can* be in-scope under certain circumstances, contrary to what is shown in Pub 4012.
    - Code **6** (tax-free Section 1035 exchange), code **Q** (Roth IRA qualified distribution), and code **W** (payment for a LTC contract) are not taxable; enter a zero in box 2a.
        - For forms with code **W**, do not claim the amount in box 1 as a medical expense on Schedule A, or as medical insurance costs for SEHI deduction, because the distribution is tax-free (box 2a is zero.)
    - Code **J** (early distribution from a Roth IRA) - follow the instructions on **page D-39 of Pub 4012** to determine whether the Form 1099-R is in scope, and if so, how to enter it into TaxSlayer.
    - Code **T** is used for a distribution from a Roth IRA if the participant has reached age 59½, but the 5-year holding period may not have been met. Use the flow chart on **page D-39 of Pub 4012** to determine taxability (if any of the distribution is taxable, the return is ***out-of-scope***).
        - ***Note:*** If, after completing the TaxSlayer page for a 1099-R with code T, TaxSlayer displays the **Form 8606 - Nondeductible IRAs** page, the return is ***out-of-scope***, because Part III needs to be completed, which is ***out-of-scope***.
    - Code **G** and code **H** are direct rollovers - see the section 1099-R Form – Transfer or Rollover on page **42**.

- If code **1** or code **S** is entered into box 7, then after all information has been entered into the TaxSlayer page, and "Continue" or "Save & Enter Another" is clicked, the **Form 1099-R Distribution Penalty** page will appear.
  - For the question "What type of plan did you receive this distribution from", check "Retirement Plan."
  - For the second question, **determine if there is an exception to the penalty for early withdrawal (before the age of 59 ½.)**
    - See the section 1099-R Form – Exceptions to Early Withdrawal Penalties on page **41**, for details on how to determine if the taxpayer can claim an exception to the penalty.
    - **If there is an exception, check the box.** [Ignore the sentence "Not sure if your withdrawal qualifies to be exempt from the penalty?"]
    - Entering the exception code, and the exception amount, must be done *separately*, on the **Form 5329** page, as discussed in the next section. It is best to do that *immediately* after finishing the **Form 1099-R Distribution Penalty** page.
  - Click "Continue" to finish with the penalty page.

- Box 7 checkbox: If the "IRA/SEP/SIMPLE" box is checked:
  - Confirm with the taxpayer the type of IRA (traditional or Roth) and whether it is a Roth conversion.
  - A conversion from a traditional IRA to a Roth IRA requires completion of Part II of Form 8606**.**
  - Distribution from a converted Roth IRA makes the return ***out-of-scope*** if any portion of the distribution is or could be taxable.
    - Note that the 5-year rule applies to each conversion.
- Box 9b
  - If the taxpayer cashed in an annuity, they will have received a Form 1099-R with the amount they received.
  - If the investment (in box 9b; may also be in box 5) is greater than the amount shown in box 1, the net loss can be claimed as a miscellaneous itemized deduction - see Schedule A – Other Itemized Deductions (Line 16) on page **87**.

1099-R Form – Exceptions to Early Withdrawal Penalties

- TaxSlayer automatically assesses an early withdrawal penalty for Form 1099-Rs with code **1** or code **S** in Box 7; these are codes used for a withdrawal prior to age 59½.
  - Do not use the taxpayer's age as of December 31 of the tax year to determine whether a penalty applies; use the taxpayer's actual date of birth, and the actual date of withdrawal to calculate at what age the withdrawal took place.
  - ***Note for CA state returns:*** There is also a 2.5% tax assessed by CA for early withdrawals; this shows on CA Form 3805P and appears on line 63 of Form 540. (California *conforms* to all the federal exceptions to the penalty.)
- Exceptions to the penalty are listed in **Pub 4012, page H-5**.
  - For additional exceptions that apply to annuities, see **Pub 575, Pension and Annuity Income**.
  - Note that exceptions 07 through 09 are only for IRA withdrawals, not withdrawals from other types of qualified retirement plans.
  - For exception 08, qualified higher education expenses can include room and board. See **Pub 590-B, Distributions from Individual Retirement Arrangements**, for details on that and other exceptions.
  - Beginning in 2020, an IRA owner or a participant in a workplace defined contribution plan, such as a 401(k) or 403(b) plan, can withdraw up to $5,000 for the birth or adoption of a child without incurring the usual 10% additional tax on early distributions. Page H-5 of Pub 4012 has details.
  - Funds from a distribution do not have to be explicitly spent on the expenses for which an exception is being claimed, but the distribution and the expenses must be in the same tax year.
    - **Do not** ask the taxpayer on what they spent the distribution. Rather, say "If you had certain types of expenses during the year, we could reduce or eliminate the early withdrawal penalty. Let's review your expenses."
- If there is an exception to the penalty:
  - As discussed in the section immediately above, you should have already viewed the **Form 1099-R. Distribution Penalty** page, and the second box should have been checked.
  - Go to Part I of the **Form 5329** page [Federal Section > Other Taxes > Tax on Early Distribution.]
  - If the return is for a married couple, select whether you are completing this page for the taxpayer or the spouse.

- Enter the amount that is NOT subject to that penalty in the correct box, either SIMPLE [if code S in box 7 of the Form 1099-R] or non-SIMPLE [if code 1.]
  - ***Warning:*** *TaxSlayer performs no error checking on the amount entered.* Make sure the amount entered is correct.
- Select the reason for exemption in the drop-down box.
- Click "Continue".
- On the "other taxes" menu page, click "Print" to create a PDF of the Form 5329, to confirm that line 4 of Part I is the expected amount, which will be zero if all distributions subject to the penalty have an exception.
- ***Note for CA state returns:*** Exception information which is entered in Part I of Form 5329 automatically carries to CA Form 5805P.

1099-R Form – Transfer or Rollover

- A "transfer" is a DIRECT transfer of funds or securities from one qualified account to another. No money passes through the hands of the taxpayer. (This is also called a "direct rollover".) Box 7 will contain code **G** or code **H**.
  - The taxpayer can do this as often as they wish, without penalty.
  - For a code **G** or code **H** transaction, Box 2a in TaxSlayer should be changed to **zero**, which also should be the amount in box 2a of the paper Form 1099-R.
  - In the "Rollover or Disability" section of the **Form 1099-R** page, check the box "Check here if all/part of the distribution was rolled over, and enter the rollover amount". Then, in the dollar amount line, immediately below, enter an amount equal to what is on line 1.
- A "rollover" is a distribution from a qualified account **to the taxpayer**, followed by a deposit of some or all of the distribution to another qualified account.
  - The deposit must occur WITHIN 60 DAYS of the distribution.
  - Because rollovers have the same code in box 7 as regular distributions – specifically, code **1** or code **7** – the only way to know about a rollover is when the taxpayer identifies one.
  - A taxpayer is normally limited to one rollover from an IRA in any 12-month period, regardless of how many accounts there are.
  - Rollovers are handled as follows:
    - Box 2a should be changed to the amount that was retained by the taxpayer, if any.
      - "Retained" includes money withheld as taxes. For example, if the taxpayer withdrew $5,000, had $1,000 withheld in taxes, and deposited $4,000 in a different qualified retirement account (*not* a Roth account), then box 2a should be $1,000.
      - If a taxpayer received a qualified retirement distribution with income tax withheld and then decided to roll over the entire distribution (getting money from another source), then box 2a would be zero.
    - In the "Rollover or Disability" section of **Form 1099-R**, check the box "Check here if all/part of the distribution was rolled over, and enter the rollover amount". Then in the dollar amount line, immediately below, enter the amount that the taxpayer deposited in retirement account. (This amount, plus the amount in box 2a, *must* equal the box 1 amount.)
    - For inherited IRAs, the taxpayer is not allowed to do a rollover unless the IRA was inherited from a spouse.
- **Revenue Procedure 2016-47** explains a self-certification procedure designed to help recipients of retirement plan distributions who inadvertently miss the 60-day time limit for properly rolling these amounts into another retirement plan or IRA. Eligible taxpayers can qualify for a waiver of the 60-day time limit and avoid possible taxes and penalties on early distributions if they meet certain circumstances. Taxpayers who missed the time limit will now ordinarily qualify for a waiver if one or more of 11 circumstances, listed in section 3.02 of the revenue procedure, apply. (More information is in the IRS document "**Retirement Plans FAQs relating to Waivers of the 60-Day Rollover Requirement**".)

1099-R Form - Qualified Charitable Distribution

- The taxpayer may have made one or more Qualified Charitable Distributions (QCD.)
  - This involves the taxpayer directing a payment to go **directly** to a charity. Such a payment (distribution) is non-taxable, but the taxpayer does not get a charitable deduction.
    - The taxpayer should have written documentation, should the IRS request more information.

  - The taxpayer must have been at least 70½ when the donation was made; the maximum dollar amount in any single year is $100,000.
- For such cases:
  - In box 2a, enter the total amount that the taxpayer received from the retirement account – the amount that was **not** charitable gifts. (This amount will normally be zero if all distributions went to charities.)
    - However, QCD distributions *are* taxable to the extent that the taxpayer made contributions to a traditional IRA after age 70½. So, for example, if the payment to the charity was $10,000, but the taxpayer, age 71, contributed $2,000 to a traditional IRA, then box 2a in TaxSlayer should be $2,000.
  - Enter the rest of the 1099-R information as normal; click "Continue". At the warning screen, click "Continue". Click "Continue" again to go to the **IRA/Pension Distributions** menu page. Select "Nontaxable Distributions". Select the first checkbox, the QCD exception. Click "Continue."
    - ***Note:*** **The 1099-R Nontaxable Income** page does not code or mark any specific 1099-R as being a QCD distribution; rather, it sends information to the IRS that *one or more* 1099-Rs involved a QCD.

1099-R Form – Pensions and Annuities

- As mentioned above, Form 1099-R is used for two somewhat similar things: distributions from qualified retirement accounts, and pensions and annuities. Distributions are covered in the section 1099-R Form – Distributions from Retirement Accounts, on page **39**.
  - Generally, if a Form 1099-R is for a pension or annuity, then the checkbox "IRA/SEP/SIMPLE" (near the box 7 code) will **not** be checked. However, for Roth distributions, checking the box is not required.
  - Annuities and pensions will have, in box 7, one of the following codes: code **3**, code **4** (also used for distributions), code **6**, code **7** (also used for distributions), code **D**, or code **F**.
    - For code **F,** see the information for Box 3, below.
  - The U.S. government issues Form CSA 1099-R for federal pensions. This is a close variant of the standard Form 1099-R; the differences are noted in the section Office of Personnel Management (OPM) CSA 1099-R form, on page **47**.
  - Form RRB-1099-R is for railroad retirement pensions; follow the instructions in the section which discusses that form, on page **47**.
- Box 2a: With pensions and annuities, the main issue is determining the correct amount to enter into box 2a. TaxSlayer's default is to enter the same amount in box 2a as in box 1, but that is simply the default – it's often incorrect.
  - If box 2a in TaxSlayer matches box 2a on the paper Form 1099-R, then continue by entering other information from the paper Form 1099-R.
  - The most common reason to adjust the box 2a amount is because the taxpayer has contributed to a pension plan or annuity with after-tax dollars. If so, when receiving payments, the portion that represents the taxpayer's contribution is *not* taxable. That portion often, but not always, is in box 5; treat box 5 as a *clue* the amount entered into box 2a might not be the same as the amount in box 1.
  - The total amount of after-tax dollars that the taxpayer has contributed is shown in box 9b of the paper Form 1099-R.
    - If the paper Form 1099-R has a non-zero amount in box 2a, that amount should be entered in box 2a in TaxSlayer.
    - If box 2a is blank on the paper form, then box 2b will normally have a checkmark for "Taxable amount not determined". Use the information below to determine what is taxable; normally this involves using the Simplified Method, as discussed in the next section. (Sometimes box 2a will say "Unknown".)
    - If box 2a is zero, this may be survivor benefits for a public service officer – see the section 1099-R Form – Public Safety Officer (PSO) Exceptions, on page **45**.
- Box 3: This box is used for reporting a capital gain related to a Charitable Gift Annuity (Code **F** in box 7.)
  - An amount in box 3 affects the amount that should be entered into box 2a in TaxSlayer.
    - For 1099-Rs that are Code F, the amount entered into box 2a in TaxSlayer should be box 1 (total income) minus box 3 (capital gain) minus box 5 (tax-free portion). *Ignore any amount shown in box 2a of the paper Form 1099-R.*
    - Boxes 3 and 5 of the paper Form 1099-R should be entered into TaxSlayer as they appear on the paper form. *The box 3 amount must be entered again, elsewhere – see the next item.*
  - Manually enter the capital gain portion (the amount in box 3) – go to the **Capital Gains Transaction** page [Income > Schedule D (Form 1040) > Capital Gains and Loss Items.]
    - The description is **FROM 1099-R**.

- For the date acquired, use the Alternate Option, and select "Various – Long Term".
- For the date sold, enter a date for the current tax year.
- Sales price is the amount in box 3 of the Form 1099-R.
- The cost basis is "Did not receive Form 1099-B."
- The cost is zero.
- Click "Continue."

o ***Note:*** This capital gains amount will show on a Form 8949, in the print packet, as code is **F** (long-term, not reported on a Form 1099-B).

- Box 5: If there is an amount in box 5 of the paper Form 1099-R, enter that amount into TaxSlayer page.
  - o If the payer has calculated, in box 2a, a taxable amount of the pension or annuity, then generally the difference between boxes 1 and 2a will appear in box 5 of the paper form. (If there is an amount in box 3, see the instructions above for box 3, which govern in this case.)
  - o For Form CSA 1099-R from the Office of Personnel Management, see page **47**.
  - o If box 2a is blank, and there is an amount in Box 5, and box 7 is ***not*** Code F, and "Taxable amount not determined" has been checked on the Form 1099-R, then the Simplified Worksheet section must be completed – see the next section.
- Box 7:
  - o If multiple codes are shown (for example, "4G"), enter both codes.
  - o If there is **code 3** in box 7, determine if the taxpayer is (still) less than the minimum retirement age for the company paying the pension or annuity. [Details: **Pub 907, Tax Highlights for Persons With Disabilities**]
    - If so, then in the "Rollover or Disability" section of the page, check the box "Check here to report on Form 1040, Line 1". That will place the pension on that line on Form 1040, as wages, making the taxpayer eligible for EIC and other credits, because the IRS considers such payments to be *earned income*.
      - If the box is checked, *do not* use the Simplified Method to determine the taxable portion of the pension. The entire pension is taxable, except for a possible PSO exception, as discussed on page **45**.
    - Minimum retirement ages for federal employees can be found in **Pub 721, Tax Guide to U.S. Civil Service Retirement Benefits**.
    - ***CA process note:*** Minimum retirement ages for **CALSTRS** and **CALPERS** annuitants are available on their respective websites.
    - For other employers, if the taxpayer does not know the minimum retirement age, *we generally cannot complete the return*. Ask the taxpayer to find out this information, and then return.
    - ***Note for CA state returns:*** Disability income paid on a 1099-R, if the taxpayer is below retirement age, **is** to be counted as California earned income. **TaxSlayer does currently does not handle this correctly.**
      - Go into the CA state section, select "Credits", then "CA Earned Income Credit (Form 3514)", and enter the amount of the taxable disability income (box 2a of the 1099-R) into the first dollar amount field on this page. That will flow the income to line 13 of CA Form 3514.
    - ***Note:*** A taxpayer who retired on **permanent and total disability**, had taxable disability income, AND was under the minimum retirement age as of December 31 of the tax year, may be eligible for the Credit for the Elderly and Disabled, as discussed on page **96**.
- Box 9b is the total employee contributions to the plan; enter the amount, if any, into TaxSlayer.

1099-R Form - Simplified Method

- ***Note:*** The Simplified Method cannot be used for Code "D" or other Non-Qualified Plan distributions.
- If the employee made after-tax contributions toward a retirement plan, a portion of pension payments from that retirement payment probably is not taxable.
  - o If a taxpayer is receiving a disability pension (Box 7 has **code 3**, disability), and is below the minimum retirement age, then the entire amount of the pension is taxable.
    - Determination of minimum retirement age can be found at the "Box 7" paragraph of the section 1099-R Form – Pensions and Annuities1099-R Form – Pensions and Annuities, which begins on page **43.**
  - o If the starting date of the payments was **prior to July 1, 1986,** and there is no entry in Form 1099-R box 2a, then it's impossible to **calculate** the amount that can be excluded. Part or all of the taxpayer's contribution could have been recovered under the "Three Year Rule" that was in effect prior to July 1, 1986.

        - The taxpayer should have established, beginning in 1987, a monthly amount that was to be excluded from taxation. That amount – which could have been zero - *continues* indefinitely as long as the pension is being paid.
            - This information must come from the taxpayer. If the taxpayer doesn't know the monthly amount, then the entire amount in box 1 should be treated as taxable.
- To do the calculation to determine the amount of the pension payment that can be excluded, six things are needed:
    - The gross amount for the year (box 1 of the paper Form 1099-R, box 7 of the RRB-1099-R)
    - Total employee contributions [TaxSlayer calls this "Plan cost at annuity start date"]
    - The annuity start date
        - This is the date that the first payment was received. The payment might have been to a deceased spouse if that spouse was the annuitant.
    - The birthdate of the annuitant (the person to whom the pension was first paid)
        - Again, this might be the birthdate of the deceased spouse.
    - *If* this is a joint or survivor annuity, the birthdate of the spouse
        - If the annuitant died before receiving the first payment, do *not* treat as a joint or survivor annuity.
    - The number of months of payments in the current tax year [normally 12]
- If the annuity start date is after June 30, 1986, and Form 1099-R box 2a is blank, and there is a total employee contribution amount in box 9b, then using the Annuity Calculator at **cotaxaide.org/tools/** is recommended to calculate the amount to enter in box 2a.
    - The taxpayer's name should be entered at the top of this calculator, because the page should be printed for the taxpayer's records.
    - The spouse's birthday is entered only if this is a joint or survivor annuity.
    - After clicking "Clicking here to Calculate", the Annuity Calculator will display two boxes immediately below the section where information was entered. At this point, there is a choice:
        - Take the amount in the left box and enter it directly into box 2a of the **1099-R** page.
        - Use the information in the right box to enter information into the **Simplified General Rule Worksheet**, which is reached by clicking the link just below box 2a on the **1099-R** page, then clicking continue.
    - Click "Print the table" to document the calculations and give the printed copy to the taxpayer to put in their records for the tax year.
- TaxSlayer's **Simplified General Rule Worksheet** is an alternative for calculating the amount for box 2a., or you can use it only to record information from the Annuity Calculator, as discussed in the paragraph immediately above.
    - The TaxSlayer worksheet is more difficult to understand than the Annuity Calculator, and if used is more likely to give an incorrect answer. It also does not provide the additional information that the Annuity Calculator will display for less common situations – for example, that if a pension began prior to 1998, then the simplified method does *not* use combined ages to calculate the amount to exclude from taxation.
    - ***Note:*** The Simplified Method Worksheet" is a Carryforward item. Once it is filled out, either directly or by copying information from the Bogart Annuity Calculator, then there will be less work in future years.
- ***Note for CA state returns:*** If the annuity start date was after 7/1/1986 and before 1/1/1987, the 3-year rule could have been used for CA - even though it was not allowed for federal.
    - If so, make an adjustment in the State Section. Enter, as described in the section Manually Entering Income Differences on CA Schedule CA, on page **110**, an increase in taxable income of an amount equal to the federal simplified method basis recovered.

1099-R Form – Public Safety Officer (PSO) Exceptions

- The PSO category includes a law enforcement officer, firefighter, chaplain, or member of a rescue squad or ambulance crew.
- Health insurance or LTC premiums exception
    - Confirm that the taxpayer was a PSO **before** retirement. If this condition is met, then the amount in box 2a can be reduced by up to $3,000, based on the health and/or LTC insurance paid from the retirement plan.
    - The health/LTC amount may be in box 5 of the Form 1099-R [for a CSA 1099-R, this is always the case], or in a letter from the plan, or in another document showing pension information.
        - Do not include this amount on Schedule A as a medical deduction.

        - But: if the amount on the Form 1099-R exceeds $3,000, the excess may be included as an itemized deduction.
    - How the reduction in the box 2a amount is made depends:
        - If the paper Form 1099-R has a dollar amount in box 2a, then subtract the health/LTC amount (again, to a maximum of $3,000), and enter the adjusted amount in box 2a on the TaxSlayer page.
        - If the amount in box 2a is being calculated using the simplified method, as discussed on page **44**, then, in the Annuity Calculator at **cotaxaide.org/tools/**, check the box at the top, just below the taxpayer name, and then enter the health/LTC amount on the line "Cost of insurance to exclude."
    - Enter the rest of the 1099-R information as normal; click "Continue". At the warning screen, click "Continue". Click "Continue" again to go to the **IRA/Pension Distributions** menu page. Select "Nontaxable Distributions". Select the third checkbox, the PSO exception. Click "Continue".
        - ***Note:*** **The 1099-R Nontaxable Income** page does not code or mark any specific 1099-R as involving the PSO exception; rather, it sends information to the IRS that *one or more* 1099-Rs involved this exception.
    - Create a note (per page **9**) that "Pension has PSO exclusion for health care."
    - ***Note:*** The insurance costs that are used to determine the PSO exclusion *cannot be used* for the Self-Employed Health Insurance (SEHI) adjustment; that would be double counting.
- Survivor Benefits Exclusion
    - Survivor benefits attributable to service by a public safety officer who was killed in the line of duty before January 1, 1997, are excludable from federal income tax.
        - The taxpayer may receive a Form 1099-R with -0- taxable in box 2a.
    - ***Note for CA state returns:*** CA does not conform to this provision and all benefits received are taxable.
        - Manually enter the adjustment amount as described in the section Manually Entering Income Differences on CA Schedule CA on page **110**.

Form 8915-E and Form 8915-F – Distribution Spread Over Multiple Years, and Repayments . .

- The CARES Act of 2020 allowed taking an IRA distribution in 2020 but spreading it as income across three years (2020, 2021, and 2022). In addition, the taxpayer could reduce taxable income by recontributing (paying back) all or part of the taxable distribution.
    - If the taxpayer chose to spread the distribution, (a) one-third of the 2020 distribution is taxable on the tax year 2021 return; and (b) there will be a Form 8915-**E** included with the 2020 tax return. Information on that form is used for filing out Form 8915-**F** for tax year 2021; Form 8915-F places the 2021 taxable amount on Form 1040, Line 4b.
        - If Carryforward from 2020 is available, TaxSlayer will use Form 8915-E information to fill in Form 8915-F.
- Form 8915-F is the fifth item on the federal **Income** menu.
    - In the "IRA Distributions" section of the **Deferred Retirement Income Due to Disaster Relief** page, the first entry is from line 17 of Form 8915-E (one-third of the total 2020 distribution); the second entry is from line 18 (normally blank); the third is repayments made between the filing of the 2020 tax return and the filing of the 2021 tax return (typically zero; there is little reason why a taxpayer would repay such a distribution)
    - The "Non-IRA Distributions" section of the TaxSlayer is similarly filled out, except the amounts are from lines 9 and 10 of Form 8915-E.

1099-R Form - State Section

- Entering state information is **not** required if there is no CA tax withholding in box 12.
    - If there is CA tax withholding in box 12, enter the state ("CA"), state ID, and state distribution amount [see next paragraph.]
        - Do not enter any dashes or blanks.
        - The state ID number is NOT the same as the federal ID number. If the State ID is blank on the paper Form 1099-R, enter six nines (999999) into TaxSlayer.
- For the state distribution amount (box 14):
    - If this is blank on the paper Form 1099-R, it is presumed to be the same as the federal taxable amount (box 2a).
        - ***Warning:*** If CA withholding, box 12, is greater than box 2a, taxable amount, **and box 14 is blank** on the paper form, *enter, in box 14, the CA tax withholding amount, because TaxSlayer will not allow the*

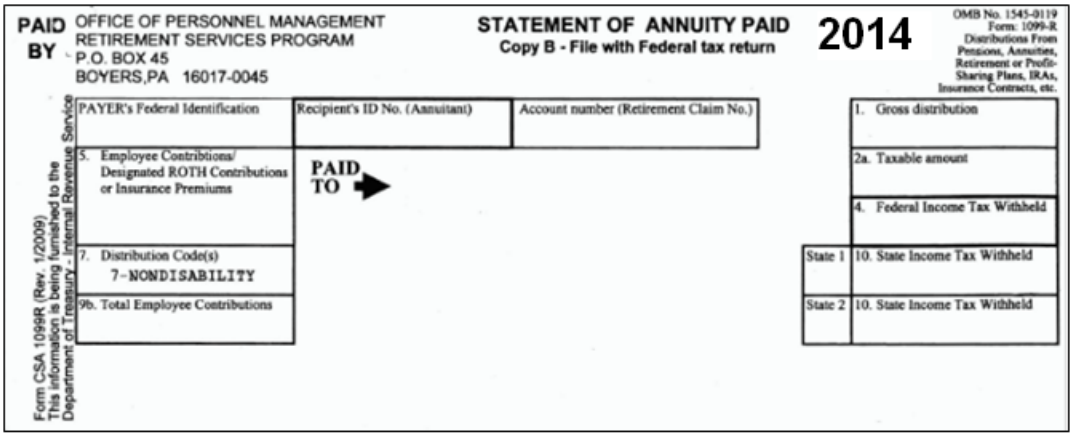
amount in box 12 to exceed the amount in box 14. (Entering the CA withholding amount in box 14 will **not** affect the taxable income amount on CA Form 540.)

- IF there is a dollar amount in box 14 of the paper Form 1099-R which is **different** than the federal amount in box 2a, enter the state distribution amount from the paper Form 1099-R into box 14.
  - ***Note for CA state returns:*** TaxSlayer does not automatically carry the difference in the distribution amount to CA Schedule CA, Part I, Section A, line 4 or line 5. **Manually** enter the adjustment amount as described in the section Manually Entering Income Differences on CA Schedule CA on page **110**.

- ***Note for CA state returns:*** CA follows the federal rules for taxability for all CA residents for employer plan distributions.
  - See the section IRA Basis Difference, page **112**, if the taxpayer made contributions that were not deductible.

Office of Personnel Management (OPM) CSA 1099-R form

- The OPM reports annuity payments using the CSA 1099-R form, which places information in a different sequence.


PAID BY OFFICE OF PERSONNEL MANAGEMENT
RETIREMENT SERVICES PROGRAM
P.O. BOX 45
BOYERS,PA 16017-0045

STATEMENT OF ANNUITY PAID
Copy B - File with Federal tax return

2014

OMB No. 1545-0119
Form: 1099-R
Distributions From Pensions, Annuities, Retirement or Profit-Sharing Plans, IRAs, Insurance Contracts, etc.

PAYER's Federal Identification | Recipient's ID No. (Annuitant) | Account number (Retirement Claim No.)

5. Employee Contributions/ Designated ROTH Contributions or Insurance Premiums

PAID TO

7. Distribution Code(s) 7-NONDISABILITY

9b. Total Employee Contributions

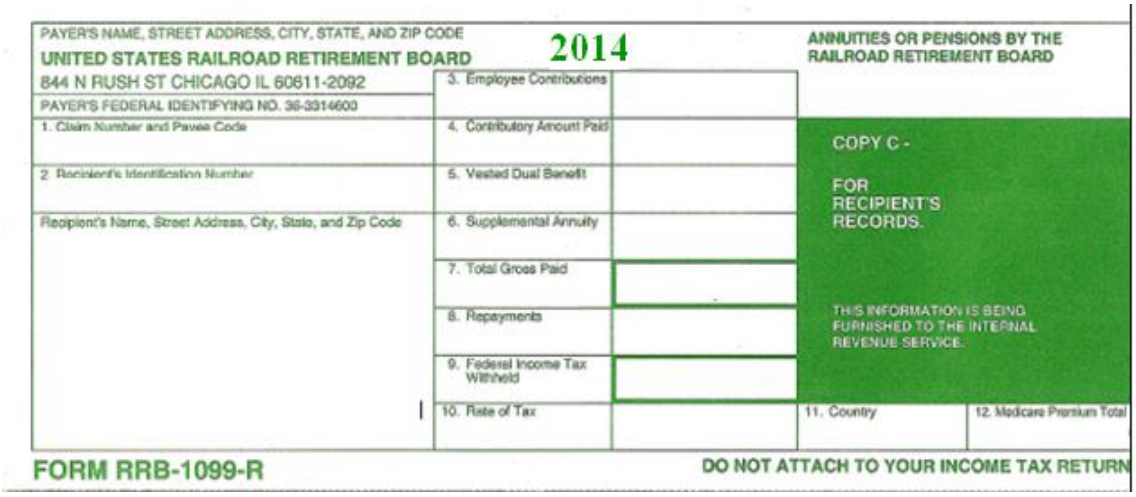
1. Gross distribution
2a. Taxable amount
4. Federal Income Tax Withheld
State 1 | 10. State Income Tax Withheld
State 2 | 10. State Income Tax Withheld

Form CSA 1099R (Rev. 1/2009)
This information is being furnished to the Department of Treasury - Internal Revenue Service

- Box 2a – if the annuity starting date is after July 1, 1986, but before November 19, 1996, the taxable amount box may show "unknown."
  - In this case complete the simplified method worksheet as detailed above.
- Box 5 on this form is the health insurance premiums that are deductible as medical on *A Detail*; the amount will include only premiums for FEHB/FEP and Medicare Part B and/or Part D:
  - If the retiree is having dental, vision, or LTC insurance premiums deducted, **they will not be included in box 5.** The only way to see these other premiums is to see the taxpayer's Form RI 38-38, Notice of Annuity Adjustment. Codes are on the back of the form:
    - 42 is Federal Dental Insurance.
    - 43 is Federal Vision insurance.
    - 45 is a catchall that includes LTC.
- Voluntary Contributions - If the taxpayer is receiving additional payments resulting from voluntary contributions to the retirement fund, the additional portion of the annuity due to the voluntary contributions must be reported separately for tax purposes and is shown at the bottom of the Form 1099-R statement.
  - Federal employees who entered service **after 1987** were enrolled in the newer Federal Employee Retirement System (FERS), which does not allow voluntary retirement contributions. Federal retirees who retire under FERS can receive the Retirement Saving Credit while drawing their civil service retirement, if they have earned income, make contributions to a qualified retirement account, and meet other requirements for this credit. **For such employees, check the "Does not qualify for Form 8880" box**, which is below line 2a of the 1099-R entry page, to prevent the retirement pay from negatively impacting this credit.
- If additional information is needed, see **Pub 721, Tax Guide to U.S. Civil Service Retirement Benefits**

RRB-1099-R – Green Form/"Non-Social Security and Tier 2"

- Railroad retirement pay is treated as a pension or annuity on the federal tax return, per **Pub 575, Pension and Annuity Income**.
  - ***Note for CA state returns:*** This income is not taxed by California. TaxSlayer automatically makes the adjustment on CA Schedule CA, Part I, Section A, line 5.



PAYER'S NAME, STREET ADDRESS, CITY, STATE, AND ZIP CODE
UNITED STATES RAILROAD RETIREMENT BOARD
844 N RUSH ST CHICAGO IL 60611-2092
PAYER'S FEDERAL IDENTIFYING NO. 36-3314600
1. Claim Number and Payee Code
2. Recipient's Identification Number
Recipient's Name, Street Address, City, State, and Zip Code
2014
3. Employee Contributions
4. Contributory Amount Paid
5. Vested Dual Benefit
6. Supplemental Annuity
7. Total Gross Paid
8. Repayments
9. Federal Income Tax Withheld
10. Rate of Tax
11. Country
12. Medicare Premium Total
ANNUITIES OR PENSIONS BY THE RAILROAD RETIREMENT BOARD
COPY C - FOR RECIPIENT'S RECORDS.
THIS INFORMATION IS BEING FURNISHED TO THE INTERNAL REVENUE SERVICE.
FORM RRB-1099-R
DO NOT ATTACH TO YOUR INCOME TAX RETURN

- TaxSlayer has a separate page, **RRB-1099-R**, to enter railroad retirement pay. [Income > Form 1099-R / RRB, SSA > RRB-1099-R]. Boxes 3, 7, and 9 are self-explanatory. For the rest of the page:
  - The Payer's ID should be 36-3314600, on the paper Form RRB-1099-R.
  - For MFJ returns, specify whether the taxpayer or spouse is the recipient.
  - If the recipient address in TaxSlayer doesn't match the address on the paper Form RRB-1099-R, change the TaxSlayer information to match.
  - For box 7a, Taxable Amount, the simplified method must be used when box 3 has an amount in it. How to do so is discussed in the section 1099-R Form - Simplified Method, on page 44.
  - For box 12, if there is an amount on the paper Form RRB-1099-R, this can be used as a medical deduction, if the taxpayer is itemizing – see the section Schedule A - Medical and Dental Expenses (Line 1), on page 77.
  - On the bottom right of the TaxSlayer page is a checkbox, "Check here to report on Form 1040, Line 1." Check that box **only** if the recipient is disabled and is below the minimum retirement age as of December 31 of the tax year.

Foreign Government Pensions

- Foreign government pensions, except for Canadian and German Social Security (see the section Canadian or German Social Security, page 51), make the return ***out-of-scope***.
- A Canadian Registered Retirement Savings Plan (RRSP), which is similar to an IRA, makes the return ***out-of-scope***.

LINE 6 - SOCIAL SECURITY AND RAILROAD RETIREMENT BENEFITS

- Up to 85% of Social Security benefits may be taxed on the federal return.
  - Computationally, if AGI plus any tax-exempt income plus one-half of Social Security benefits is less than $25,000 ($32,000 for MFJ), **none** of the Social Security benefits will be subject to tax. Nevertheless, all *potentially* taxable Social Security benefits must be entered into TaxSlayer when a return is being prepared.
- Social Security benefits, listed on a Form SSA-1099, and Railroad tier 1 benefits, listed on a Form RRB-1099 ("blue form", see below), are treated similarly on the federal tax return. Unless otherwise specified, the term "Social Security benefits" in this section refers to *both*.
  - Social Security Disability Insurance (SSDI) benefits are treated, for tax purposes, as regular Social Security benefits. A Form SSA-1099 is issued for SSDI.
  - Taxpayers can get a copy of any missing SSA-1099 from their local Social Security office, or by calling 1-800-772-1213.
- Other benefits paid by the Social Security Administration are treated differently:
  - Benefits received by children of a deceased taxpayer are NOT taxable on a parent's return.
  - Social Security death benefits (a maximum of $255) received by the spouse or children of a deceased taxpayer are NOT taxable.
  - Supplemental Security Income (SSI) benefits are NOT taxable and the taxpayer should not have received an SSA-1099 for such benefits.

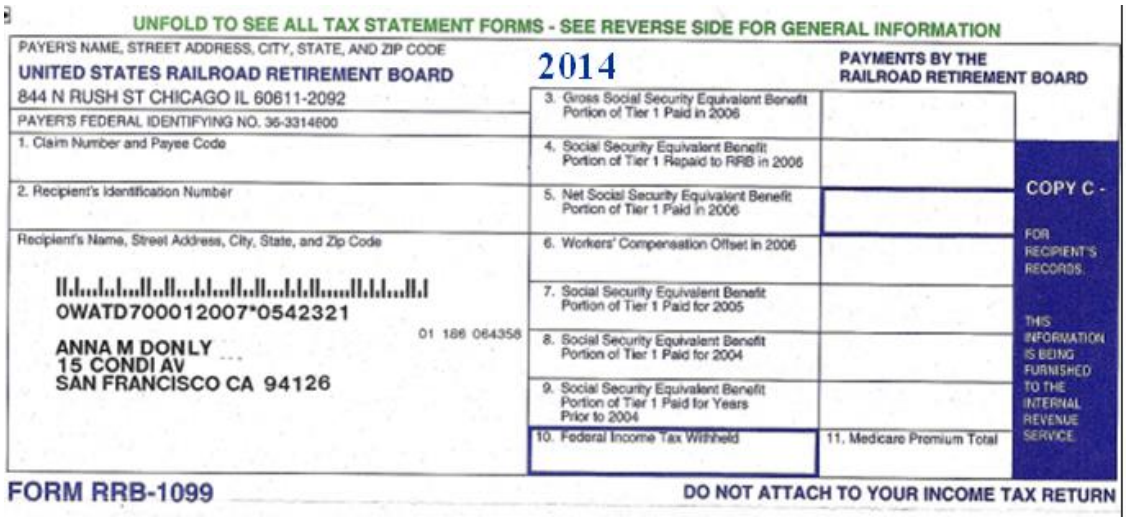
- Social Security benefits received by the taxpayer during the tax year are entered on the **Social Security SSA-1099/RRB-1099 Tier I** page [Income > Form 1099-R / RRB, SSA > Social Security Benefits/RRB-1099.]
  - Information for both the taxpayer and spouse are entered on the same page.
  - Enter the amount in box 5 of the SSA-1099 and box 5 of the RRB-1099 (blue form) on the line "Taxpayer's Social Security Benefit."
    - If there is more than one paper form for a person for the same year, combine amounts on all paper forms to see if the amount is positive or negative. If **positive** (which is normal), enter the *total*; if negative, see below.
      - A typical situation where a taxpayer has **two** SSA-1099s is when the taxpayer got Social Security benefits based on his or her own earnings for part of the year, and got benefits based on spousal or survivor earnings for the other part of the year. In such a case, box 8 will **not** be the same on the two forms.
  - TaxSlayer will calculate automatically, and place the taxable amount, if any, on Line 6b of Form 1040.
- Negative amount: If the amount in box 5 of a paper form (or the total for all forms, if the taxpayer or spouse had multiple SSA-1099s or RRB-1099s) is **negative** for a person (taxpayer or spouse), the procedure depends on the amount:
  - ***Note for CA state returns:*** If the amount is $3,000 or less, it is subject to the 2%-of-AGI threshold. That excludes it from the federal return (beginning with tax year 2018), but it still is potentially usable for the CA itemized deduction. If the taxpayer is or might be itemizing on the CA return, then enter the amount on the **Schedule A - Miscellaneous Deductions** page [Deductions > Itemized Deductions > Miscellaneous Deductions] at the bottom (click on "ADD ADDITIONAL".)
  - If the amount is over $3,000, the amount is not subject to the 2%-of-AGI threshold and should be entered in the federal return: on the **Schedule A - Miscellaneous Deductions** page, use the "Repayment under claim of right" box. ***But the taxpayer has the option*** of taking a credit on Schedule 3, Line 13d. Since TaxSlayer software lacks this functionality, if it appears that the taxpayer would benefit significantly from taking this credit, the taxpayer should be referred to a paid preparer. (For calculations, see the section "Repayments More Than Gross Benefits" in **Pub 915, Social Security and Equivalent Railroad Retirement Benefits**.)
- Enter any federal tax withheld (box 6 of the SSA-1099, box 10 of the RRB-1099) on the appropriate line.
  - Be careful not to enter Medicare payments on the line for federal tax withheld. (The vast majority of taxpayers do not have taxes withheld from the Social Security benefits, so this line is normally left blank.)
- Medicare premiums paid that are listed on the SSA-1099 or Form RRB-1099 should be entered in one of two places:
  - Enter Medicare premium costs on the **Social Security SSA-1099/RRB-1099 Tier I** page if **(a)** the return doesn't have any self-employment income (Schedule Cs), or **(b)** the taxpayer's total medical expenses exceed the 7.5%-of-AGI threshold, and the taxpayer is itemizing.
    - Medicare premium costs entered on **Social Security SSA-1099/RRB-1099 Tier I** page automatically flow to Schedule A, as medical costs. *Do not* reenter on Schedule A.
    - If a paper form lists more than one Medicare premium, and premiums are *not* being entered in Schedule C, then total all premiums and enter the total into TaxSlayer.
      - When there are multiple premiums on a paper Form SSA-1099, it is helpful for the preparer to mark what dollar amounts were totaled, and write in the total, on the paper Form SSA-1099, for the benefit of the quality reviewer.
    - Also enter on the **Social Security SSA-1099/RRB-1099 Tier I** page, as discussed above, any amount that that is in a third situation, **(c)** any Medicare premiums paid during a month where the taxpayer could participate in an employer-subsidized health plan, whether or not the taxpayer did participate.
  - If neither (a) nor (b) is true, and to the extent that (c) is not true, Medicare premiums paid should be entered in TaxSlayer on **Schedule C**, as discussed on page **71**, because some or all of those costs might be used for the Self-Employed Health Insurance (SEHI) adjustment on Schedule 1, Line 16.
- Attorney fees listed on a Form SSA-1099 do not affect Line 6a or 6b.
  - Beginning with tax year 2018, attorney fees are no longer allowable as a deduction on the federal Schedule A; all deductions subject to the 2%-of-AGI reduction have been eliminated.
    - ***Note for CA state returns:*** A portion of attorney fees **is allowable** as a CA itemized deduction, subject to the 2%-of-AGI reduction. The portion is based on what percentage of the amount in box 5 of Form SSA-1099 is taxable – for example, if 70 percent of the amount is federally taxable, then 70 percent of attorney fees can be put on CA Schedule A. TaxSlayer handles such "no longer valid for federal, but

possibly valid for states" expenses by continuing to have them **manually** entered in the federal itemization section. For details, see page 87.

- ***Note for CA state returns:*** Neither Social Security benefits nor Railroad tier 1 benefits are taxed by California. TaxSlayer makes the adjustment automatically on CA Schedule CA, Part I, Section A, line 6.

RRB-1099 – Blue Form/"Tier 1 Social Security equivalent"

Amounts on the RRB-1099	Enter in TaxSlayer on Social Security SSA-1099 page
Box 5	Equivalent to Social Security payments, for taxpayer or spouse
Box 10	Federal tax withheld for taxpayer or spouse
Box 11	Medicare total for taxpayer or spouse; TaxSlayer carries to Schedule A


UNFOLD TO SEE ALL TAX STATEMENT FORMS - SEE REVERSE SIDE FOR GENERAL INFORMATION

PAYER'S NAME, STREET ADDRESS, CITY, STATE, AND ZIP CODE
UNITED STATES RAILROAD RETIREMENT BOARD
844 N RUSH ST CHICAGO IL 60611-2092
PAYER'S FEDERAL IDENTIFYING NO. 36-3314600
1. Claim Number and Payee Code
2. Recipient's Identification Number
Recipient's Name, Street Address, City, State, and Zip Code
0WATD700012007*0542321
01 186 064358
ANNA M DONLY
15 CONDI AV
SAN FRANCISCO CA 94126

2014

PAYMENTS BY THE RAILROAD RETIREMENT BOARD

3. Gross Social Security Equivalent Benefit Portion of Tier 1 Paid in 2006
4. Social Security Equivalent Benefit Portion of Tier 1 Repaid to RRB in 2006
5. Net Social Security Equivalent Benefit Portion of Tier 1 Paid in 2006
6. Workers' Compensation Offset in 2006
7. Social Security Equivalent Benefit Portion of Tier 1 Paid for 2005
8. Social Security Equivalent Benefit Portion of Tier 1 Paid for 2004
9. Social Security Equivalent Benefit Portion of Tier 1 Paid for Years Prior to 2004
10. Federal Income Tax Withheld
11. Medicare Premium Total

COPY C - FOR RECIPIENT'S RECORDS

THIS INFORMATION IS BEING FURNISHED TO THE INTERNAL REVENUE SERVICE.

FORM RRB-1099 DO NOT ATTACH TO YOUR INCOME TAX RETURN

Lump Sum Payments of Social Security

- When some of the Social Security payments received in the current year are attributable to one or more prior year, that information will be stated in the section "DESCRIPTION OF AMOUNT IN BOX 3" on Form SSA-1099. In this situation, TaxSlayer can do an alternate calculation of the amount that is taxable on the federal return, potentially benefiting the taxpayer.
  - Total Social Security payments received (box 5 of the SSA-1099) is still entered as described above.
  - **If, after all income in the Federal Section has been entered, Line 6b on Form 1040 is zero, STOP** – it is not necessary to complete the lump-sum payment worksheet in TaxSlayer.
  - **If the taxpayer does not have tax returns for the prior year(s)** for which the retroactive Social Security benefits were received, it is not possible to complete the lump-sum payment worksheet in TaxSlayer, which is required for the alternative calculation.
    - The taxpayer's options are (1) request a [free] transcript from IRS for the missing year(s) (Form 4506-T] , or (2) treat the retroactive benefits for the missing year(s) as received in the current tax year (don't do the alternate calculation.)
- If Line 6b on Form 1040 is **not** zero, AND information from the prior year tax return(s) **is/are** available:
  - On the **Social Security SSA-1099** page, click "Begin Worksheet."
  - On the **Social Security Lump-Sum Payment** page:
    - Select the year for which retroactive payments were received (separate worksheets are done if there is more than one prior year for which retroactive benefits were received.)
    - "SSA Payments received in Earlier Year" is the amount in Line 5a of Form 1040 for tax years after 2017 (for 2017 and earlier, it is the amount on Line 20a.)
    - "Portion of this year's SSA for Earlier year" is the amount on this year's SSA-1099 form that is stated as being retroactive benefits for the prior year being entered into TaxSlayer.
    - Calculate the "Modified Adjusted Gross Income for Earlier Year". **For 2021,** this is the AGI amount on Line 11 of Form 1040, plus any amount on that same form for tax-exempt interest (Line 2a), plus any amounts in Schedule 1, Line 21 (student loan interest deduction). **For 2020,** this is the AGI amount on Line 11 of Form 1040, plus any amount for tax-exempt interest (Line 2a), plus any amounts in Schedule 1, Lines 20 (student loan interest deduction) and 21 (tuition and fees adjustment). **For 2019,** this is the AGI amount on Line 8b of Form 1040, plus any amount for tax-exempt interest (Line 2a),

plus any amounts in Schedule 1, Line 20 (student loan interest deduction) and Line 21 (tuition and fees adjustment). **For 2018**, this is the AGI amount on Line 7 of Form 1040, plus any amount for tax-exempt interest (Line 2a), plus any amounts in Schedule 1, Lines 33, and 34. **For 2017 and earlier**, add the AGI amount on Line 37 of Form 1040, any amount for tax-exempt interest (Line 8b), and any amounts in Lines 33 through 35.
    - Enter "Taxable Benefits Reported in Earlier Year". For years after 2017, this is the amount in Line 5b of Form 1040; for 2017 and earlier, it is Line 20b.
    - Click "Continue to finish". Then, if there is another previous year for which retroactive benefits were paid on the 1099-SSA form, click the "Add" button to complete another **Social Security Lump-Sum Payment** page.
  - The TaxSlayer print package will contain the worksheets for all years.

Canadian or German Social Security

- For U.S. taxpayers, income from Canadian or German Social Security programs are treated the same as U.S. Social Security.
  - Canadian versions are named the Canada Pension Plan (CPP), the Quebec Pension Plan (QPP), and Old Age Security (OAS).
  - To convert Canadian dollars or, for the German system, euros, into U.S. dollars, see the section Foreign Income, on page **70**.
  - Enter the converted dollar amount on the **Social Security SSA-1099** page, as "Taxpayer's Social Security Benefit."
- ***Note for CA state returns:*** Canadian and German social security payments **are taxable** on the California return
  - TaxSlayer does **not** make the correct adjustment for CA – it treats Canadian and German social security payments as if they were U.S. Social Security payments.
    - Enter the adjustment amount – the entire amount of the Canadian and German social security payments - as an addition to CA income, as described in the section Manually Entering Income Differences on CA Schedule CA on page **110**.

LINE 7 - CAPITAL GAIN OR LOSS

Only sales of stocks, mutual funds, certain bonds, and personal residences are in-scope.
Worthless debts or the sale of other types of securities or assets make the return *out-of-scope.*

- Capital gains and losses are generally reported on a Form 1099-B, which is often part of a broker's statement that may include a Form 1099-INT and a Form 1099-DIV. Those two other forms are handled as discussed above – see the section Line 2 - Taxable and Tax-Exempt Interest, on page **35**, and the section Line 3 - Dividends, on page **37**, respectively.
  - Capital gains also are reported in box 2a of Form 1099-DIV, as discussed above, on page **37**.
- When Form 1040 is printed, capital gains and losses appear on Schedule D, in summary form, and on one or more Form 8949s, Sales and Other Dispositions of Capital Assets, which provide supported detail.
- Separate management or investment fees, on the broker's statement, cannot, as of January 1, 2018, be claimed as an itemized deduction on the federal Schedule A. They are in the category of deductible expenses that were subject to a 2%-of-AGI reduction; the entire category has been eliminated.
  - ***Note for CA state returns:*** California conforms to federal Schedule A deductions *as of 2015*, so this expense *is* allowable as a CA itemized deduction, subject to a 2%-of-AGI reduction.
    - TaxSlayer handles such "no longer valid for federal, but possibly valid for states" expenses by continuing to have them **manually** entered in the federal itemization section. For details, see page **87**.
- ***Note for CA state returns:*** CA does not recognize HSA trusts – gains and losses incurred in the trust are currently reportable for CA - see Health Savings Accounts in CA, page **115**.

Out-of-scope

- The following are ***out-of-scope*** and make the return ***out-of-scope***:
  - Taxpayers who day trade or trade in futures and options
  - The sale of bonds acquired by other than purchase (for example, inheritance or gift)
  - A tax return for, or involving a dependent child with more than $2,200 of investment income, including gains on the sale of stock, in 2021
  - Receipt of a Form 2439 (notice to shareholder)

  - A return requiring completion Form 4797 (Sales of Business Property), 6252 (Installment Sale Income), 6781 (Gains and Losses from Section 1256 Contracts and Straddles), and/or 8824 (Like-Kind Exchanges)
  - A taxpayer who has margin interest (is borrowing money from the broker, to purchase securities), and is itemizing
  - Sales paid for with virtual currencies (cryptocurrencies), such as bitcoin
- Also, **Page D-28 of Pub 4012** lists ***out-of-scope*** adjustments to basis [codes N, Q, X, R, S, and C], any of which make the entire return ***out-of-scope***.

Summarization

- Transactions on a Form 1099-B are typically entered into TaxSlayer in *summarized* format. Each Form 1099-B will have no more than four entries in TaxSlayer: short-term "covered" (basis reported to the IRS) (box "A"); short-term "uncovered" (basis **not** reported to the IRS) (box "B"); long-term "covered" (basis reported to the IRS) (box "D"); and long-term "uncovered" (basis **not** reported to the IRS) (box "E".)
  - If entering a summarized transaction, also check the "M" box near the bottom of the Adjustments section of the TaxSlayer page.
- ***Tax-Aide policy:*** Broker's statements that are entered into TaxSlayer in a summarized format will **not** be scanned and attached to an electronically-filed return, nor copied and mailed to the IRS in paper format. Form 8453, U.S. Individual Income Tax Transmittal for an IRS e-file Return, will **not** be prepared in either paper or electronic form.

Entering Capital Gains and Losses

- From the **Income** menu page in the Federal Section, select "Capital Gains and Losses"; then, on the **Schedule D Capital Gains** menu page, select "Capital Gains and Loss Items". On the **Capital Gains Transaction** page, complete the needed information.
  - ***Note:*** If at least one item already exists, you will need to click "Add new" on the Capital Gain/Loss entry grid to get to the **Capital Gains Transaction** page.
- ***CA legal note:*** Because CA is a community-property state, it doesn't matter, on a MFJ return, whether you indicate that the capital gains transaction belongs to the taxpayer, spouse, or is a joint account.
- Description of Property (**30** characters or less; previously was **15**):
  - If multiple transactions are being summarized (you're using a summary line from the broker's statement), enter the broker's name (for example, "TIAA" or "Scottrade"), then remember to check the "M" box near the bottom of the Adjustments section of the TaxSlayer page.
  - For a single transaction, enter the number of shares and the symbol for the stock or bond (for example, "100 USCBX".)
- Date Acquired:
  - If multiple transactions are being summarized, then check "Alternate Option" and from the " – Select if Applicable - " box, select the appropriate option. (Groups "A" and "B", if one of those labels appear on the broker's statement, are short-term, groups "D" and "E" are long-term.)
    - If a mix of inherited and non-inherited long-term sales, select "Various – Long Term".
  - For a single transaction, and when the purchase date on the Form 1099-B is blank, make a "best guess" using what the taxpayer knows about the approximate purchase date.
- Date Sold:
  - If multiple transactions are being summarized, then the fastest way to enter the transaction is to *check the "Alternative Option" box, for the date of sale*, but **leave the "– Select if Applicable - " box as is.**
    - ***Note:*** If you select "Alternative Option" but fail to check the box for "M- Reporting Multiple Transactions on a Single Row," you'll get an error message.
- For Sales Price, enter the total proceeds from selling the stock(s), bond(s), and/or mutual fund(s) in the group.
  - This total will almost always be on the broker's statement; it should very rarely be necessary to manually total the transactions in a group.
- The cost basis type (oddly enough, in the "Sales Price" section) should be clearly stated on the broker's statement (groups A and D are basis reported to the IRS; groups B and E are basis **not** reported.)
- For Cost [the legal term is "basis" or "cost basis"]:
  - For group A and D transactions, the cost (basis) will *always* be on the broker's statement.
  - For group E transactions, the cost *may* be on the broker's statement; if it is, the taxpayer may use that basis, or may [infrequently] have their own documentation showing a different methodology for determining their cost (first-in, first-out; first in, last-out; average cost.)

- **WARNING:** When a spouse dies, assets that are community property **change basis.** Specifically, the basis is changed to market value at the time of death. This applies not only to a home, but also to stocks and bonds. *Broker statements may not reflect this change in basis*. **If a taxpayer is a widow/widower**, it is critical to determine if the stated basis on the broker statement is correct, by comparing the date acquired to the date of death of the spouse.
  - Stocks and bonds are community property in California *if they were acquired during the marriage*, regardless of whether were in a joint account. Assets acquired prior to a marriage are also community property if they were *combined* with community property - for example, moved from an individual account to a joint account any time during the marriage.
- If the cost (basis) is not on the Form 1099-B, and a gain/loss statement or original purchase confirmation is not available, there are several options:
  - The taxpayer can ask their broker to research and (hopefully) provide the cost basis, but this may be unsuccessful if the security involved was transferred in from another broker.
  - If the taxpayer knows approximately when the security or mutual fund was purchased, they can use the *lowest* value during the period that the purchase occurred. Historic stock values can be found online, for example at **bigcharts.marketwatch.com/historical/** or **finance.yahoo.com/quote/YHOO/history.**
  - If all else fails, enter zero as the basis and advise the taxpayer that **the return can be amended when a basis is determined, within the next three years.** (If the taxpayer is in the 10% or 12% tax bracket, an amendment may not be necessary because capital gains for such taxpayers have at tax rate of zero.)
    - ***Note***: If the taxpayer has Social Security income, then capital gains *can* increase taxable income *even though the taxpayer is in the* 10% or 12% tax bracket. That's because capital gains, on page 1 of Form 1040, can increase the taxable portion of Social Security income.
- If a non-statutory qualified stock option is exercised and sold on the same day, the taxpayer's Form W-2 will show a code V and the compensation amount is included in box 1, "Wages, tips, other compensation".
  - The disposition of the stock acquired through the option is reported on a Form 1099-B.
  - Often there is a small loss reflecting the commissions.
- Inherited property
  - The basis for inherited property is normally the FMV at the death of the original owner; this dollar amount must come from the taxpayer.
  - However, estates of decedents dying in 2010 could have made an election for a carryover basis that would be shown on a Form 8939, Allocation of Increase in Basis for Property Acquired From a Decedent provided by the estate. If so, use the basis provided and the original purchase date. (Form 8939 is not required if the taxpayer has the necessary information.)
    - ***Note for CA state returns:*** The basis for CA returns, in all cases, is FMV at the date of death. If a Form 8939 issued in 2010 did not use FMV, an adjustment would be needed on CA 540 Schedule D, adjusting the gain or loss; if that is the case, the return is ***out-of-scope***.

- Adjustments are entered near the bottom of the TaxSlayer page. (For most entries, no adjustment will be needed, other than code M, "Reporting Multiple Transactions on a Single Row".) **Page D-27 of Pub 4012** describes how to handle specific adjustments.
  - Entering a negative adjustment amount will *reduce the gain* on what has been entered, or, if what was entered was a loss, entering a negative amount will *increase the loss*.
    - For code W, a wash sale, enter the amount as a *positive* number.
  - ***Note:*** Any adjustments recorded in TaxSlayer should also be noted on the paper Form 1099-B, so that the two match.
- When done with the transaction, click "Save & Enter Another" if there are any more transactions to enter from the Form 1099-B being worked on, or another 1099-B to be entered. Otherwise, click "Continue."

Verification

- After doing all entries, it's a good idea to review Schedule D, to make sure that amounts are on the proper lines and add up to the same total as on the taxpayer's pages or brokers' statements. The easiest way to do so is "print" the Schedule D from the **Income** menu page.

Taxes Withheld

- If federal tax has been withheld on a Form 1099-B or broker's statement, go to the **Other Federal Withholdings** page [Federal Section > Payments & Estimates > ...], enter the amount, check the box, and click "Continue."

- Because there is one field to enter the *total* of all entries, a note (see page 9) is recommended for *each* entry on this page.

- If there is any state tax withholding, see the section State Tax Withheld, on page 118.

If there is a capital loss carryover for the next tax year, TaxSlayer will add a **Capital Loss Carryforward Worksheet – Lines 6 and 14** to the tax return paperwork that is provided to the taxpayer.

Capital Loss Carryover From a Prior Year's Schedule D

- The capital loss carryover amount is one of the items included in the TaxSlayer Carryforward from 2020.
  - If the taxpayer doesn't have Carryforward from 2020 (for example, a paid preparer did the 2020 tax return), then you need the prior year's tax return, or a copy of the appropriate worksheet, to correctly report any loss carryover.
- Enter in TaxSlayer (or verify, if carried forward) the amounts from the prior year capital loss carryover, on the **Other Capital Gains Data** page [Income > Schedule D (Form 1040) > Other Capital Gains Data (Including Capital Loss Carryover)].
  - Enter the number(s) as positive ones (do not use a negative sign).
- TaxSlayer will create a new carryover worksheet for any balance over the maximum allowable loss of $3,000 ($1,500 if MFS.)
- ***Note for CA state returns:*** The federal and CA capital loss carryover amounts can be different, due to HSA or other rules, although this is rare.
  - If the two amounts are not the same, go to the State Section: click on "Miscellaneous Forms", then go to the **California Schedule D Capital Gain or Loss Adjustment** page, and enter the CA carryover amount.
    - If an amount is entered, a California Schedule D will be included in the PDF for the return.
    - The *difference* between the federal and CA amounts will appear on CA Schedule CA, Part I, Section A, line 7, in either column B or column C.

Sale of Home

Note: Enter the sale information only if the taxpayer has received a **Form 1099-S, Proceeds From Real Estate Transactions**, or if there is a gain on the sale of the home that is taxable in part or in full**. If neither is true, do not enter any information into TaxSlayer.**

Note: The Instructions for Schedule D state that if the taxpayer received a Form 1099-S, the taxpayer **must report the sale**, which means that the taxpayer **must file a tax return** even if the taxpayer otherwise would have no filing requirement.

- **Pub 523, Selling Your Home**, has general information about determining whether there is a taxable gain on the sale of a home.
  - A home can be a houseboat, mobile home, condo, or ownership of a cooperative (co-op.)
  - Sale of a second home – for example, one that has been inherited – *can* be in-scope if, while owned by the taxpayer, it was always a residence, not a rental nor used for business.
- Special circumstances:
  - If any portion of the home was ever rented out or used for business (home office) such that depreciation would have been allowable (whether it was actually claimed or not), the return is ***out-of-scope.***
  - If the home was purchased in 2008 and the First-Time Homebuyer Credit was claimed, the main calculations for the sale of the home are not affected, but additional information probably needs to be entered into TaxSlayer: see the section Schedule 2, Line 10 - Repayment of First-Time Homebuyer Credit, on page 102.
  - Sale of the home within two years of the death of a spouse affects both the exclusion amount and the ownership and use tests for claiming an exclusion – see **Pub 523, Selling Your Home**.
  - The sale of a home received through inheritance or as a gift is ***out-of-scope*** unless it has been used as a personal residence by the taxpayer or spouse.
- In general, a single person can claim an exclusion of up to $250,000 on the gain on the sale of a main home, and a married couple can claim an exclusion of $500,000. However, to claim the exclusion, the taxpayer must meet the ownership and use tests:
  - The taxpayer must have owned the property for a total of 24 months of the previous 60 months.
    - The ownership requirement can be satisfied by one of the two spouses filing a joint return.

- The taxpayer must have used it as their **principal** residence for a total of 24 months of the previous 60 months.
  - The use requirement must be satisfied by both spouses when filing a joint return to claim the maximum $500,000 exclusion of the amount of gain.
  - For MFJ returns, if only one spouse satisfies the use test, the exclusion is limited to $250,000.
- The ownership and the residence 24-month test periods do not have to be continuous nor overlapping.
- To claim an exclusion, the taxpayer cannot have sold another property in the previous two years AND used the exclusion for that previous sale.
- *Partial* exclusion is possible under some circumstances, such as a change of employment. Details can be found in **Pub 523, Selling Your Home**.
  - A return involving *partial* exclusion is ***out-of-scope****;* because the potential tax savings are likely to be significant, the taxpayer should be referred to a paid preparer.
- The Home Sale Worksheet at **cotaxaide.org/tools/** has four worksheets for determining the taxable gain on a home, included worksheets to be given to the taxpayer to determine cost basis of the home. *These worksheets are not needed if it is obvious that there is no taxable gain on the sale of the home.*
- ***Note for CA state returns:*** CA conforms to the federal rules for sale of a home, including the potential exclusion of $500,000 in gain when the house is sold by a widow/widower within 2 years of the date of death of their spouse.

- When determining the proceeds from the sale of a home, you normally subtract the sales commission paid by the seller, as well as other *transactional* costs of the sale that were paid by the seller. However, if a 1099-S is involved, make the adjustment(s) to the cost basis, rather than sale proceeds.
  - ***Note:*** Taxpayers often want to reduce their reported proceeds by the amount of a mortgage or mortgages that they have paid off at the time of the sale. *Do not make that adjustment*. The presence of a mortgage [or a lien on the home] does not affect the determination of the amount of gain on the sale of the home.
- Computing the (cost) basis of a home, to determine the exact amount of gain, is complicated; it may require a complete review of the transactions regarding home purchases and sales since the acquisition of the taxpayer's first home, if the current home was purchased before May 8, 1997 (because profits on the gain from the sale of a home, prior to that date, could be postponed if a new home, of at least the same price, was purchased.)
  - The taxpayer needs to provide the basis information; calculation of the basis by a counselor is ***out-of-scope.***
    - ***Note***: The cost basis is irrelevant if the selling price is less than the $250,000 or $500,000 exclusion.
  - If a married couple owned the home together (both names were on the title), and one of the two has died, then, by law, the basis of the home is adjusted at the time of the death.
    - ***CA legal note:*** Because CA is a community-property state, the cost basis of the entire home changes to the FMV at the time of the death, for both federal and state purposes, assuming that both spouses owned the home.
- If, after using the basis provided by the taxpayer, and determining the exclusion, *there is still a taxable gain on the sale of the home*, the taxpayer may be better off seeing a paid preparer who can help with determining the basis of the home.
  - For example, if the basis is understated by $10,000, the taxpayer could end up paying several thousand dollars more of taxes than was in fact owed, **if** in the 22% or higher marginal tax bracket.
- To enter information into TaxSlayer for the sale of a home, *it is easier to use* the **Capital Gains Transaction** page [Income > Schedule D (Form 1040) > Capital Gains and Loss Items], as described in the section above, rather than the **Sale of Home** page. When using the **Capital Gains Transaction** page:
  - If a Form 1099-S was issued for the sale, use the Gross proceeds amount (box 2) on that form, rather than *net* proceeds after selling costs, as the Sales Price, and increase the Cost (basis) to account for selling expenses on the closing form.
  - If an exclusion can be claimed, as discussed above, then use code H for the exclusion, and enter the amount as a negative number.
  - The exclusion amount will normally be -250,000 or -500,000 **if,** after the exclusion, there is still a profit on the sale. Otherwise, the amount will be a negative number equal to the net proceeds from the sale.
  - ***Note:*** The (very rare) exception would be if the taxpayer has a Form 1099-S *and* a **loss** on the sale. If that is the situation, you *must* use the **Sale of Home** page to keep the loss from appearing on Schedule D.
- ***Note for CA state returns:*** If the taxpayer had CA tax withheld from the sale, they will receive CA Form 593
  - In the State Section, go the Payments menu, then **CA Real Estate Withholding (from Form 593)** page, and enter information into that page and the four associated pages, using the paper CA Form 593

        - Information entered in TaxSlayer will show on CA Form 540, on page 3, line 73.
    - **If (and only if) the taxpayer is itemizing on the federal return**, and **if** the $10,000 cap for state and local taxes has **not** been reached, then another adjustment is needed [because the entry in the State Section is not carried to Line 5a of Schedule A (Income Taxes)].
        - Go to the **Payments - Other State Withholdings** page [Federal > Payments & Estimates > Other State Withholdings], enter the amount of CA tax withheld, and then pick any state **other than California** (for example, pick Alabama). [This gets the amount onto Schedule A while avoiding carrying it *twice* to CA Form 540.]
            - ***Note:*** When starting the E-file section, TaxSlayer may offer a reminder that there is state withholding without a matching state return. If so, ignore that reminder.

SCHEDULE 1, LINE 1 - TAXABLE STATE INCOME TAX REFUND

- A state income tax refund amount for the prior year's tax return is reported on a Form 1099-G. Part or all of this amount **may** be taxable in the year received; for example, a state income tax refund for the 2020 tax year **may** be taxable on the 2021 federal tax return.
    - The refund amount is NOT taxable if there was no benefit to the taxpayer, in the prior year, from the overpayment of state taxes that resulted in a refund.
    - To accurately calculate the taxable amount, the taxpayer's prior year federal tax return, or an IRS transcript of the return, MUST be available.
        - If the tax return or a transcript is *not* available, then the refund can be assumed to be not taxable only if it is obvious that the taxpayer took the standard deduction in the prior year. If it is not obvious, then either the entire amount of the refund must be treated as taxable, or the return is ***out-of-scope***.
- ***CA process note:*** California uses an abbreviated version of the normal Form 1099-G, with only boxes 1 through 3.
- *No amount is to be reported as a taxable refund* (no action is required for Schedule 1, Line 1) if **any** of the five criteria below is true:
    - The taxpayer did not get a Form 1099-G, and (if available) the CA return for the prior year shows no state tax refund (CA Form 540, page 4, line 97.)
    - The taxpayer did **not** itemize on the prior year (there was no Schedule A for the federal return.)
    - The taxpayer did itemize in the prior year (there was a Schedule A), but used general sales tax (the box for line 5a is checked) rather than state and local income taxes.
    - The taxpayer did itemize in the prior year, but real estate taxes paid plus personal property taxes paid totaled $10,000 or more, the maximum allowable for state and local taxes of all types. [The $10,000 cap is relevant for tax year 2018 and later.]
    - The taxpayer did itemize in the prior year, and did use state and local income taxes as part of the itemization, but this had **no** benefit because the following is true:
        - Line 11b, "Taxable income", on the 2020 Form 1040 is zero, and still would be zero if the standard deduction had been taken on Line 9. (For 2020, the standard deduction was $12,400 for single and MFS filers, $18,650 for HoH, and $24,800 for MFJ. Those 65 and older, and/or blind, got an additional $1,650 if not filing MFJ; for those filing MFJ, the potential increase was $1,300 for the taxpayer, $1,300 for the spouse.)
- If the taxpayer has a Form 1099-G, and/or the 2020 state tax return shows a refund, **and** *none of the conditions listed in the paragraph above are met*, then determine how much of the refund *is* taxable.
    - This calculation requires a copy of the 2020 tax return, or electronic access to the 2020 tax return, not just the Form 1099-G. If the return is not available, then the taxpayer has the choice of assuming that *all* of the refund is taxable, or of getting a copy of the tax return (finding it at home, for example), or of getting a return transcript (check box 6a on **Form 4506-T, Request for Transcript of Tax Return.**)
    - Part of the calculation may involve the amount of general sales tax that *could* have been claimed on Schedule A. If the electronic version of the 2020 tax return is available, it may include this number [Deductions > Itemized Deductions > Taxes You Paid > Add Sales Tax Worksheet]. Otherwise, the amount must be looked up online. The IRS calculator for this is at **apps.irs.gov/app/stdc/** .
    - Go to the **State Refund Worksheet** page [Income > Form 1099-G Box 2], which is discussed on **page D-14 of Pub 4012**.
- To do the actual calculation of the taxable amount, you have two options:

  - Use the Refund and Recovery Calculator at **cotaxaide.org/tools/** (**recommended**) and enter the result in the "Bypass State Refund Worksheet" box.
  - Use the TaxSlayer worksheet – **not recommended; far too simplistic**, and likely to determine too high an amount as taxable.
- ***Note:*** It is possible, though rare, to get a state tax refund during the tax year (2021) that is for a state tax return prior to the previous year (for example, for the 2019 tax year). In that case, the 2021 return is ***out-of-scope*** unless the refund is either **wholly non-taxable** or is treated as **wholly taxable.** You should use the five criteria listed on the prior page to determine if the refund is non-taxable. If it meets none of those criteria, then the taxpayer can either agree to treat it as fully taxable or will have to use something other than Tax-Aide to do the return.
- ***Note for CA state returns:*** Because CA does not allow state taxes to be used as part of CA itemized deductions, any amount on Schedule 1, Line 1, is not taxable on the CA return. TaxSlayer makes the adjustment automatically on CA Schedule CA, Part I, Section B, line 1.

SCHEDULE 1, LINE 2 - ALIMONY RECEIVED

Note for CA state returns: CA does **not conform** with the federal change that for divorces finalized after December 31, 2018, as well as separations signed after that date, alimony that is received will no longer be treated as income to the recipient on the federal return.

Because CA still treats **all** alimony received as income, **all alimony received must be entered into TaxSlayer,** regardless of the date of the divorce decree or subsequent amendments.

- ***Note:*** If the divorce agreement that provides for alimony was executed prior to 1985, and has not been modified in or after 1985, *the return is* ***out-of-scope***.
- See **page E-9 of Pub 4012** for the tests to determine if payments to a former spouse are alimony.
  - In particular, child/family support received is NOT alimony and is NOT taxable income.
- On the **Alimony Received** page [Federal Section > Income > …]:
  - Enter the alimony amount received.
  - Enter the date of the divorce, or separation agreement.
    - If the alimony agreement was revised after December 31, 2018, **and** the revised agreement says that alimony received will no longer be treated as income (nor as reduction in income by the paying taxpayer), **do not enter the date of the original agreement**. Instead, enter the revised date.
    - ***Note for CA state returns:*** TaxSlayer uses the entered date to determine if the income is taxable on the federal return. If it is not taxable, federally, TaxSlayer will then, correctly, post an adjustment (increase) in income to CA Schedule CA, Part I, Section B, line 2a.
- **When alimony (pre-2019) is income on the federal return**, TaxSlayer correctly handles these aspects:
  - Alimony is not considered earned income for EIC.
  - Alimony *is* considered compensation for the purpose of making an IRA contribution.

FORM 1099-MISC, MISCELLANEOUS INCOME

- Information on Form 1099-MISC paper documents is entered on the **Form 1099-MISC** page, which is reached from the main **Income** page in the Federal Section. However:
  - Any amount in boxes 5, 6 (except for caregiver payments), and/or boxes 7 through 14, and/or the "FATCA" box near the bottom, make the return ***out-of-scope***.
  - Activities that generate income and offsetting expenses but do not meet the criteria of being for income or profit (for example, coin collecting) are classified by the IRS as a **hobby** and make the return ***out-of-scope***.
- Amounts paid on a Form 1099-MISC **must be entered so that TaxSlayer puts the income in the correct place on the tax return.**
- Income in box 3, "Other income", is carried by TaxSlayer to Line 8, "Other income", of Schedule 1.
  - If income reported in box 3 of the paper Form 1099-MISC *does* belong on Line 8 of Schedule 1, then the form can be entered normally on the **Form 1099-MISC** page in TaxSlayer.
  - [Workaround] If income reported in box 3 *does not* belong on Line 8 of Schedule 1, but in fact is business-related and **belongs on a Schedule C**, then enter the amount into TaxSlayer **as if the amount had been in box 1 of a 1099-NEC**, on the TaxSlayer page for 1099-NECs.
- Income in box 2, "Royalties", is normally carried by TaxSlayer to a Schedule E.

  - o [Workaround] If income reported in box 2 is due to the taxpayer's **own personal services**, such as being an author or entertainer, then it belongs on a Schedule C. Enter the amount into TaxSlayer **as if the amount had been in box 1 of a 1099-NEC** (yes, use a different form in TaxSlayer).
    - ▪ ***Tip:*** Business code 711510 is for "Independent artists, writers, & performers".
- Strike benefits are reported on a 1099-MISC, using box 3. They are taxable income, not subject to self-employment taxes, but *do* count as earned income for the federal EIC.
  - o To enter strike benefits income into TaxSlayer requires a workaround. See the document "Strike Benefits" in the Libraries section of the Portal. (Search on "strike benefits".)
- ***Note:*** Form 1099-MISCs (and 1099- NECs) are required to be issued only when payments are made in the course of trade or business, and total at least $600 for the year for a specific person. So, for example, a couple who are getting married and pay $1,000 to a wedding planner have no requirement to issue a 1099-NEC to the wedding planner. Nor does a restaurant, for example, if it pays a musician a one-time fee of $400 to perform at a party.
- ***Note for CA state returns:*** If Box 15 has an amount in it, enter that into TaxSlayer, along with the State (California) and the CA EIN (State/Payer's state no.) Otherwise, no state information needs to be entered.

FORM 1099-NEC, NON-EMPLOYEE COMPENSATION

- Form 1099-NEC, new as of tax year 2020, is used for reporting payments that previously would have gone into box 3 of Form 1099-MISC.
- Activities that generate income and offsetting expenses but do not meet the criteria of being for income or profit (for example, coin collecting) are classified by the IRS as a **hobby.** Any hobby income reported on Form 1099-NEC makes the return ***out-of-scope***.
- Income in box 1, "Nonemployee compensation," must be carried by TaxSlayer to a Schedule C.
  - o [Workaround] If this income does **not** belong on a Schedule C, but **belongs on Line 8, "Other income", of Schedule 1**, then **enter the amount in Box 3 of a 1099-MISC** page, in TaxSlayer, rather than using the 1099-NEC input form, so that it correctly flows to Schedule 1, Line 8.
    - ▪ The section Schedule 1, Line 3 - Business Income, on page **58**, discusses when a Schedule C should be used.
    - ▪ ***Note:*** *In theory*, the employer should correct such an error by issuing a 1099-MISC. *In practice*, it is not worth asking the taxpayer to go back to the employer to get a new tax form.
- ***Note for CA state returns:*** If Box 5 has an amount in it, enter that into TaxSlayer, along with the State (California) and the CA EIN ("Payer's State No.") Otherwise, no state information needs to be entered

SCHEDULE 1, LINE 3 - BUSINESS INCOME

- AARP Foundation Tax-Aide sites will NOT prepare business returns (Form 1041). The Tax-Aide program only prepares personal tax returns (Form 1040), including Schedule C, Profit or Loss from Business.
  - o There is no limit for business income (overall limits relating to total AGI still apply), and **all** actual income must be reported.
    - ▪ It is also a violation of U.S. tax law to include *non-existent* income on a tax return, for example to increase the amount of the taxpayer's Earned Income Credit.
  - o Total **expenses** on any single Schedule C cannot exceed **$35,000** (increased in 2020; was $25,000 in 2019.)
    - ▪ Any business expense that is ***out-of-scope*** makes the entire tax return ***out-of-scope***.
    - ▪ It is a violation of U.S. tax law to under-report business expenses for the benefit of the taxpayer, for example to increase the amount of the taxpayer's Earned Income Credit.
  - o Multiple Schedule Cs are allowed (use one for each business; do **not** combine businesses.)
- For an activity of a taxpayer to qualify as a business, and be reported on Schedule C, the taxpayer's primary purpose for engaging in the activity **must be** for income or profit, and s/he must be involved in the activity with continuity and regularity. For example, being a poll worker is not continuous or regular activity.
  - o Activities that generate income and offsetting expenses but do not meet the criteria of being for income or profit (for example, coin collecting) are classified by the IRS as a **hobby**. Both hobby income and any offsetting expenses (not allowed on Schedule A as of 2018) are ***out-of-scope.***
  - o Taxpayers who receive small amounts of compensation for holding an appointed public office are not considered to be engaged in a "trade or business". Such income should be reported on Line 8 of Schedule 1.
  - o ***Note:*** Rental income, if in-scope, is reported on Schedule 1, Line 5 - Rental Real Estate and Royalties (see below, page **63**), not on Schedule C.

- The following, for Schedule C, make the return ***out-of-scope***: a net loss on a Schedule C, or where office-in-the-home expenses are claimed (not even the simplified method is in-scope), or with accrual accounting, or with employees, or with contract labor, or which made payments that required the business to file a Form 1099-MISC (or any other type of Form 1099), or where there were contributions to a SEP/SIMPLE retirement plan, or which was involved in the manufacture, distribution, and/or sale of controlled substances such as marijuana, or where the business was professional gambling, or involved bartering or cryptocurrency (virtual currency) transactions.
  - If the taxpayer has a **net loss**, it is not sufficient to simply exclude some expenses so that Schedule C shows zero income, or a small profit. You must determine whether what is being reported is a **hobby**, rather than a business; if so, that income, and the return, is ***out-of-scope***.
    - The factors used to determine whether a business activity is "not-for-profit" (which makes it ***out-of-scope***) are listed in the "Not-for-Profit Activities" section of Chapter 1 of **Pub 535, Business Expenses**.
- The document "NTTC Schedule C Guidelines TY 19", available on the Volunteer Portal (search on "Schedule C") includes detailed guidance on what is in-scope for Schedule C, and how to handle a wide variety of expenses; examples are provided. A review of this document is highly recommended if you prepare a Schedule C.

Business Information for Schedule C

- Go to the **Schedule C** page [Income > …]; after information is entered, this page is reachable via Federal Section > Income > Schedule C > Profit or Loss From A Business > Edit > Basic Information About Your Business.]
  - If a MFJ return, identify whether the business is for the taxpayer or the spouse.
    - If the taxpayer and spouse own the business **50/50**, all information is entered on a single Schedule C.
      - Select either spouse as the person who the business belongs to.
      - On the **Questions about your Business** page, check the box that indicates this is a qualified joint venture. Then TaxSlayer will split Schedule C amounts between the two spouses, and the tax return will contain two separate Schedule Cs, when printed.
    - If ownership is something **other than 50/50**, income and expenses must be split and entered in *two* Schedule Cs, one for the taxpayer, and one for the spouse.
  - Complete the Name and Address information.
  - Complete the Business Type information.
    - TaxSlayer has very nice search functionality for business codes – just click on the "Click here for a list of Business Codes" link.
    - ***Note:*** If you cannot find an appropriate code, use **812990**. [The business code for drivers who worked for Uber, Lyft, and similar, is 485999; for those driving for Grubhub, DoorDash, and similar, the code is 492000.]
- From the **Schedule C** *menu* page, click on "Questions About the Operation of Your Business" to go to the **Schedule C Questions** page.
  - Information on completing this page can be found on **page D-19 of Pub 4012**.
  - The Accounting Method must be "Cash"; otherwise the return is ***out-of-scope***.
  - The "Method used to value closing inventory" must be "Not Applicable"; otherwise, the return is ***out-of-scope***.
    - *The purchase of materials and of items for resale **is in-scope** as of tax year 2018, though not for earlier years, but materials and items must be expensed when purchased; there cannot be any actual opening or closing inventory from an accounting perspective.*
  - The checkbox for regarding "materially participated" must be checked, otherwise the return is ***out-of-scope***.
  - The boxes related to payments needing Form 1099 forms must be *left unchecked*; otherwise, the return is ***out-of-scope***.
    - An example of being ***out-of-scope*** would be a Form 1099-MISC, issued by the business, for services of $600 or more performed by an independent contractor.
  - A checkmark in any other box, other than the one about this being the first Schedule C for this business, make the return ***out-of-scope***.

Schedule C Income Not on a 1099-MISC

- Business income not reported on a 1099-MISC form is added to a Schedule C by going to the **Schedule C - Income** page [Income > Schedule C > Income.]
  - On the first line, enter the total amount of all income not on a Form 1099-MISC. (If records provided by the taxpayer do not include any income from cash or check payments, **ask** if there was any such income.)
- If taxpayer receives a Form 1099-K for self-employment income (which cannot be for rental income of 15 days or more; that is ***out-of-scope***), the gross amount in Box 1a of the 1099-K should be included as income on Schedule C. Commissions and fees that affect the net amount paid to the taxpayer should be reported on the **Schedule C – Expenses** page (from the **Schedule C** page, select "General Expenses.)
  - Do not enter an amount from box 1b of a Form 1099-K; that amount is included in box 1a of that form

Schedule C – Out-of-Scope Expenses

- On the **Schedule C** menu page, the following types of expenses are ***out-of-scope*:**
  - Depreciation
  - Expenses for Business Use of Your Home

Schedule C – Cost of Goods Sold

- Starting in tax year 2018, cash-basis taxpayers who purchase items for resale, and/or materials and supplies that go into items that are sold, ***are in-scope*** as long as they expense 100% of their purchases of goods at the time that they pay for the goods.
  - If the taxpayer filed a Schedule C in 2020 that included an ending inventory dollar amount, *the 2021 tax return is* ***out-of-scope*** if there was any activity in that business in 2021.
- Do not use the **Schedule C Cost of Goods Sold** page.
  - The cost of items purchased for resale, and raw materials, should be entered as Other Expenses.

Schedule C – General Expenses

- Part II of Schedule C is a list of specific expense categories that the IRS wants information on. These may or may not cover the majority of expenses of a typical business, but expenses in these categories should be entered on the **Schedule C – Expenses** page [Income > Schedule C > General Expenses.]
  - Of these, the following are ***out-of-scope****:*
    - Contract labor
    - Depletion
    - Employee benefit programs
    - Mortgage interest
    - Pension and profit-sharing
    - Utilities
  - The following expenses have limitations:
    - Rent or lease of equipment – this can include a car rental or lease, but only if for 30 days or less; **longer**-term car rentals are ***out-of-scope***.
  - Health Insurance: see the section Health Insurance Costs as a Business Expense on page **62**, and the section Schedule 1, Line 17 - Self-Employed Health Insurance (SEHI) on page **71**.
  - Long-Term Care Insurance to be Carried to Adjustment: Per page D-20 of the NTTC version of Pub 4012, do not use this line for LTC premiums; use the Health Insurance line.
  - Travel and meal expenses –see Chapters 1 and 2 of **Pub 463, Travel, Entertainment, Gift, and Car Expenses** for what is allowable. Special documentation rules apply for the cost of meals if over $75. The taxpayer must have receipt(s) showing where, when, and how much, and must document the business nature of the meal.
    - For tax years 2021 and 2022, business meals may be claimed at 100 percent of cost *if it is food or beverage from a restaurant.* By contrast, the food or beverage is from a grocery or convenience store, the deduction is still limited to 50 percent.
    - Entertainment expenses, beginning with tax year 2018, are no longer deductible on the federal Schedule C.
      - ***Note for CA state returns:*** California does not conform to the elimination of entertainment expenses as an allowable business expense. As of the publication date of this manual, TaxSlayer does not separate meal expenses from entertainment expenses, on the **Schedule C – Expenses** page, so it is necessary to handle entertainment expenses as a manual adjustment – see the section Additional Business Expenses on page **112**.

- Expenses that don't fit into one of these categories, are not specifically ***out-of-scope*** (see the list in the section immediately above), and are not car and truck expenses (see the next section), are entered in TaxSlayer as "other expenses" – see the section Schedule C – Other Expenses, on page **61**.

Schedule C – Car and Truck Expenses

- In the Tax-Aide program, only **mileage, personal property taxes, and vehicle loan interest** can be claimed as vehicle-related expenses, except for ride-share drivers, as discussed below. *Actual operating expenses*, such as fuel, maintenance and repairs, and depreciation are ***out-of-scope*.**
  - For 2021, the rate is $0.56 per mile.
  - It is critical that you and the taxpayer understand which work-related mileage is not deductible (commute miles) and which is (business miles). Within the taxpayer's metropolitan area, miles driven between home and a regular or main job site are *commute miles*; miles driven between home and a second job location are similarly *commute* miles; and miles driven to a temporary work location when the taxpayer doesn't have a regular or main job at another location are also *commute miles*. That means that business miles are the following, as described in Chapter 4 of **Pub 463, Travel, Entertainment, Gift, and Car Expenses**:
    - If the taxpayer had one or more **regular places of work**, then any travel between home and a temporary workplace is considered business miles, whether that temporary location was local or not.
    - Travel from **one place of work to another place of work** is always business miles.
    - If the taxpayer had **no regular place of work** but ordinarily worked in the metropolitan area where they lived, they can deduct daily transportation costs (miles, tolls, etc.) between home and a temporary work site *outside* that metropolitan area. [A temporary work location is one where work is expected to last less than one year.]
  - If a **taxpayer's home** is their principal place of business, then all mileage driven to work locations is business mileage; *however,* to establish the home as the principal place of business, the taxpayer must claim a *home office*, which is ***out-of-scope***.
    - In such a case, the taxpayer should be told of the option of going to a paid preparer who can claim the home office deduction and all the mileage.
  - In addition to claiming mileage, all drivers may claim the following expenses, as applicable:
    - A **prorated** portion of the CA Personal Property Tax (VLF). For example, if the VLF is $200 and business miles are 40% of total miles, then $80 could be claimed.
      - This is entered on the page **Schedule C Expenses** (select "General Expenses" on the Schedule C menu page), on the "Taxes and licenses" line.
      - The Schedule A deduction for VLF must be reduced by the amount claimed on Schedule C.
    - A **prorated** portion of interest expense for a loan used to purchase the vehicle
      - This is entered on the page **Schedule C Expenses** (select "General Expenses" on the Schedule C menu page), on the "Other Interest" line.
      - Note that monthly payments consist of principal plus interest; only the interest is deductible.
      - Interest expenses related to a *leased* vehicle are ***out-of-scope.***
  - For drivers of **ride-share services** such as Uber and Lyft, special rules apply.
    - All miles driven with a customer, or while available and waiting to be assigned a customer, or while driving to meet an assigned customer, are business miles.
    - The following may be claimed in addition to standard mileage, prorated VLF, and prorated interest expense; enter these as "Other Expenses":
      - If the taxpayer pays for Rideshare coverage through a rider [special provision] on his or her vehicle insurance, that is fully deductible.
      - If the taxpayer pays specifically for a roadside assistance plan, a **prorated** portion of that expense can be claimed.
      - A **prorated** portion of car washes and car detailing is deductible.
      - The cost of snacks and water offered to passengers is fully deductible.
- Information about vehicle expenses is entered on the **Schedule C Car and Truck Expenses** page [Income > Schedule C > Car and Truck Expenses]; see **Page D-21 of Pub 4012**.

Schedule C – Other Expenses

- Other Expenses are entered individually on the **Schedule C Other Expenses** page [Income > Schedule C > Other Expenses]. Some relevant rules:
  - Landline telephone service: How landline costs are handled depends on what type of service is offered:

        - If the service offered is a basic (local) package plus additional charges for long-distance phone calls, then the cost of the basic telephone service, including taxes, is considered 100 percent personal, so no portion can be deducted on *Schedule C*. The cost of itemized long distance phone calls that are business-related, however, can be deducted.
        - If the service offered includes **unlimited** long-distance phone calls, then *the taxpayer may deduct the prorated portion of the **total phone cost** that is business-related.*
            - The taxpayer must be prepared to provide written supporting information to the IRS, if challenged. That could be a log of business or personal phone calls made, for example. Without such documentation, the IRS will disallow all costs.
        - The cost for an additional phone line used only for business purposes is fully deductible.
    - Mobile (cell) phone: Allowable (deductible) expenses depend on the type of mobile phone service:
        - For mobile phones that are *not* "smartphones" (that is, they don't have Internet capabilities, and so don't include a data package):
            - If the taxpayer has no landline, then mobile phone costs are treated just as if the mobile phone was a landline, with allowable (deductible) costs depending on whether the phone service includes unlimited phone calls – see above for specifics.
            - If the taxpayer has a landline, then all the costs of the mobile phone are potentially deductible – subtract allocated and/or itemized amounts that are used for personal purposes.
        - For mobile phones that *are* "smartphones" (that is, they do have Internet capabilities, and so do include a data package), all costs should be pro-rated (personal versus business-related) to determine what amount can be claimed as a business expense on Schedule C.
    - Internet and computer expenses: A percentage of Internet and recurring computer-related expenses, such as subscription software, can be deducted, based on business use versus personal use.
    - Equipment: The purchase of equipment, such as a computer, printer, or video camera, is ***out-of-scope*** if the cost of the item is **$2,500 or more**, as is the return itself is in-scope if the taxpayer is willing to exclude such items from Schedule C.
        - For items whose cost was under $2,500, including sales tax and shipping costs, taxpayers using the Tax-Aide program may **expense** capital items **if** a statement is included with the return that the taxpayer has elected to do so.
        - The statement should be entered on an **Election Explanation** page [Miscellaneous Forms > Explanations > Elections Explanations], with the title "Section 1.263(a)-1(f) de minimis safe harbor," and the note itself should consist of (on the first line) the taxpayer's name, address, and taxpayer identification number (SSN or ITIN), plus (starting on the second line) "I am making a de minimis safe harbor election under §1.263(a)-1(f) for the purchase of equipment with the cost of $[amount]."
    - Education expenses: Any educational expense related to (a) a legal requirement to keep the taxpayer's present job, salary, or status, or to maintain or improve job skills for an *existing* business, is allowable. Transportation, travel, and other necessary expenses, including books, are allowable.
    - Business use of the home: No expenses (or allocation of expenses) are allowed for business use of the home: rent, utilities, homeowner or renter insurance, etc.
    - Fines and penalties cannot be expensed.
    - Casualty losses are ***out-of-scope**;* see the section Schedule A - Casualty and Theft Losses – out-of-scope (Line 15) on page **87** for details.
- Resources:
    - Chapter 11, Other Expenses in **Pub 535, Business Expenses**, has more information on allowable expenses.

Schedule C – Final Step

- After all income and expenses have been entered, for all Schedule Cs, then from the Income menu, create a PDF ("print") to check that the net profit(s) are what was expected. (Normally the taxpayer will have calculated the net profit him/herself, or at least totaled income and expenses.)

Health Insurance Costs as a Business Expense

- Health insurance premiums paid by the taxpayer covering the taxpayer, spouse, and/or a child under the age of 27, including LTC premiums, **are allowable** as an expense for those who are self-employed. While such expenses are usually entered on the **Schedule C – Expenses page** (click on "General Expenses" from the Schedule C menu), these costs will *not* show on the printed Schedule C. Instead, such expenses go on Line 16 of Schedule 1 (limited by the amount of profit on Schedule C), and any excess will automatically flow to Schedule A, as medical expenses for itemization.

- Prior year returns – 2020, 2019, and 2018 – can be amended to take this deduction.
- Further information on entering health insurance premium costs is covered in the section Schedule 1, Line 17 - Self-Employed Health Insurance (SEHI), on page 72.

Notary Fees

- Income from notary fees, and related expenses, are reported on Schedule C in the normal manner.
- Notary fees are exempt from self-employment tax. For such fees:
  - Go to the **Schedule SE Self-Employment Tax** page [Federal Section > Other Taxes > Self-Employment Tax; not available via the search box] and select the correct taxpayer, if a MFJ return.
  - Enter the net profit from the notary business in the box "Enter Exempt Notary Income" (the second box on the page where a dollar figure can be entered.)
  - Click "Continue" to finish the page.

SIMPLE SCHEDULE K-1 FORMS, INCLUDING PREPAID FUNERAL PLANS

- If a Schedule K-1 form includes anything *other than* interest, dividends, royalties, capital gains/losses, and associated foreign tax credits, then the return is ***out-of-scope***.
  - Pre-paid funeral/burial plans that report using a Schedule K-1 *will* be in-scope, because of their limited income and expense categories.
  - If box 14 has code "E" in it, the amount is *for information purposes only* and can be ignored. (If it were relevant, the return would already be ***out-of-scope*** because the taxpayer's income was too high.)
  - Box 19, Distributions, is an information-only field; any amount in this field should be ignored.
- Income reported on a Schedule K-1 is done on three different pages, all accessed from the **Schedule K-1** page [Income > Less Common Income > K-1 Earnings]. The three pages (in order) are:
  - Partnerships (Form 1065)
    - ***Note:*** If the end of year capital account on the form is **negative**, then the return is ***out-of-scope***
  - S-corporations (Form 1120S)
  - Trusts and estates (Form 1041)
- In TaxSlayer, for partnerships and S-corporations, when completing Part 1 – Information, check the "All Investment is At-Risk" box.
- The fiscal year of a partnership or S-corporation, as stated on a K-1 form, may not cover a calendar year. For example, a partnership's tax year might end on February 29, 2021. In that example, all amounts on that K-1 form should be reported on the taxpayer's 2021 tax return.
- If the K-1 form lists royalties, then, after completing the TaxSlayer page for entering K-1 income, TaxSlayer will ask which Schedule E should be associated with the income from royalties.
  - If no Schedule E exists, TaxSlayer offers to create one. For details on doing so, see the Schedule 1, Line 5 - Rental Real Estate and Royalties section, on page 63.
    - If no Schedule E is created before starting the E-file section, TaxSlayer will display an error that a Schedule E is missing.
- If the K-1 form lists foreign taxes paid, enter that amount on the **Form 1116 - Foreign Tax Credit** page [Deductions > Credits Menu > Foreign Tax Credit].
  - If there is more than one K-1 form showing foreign taxes paid, only the *total amount* is entered.
  - An amount entered on the **Form 1116 - Foreign Tax Credit** page will go to Schedule 3, Line 1, Foreign Tax Credit, on Form 1040, as discussed on page 90.
    - If foreign taxes were included on one or more Form 1099-INTs or 1099-DIVs and entered in TaxSlayer at the same time that other information on those forms was entered, do *not* enter the same amounts again on Form 1116 – TaxSlayer will automatically add those amounts to come up with full total that will be posted to Schedule 3, Line 1.
    - If the total – on all forms - of foreign taxes paid appears likely to exceed $300 ($600 for a joint return), see the discussion on page 90.
  - ***Note:*** Form 1116 is one of ten for which a PDF can be created from a menu page within the return.

SCHEDULE 1, LINE 4 - OTHER GAINS OR LOSSES (*out-of-scope*)

SCHEDULE 1, LINE 5 - RENTAL REAL ESTATE AND ROYALTIES

- Rentals and royalties are both reported on a tax return using a Schedule E. The total for all Schedule E's is put on Schedule 1, Line 5.

- If the taxpayer wants to claim associated expenses on a Schedule E, then the return is ***out-of-scope***. Schedule E's (if in-scope) have only income amounts.

- If rental income or royalty income was reported on a Schedule K-1 form:
  - If the K-1 form has rental income or loss (box 13), the return is ***out-of-scope.***
  - For royalty income, enter the information from the K-1 form as discussed in the section Simple Schedule K-1 Forms, Including Prepaid Funeral Plans, on page **63**; do **not** enter it directly on a Schedule E.
- If rental or royalty income is reported on a Form 1099-MISC, that income is **not** entered directly on a Schedule E. Instead, it is entered on a **Form 1099-MISC** page, which is reached from the main **Income** page in the Federal Section.
  - If income reported in box 2, "Royalties", is due to the taxpayer's own personal services, such as being an author or entertainer, then it belongs on a Schedule C, not a Schedule E. **Enter the amount in Box 7** in TaxSlayer, not in Box 2, so that TaxSlayer carries the income to the correct schedule.
    - ***Note:*** On Schedule C**,** business code 711510 is for "Independent artists, writers, & performers"
  - If there are dollar amounts in any boxes in addition to box 1, "Rents", and box 2, "Royalties", then see the section Form 1099-MISC, on page **57,** for how to handle those amounts.
  - ***Note:*** In the unlikely event that a Form 1099-MISC is received when the taxpayer has rented for less than 15 days during the year, see "Reversing a Form 1099-MISC", below.
- Cash payments for rent ["cash" includes checks and credit cards] for which there is no Form 1099-MISC may be in-scope; there cannot be any associated expenses.
  - Rental of land (for farming, camping, a pipeline, etc.) is in-scope.
    - The IRS allows related property taxes to go onto Schedule E, but doing so would make the return ***out-of-scope*** for the Tax-Aide program. Such property taxes *are* in-scope if claimed on Schedule A.
    - ***Note:*** Farm rental income which is based on crops or livestock produced by the tenant (share-rent) requires either Form 4835, Farm Rental Income and Expenses, or Schedule F; using either form means that the return is ***out-of-scope***.
  - Rental income involving buildings, even if as minor as an apartment over a garage or a room in a home, makes the return ***out-of-scope*** (but see notes 1 and 2, below) because such income always involves the associated expense of depreciation, even if not claimed. (When depreciation is involved, the taxpayer is almost always better off going to a paid preparer, or using tax-preparation software, in order to claim depreciation expense.)
    - ***Note 1:*** As described in Chapter 5 of **Pub 527, Residential Rental Property**, if a taxpayer's home is rented for less than 15 days during the tax year, such rental income can be totally excluded from their tax return.
    - ***Note 2:*** Rental income from sources such as a home is **in-scope only for military returns, with Military certification.**
    - ***Note 3:*** Income from sharing one's house through Airbnb and similar companies may or may not be rental income (in some cases it is business income, reported on Schedule C). This is not a determination to be made by a preparer. Unless the total days involved is less than 15, the return is ***out-of-scope***. Recommend that the taxpayer go to a paid preparer or use tax-preparation software.
  - Income from renting things that one owns, other than a home, should be reported on a Schedule C, not on a Schedule E.
  - A cost-sharing agreement, where a roommate pays the taxpayer, who in turn pays a landlord; or where a member of the taxpayer's household contributes money toward the cost of maintaining the home, is *not* rental income.
- If there is rental or royalty income that is in-scope, as discussed above, a Schedule E is needed. Go to the **Income** menu page in the Federal Section, and click "Schedule E."
  - On the **Schedule E Required Information** page, if the box regarding Forms 1099, such as a Form 1099-MISC, must be checked, then the return is ***out-of-scope***. (Otherwise, click "Continue".)
  - TaxSlayer then goes to the **Schedule E Rent and Royalty Information** page.
  - The "Type" field determines what information is required. If "Royalties" is the type, then address information is not required.
  - Rental or royalty income received on a Form 1099-MISC is entered separately, as discussed above, on page **57**, and should **not be included** in either rental or royalty income amounts which are entered directly on the Schedule E form in TaxSlayer.

    - This is true even though, for royalties, the "Royalty payments received" field does not explicitly say to exclude income reported on a Form 1099-MISC.
  - Similarly, royalty payments on a Schedule K-1 form are entered separately in TaxSlayer, as described above, on page **63**, and should not be entered directly on Schedule E.
  - **Cash payments** for rent or royalties should be entered on the field "Rental payments received" (or "Royalty payments received".)
  - For rentals, enter the type (as discussed above, anything but "Land" is probably ***out-of-scope***), the property address [*not the taxpayer's address*, unless the two are the same], the number of days the property was rented at fair rental value, and the number of personal use days.
    - The presumption is that whatever price is normally charged is the fair rental value. But, for example, if the rental price were reduced for a friend or family member, or as a favor to someone, then that would *not* be counted as a regular rental day. (The income from *all* days is reported, whether the fair rental value is charged or not.)
    - "Personal use days" are days on which an owner resided on the property, regardless of the reason (as, for example, for maintenance or to make improvements.)
  - It is not necessary to determine if the taxpayer "actively participated", nor to check the related box.
  - After the **Schedule E Rent and Royalty Information** page is done, and "Continue" is clicked, TaxSlayer goes to the **Schedule E Rentals and Royalties** menu page. Click "Continue."
    - Expenses on a Schedule E are ***out-of-scope***, except for active-duty military members, so there is no reason to select "Depreciation", "Expenses", or "Car and Truck Expenses."
- Reversing a Form 1099-MISC**:** If a taxpayer's home is rented for less than 15 days during the tax year, such rental income can be totally excluded from their tax return. In the unlikely event that a Form 1099-MISC is received, enter the Form 1099-MISC into TaxSlayer, to match IRS records; create a Schedule E where the rental income will be recorded; and on that Schedule E, enter a matching amount as an Additional Expense, labeled "Less than 15-day exclusion", so that the net income on the schedule is zero.

SCHEDULE 1, LINE 6 - FARM INCOME (*out-of-scope*)

SCHEDULE 1, LINE 7 - UNEMPLOYMENT COMPENSATION

- Unemployment compensation is fully taxable on the federal return.
- If the taxpayer has received a Form 1099-G (the generic title is "Certain Government Payments", but this varies by state), go to the **Unemployment Income** page [Income > Form 1099-G Box 1 > Add or Edit a 1099-G]. Complete the form:
  - Check the appropriate box at the top to indicate whether the payment was made to the Taxpayer or the Spouse.
  - Compare the recipient's address on the page to the address on the paper Form 1099-G. If they are different, change the address on the TaxSlayer page.
  - Do not enter anything in the State Information section unless there was state tax withheld.
- ***CA process note:*** The California form has two parts: Unemployment and Family Leave.
  - If there are dollar amounts on both parts, add a second **Unemployment Income** page to enter the Family Leave dollar amount.
  - Both are reported on Schedule 1, Line 7, as unemployment compensation.
- ***Note for CA state returns:*** Unemployment and family leave payments are NOT taxable by CA.
  - TaxSlayer makes the adjustment automatically on CA Schedule CA, Part I, Section B, line 7.
- If there were r**epayments**, **do not** adjust the dollar amounts of payments to the taxpayer in TaxSlayer. Enter the dollar amounts into TaxSlayer exactly as they appear on the Form 1099-G. Amounts repaid are reported separately.
  - Amounts repaid during the **same year** that benefits were received are entered on **Repayment of Unemployment** page [Income > Form 1099-G Box 1 > ...] and will reduce the taxable income on Schedule 1, Line 7.
  - Any amount repaid for a **prior year** is *not* entered on this page; it must be deducted on Schedule A, as a miscellaneous deduction, if over $3,000. It does not offset any amount received for the current year, which is treated as income.
    - Beginning with tax year 2018, repayments of $3,000 or less are **not** allowed as a deduction on the federal Schedule A; this is part of the group of deductions subject to a 2%-of-AGI reduction that can no longer be claimed.

- ***Note for CA state returns:*** Repayments of any amount are **not** deductible as a CA itemized deduction because the original payment was not taxed by CA. If a repayment of over $3,000 is entered on Schedule A, **an adjustment (reduction of itemized deductions)** is needed on CA Schedule CA, Part II, line 21. On the "Itemized Deductions" page of the CA State Section, enter the amount in the "Subtractions - Other Miscellaneous Itemized Deductions" box.

SCHEDULE 1, LINE 8 - OTHER INCOME

- Line 8 of Schedule 1 is used to report any income not reported elsewhere in the return, such as gambling winnings, taxable cancellation of debt, taxable HSA distributions, prizes, awards, jury duty pay, Alaska Permanent Fund dividends, income from outside of the United States not reported on a W-2 or other U.S. tax form, and recovery (repayment/reimbursement) of expenses claimed in prior years as itemized deductions.
  - Small amounts of compensation for holding an appointed public should be reported on Line 8, rather than on Schedule C, because officeholders are not considered to be engaged in a "trade or business."
  - ***Do not*** check the "earned income" box for amounts on Line 8 where this might seem to be applicable, such as for jury duty pay. If you check that box, TaxSlayer will assess self-employment taxes.
  - ***Note:*** Activities that generate income and offsetting expenses (not deductible on Schedule A as of 2018) but do not meet the criteria of being for income or profit (for example, coin collecting) are classified by the IRS as a **hobby** and make the return ***out-of-scope***.
  - Neither **gifts** received from another person or organization, nor **inheritances**, are taxable income for the recipient. For example, a $500 disaster relief check from a non-profit organization is a *gift*, and so is not taxable or reportable on the taxpayer's tax return.
    - ***Note for CA state returns:*** A few states *do* have an inheritances tax; California is not one of those states.
- If more than one "other income" item is entered into TaxSlayer, TaxSlayer generates a supporting statement that is sent to the IRS. This statement will be included in the PDF for the return when the print set specifies that the PDF includes statements and worksheets.

Gambling Winnings (Form W-2G)

- If the taxpayer has a Form W-2G, go to the **W-2G Gambling Winning** page [Income > Less Common Income > Gambling Winnings.]
  - Check the box for Taxpayer or Spouse, if a MFJ return.
  - If the Payee's Address information does not match the information on the paper Form W-2G, change the information on the TaxSlayer page.
  - The Payer's federal ID number (EIN) is required. If, when this is entered, TaxSlayer then fills in the rest of the Payer Information section, verify that the payer's name and address match the Form W-2G exactly, and, if not, make changes.
  - As stated on the TaxSlayer page, do **not** enter information on the four state-related lines in the "Winnings Information" section, unless there is withholding.
    - ***Note for CA state returns:*** If the "State Tax Withheld" line has an amount, then the State ID number is **required** to avoid a CA reject of the state e-filed return; "999999" if the State ID number is missing from the paper Form W-2G.
  - Other information on the page is not required, and it is recommended that it be left blank
- If there is more than one paper Form W-2G, then after clicking "Continue", click the "Add" button to add another **W-2G Gambling Winning** page.
- If the taxpayer wants to report gambling winnings that are *not* on a Form W-2G, these winnings are entered on the **Other Income** page in TaxSlayer [Income > Less Common Income > Other Income Not Reported Elsewhere.]
  - For the description, enter "Gambling - not on W-2G."
- ***Note for CA state returns:*** *California Lottery winnings* are not taxed by CA. If any such winnings are reported in the Federal Section, then in the State Section, go to the **Subtractions from Income** page, select "California Lottery Winnings", and enter the amount of those winnings.

Gambling Losses

- Gambling losses can be claimed as a Schedule A deduction, but the total amount of losses claimed cannot be greater than the total amount of winning reported.

  - Gambling losses reported on Schedule A *do not have to be from the same source (location or type of game) as the winnings.*
- The taxpayer is responsible for having *written substantiation* for the amount claimed for losses; that might, for example, be information recorded in a personal log book.
  - As with most other matters, Tax-Aide preparers should take the word of the taxpayer as to the amount of losses. (Customers who play at a casino using a customer card can get a printout from that casino, showing "cash in" – bets/losses, and "cash out" – winnings, but such a statement is not required.)
- Gambling losses appear on line 16 of Schedule A.
  - ***Note:*** Gambling losses reported on Schedule A only have value to the taxpayer **if** that the taxpayer itemizes. If the taxpayer takes the standard deduction on both the federal and state returns, then gambling losses have no value.
  - ***Note:*** It is typical that gambling losses exceed gambling winnings, and so equal amounts can be reported on Form 1040. This will *not* necessarily mean no impact on the taxpayer. Specifically:
    - The increase in AGI can reduce or eliminate credits (EIC, for example) or reduce ACA subsidies.
    - Social Security income can become (more) taxable, up to 85%.
    - If the taxpayer would otherwise have used the standard deduction, and would have owed taxes, then taxable income will increase by some amount (potentially almost as much as the standard deduction), and taxes owed will increase accordingly.
- To enter gambling losses, there are **two options:**
  - (1) Losses can be directly entered on a **W-2G Gambling Winning** page.
    - On this page, losses cannot be entered in excess of winnings entered on the page. That tends to make option (2) the better one, *if* there are a lot of W-2Gs – just leave all losses off of the W-2G entries.
  - (2) Go to **Schedule A - Miscellaneous Deductions** page [Deductions > Itemized Deductions > Miscellaneous Deductions] and enter the amount on the line "Gambling losses to the extent of gambling winnings."
    - ***Warning:*** TaxSlayer does *not* reduce the losses reported on this page to equal, and not exceed, total winnings. If you enter *excess* losses on this page, TaxSlayer will issue a warning when you go to the E-file section but will not block e-filing. A return that is e-filed with losses exceeding winnings will reject. So if you pick this option, make sure you
- ***Note for CA state returns:*** If gambling losses include an amount to **offset** California Lottery winnings, make an adjustment to remove such losses from the CA return, since CA Lottery winnings aren't taxable on the CA return.
  - In the State Section, on the "Itemized Deductions" page, enter the amount of offsetting losses in the "Subtractions - Other Miscellaneous Itemized Deductions" box.

1099-MISC Income on Line 8 of Schedule 1

- The procedure for entering a paper 1099-MISC document into TaxSlayer, when the income is to go on Line 8, Other income, of Schedule 1, is described in the section Form 1099-MISC, on page **57**.
- ***Note for CA state returns:*** **Indian tribal income** may require special treatment on the CA return.
  - An amount in box 3 of a Form 1099-MISC can represent a portion of the profit from a casino or other business on tribal lands. This is always taxable on the federal return.
  - Indian Tribal Income reported on a Form 1099-MISC is exempt from CA taxation **ONLY IF** the recipient is (a) an enrolled member of the Indian tribe that issued the 1099-MISC (presumably yes); and (b) lived on that tribe's land.
    - If exempt for CA, a manual adjustment is required in the State Section, described in the section Manually Entering Income Differences on CA Schedule CA on page **110**.
    - ***Note:*** Requirements for excluding **W-2** tribal income (earned wages) are less stringent as of January 1, 2018, but requirements related to 1099-MISC payments *did not change*.

Payments From Qualified Education Program - Form 1099-Q

- Form 1099-Q is used to report gross distributions from a qualified tuition program (529 plan) or a Coverdell Education Savings Account (ESA.)
- If these distributions were fully used for qualified expenses, they are not taxable, and the return is in-scope.
  - Qualified educational expenses include the student's expenses for computer equipment, software, and Internet access, as well as tuition and fees.

- Beginning with tax year 2018, withdrawals from 529 plans can also be used for K-12 expenses. Beginning with tax year 2019, withdrawals can also be used for apprenticeship costs, and for up to $10,000 of qualified student loan principal and/or interest payments.
  - ***Note:*** The $10,000 is a *lifetime* limit; if you see this type of withdrawal, add an electronic note to the tax return, stating how much of the $10,000 limit has been used, and for whom.
- Expenses used to offset distributions cannot be used elsewhere in the tax return.

- If the distribution exceeds the amount of qualified expenses, the return is ***out-of-scope***.
- ***Note for CA state returns:*** CA does not conform to the 2018 and later federal changes. Withdrawals made for K-12 expenses or apprenticeship costs *are taxable on the CA return*.
  - **You must ask taxpayers whether expenditures were for college-level expenses.**
  - Expenditures that are taxable by CA are entered on CA Schedule CA, as discussed in the section Additions to Income, on page **110**.

Distributions from LTC Plans-Form 1099-LTC

- If the taxpayer has a Form 1099-LTC, Long-Term Care and Accelerated Death, ask the taxpayer if payments were made on a per diem basis, or on another periodic basis, such as a fixed amount each month.
  - **If NO, then no entry is required in TaxSlayer.**
- If **YES**, then go to the "Long Term Care (LTC) Insurance Contracts" section of the **Form 8853 - Medical Savings Account** page [Deductions > Adjustments > Medical Savings Account.]
  - For MFJ returns, note that the **policyholder's** name on the Form 1099-LTC can be different from the **payer name** and from the **insured's name**.
  - If the first box, "Check here if anyone other than you received payments ... ", should be checked, the return is ***out-of-scope:*** recommend that the taxpayer go to a paid preparer or use tax-preparation software. [The "you" in the sentence to the right of the checkbox is the *policyholder.*]
  - Enter the number of days in the LTC period.
- Check the appropriate box if the insured individual was determined to be terminally ill (defined being certified by a physician as having an illness or physical condition that can reasonably be expected to result in death within 24 months of the date of certification) [***Note:*** this information may be in box 5 of the Form 1099-LTC.] Then:
  - If there is an amount in box 2, "Accelerated death benefits paid", on the Form 1099-LTC, then this must be split *if* any accelerated death benefits were paid *before* the insured was declared to be terminally ill.
    - If such benefits *were* paid before the declaration was made, then the dollar amount paid should be entered on the line "Accelerated death benefits received on a per diem."
    - If none of these benefits were paid before the declaration was made, and there is no amount in box 1 of the Form 1099-LTC, then no further entries are required in this TaxSlayer form; click "Continue."
- If there is no amount in box 1 of the Form 1099-LTC, click "Continue"; otherwise, for the amount in the box:
  - If "Reimbursed amount" is checked in box 3, enter the amount from box 1 into the line "Total reimbursements received or that you expect to receive". No further entries are needed.
  - If "Per diem" is checked in box 3, enter the amount from box 1 into the line "Gross LTC payments received on a per diem basis", and then:
    - IF box 4 on Form 1099-LTC is checked, enter the same amount into the line "Portion of 'Gross LTC payments' above that was from qualified LTC insurance contracts."
    - Enter the number of days covered by the per diem (this number must be provided by the taxpayer.)
    - IF the taxpayer's actual costs on qualified LTC services, during the period that per diem was being received, exceeded the 2021, tax-free threshold of $400 per day, enter the amount on the second-to-last line of the TaxSlayer page. Otherwise, leave the line blank. (If necessary, see the **Instructions for Form 8853** for the definition of qualified LTC costs.)
- ***Note:*** *Unreimbursed* medical expenses for long-term care can be deducted on the federal Schedule A, if the taxpayer itemizes and has sufficient medical expenses to exceed the 7.5%-of-AGI threshold.
  - If receiving per diem, the taxpayer would have had to spend more than the per diem amount paid in order to have any unreimbursed expenses.

HSA Distributions

- If a distribution is received on a Form 1099-SA:
  - Form 8889 must be prepared, and a tax return must be filed even if there is no other income.

  - Go to the **Form 8889 - Health Savings Account** page [Deductions > Adjustments > Health Savings Account.]
- Get information from the taxpayer to complete the type of coverage, and the second and third boxes in the "HSA Distributions" section.
  - Unreimbursed expenses from a prior year (but after the HSA was set up) are qualified medical expenses IF they were not used as a Schedule A deduction. If the taxpayer wants to count expenses from a prior year as qualified medical expenses, the taxpayer must have good records, to avoid double-counting.
- Beginning in 2020, qualified medical expenses for HSA accounts include over-the-counter (OTC) medicines, as well as feminine hygiene products. **Pub 969, Health Savings Accounts and Other Tax-Favored Health Plans**, is the definitive guide; **Pub 4012, on page E-8** , has a short list; an extensive list can be found at **https://learn.hellofurther.com/Individuals/Spending_Your_Account/Eligible_Expenses** .
- If the entire distribution amount was matched or exceeded by qualified medical expense, or rolled over, there is no taxable amount, and no exception is needed; the TaxSlayer form is complete. But **if the second and third amounts in the "HSA Distributions" section, totaled, are less than the first amount, then the difference is taxable and there is a potential penalty.**
  - TaxSlayer puts the difference on Schedule 1, Line 8e, as Other Income.
  - For the penalty:
    - *If* the excess distribution (the difference) was made after the beneficiary become disabled, became age 65, or died, then check the exceptions box.
    - If there is no exception, there will also be a 20% additional tax. TaxSlayer carries this amount to Schedule 2, Line 6, Taxes.
- ***Note:*** If a distribution is used for qualified medical expenses, those expenses cannot be put on Schedule A.
- ***Note for CA state returns:*** CA does not recognize HSA contributions, distributions, or expense deductions – see the section Health Savings Accounts in CA, page **115**..
  - Manual adjustments are required for interest, capital gains, or other income earned within an HSA account; for any distribution in excess of qualified medical expenses; and – **if** the taxpayer is itemizing on the CA return and could have medical expenses in excess of 7.5% of AGI – for qualified medical expenses covered by HSA distributions.

Cancellation of Debt

- *Non-business credit cards*:1099-Cs for cancellation of Debt (COD) from non-business credit card is in-scope, including an amount in box 3 (interest). See the screening sheet in **Pub 4012, on page D-60**.
  - To enter the amount of credit card debt that was cancelled, as taxable income, go to the **Form 1099-C** page [Income > Less Common Income > Cancellation of Debt > Cancellation of Debt (Form 1099-C)]; this is described in **Pub 4012, on page D-62**.
    - You should *confirm with the taxpayer* that the taxpayer agrees with reporting this amount as income *before beginning the tax return in TaxSlayer*.
    - ***Note:*** The amount in box 1 *includes* the interest amount in box 3.
  - ***Note:*** While it is true that any cancellation of debt, whether a Form 1099-C was or was not received, must be reported as income (to be in-scope), it's also true that credit card companies often **delay in issuing that form**. The problem with reporting income *without* the form, should the taxpayer raise that matter, is that the credit card company might issue a Form 1099-C in a subsequent year if the amount involved is $600 or more.
    - If a Form 1099-C *is* issued in a subsequent year for an amount reported in the current year, the earlier return will need to be amended to remove the income, and that income will then need to be reported again, for the tax year which is on the Form 1099-C.
  - Cancellation of credit card debt results in taxable income unless an exception, such as insolvency, applies - **Pub 4681, Canceled Debts, Foreclosures, Repossessions, and Abandonments**, has details.
    - However, if the taxpayer elects to use an exception to make the COD amount non-taxable, then the return is ***out-of-scope***.
- *Qualified principal residence indebtedness.* In-scope for the federal return.
  - ***CA policy:*** CA does not conform to federal rules with regard to excluding income that results from the cancellation of debt for a mortgage ("qualified principal residence indebtedness"). [The federal exclusion was reinstated by Congress in December 2019, retroactive to 2018.] Accordingly, within CA, this type of cancellation of debt is ***out-of-scope***, even though the Tax-Aide Scope manual says this type of loan forgiveness is in scope.

- *Student debt loan:* For tax years 2021 through 2025, most student loan debt forgiveness is excluded from being counted as income on the federal return. The taxpayer should **not** receive a Form 1099-C for such debt forgiveness. For a list of types of student loans covered, and what to do if a form is received that should not have been issued, see page D-62 in the NTTC version of Pub 4012.
  - ***Note for CA state returns:*** CA does not conform to the new federal exclusions. If a taxpayer presents a 1099-C involving this type of debt forgiveness, you should seek assistance of the FTB to determine what the proper CA treatment is, since CA does, in a few situations, consider forgiven student debts to not be taxable income.
    - It is not necessary to ask taxpayers if they have had a student loan forgiven in 2021, if they have no 1099-C. But if they volunteer that information, then determination needs to be made as to whether the loan forgiveness is income on the CA return.

Taxable Distribution Received from Cooperatives

- Form 1099-PATR, "Taxable Distribution Received from Cooperatives", is not entered into TaxSlayer if the distribution is a rebate/refund based on **purchases made for personal use** made by the taxpayer.
- If Form 1099-PATR was issued as a rebate/refund of **purchases made for a business** (for example, food that was resold), then the entire return is ***out-of-scope***.

Foreign Income

- Income from Canadian and German social security programs are treated like U.S. Social Security payments. Calculate the U.S. dollar equivalent (see below) and then follow the instructions in the section Canadian or German Social Security, on page **51**.
- Except for those two types of social security income, any other social security or pension income from a foreign country is simply "Other income". After converting the foreign currency (note that some payments may be in U.S. dollars), go to the **Other Income** page [Income > Less Common Income > Other Income Not Reported Elsewhere] and enter the income.
  - ***Note:*** Compensation received from a foreign employer, if not on a W-2, is still reported on line 1 of Form 1040, and is ***out-of-scope*** except for tax preparers with the international certification.
- To convert a foreign currency to U.S. dollars:
  - The IRS publishes "Yearly Average Currency Exchange Rates": **irs.gov/individuals/international-taxpayers/yearly-average-currency-exchange-rates**.
  - Other currency exchange rate sources are:
    - **xe.com/currencytables/**
    - **X-rates.com** (click on "Historic Lookup")

Other Income Without a Supporting IRS Form

- This includes poll worker income, medical study income, and jury duty pay.
  - Jury duty pay is not "earned income" for the purposes of the EIC.
- Go to the **Other Income** page [Income > Less Common Income > Other Income Not Reported Elsewhere] and enter this income.
  Note: If the taxpayer was required by their employer to **turn over jury duty pay to the employer**, then the pay is still reported on Schedule 1, Line 8g, but an adjustment is made as described in the section Schedule 1, Line 24 - Other Adjustments, on page **76**.

ADJUSTMENTS TO INCOME

SCHEDULE 1, LINE 11 - EDUCATOR EXPENSES

- This adjustment is limited to taxpayers and spouses who are a K-12 teacher, counselor, principal, or aide, and who works in a school for at least 900 hours per school year; the maximum for 2021 is $250. The amount is for *each* educator, so for MFJ returns, it is possible to get an adjustment of up to $500.
- Refer to **Pub 4012, page E-4**, for rules.
  - ***Note:*** While expenses for this adjustment are normally donated books, supplies, and equipment, unreimbursed professional development expenses related to teaching can also be used.
- The amount is entered on the **Educator Expense** page [Deductions > Adjustments > Educator Expenses].
- The amount is adjusted for inflation. However, low inflation has resulted in the amount remaining at $250 through at least tax year 2021.

- ***Note for CA state returns:*** The Line 11 amount is NOT recognized by CA as an adjustment to income.
  - TaxSlayer automatically adjusts the CA return so that it ignores the entry on Line 11. The adjustment is posted to CA Schedule CA, Part I, Section C, line 11.
  - The amount can be claimed as an unreimbursed employee expense for CA purposes, *if* the taxpayer is itemizing on the CA return.
    - This itemized deduction is part of a group of CA-only deductions that are subject to the 2%-of-AGI reduction. For more information, see page **87**.

SCHEDULE 1, LINE 12 - CERTAIN BUSINESS EXPENSES (*OUT-OF-SCOPE*)

- The amount on this line comes from specific items on Form 2106. In general, this line is ***out-of-scope***; there is a limited exception for returns involving members of the military, if counselors have Military certification
- Some non-military employees *can* take this deduction, and it may be appropriate to refer them to a paid preparer if their unreimbursed expenses are significant. Those types of employees are:
  - Qualified performing artists
  - Fee-basis state or local government officials
  - Employees with impairment-related work expenses

SCHEDULE 1, LINE 13 - HEALTH SAVINGS ACCOUNT DEDUCTION

- Information about HSA contributions is in **Pub 4012, on pages E-6 through E-8**; more information is in **Pub 969, Health Savings Accounts and other Tax-Favored Health Plans**.
  - HSA contributions can only be made if the taxpayer was covered by a high deductible health plan (HDHP). For 2021, the IRS defines a high deductible health plan as any plan with a deductible of at least $1,400 for an individual or $2,800 for a family.
  - Taxpayers covered by Medicare are not eligible to contribute to a HSA, even if they have an open HSA account. (They can continue to take *distributions* from that HSA account.
- Enter the amount contributed to an HSA *by the taxpayer* in the first dollar amount field on the **Form 8889 - Health Savings Account** page [Deductions > Adjustments > Health Savings Account.]
  - The taxpayer may provide **Form 5498-SA**, which shows the amount of contributions during the tax year. If they do not have this form, the taxpayer's word is sufficient.
  - Contributions designated for 2021 may be made as late as April 18, 2022.
  - ***Note:*** Any contribution in excess of the amount allowed as a deduction is subject to a 6% additional tax, assessed on Form 5329, Part VII, which makes the return ***out-of-scope***.
- Amounts contributed by an *employer* are shown on the Form W-2 as code W in box 12. Information entered in the **W-2** page in TaxSlayer is *not* displayed on the 8889-input page, which says "We will automatically pull your employer contributions from your W-2. DO NOT enter amounts from your W-2."
  - The information from the **W-2** page *does* show on line 9 of Part I of the printed Form 8889, in the PDF of the taxpayer return.
- ***Note for CA state returns:*** CA does not recognize HSAs – see Health Savings Accounts in CA, page **115**. TaxSlayer automatically makes the adjustment on CA Schedule CA, Part I, Section C, line 13.

SCHEDULE 1, LINE 14 - MOVING EXPENSES (*out-of-scope*)

- Beginning with tax year 2018, moving expenses paid by the taxpayer *are not deductible* on the federal return, except for military personnel. Returns that claim a deduction for moving expenses for military personnel are ***out-of-scope*** unless counselors have Military certification, which includes training on this topic.
  - ***Note for CA state returns:*** CA does not conform to this change; moving expenses can be claimed by non-military personnel. However, such CA returns are ***out-of-scope*** except for counselors who have Military certification.

SCHEDULE 1, LINE 15 - DEDUCTIBLE PART OF SELF EMPLOYMENT TAX

- This amount is carried by TaxSlayer from Schedule SE (visible on the PDF of the taxpayer return); it represents the employer's part of the tax (7.65% of net business income).

SCHEDULE 1, LINE 16 - SELF-EMPLOYED SEP, SIMPLE PLANS (*out-of-scope*)

SCHEDULE 1, LINE 17 - SELF-EMPLOYED HEALTH INSURANCE (SEHI)

- The cost of health insurance premiums, including Medicare and LTC premiums, are allowable as an expense (deduction/adjustment) for taxpayers who have a Schedule C (self-employment) and have a net profit. If a taxpayer doesn't have a Schedule C, then the SEHI adjustment can't be taken.
  - In general, if the taxpayer is itemizing, rather than taking the standard deduction, and if the taxpayer's total medical expenses exceed the 7.5% of AGI threshold *plus* the net profit from Schedule C(s), then taxpayer is *always better off putting all medical insurance premium costs into Schedule A*.
    - That's because every dollar on Line 17 of Schedule 1 *reduces* the QBI deduction by 20 cents – and thus impacts taxable income by a net of only 80 cents, while every dollar on Schedule A, in the circumstances described, impacts taxable income by one full dollar.
- If the taxpayer should take the SEHI adjustment, *enter all **qualifying** health and dental insurance premiums* on the **Schedule C – Expenses page** (click on "General Expenses" from the Schedule C menu.)
  - TaxSlayer will flow these costs to Schedule 1, Line 17, to the extent allowed, and any excess will automatically flow to Schedule A, as medical expenses for itemization. (TaxSlayer will show, on the **Self-Employed Health Insurance Deduction** page, the following: "$[whatever].00 has been entered into the Schedule C for Health Insurance Premiums".)
  - If the taxpayer or spouse has paid **Medicare premiums**, and has a Schedule C, enter those premiums into Schedule C, rather than on the **Social Security SSA-1099/RRB-1099 Tier I** page.
  - Similarly, if the taxpayer pays long-term care (LTC) premiums, these should be entered on Schedule C, if there is one, rather than directly on Schedule A.
    - ***Note:*** The amount of long-term care (LTC) premiums that are deductible depends on age. For tax year 2021, the total that is deductible is $450 if 40 or younger on December 31, 2021; $850 if 41 to 50; $1,690 if 51 to 60; $4,520 if 61 to 70; and $5,640 if 71 or older.
  - These costs will *not* show on the printed Schedule C.
  - **Do not use** the **Self-Employed Health Insurance Deduction** page in TaxSlayer. Do not enter health insurance payments on this page, or net profit figures, or any other information. All the fields on this page are for information that is unnecessary, entered elsewhere (on Schedule C), already known to TaxSlayer (net profits), or *out-of-scope*.
- Basics:
  - The amount of the adjustment is limited to the net profit on Schedule C (Schedule 1, Line 3), minus the deductible part of the self-employment tax (Schedule 1, Line 15.)
    - TaxSlayer follows this rule *if* allowable health insurance premiums are entered in Schedule C. (Any excess entered in Schedule C will flow to Schedule A, as medical expense.)
  - **Age is not a factor** – the taxpayer **can** be older than 65.
  - The policy can be in the name of the taxpayer or of the spouse, or both, or in the name of the business.
  - The allowable costs are only for **premiums**, not for deductibles, co-pays, self-pays, or other health-related costs.
  - Allowable premiums include those for dependents under the age of 27 as of year-end, even if the child is not the taxpayer's dependent.
    - "Child" includes stepchild, adopted child, or foster child.
  - [Workaround] If there is **more than one Schedule C**, health care costs should be entered on the schedule(s) in such a way as to maximum the SEHI deduction.
    - Because the taxpayer can claim a SEHI deduction for insurance costs for the taxpayer's spouse, and vice versa, any qualified health insurance cost can be entered on *any* Schedule C.
    - The health insurance costs on a given Schedule C will become a SEHI deduction *only to the extent of the net profit for that Schedule C.* So, for example, if a Schedule C has a net profit of $1,000, and health insurance costs of $1,600 are entered via that Schedule C, only $1,000 (minus the adjustment for SE taxes) will flow to the SEHI adjustment, *even if there is another Schedule C with net profits.*
- The types of insurance that are allowable for this deduction include **Medicare**, Medicare supplemental policies, LTC insurance, and private health insurance.
  - Private health policies must be in the name of the taxpayer or the business. Even if a taxpayer pays a monthly amount for employer-provided insurance, those costs are not deductible because the policy is in the name of the employer, not the taxpayer, and is subsidized by the employer.
  - Premiums paid for dental and other types of health insurance, such as vision, catastrophic, and travel insurance for medical costs, *are* deductible, provided that these policies are not subsidized by an employer.
    - Premiums for life or disability insurance are *not* deductible.

- While premiums paid by the taxpayer for **ACA-subsidized** health insurance ("Marketplace" policies) *are* allowable costs for the SEHI deduction, they are ***out-of-scope*** [though the return itself may not be – see below] for the Tax-Aide program because of the complexity of calculating the amount of insurance premiums that the taxpayer is responsible for. [The subsidy amount - APTC - depends on the taxpayer's AGI; the AGI is calculated using the SEHI deduction; and the SEHI deduction depends on the APTC.]
  - The taxpayer has three options: not reporting such costs on the tax return (in-scope); claiming such costs on Schedule A, if itemizing (in-scope); or having the return done by a paid preparer or using tax software, in order to use Marketplace (net) premiums for the SEHI deduction (*out-of-scope*).
    - The value of using a paid preparer, or tax software, can be easily tested: treat the Marketplace premiums, temporarily, as usable (enter them in Schedule C), *after* all other insurance premiums are entered, and a refund already calculated, and see if making them usable (temporarily) results in a significant change in what the taxpayer owes or will be refunded.
  - If the taxpayer buys unsubsidized health insurance through an ACA marketplace, those premiums *are* allowable for the SEHI adjustment.
- If the Public Safety Officer exclusion is claimed (up to $3,000 of retirement plan distributions can be excluded from taxable income, as discussed on page **45**), the insurance costs that are used for exclusion cannot be used for the SEHI adjustment, since they were essentially paid using nontaxable dollars.

- **Premiums paid for health insurance coverage during a month where the taxpayer could participate in an employer-subsidized health plan *are not allowable for this deduction*, whether taxpayer participated or not.**
  - But coverage from a *former* employer does not affect what can be claimed – for example, it the taxpayer has a COBRA policy that is part of a separation package, with part of the policy costs paid by the former employer, the taxpayer can still claim the premiums that he/she paid.
- There are two reasons to enter premium costs on Schedule C, rather than directly on the **Self-Employed Health Insurance Deduction** page [Deductions > Adjustments > ....]
  - First, on the **Schedule C – Expenses page**, you can *separately* enter multiple health insurance costs, and TaxSlayer will total them. This helps make sure that all health insurance premiums were entered and prevents totaling errors.
  - Second, TaxSlayer requires, on the **Self-Employed Health Insurance Deduction** page, that the amount of "net profit and any other earned income from the trade or business" be entered. ***If*** the total for premiums is entered on the SEHI Deduction page, TaxSlayer uses the net profit figure on that page, *rather than the actual Schedule C profit figure,* in calculating the amount that goes on Schedule 1, Line 17. This creates another possibility of an error.

SCHEDULE 1, LINE 18 - PENALTY ON EARLY WITHDRAWAL OF SAVINGS

- Penalties for early withdrawal are normally reported on Form 1099-INT; they are entered into TaxSlayer as part of the normal process of entering a Form 1099-INT, as described on page **35**.
- In some unusual circumstances, the taxpayer may have paid an early withdrawal penalty that was not reported on a Form 1099-INT. In such cases, enter the information on the **Early Withdrawal Deduction** page [Deductions > Adjustments > Penalty on Early Withdrawal of Savings or CD.]

SCHEDULE 1, LINE 19 - ALIMONY PAID

CA process: CA does **not conform** with the federal change that for divorces finalized after December 31, 2018, as well as separations signed after that date, alimony that is paid will no longer be treated as a reduction in income on the federal return.

Because CA still treats **all** alimony paid as reduction in income, **all alimony paid must be entered into TaxSlayer,** regardless of the date of the divorce decree or subsequent amendments.

- Refer to **Pub 4012, page E-9**, for rules.
- Alimony does NOT include child or family support, which are NOT deductible.
- Go to the **Alimony Paid** page [Deductions > Adjustments > ....]
  - The SSN of the person receiving the alimony is required because that person must report the payments as *income*.

        - If no SSN is available, use 111-00-1111.
            - If the alimony paid is reduction in income on the federal return, **paper file the federal return**. Also include a statement with the paper-filed return as to why no SSN was available. (The statement doesn't have to be in TaxSlayer, but you can record on a **Preparer Note** page [Miscellaneous Forms > Explanations > ...], if you want.)
            - ***Note for CA state returns***ut: In this situation, the CA return also must be paper-filed.
    - If the alimony agreement was revised after December 31, 2018, **and** the revised agreement says that alimony paid will no longer be treated as a deduction (nor as income to the recipient), **do not enter the date of the original agreement**. Instead, enter the revised date. so that TaxSlayer eliminates the alimony paid amount from the federal return.
- ***Note for CA state returns:*** If the alimony paid does not reduce taxable income on the federal return, TaxSlayer will automatically post the alimony paid amount as an adjustment (decrease of income) on CA Schedule CA, Part I, Section C, line 19a.
- ***Note for CA state returns:*** The **last name**, not the full name, of the person being paid alimony must be entered in the State Section [Basic Information > Additional Personal Information].

SCHEDULE 1, LINE 20 - IRA DEDUCTION

- The taxpayer, and spouse if filing jointly, may each make IRA contributions, subject to age and income limits. **Pub 590-A, Contributions to Individual Retirement Arrangements (IRAs)** , has full details.
    - IRA contributions cannot exceed *earned income*. If a taxpayer has no earned income, they cannot make an IRA contribution.
    - Dollar limits for IRA contributions, below, are for the *total* of contributions to traditional IRAs plus contributions to Roth IRAs. Exceeding the dollar limit makes the return potentially ***out-of-scope***, as discussed below.
    - IRA contributions that exceed contribution limits are subject to an annual additional tax as long as the excess continues (the tax is reported on Form 5329, Part III or Part IV), which makes the return ***out-of-scope***.
        - The contribution limit is the smaller of taxable **compensation** (Line 1 of Form 1040 plus Line 2a of Schedule 1 plus Line 3 of Schedule 1) or $6,000 ($7,000 if age 50 or older at the end of 2021). If filing MFJ, the contribution limit applies separately to the taxpayer and spouse.
    - As of tax year 2020, contributions to traditional IRAs can be made *regardless* of taxpayer age. (Previously the maximum age was 70½.) *Note that IRA contributions can only be made with earned* income, which includes *taxable* alimony payments.
        - ***Note:*** Contributions to traditional IRAs made after reaching age 70½ *impact the deductibility of QCD payments*. See page 42 for details.
        - ***Note for CA state returns:*** **California does not conform. IRA contributions made in 2021, after the taxpayer has reached age of 70½ are *not* deductible**. A **manual** adjustment to CA Schedule CA is required, to *increase income* - see the section Manually Entering Income Differences on CA Schedule CA on page 110.
            - Adjusting (reducing) CA income when distributions are made, in a subsequent year, from an account where an over-age-70½ contribution has been made, is *out-of-scope*. See the section Distributions from an IRA Account Where Over-Age-70½ Contributions Have Been Made on page 38 for details.
- To enter the IRA contribution amount (if MFJ, the total amount for the taxpayer and spouse), go to the **IRA Deduction** page [Deductions > Adjustments > ....]
    - Coverage by a retirement plan is generally indicated in box 13 of the Form W-2 from the employer Even if retirement plan information has been entered on a **W-2** page, TaxSlayer does not carry that information to its IRA Deduction page.
    - If TaxSlayer determines that an excess contribution has occurred, after "Continue" is clicked, it will show the **Form 5329** page [Federal Section > Other Taxes > Tax on Early Distribution.]
        - If the **Form 5329** page is shown, the taxpayer should be advised that the penalty can be avoided, and the return brought back in scope if excess contributions are withdrawn by the due date of the return. (Details are in Pub 590-A.)
            - Form 5329 is one of ten for which a PDF can be created from a menu page within the return.

- **If** either the taxpayer or spouse **is covered** by an employer's retirement plan, then some of the allowable contributions may be nondeductible – they will not reduce the taxpayer's taxable income. *Additional entries in TaxSlayer may be required.*
  - Coverage by a retirement plan is generally indicated in box 13 of the Form W-2 from the employer
  - If the taxpayer (and/or spouse, if a MFJ return) **was** covered by a retirement plan during the tax year, then amount of the contribution that is deductible depends on the taxpayer's MAGI. For 2021, nondeductibility can begin once the MAGI reaches $66,000 (for single filers; higher for other filing statuses) and can equal the entire contribution (no deductible contribution allowed) with a MAGI as little as $76,000 (for a single filer; higher for other filing statuses). Details are in Pub 590-A.
  - TaxSlayer calculates the nondeductible amount.
  - Compare the amount entered on the **IRA Deduction** page to the amount on Schedule 1, Line 19 (use the Summary/Print link on the left navigation bar.)
    - If the two amounts are **not** the same, then go to **Form 8606 - Nondeductible IRAs** page [Deductions > Adjustments > Nondeductible IRAs] and fill in the form – see the **IRS instructions for Form 8606**.
      - Form 8606 is one of ten for which a PDF can be created from the **Adjustments** menu with the return.
    - If a nondeductible IRA contribution is made, and deductions or conversions are taken from more than one IRA during the tax year, use the IRA Worksheet (**https://cotaxaide.org/tools/** .)
- An IRA contribution can make the return eligible for the Schedule 3, Line 4 - Retirement Savings Contribution Credit (discussed on page **95**); create a note (page **9**) as a reminder to determine, *after* the taxpayer's AGI has been determine, if the taxpayer qualifies for this credit.
- Taxpayers that contributed to a traditional IRA during 2021 have the option of recharacterizing their contribution as a contribution to a Roth IRA until they file their return (or April 18, 2022, whichever comes first.)
  - Recharacterizing from a traditional IRA to a Roth IRA is valuable if the taxpayer did not get a benefit from the IRA contribution (see Schedule 1, Line 20, IRA deduction, and Schedule 3, Line 4, Retirement savings contribution credit).
  - For contributions made on or after January 1, 2018, recharacterizing the other way – moving money from a Roth IRA to a traditional IRA - is no longer allowed.
  - If recharacterization makes financial sense:
    - The taxpayer must arrange the recharacterization through their IRA trustee.
    - The recharacterization must be done before the return is completed and filed, so the taxpayer will have to return after obtaining documentation from their IRA trustee.

SCHEDULE 1, LINE 21 - STUDENT LOAN INTEREST DEDUCTION

- For rules, see **Pub 4012, page E-11**; note that in some cases a taxpayer can claim this adjustment when their child was the student.
- Even if payments are made by others (for example, a grandmother), for tax purposes the payments are treated as if they were made by the taxpayer.
- The taxpayer might not have Form 1098-E, Student Loan Interest Statement (lenders are supposed to issue this when the interest amount for the year is $600 or more). .If not, other information from the taxpayer *is* acceptable.
  - Only *interest* paid is deductible; repayment of principal is *not*. If the taxpayer does not have a Form 1098-E, then determine how much of payments during the year were for interest, and how much were for repayment of the loan.
  - The taxpayer cannot take this adjustment to the extent that student loan interest was paid with distribution from a tax-free 529 plan.
- Enter interest paid on the **Student Loan Interest Deduction** page [Deductions > Adjustments > ....]
- More information, if needed, can be found in **Pub 970, Tax Benefits for Education**.
- ***Note for CA state returns:*** Student loan debt that is canceled or repaid under the Income Contingent Repayment plan, the Pay As You Earn Repayment plan, and the Revised Pay As You Earn Repayment plan as administered by the U.S. Department of Education is excluded from gross income by CA as well as on the federal return.

SCHEDULE 1, LINE 22 – (FORMERLY) TUITION AND FEES DEDUCTION

The tuition and fees deduction ***expired*** on December 31, 2021. Line 22 is not used in TY 2021.

SCHEDULE 1, LINE 24 - OTHER ADJUSTMENTS

Only four parts of Line 24 are in scope. Go to the **Other Adjustments** page [Deductions > Adjustments > ...], and select the appropriate item:

- Line 24a, Jury duty pay. An adjustment should be made when the taxpayer received jury duty pay, **reported it on Line 8g of Schedule 1**, and was required by their employer to **turn over the jury duty pay to the employer** (typically in situations where the taxpayer has a paid leave of absence while on jury duty.)
- Line 24e, Repayment of supplemental unemployment – see Pub 525
- Line 24f, Contribution to Sec 501(c)(18)(D) pension plan – see Pub 525
- Line 24j, Housing deduction from Form 2555

TAXABLE INCOME AND TAX CALCULATION

LINE 12A - STANDARD OR ITEMIZED DEDUCTION

Standard Deduction

- Starting with tax year 2018, the federal standard deduction roughly doubled. For 2021, the basic standard deduction is $12,550 for single and MFS filers, $18,800 for HoH, and $25,100 for MFJ/QW. Those filing Single or HoH get an additional $1,700 if 65 or older, and an additional $1,700 if blind. For those filing MFJ, QW, or MFS, the incremental amount is $1,350 per person (taxpayer and/or spouse) rather than $1,700.
- The standard deduction is the default in TaxSlayer.
  - If a taxpayer is filing MFS and the taxpayer's spouse is taking the standard deduction, the taxpayer must *also* take the standard deduction. *Do not enter anything into Schedule A.*
- There are two situations when the taxpayer must itemize:
  - The taxpayer files MFS and the taxpayer's spouse itemizes.
    - In such a case, go to the **Force Itemized Deduction Instead of Standard Deduction** page [Deductions > Itemized Deductions >Use Standard or Itemized Deduction] and click the button to force the use of the itemized deduction.
  - Either the taxpayer or spouse is a dual status alien or nonresident alien. [Such returns are ***out-of-scope***.]
- If the taxpayer is filing MFS and is unsure whether his or her spouse will itemize, and is not in communication with the spouse, then prepare the return in whichever way (itemize or not) most benefits the taxpayer but warn the taxpayer that if the spouse has already filed electronically, and if the choice does not match what the spouse did, then the IRS will reject the return.
- TaxSlayer automatically selects the **better** of the standard deduction or the itemized deduction, unless the itemized deduction is *forced* for an MFS filing. There is no loss to the taxpayer (except time) if you enter information into Schedule A, but that information is not used. [Still, if entering that information *clearly* isn't going to make a difference, *don't do it.*]
  - If you want to see both the federal standard deduction amount and the calculated federal itemized total deduction, based on input into TaxSlayer, go to the **Compare Standard vs Itemized Deduction** page [Deductions > Compare Deductions.]
- ***Note for CA state returns:*** It's quite possible (see next section) that the taxpayer will benefit by taking the standard deduction on the federal return but itemizing on the CA return. TaxSlayer determines separately whether itemization is best for the federal return and whether it is best for the CA return.
  - CA itemization is *not* done in the state section, it's done by entering detailed information into the itemization section of the *federal* return. **The federal section includes expenses that are in fact not allowable in 2021 on the federal return but are allowable on the CA return -** unreimbursed employee expenses, for example.

When to Itemize

- If it is not clear whether it is advantageous for the taxpayer to itemize on the federal return, in general it's best to go ahead and complete Schedule A. That's *in general*. **However:**

- **Even if an itemized federal deduction is likely to be larger than the standard deduction, DO A REALITY CHECK FIRST.** On the federal return, look at Form 1040, Line 16, Tax, to see if this is zero. If it is zero, then there is no reason to itemize for **federal** purposes.
  - ***CA process note:*** If you conclude that itemization is pointless on the federal return, then check whether the amount on CA Form 540, Page 3, line 64, Total tax, is zero. **If so, there is no point in itemizing for either the federal or state return**: doing so would waste your time and the time of the taxpayer.

- ***Note for CA state returns:*** The CA standard deduction is significantly less than the federal standard deduction. For 2021, the amounts are $4,803 if Single or MFS, and $9,606 for the other filing statuses. So, ***if*** the taxpayer owes any CA taxes, as discussed immediately above, it's much more likely that itemization is worth doing – or least enter enough itemized expenses so that line 64 becomes zero.
  - ***Note:*** If itemizing for CA, but TaxSlayer calculates that itemizing is not advantageous for the federal return, TaxSlayer **may not** include the Schedule A in the print packet. If the CA return includes a CA Schedule CA, the taxpayer will have itemization detail. Otherwise, you should print Schedule A separately – this can be done from the **Deductions** menu page in the Federal Section.

Schedule A

- **Pages F-3 and F-4 of Pub 4012** are a comprehensive list of questions to ask the taxpayer in order to identify potential itemized deductions.
- **Page F-5 of Pub 4012** lists items that can and cannot be deducted on Schedule A; these are items that often come up in conversations with taxpayers.
- TaxSlayer entry pages for Schedule A information are listed on the **Itemized Deductions** menu page [Deductions > Itemized Deductions; or use "Schedule A" in the search box.]

Schedule A - Medical and Dental Expenses (Line 1)

- The medical and dental expenses section of Schedule A should be done *after all other parts of Schedule A are done*, because it often takes significant time to review and enter the taxpayer's information for this section, and because completing this section may be unnecessary.
  - After doing all other parts of Schedule A, look at Form 1040, Line 16, Tax (via the Summary/Print link on the left navigation bar) to see if this is zero, and similarly at CA Form 540, Page 3, line 64, Total tax (via a PDF of the state tax return). If both amounts are zero, **do not** enter medical expenses; entering them will not benefit the taxpayer.
- Medical expenses are not worth entering, for federal or state tax purposes, if they total less than **7.5% of AGI**, (Federal AGI is Line 11 of Form 1040.) If it is worth entering medical expenses, go to the **Schedule A - Medical Deductions** page [Deductions > Itemized Deductions > Medical and Dental Expenses.]
  - For each category on this page, expenses can be entered as a total *or* in detail.
    - It is strongly recommended the **taxpayer** be responsible for calculating the total for each category (doctors/dentists, prescriptions, and so on), and that only the totals be entered into TaxSlayer.
    - If the taxpayer has not totaled the expenses for one or more categories, and if there are relatively few expenses in a category, then click the blue box to the right of the dollar field, for each category where there are expenses. Then enter payments to individual service providers or enter payment groupings done by the taxpayer.
  - **Pub 502, Medical and Dental Expenses**, is the definitive guidance for this type of deductions.
- Medical and dental insurance:
  - If the taxpayer is itemizing, rather than taking the standard deduction, and if the taxpayer's total medical expenses exceed the 7.5% of AGI threshold *plus* the net profit from Schedule C(s), then taxpayer is *generally better off putting all medical insurance premium costs into Schedule A* rather than taking the Self-Employment Health Insurance (SEHI) deduction on Line 16 of Schedule1.
    - That's because every dollar of the SEHI deduction *reduces* the QBI deduction by 20 cents – and thus impacts taxable income by a net of only 80 cents, while every dollar on Schedule A, in the circumstances described, impacts taxable income by one full dollar.
    - However, if the taxpayer would benefit from a lower AGI (for example, to reduce the taxable portion of Social Security income, or to reduce the amount of APTC that is repayable), then it may be best to take the SEHI deduction, since Schedule A expenses don't reduce the taxpayer's AGI. ***If in doubt, try both ways, to see which maximizes the taxpayer's refund or minimizes the amount that the taxpayer owes.***

- Medicare premiums entered in the **Social Security SSA-1099** page should not be entered again. Although TaxSlayer does not display those amounts on any Schedule A-related page, it *will* add them to what is entered directly on the **Schedule A - Medical Deductions** page.
- Medicare premiums don't always show on a Form SSA-1099:
  - If a taxpayer was 65 years or older during the tax year, they may be paying for a Medicare Supplement Insurance (Medigap) policy. These payments never appear on a Form SSA-1099.
  - If the taxpayer was 65 years or older during the tax year but did **not** receive Social Security, they may be paying Medicare premiums directly.
- On the Form CSA 1099-R of a federal retiree, box 5 is *always* health insurance premiums. However, if the retiree is having dental, vision, or LTC insurance premiums deducted from their annuity, **such premiums will not show on the paper CSA 1099-R page.** The only way to see these other premiums is to see the taxpayer's Form RI 38-38, Notice of Annuity Adjustment. Codes are listed on the back of the form. They include:
  - 42 is Federal Dental Insurance
  - 43 is Federal Vision insurance
  - ***Note:*** 45 is a catchall that includes Long-Term Care; enter the amount on the "Qualified long-term care premiums" line (below), not on the "Medical and dental insurance" line .
- Amounts paid by taxpayers for a Marketplace policy, as evidenced by a Form 1095-A, do count as health insurance premiums. TaxSlayer will not automatically include those on Schedule A.
  - **However,** when PTC is provided by the government to reduce the out-of-pocket cost of a Marketplace policy (for most taxpayers, this will be the case), then insurance amount included on the **Schedule A - Medical Deductions** should be **net of** the PTC: that is, what is entered into TaxSlayer should be actual amount paid per the 1095-A, **plus** any APTC that must be repaid, **minus** any additional PTC allowed.
    - **Look at Schedule 2, Line 2, Excess APTC Repayment, and Schedule 3, Line 9, Net PTC, to see if either is non-zero.** If so, you need to calculate the net amount paid by the taxpayer.
  - Since the Health Insurance section in TaxSlayer is normally done *after* the Federal Section, *if the taxpayer has a Form 1095-A*, do the follow as you work on itemized deductions:
    - Enter, in TaxSlayer, as a first approximation, the total of the monthly premiums paid directly by taxpayer to the insurance company.
    - Create a note (page **9**) saying that that the amount of health insurance premiums paid needs to be adjusted based on the amount on Line 2 of Schedule 2 or Line 9 of Schedule 3.
  - After the Health Insurance section is completed:
    - Look at those two lines, and return to Schedule A to make the adjustment, if any (almost always there will be.)
    - Update the note to state the amount that was adjusted based on Line 2 of Schedule 2 or Line 9 of Schedule 3.
- Do not include medical premiums paid using pre-tax dollars – these dollars reduced taxable income.
- Do not include long-term care insurance premiums as part of "medical and dental insurance"; these are entered separately on the "Qualified long-term care premiums" line at the bottom of the TaxSlayer page.

- Medical miles
  - The number of medical miles driven is as an approximation for operating costs associated with a personal vehicle. Specific costs (gasoline, car maintenance, and similar) cannot be claimed.
    - The 2021 rate is $0.16 per mile.
    - If the taxpayer has any costs for doctor visits, prescription medicines, or other things requiring travel, this field normally should have a number in it.
      - One obvious exception occurs when the taxpayer doesn't own a vehicle.
  - All other transportation costs (bus, parking, tolls, taxicab fare, airplane tickets, and so on) are entered as "Other medical expenses."
- Other medical expenses
  - Other medical expenses must be entered by clicking on the blue icon to the right of the dollar box.
  - Medical costs that are part of monthly fees in a senior residence *are* potentially deductible.
    - For seniors who live in a retirement community, particularly in assisted living units, but also for those in independent living units, a significant part of their monthly payments may be for the medical facilities and services of the retirement community, *even if not used.*

        - Seniors living in board and care facilities who have been declared by a medical professional as incapable of self-care or requiring constant supervision may be able to claim most or all the facility fees as medical expenses.
        - Calculating such amounts can be complex and is clearly not in-scope for Tax-Aide. For a taxpayer to take this deduction, the retirement community must provide written information (typically in the form of a letter to all residents), stating either a percentage or a flat dollar amount of fees that can are for medical facilities and services.
    - Personal care services done in the taxpayer's home *are* deductible as medical expenses if their primary purpose is to provide a chronically ill person with assistance with his or her disabilities.
        - Such services must be specified in a plan of care prescribed by a licensed health care practitioner, and meet other requirements as described in the "Qualified Long-Term Care Services" section of **Pub 502**.
            - ***Note:*** If the taxpayer pays, *directly*, one or more individuals who provide the care services, rather than paying through an agency, and the total amount paid during 2021 to any single employee is over $2,300, then Schedule H, Household Employment Taxes, is required, in which case the return is ***out-of-scope*.**
    - Lodging costs incurred while traveling out of town are deductible if the lodging is primarily for, and essential to, medical care, the medical care is provided by a doctor in a licensed hospital or in a medical care facility, and there's no significant element of personal pleasure, recreation, or vacation in the travel away from home.
        - This deduction is limited to a maximum of $50 per night for each person who receives the lodging. For example, if a parent and a sick child receiving out-patient care receive lodging, up to $100 per night can be deducted.
- Qualified long-term care premiums
    - The amount of long-term care (LTC) premiums that are deductible depends on age. For tax year3, the total that is deductible is $450 if 40 or younger on December 31, 2021; $850 if 41 to 50; $1,690 if 51 to 60; $4,520 if 61 to 70; and $5,640 if 71 or older.
    - The premiums are deductible only if they are paid for a "qualified" plan. To be "qualified," policies issued on or after January 1, 1997, must adhere to certain requirements, as described in **Pub 502**. Plans issued prior to that date must only have been approved by the insurance commissioner of the state in which they were sold.
    - In TaxSlayer, click the "Add Premiums" button to enter long-term care premiums.
- On Schedule A of Form 1040, TaxSlayer will calculate and subtract the nondeductible amount of medical expenses, 7.5% of AGI.
- ***Note for CA state returns:*** Medical expenses reimbursed by an HSA are not deductible for federal but are deductible for CA.
    - These expenses are entered on Form 8889 (see the section Schedule 1, Line 13 - , on page **71**).
        - A manual adjustment is required for CA Schedule CA - see Health Savings Accounts in CA, page **115**, for further information.

Schedule A - State and Local Income and Sales Taxes Paid (Line 5a)

- ***CA process note:*** State and local income taxes paid, and sales taxes paid, are allowable deductions only for the federal return, not for CA. If the taxpayer is taking the standard deduction for the federal return, **there is no need to enter** any information about these taxes into Schedule A in TaxSlayer.
- For Schedule A, TaxSlayer will use the LARGER of (a) state and local income taxes paid or (b) general sales taxes paid.
    - The general sales tax figure always requires the preparer to enter some information into TaxSlayer.
    - For the state and local taxes, *most of the time* no additional information needs to be entered.
        - ***CA legal note:*** California does not allow localities to assess a local income tax on individual taxpayers.
- **Go to the Schedule A - Taxes You Paid** page [Deductions > Itemized Deductions > Taxes You Paid.]
    - ***Note:*** This page is also used to enter real estate taxes paid (see the next section, below), personal property taxes (see two sections below), and, if needed, "other taxes" (three sections below.)
    - ***Note:*** If you have previously entered information on this page or entered information about property taxes paid as part of entering information about mortgage interest, then when you click "Taxes You Paid", you'll go to a different page – it has the same title, but shows only one line of information, with dollar figures for "Real Estate Taxes" and "Personal Property Taxes". Click the pencil icon ("Edit") to get to the **Schedule A - Taxes You Paid** page where you can enter information.

- State and local income taxes
  - TaxSlayer will include state and local income taxes from W-2s, all 1099 series forms, and estimated tax payments recorded in Payments and Estimates section of the Federal Section when calculating line 5a on Schedule A. *Do not enter these amounts a second time*.
    - ***CA process note:*** CASDI entered in box 14 of TaxSlayer **W-2** page is also automatically included by TaxSlayer in the total for state taxes paid.
  - In the first box on **Taxes Paid** page, enter the total of the following, if any:
    - Any state taxes paid when filing the 2020 state tax return in 2021 [confirm with the taxpayer that any amount due on the 2020 state tax return *was actually paid*]
    - Any state taxes paid when filing an extension in 2021
    - Any state taxes paid as part of a collection or installment payment agreement during 2021, regardless of the year(s) to which the payments applied.
  - In the second box on the **Schedule A - Taxes You Paid** page, enter the final payment to CA for estimated state income taxes for the 2020 tax year, *if* that final payment was made after December 31, 2020.
- General sales tax
  - To enter the general sales tax amount into TaxSlayer, start at the **Schedule A - Taxes You Paid** page, and clicking the "Add Sales Tax Worksheet" button; that takes you to the **Sales Taxes Deduction** page.
    - Now you have a choice – use the TaxSlayer worksheet for your calculations (easier) or use the IRS sales tax deduction calculator.
      - If you use the TaxSlayer worksheet and enter percentages [*not* recommended], be careful not to switch the local and state percentages. (The state percentage for California for 2021 was 7.25%.)
      - If the taxpayer lived in multiple places in the year, *use the IRS calculator.*
  - Large purchases: Both calculation options require that you determine if the taxpayer purchased a motor vehicle, aircraft, mobile home, or building materials (for a new home or substantial addition or renovation) during the year, and, if so, the **sales tax paid**, which will be entered at the appropriate point in whichever process you select.
    - ***Note:*** For building materials, the sales tax must be separately listed on an invoice, and the invoice paid by the taxpayer, not by a contractor.
  - Untaxed income: Both calculation options involve the total income that was *not* included in the taxpayer's AGI but was available for spending.
    - The most likely situations of non-taxed income are tax-exempt interest (Line 2a), non-taxable IRA distributions (where Line 4a does not equal 4b - but rollovers and transfers must be excluded), and untaxed Social Security benefits (Line 6a minus Line 6b). Less common are types of income that are completely untaxed but typically go to lower-income taxpayers who don't itemize: excludable Medicaid Waiver payments, Workers' Compensation, disability insurance payments, and payments from public assistance programs.
      - Keep in mind that the IRS calculator – and presumably the TaxSlayer calculator – uses income *ranges*, which begin at "less than $20,000", and go up from there in $10,000 increments. You only need to get the *range* correct, not the exact amount that isn't included in the AGI figure.
      - Economic Impact Payments (EIP) are untaxed income. (***CA process note:*** Golden State Stimulus payments received in 2021 or early 2022 are also non-taxable.)
      - For a full list of non-taxed income, see the General Sales Tax Deduction Income Worksheet at **https://cotaxaide.org/tools/**.
    - ***Warning:*** TaxSlayer displays its calculation of total income ("MAGI") on the "Schedule A - Taxes You Paid" page; sometimes this is not even close to being correct. If you're using the TaxSlayer worksheet to calculate general sales tax, ***review this figure to seem if it is at least approximately correct.*** If not, enter an adjustment in the "Amount to Adjust the Calculated MAGI by" box (see next section), or use the IRS sales tax calculator instead of the TaxSlayer worksheet.
  - TaxSlayer worksheet calculation
    - At the **Sales Taxes Deduction** page, enter the ZIP code of the taxpayer.
    - If the taxpayer lived in **only one place** during 2021, or two or more places in California with **same** sales tax rates, enter "365" for the days. [Calendar year 2020 was a leap year, so enter "366" if preparing a 2020 return.] Otherwise, enter the actual number of days that the taxpayer lived at the first location (starting January 1, 2021) during the year.

- If the taxpayer purchased a motor vehicle, aircraft, mobile home, or building materials, as discussed above, then enter the sales tax paid for such large purchases in the "General sales taxes paid" box; otherwise, *leave this blank*.
- Click "Continue."
  - If the number of days listed doesn't total 365, because the taxpayer lived in more than one location during the year, and not all locations have been entered, then click "Add a Sales Tax Deduction" to add another location.
  - If/when the number of days totals 365, click "Continue" again.
- Back on the **Schedule A - Taxes You Paid** page, go to the "Modified Adjusted Gross Income" section at the bottom of the page, and adjust as needed.
  - Compare the MAGI figure to the AGI figure on Line 11 of Form 1040, on the Summary/Print page, for reasonableness.
  - TaxSlayer *does* know that that amount on Line 2a (tax-exempt interest), plus the difference between Line 6a and 6b (total versus taxable Social Security), plus any amount due to excludable Medicaid Waiver payments, should be added to the AGI to determine the MAGI figure for general sales tax calculations.
  - In the "Amount to Adjust the Calculated MAGI by" box, enter, as a positive number, any untaxed income that TaxSlayer does *not* know about, because it isn't reported at all on Form 1040. This would include Supplemental Security Income (SSI) payments, veterans' benefits, and gifts and inheritances.

o IRS sales tax deduction calculator

- At the **Sales Taxes Deduction** page in TaxSlayer, go to the bottom and click "Click here", which will open a new tab on your browser. Click the "Sales Tax Calculator" button; on the next page, scroll down and click (bottom right) the "Continue" button. Select a tax year; click continue.
- When you select the income range, it should include **non-taxable income**, as discussed above.
- When the calculator asks about the sales tax paid on "specified items", enter the **sales tax paid** on any large purchases, as mentioned above.
- Answer "Yes" to the question "Did you move to a new residence in 2021 (after January 1st)?"
- On the "Results" page of the IRS calculator, note the "Total General Sales Tax Deduction" *dollar amount* (it would be a good idea to print this page, for the taxpayer's records.)
- If the first round of calculations wasn't for a full year, then click "Start Over" to calculate the general sales tax for the second (and any subsequent) location where the taxpayer lived during 2021, and repeat the steps above, calculating the total of the two (or more) localities.
- Close the browser tab for the IRS calculator.
- On the **Sales Taxes Deduction** page, scroll to the top of the page, then click the "Override" button, enter the amount from the IRS calculator, and click "Continue."

- ***Note for CA state returns:*** Neither sales taxes paid nor state income taxes paid are allowable deductions on CA Schedule A; TaxSlayer automatically posts the adjustment to CA Schedule CA, Part II, line 5.

Schedule A - Real Estate Taxes (Line 5b)

- In general:
  - Effective beginning with tax year 2018, deductible real estate taxes are limited to properties in the United States. Real estate taxes cannot be for rental or business properties because a tax return with such property is ***out-of-scope***.
    - ***Note:*** Sometimes mobile home owners are charged a "pass-through tax" that ostensibly is for property taxes. In fact, this is part of the rent paid by mobile home owners, regardless of the label; it cannot be claimed on Schedule A.
  - If a property has multiple owners, other than a married couple, property tax deductions can be taken by a co-owner *only for the payments made by that co-owner*, regardless of ownership percentagess. If a non-owner makes payments on behalf of a co-owner, those payments are a gift unless otherwise specified by the donor, and only that co-owner can claim those payments on Schedule A.
  - Most real estate tax information is now available online without registering or paying. If you don't know the website where you can find a county's information, or if you are looking for real estate taxes paid in other counties, a good website is **publicrecords.onlinesearches.com/**. (On the "Property" tab, scroll down to the "Property Records" section, and select "Assessor and Property Tax Records".)

    - ***CA process note:*** A good alternative for California counties is **boe.ca.gov/proptaxes/countycontacts.htm**.
- To enter real estate taxes, **go to the Schedule A - Taxes You Paid** page [Deductions > Itemized Deductions > Taxes You Paid]; enter the total for all real estate taxes actually paid during the tax year, not what was assessed.
- ***CA process note:*** California real estate taxes are generally paid in two installments, due in November and February, but not delinquent until December and April, respectively. The amount entered on line 5b should be the amount actually paid in the tax year for the taxes (some taxpayers do pay both installments at once, in November or December.)
- ***CA legal note:*** CA has received IRS guidance that real estate taxes not based on the value of the property are still deductible – this means that the whole amount paid for each installment will generally be put onto line 5b
    - Three types of charges are **not** deductible as real estate taxes:
        - Fees for services provided to the property (for example, trash collection and sewer service)
        - Direct assessments for improvements that tend to increase the value of the property, such as curbs and sidewalks, or city or state-financed energy improvements (These direct assessments can be added to the basis of the property.)
        - Energy-saving projects paid through the property tax bill; these are often financed by a property assessed clean energy (PACE) program. (The interest portion of such payments *is* deductible as home mortgage interest *if* the loan that financed the project is secured by a lien against the taxpayer's home.)
    - Because property tax bills can include items that are not real estate taxes, it's important to review the actual bills (generally available online – see above, if the taxpayer did not bring these), rather than to simply enter the dollar amounts paid.
- If the taxpayer bought and/or sold their home during the tax year, the real estate closing statement(s) **must** be reviewed, because it is almost certain that the taxpayer either paid real estate taxes at closing or was given credit for real estate taxes already paid.

Schedule A - Personal Property Taxes (Line 5c)

- **Go to the Schedule A - Taxes You Paid** page [Deductions > Itemized Deductions > Taxes You Paid.]
- The CA Vehicle License Fee (VLF) qualifies as a personal property tax. But the total amount paid to the CA DMV includes non-deductible registration fees and may even include unpaid parking tickets. **Only** the VLF amount is deductible.
    - The VLF amount can be found on the DMV invoice sent to the taxpayer if the taxpayer has brought that form.
    - The VLF amount is often listed on the taxpayer's vehicle registration card, near the bottom of the form, coded as "Lxxxx."
    - The VLF can be looked up **online**, IF the taxpayer has the vehicle's license plate number and VIN (both are on the vehicle registration card): go to **dmv.ca.gov/FeeCalculatorWeb/vlfForm.do**.
- If the taxpayer purchased a vehicle during the tax year, the bill of sale will include the VLF that was charged
- If the taxpayer has a boat, an RV, or a vehicle trailer with a license plate, there are state registration fees for those, and the VLF amount of the fees should also be included on line 5c of Schedule A.
- If the taxpayer has a manufactured home (mobile home) installed prior to July 1, 1980, they may be paying an in-lieu tax through their annual registration fee with California Housing and Community Development, rather than paying property taxes. The in-lieu tax is deductible as a personal property tax.

Schedule A – Total State and Local Taxes (Line 5e)

- Beginning with tax year 2018, the total federal itemized deduction for state and local taxes (SALT) is limited to $10,000. TaxSlayer automatically makes this adjustment on line 5e of Schedule A.
    - ***Note for CA state returns:*** CA does not include state income tax or state sales tax in allowable itemized deductions. It does include real estate taxes and personal property taxes, and has no cap on the amount, so enter **all** such taxes. Real estate tax and personal property tax amounts will flow automatically to CA Schedule CA, Part II.

Schedule A - Other Taxes (Line 6)

- ***Note:*** Vehicle license should be entered in the "Personal Property" box on the TaxSlayer page, as discussed in the prior section; that will place them on line 5c of the Schedule A, when printed.
- Entries for "Other Taxes" are likely to be rarely, if ever, used at all. But if needed, go to the **Schedule A - Taxes You Paid** page [Deductions > Itemized Deductions > Taxes You Paid] and enter information in the "Other Taxes" section.

  - Homeowners' association fees are *not* taxes and are *not* deductible on Schedule A.
- Line 6 can include foreign income taxes, but only when the taxpayer is not claiming a foreign tax credit on Schedule 3, Line 1, Foreign Tax Credit, as discussed on page 90.
  - Claiming a foreign tax credit always results in less taxes owed than does itemizing, **but claiming the credit is *out-of-scope* if the taxpayer paid more than $300 of foreign tax ($600 for MFJ returns)**, as discussed on page 90. The taxpayer may decide that using Tax-Aide is worth the loss of the credit.
  - ***Warning:*** If itemization is chosen, *all foreign tax amounts entered anywhere other than Schedule A need to be zeroed out - there is no other way to keep these amounts off of Line 1 of Schedule 3.* (Create a note, per page 9, about what is being done.)
    - To zero out foreign taxes entered elsewhere in TaxSlayer, review all the entries for 1099-INTs and 1099-DIVs, and look at the page **Form 1116 - Foreign Tax Credit**, where the total for all K-1 forms is entered.
  - ***Note for CA state returns:*** No CA deduction is permitted for foreign income taxes. If foreign income taxes are claimed on Schedule A, line 6, then, in the State Section, on the "Itemized Deductions" page, enter the amount of foreign taxes *as a subtraction*, in the "Taxes You Paid" section.

Schedule A - Interest and Points Reported on Form 1098 (Line 8a)

- **Pub 936, Home Mortgage Interest Deduction**, has the most detailed information on the interest deduction;.
  - ***Note:*** Debt incurred prior to October 14, 1987, is handled differently than described below – see Pub 936.
- Interest and points paid are usually reported on Form 1098. If they are **not**, the payments should be reported on lines 8b and 8c, respectively, of Schedule A, as discussed below.
  - Motor homes and boats that provide basic living arrangements generally qualify as main or second homes.
  - Emergency housing assistance is not taxable income, but if the assistance was in the form of direct payments to a mortgage holder, the interest portion of such payment(s) is *not* deductible on Schedule A.
- Interest and points paid on a **second home** are treated identically to those for a main home*, except* points paid on loans secured by a second home, or to **refinance a second home**, must be ratably deducted over the life of the loan, and any allowable home equity loan must be on the main home only.
- The tax code distinguishes between "acquisition debt" and "home equity debt". Acquisition debt is a loan that is incurred in acquiring, building, or substantially improving a qualified residence of the taxpayer. Home equity debt is a loan secured by a property, but *not* used to buy, build, or substantially improve that property. **To avoid confusion, "home equity debt" is referred to as "non-acquisition debt" in this manual.**
  - Note that a home equity loan (HELOC) can be acquisition debt, if (for example) it was used for a major remodeling project, while a first mortgage, if refinanced with cash taken out for personal expenses, would be a mix of acquisition debt and non-acquisition debt.
- What can be included on Line 8a:
  - Interest plus any points paid during the tax year in conjunction with acquisition debt, up to $750,000 ($375,000 MFS), is deductible **if the loan was signed after December 15, 2017.** If signed prior to that date, the maximum amount remains at $1 million ($500,000 MFS).]
    - *You must determine (a) when the loan was made, (b) whether the loan was originally made to buy, build, or improve the taxpayer's home, or not; and (c) if a refinance of an earlier loan, whether the refinance was a larger amount than the original loan; and (d) if the refinance was for a larger amount, what was done with the cash that resulted from increasing the loan amount.*
      - If some of the loan amount is determined to be non-deductible, make an **electronic note** so that interest can be correctly split between deductible and non-deductible in future years.
      - The (Mixed) Mortgage Interest Worksheet (**https://cotaxaide.org/tools/**) can be used to help determine how much of the interest paid on the mortgage is deductible.
    - ***Note for CA state returns:*** CA does not conform to the reduction in amounts; interest paid for a total of up to $1 million in acquisition debt ($500,000 MFS) is still deductible on the CA return, *regardless of date signed*. The difference (interest on loan amounts over $750,000 but not exceeding $1 million, if signed after December 15, 2017) must be entered manually on CA Schedule CA, as an additional deduction, as discussed in the section Itemized Deductions Treated Differently by CA, on page 113, and in the section immediately following that section.
  - Interest paid on a loan obtained in 2021 to refinance an old loan that was used to buy, build, or improve a main home **is deductible**, up to the $750,000 limit, but points paid to refinance the mortgage must be spread over the life of the new mortgage (enter prorated points paid *separately* in TaxSlayer; make an **electronic note** so that points will be entered in future years).

        - If the new loan was ***larger* than the original loan**, then you must determine if the additional amount was used to improve the home [in which case the related interest *is* deductible], or whether the additional amount of the loan was used for something else [to pay off credit card debt, for a vacation, or just put into a savings account, for example], in which case the related interest is *not* deductible.
    - Interest on loan proceeds used to pay special assessments on condominium owners *is* deductible *if* the special assessment was for capital improvements.
    - Interest is only deductible if a loan is secured by the home that it was used to buy, build, or improve.
        - For example, interest for a second mortgage used to purchase a vacation home is *not* deductible.
    - Repayment of principal is calculated as paying down the principal of the loan in this order: (1) non-acquisition portion; (2) acquisition portion that is over $750,000; and (3) remaining acquisition portion
    - Late payment charges are deductible as interest in situations where the interest is deductible.
- As of 2018, there **no longer is a separate $100,000 limit** for non-acquisition debt. Interest (and points) paid on home equity debt is no longer deductible on Schedule A.
    - ***Note for CA state returns:*** CA does not conform to elimination of interest and points on non-acquisition debt. Such interest and points are still deductible up to the limit of $100,000.
        - As discussed above, home equity debt can be part of a first or second mortgage, if refinanced, or from a home equity line of credit, if used for something other than to buy, build, or improve a taxpayer home.
        - Interest paid on home equity debt must be entered manually on CA Schedule CA, as an additional deduction, as discussed in the section Itemized Deductions Treated Differently by CA on page **113**, and in the section immediately following that section.
- Go to the **Mortgage Interest Reported on 1098** page [Deductions > Itemized Deductions > Mortgage Interest and Expenses > Mortgage Interest Reported on Form 1098.]
    - For each 1098, report the information separately (click on an "Add" button.)
        - The second section on this page, "Real Estate Taxes (Non-Business Property)" is provided as a convenience by TaxSlayer since real estate taxes paid can be reported on a Form 1098 (if the borrower has an escrow account with the lender). **Do not enter real estate taxes here** if you have already entered them on the **Schedule A - Taxes You Paid** page for line 5a (see above); that will cause double-counting.
- What should **not** be entered on the **Mortgage Interest Reported on 1098** page:
    - Home mortgage interest paid to an individual (see the section immediately below)
    - ***Mortgage insurance premiums (box 5 of Form 1098)*** – as discussed in the section Schedule A - Mortgage Insurance Premium, on page **85**, this deduction is in effect on federal returns through 2021.
        - ***Note for CA state returns:*** CA does not conform to this as a deduction; TaxSlayer handles that automatically.
    - **Reverse mortgage costs**:
        - During the life of the reverse mortgage, the taxpayer doesn't **pay** interest, so there is no deduction for interest that is accruing on this mortgage.
        - In the year that a reverse mortgage ends and is paid off, the interest that is included in the payoff amount is considered to be interest on home equity debt and so is not deductible, per **Pub 936, Home Mortgage Interest Deduction**.
            - ***Note for CA state returns:*** CA does not conform. However, the amount of interest that is allowable is limited to that paid on a maximum of $100,000 (the maximum for non-acquisition debt) for each year that the reverse mortgage was in effect, and this calculation is complex. ***If the taxpayer owes significant CA taxes and could benefit from a large itemization, it is recommended that the taxpayer be referred to a paid tax preparer.***
- If a property has multiple owners, other than a married couple, mortgage interest deductions can be taken only by the co-owner *who made the mortgage payments*, regardless of ownership percentages. If a non-owner makes payments on behalf of an owner, those payments are a gift unless otherwise specified by the donor, and only that owner can claim those payments on Schedule A.
    - If the taxpayer was liable for and paid interest on a mortgage, but a co-owner (non-spouse) received a Form 1098 that includes some of the interest that the taxpayer made, the taxpayer can still claim all the interest that he/she paid. But to do so, a statement must be attached to the return, stating how much of the interest on that Form 1098 was paid by each owner, and giving the name and address of the person who received the form.

- The easiest way to attach a statement is to use one or more Preparer Notes, of up to 1000 characters each, that are sent to the IRS with the e-filed tax return. To create a Preparer note, go to the **Preparer Note** page [Miscellaneous Forms > Explanations > ....]

Schedule A - Mortgage Interest Not Reported On Form 1098 (Line 8b)

- Home mortgage interest paid to **an individual** is reported separately from interest paid on a Form 1098
  - For example, the taxpayer might have purchased a home using a mortgage loan from a parent, and is repaying that loan, with interest.
- If the taxpayer is missing a Form 1098 from a **bank or other organization**, and the missing information can be reconstructed from other sources (remember that monthly mortgage payments almost always consist of both principal and interest; only the *interest* portion of the monthly payments is deductible), that information is reported **as if a Form 1098 existed** (see the section above.)
  - If the missing Form 1098 cannot be reconstructed, the taxpayer needs to contact the organization to get the missing form or do without it when itemizing.
- Go to the **Schedule A - Interest Not Reported on 1098** page [Deductions > Itemized Deductions > Mortgage Interest and Expenses > Mortgage Interest Not Reported on Form 1098.]

Schedule A - Points Not Reported On Form 1098 (Refinance) (Line 8c)

- Points paid when a mortgage is refinanced can be amortized over the life of the loan; they cannot simply be deducted on the return for the year when the loan was refinanced.
  - To calculate the dollar amount deductible for a tax year, divide the amount paid (for points) by the number of months of the loan (30 years = 360 months) and multiply by the number of months that the loan existed during the tax year.
  - ***Note:*** If some of the interest on the loan is not deductible, then a proportional amount of the points paid is also not deductible.
- If the loan is refinanced and a **different lender is used,** or if the loan is paid off early, the remaining deductible portion of the points from the paid-off or refinanced loan can be deducted on this line.
- Go to the **Points Not Reported on 1098** page [Deductions > Itemized Deductions > Mortgage Interest and Expenses > ....]

Schedule A - Mortgage Insurance Premiums (Line 8d)

- Premiums ("PMI" or "MIP") paid and/or accrued for qualified mortgage insurance in connection with home acquisition debt on a qualified home is deductible for tax years through 2021.
  - These premiums are reported in box 5 of Form 1098.
  - The home must have been purchased, or the first mortgage of the house must have been refinanced, in 2007 or later.
    - **Ask the taxpayer when the house was purchased; if before 2007, ask when the first mortgage was issued. If that also is before 2007, do not include this PMI as a Schedule A deduction.**
  - The deductibility of PMI is limited by income; for 2020 and 2021 it begins to phase out when AGI reaches $100,000 ($50,000 if MFS), and completely phases out when AGI is more than $109,000 ($54,500 if MFS.)
    - TaxSlayer handles this automatically.
  - Mortgage insurance provided by the Department of Veterans Affairs and the Rural Housing Service is commonly known as a funding fee and guarantee fee, respectively – see **1040 Schedule A instructions** for deductibility.
- Go to the **Primary Mortgage Insurance (PMI) Deduction** page [Deductions > Itemized Deductions > Mortgage Interest and Expenses > Schedule A Interest > Primary Mortgage Insurance (PMI) Deduction]; enter the total amount for the year.
  - ***Note for CA state returns:*** This deduction is not allowed on the CA return. TaxSlayer makes the adjustment automatically to CA Schedule CA, Part II, line 8d.

Schedule A - Investment Interest (Line 9) - out-of-scope

Schedule A - Gifts by Cash or Check (Line 11

- Donations must be to a qualified charity.
  - If there is any question about eligibility, check the IRS database: **irs.gov/charities-non-profits/tax-exempt-organization-search**.

  - ***CA process note:*** Donations to the California College Access Tax Credit Fund may need to be reduced by 50 percent because of the state tax credit that such donations generate. For more information, see the section College Access Tax Credit, Code 235, CA Form 540, Page 2, lines 43-45, on page **116**.
- "Gifts by cash or check" includes checks, money orders, and credit card payments. Cash (that is, currency or coin) contributions are **not** deductible unless documentation is provided by the charity.
  - If a taxpayer purchases an item and donates it, new, to a charity, the donation is a monetary donation, not an "other than cash" donation. It is reported on this line.
  - If a taxpayer pays for care for others in the household to be able to leave their house to do volunteer work for a charity, the payments are **not** deductible as charitable donations.
  - A purchase of lottery or raffle tickets is not "gift" (donation), regardless of how the charitable organization characterizes the purchase. (See **page F-10 of Pub 4012** for other examples.)
- The deductible contribution is the amount given less the value of any property or service received. For example, if donation result in the donor receiving a monthly magazine, then the full amount is *not* deductible.
- You **do not need to see any proof of donations**, but the taxpayer should understand that no deduction is legally allowable unless there is adequate documentation.
  - For contributions of less than $250, the taxpayer must have one or both of the following:
    - Bank records (canceled check or bank/credit account statement)
    - Written acknowledgment from the charity documenting the amount and date of payment to that charity
  - For contributions of $250 or more, taxpayers **must** have **both** bank records AND written acknowledgement, and the written acknowledgment MUST state the value of any property or service received by the taxpayer in exchange for the contribution.
- Go to the **Charity Cash Contributions** page [Deductions > Itemized Deductions > Gifts to Charity > Cash Gifts to Charities.]
  - The detailed information which can be entered on this page *is for the recordkeeping of the taxpayer; it is not required by, nor reported to, the IRS.*
  - One alternative to recording individual donations is to enter a total for each organization – Red Cross, Boy Scouts, United Way, etc.
    - If this is done, enter the Date of Donation as 1-1-2021.
  - Another alternative, if the taxpayer has well-organized records and has calculated the total amount for charitable contributions by cash or check, is to click the "Override" button and enter the total amount.

Schedule A - Contributions – Other than by Cash or Check (Line 12)

- The taxpayer should retain records of items and amount donated.
  - For any non-cash contribution claimed to be worth **$250 or more**, the taxpayer must have a *written acknowledgment* from the charity of what was donated. A receipt filled in by the taxpayer *is not acceptable documentation*. (See **Pub 526** if more information is needed.)
- The amount of a non-cash contribution, for tax purposes, is the fair market value (FMV) of the item at the time of the donation.
  - Clothing and household items must be in good used condition, or better.
  - Donation value estimates can be found on the Salvation Army website: **satruck.org/Home/DonationValueGuide.**
  - More information is in **Pub 561, Determining the Value of Donated Property.**
- Donations of vehicles, boats, and similar (Form 1098-C, Contributions of Motor Vehicles, Boats, and Airplanes) which have a value of more than $500 are ***out-of-scope***.
- Unreimbursed travel expenses, such as parking and tolls, can be claimed as non-cash contributions.
- Non-cash contributions whose **total** exceeds $5,000 [to be reported on Section B of Form 8283] are ***out-of-scope***.
  - On the **Gifts to Charity** page, the last two lines, "Declaration of Appraiser" and " Donee Acknowledgement" are for donated property with an **individual** value of over $5,000. Therefore, the TaxSlayer pages for those two lines are ***out-of-scope***.
- In TaxSlayer, non-cash donations are entered in one of two ways:
  - If the **total** of all such donations is $500 or less, use the **Schedule A Gifts to Charity Information** page [Deductions > Itemized Deductions > Gifts to Charity > Non-Cash Gifts to Charities.]
    - Only the **total amount** is entered.

- ***Note:*** This page is also used to enter **mileage** driven by the taxpayer for unreimbursed volunteer work or other charitable use; TaxSlayer will calculate the dollar amount. (The 2021 rate for charitable mileage is 14 cents per mile.)

- If the **total** of all non-cash contributions exceeds $500, use the **Form 8283, Non-Cash Donated Items** page [Deductions > Itemized Deductions > Gifts to Charity > Non-Cash Donations (more than $500)]; note that the total cannot exceed $5,000 or the return is ***out-of-scope.***
  - Each donation is entered separately; **ten** fields of information are required.
    - The IRS does not require the cost or other basis of property, the date acquired by the donor, or how the property was acquired, ***if*** the fair market value of property on the day it was donated was $500 or less. Unfortunately, TaxSlayer *does*.
  - As noted above, for any single contribution claimed to be worth **$250 or more**, the taxpayer must have a *written acknowledgment* from the charity of what was donated. A receipt filled in by the taxpayer *is not acceptable documentation* unless signed by a representative of the charity.
  - For the method used to determine the fair market value, "thrift shop value" usually applies.

Schedule A - Casualty and Theft Losses – out-of-scope (Line 15)

- As January 1, 2018, casualty and theft losses which can be claimed on Schedule A are limited to those from a federally-declared disaster. Taxpayers who meet the criteria, and have potentially substantial casualty or theft losses, should use a paid preparer, because determination of actual losses is particularly complex, and is ***out-of-scope***.
- The Tax-Aide program can assist taxpayers by (at minimum) mentioning or (at maximum) printing the following IRS publications:
  - **Pub 4512, Determining If You Have A Tax Deductible Casualty Loss**, a two-page overview
  - **Pub 547, Casualties, Disasters and Thefts**
  - **Pub 584, Casualty, Disaster, and Theft Loss Workbook**
  - **Pub 2194, Disaster Resource Guide**

Schedule A – Other Itemized Deductions (Line 16)

- In TaxSlayer, deductible expenses that go on line 16 of Schedule A are entered on the **Schedule A - Miscellaneous Deductions** page [Deductions > Itemized Deductions > Miscellaneous Deductions.]
- The following are *in-scope* expenses that can go on line 16:
  - Gambling losses, to the extent of gambling winnings – see Gambling Winnings (Form W-2G on page **66**
  - Impairment-related work expenses (for a disabled person)
  - Claim repayments of more than $3,000
    - This is for situations where the taxpayer had to repay *more than* $3,000 that they had included in income in an earlier year – for example, unemployment benefits.
      - ***Note for CA state returns:*** If $3,000 or less, the repayment is subject to the 2%-of-AGI reduction and is potentially usable if itemizing on the CA return, though not on the federal return – see the next section.
  - Unrecovered pension investments (includes annuities)
    - If a taxpayer died during the tax year, and had a pension without survivor benefits, any unrecovered employee pension contributions may be reported on line 16 of Schedule A on the final tax return for that taxpayer. See **Pub 575, Pension and Annuity Income**, for details.
- The following miscellaneous deductions are ***out-of-scope***:
  - Amortizable premiums on taxable bonds
  - Federal estate tax

Schedule A - Unreimbursed Employee Expenses and Miscellaneous Deductions Subject to 2%-of-AGI Reduction (No line on Schedule A)

Beginning with tax year 2018, expenses that were subject to the 2%-of-AGI reduction are no longer deductible on Schedule A of the federal tax return. ***They continue to be deductible if itemizing on the CA return, and they still are entered in the Federal Section of the TaxSlayer.***

- ***Note for CA state returns:*** California conforms to the federal Schedule A deductions *as of tax year 2015*, so these expenses *are* allowable as a CA itemized deduction; these are reported on CA Schedule CA, Part II, lines 19-21.
  - TaxSlayer handles such "no longer valid for federal, but possibly valid for states" expenses by continuing to have them **entered on federal itemization pages**.
    - There are three pages used for entering such information. Most of the rest of this section is organized around those three pages.
- First, you need to understand what the 2%-of-AGI reduction means.
  - For example, if a taxpayer has a **federal** AGI of $50,000, the 2% reduction would affect the first $1,000 of such deductions – that initial $1,000 of deductions *is not allowable* on the CA return.
    - To continue the example, for the taxpayer with an AGI of $50,000, assume that the taxpayer has investment expenses, on a broker's statement, of $1,250, and no other expenses subject to the 2%-of-AGI reduction. Then the adjustment amount on CA Schedule CA, as discussed on page **113**, would be $250.
  - If the total of expenses listed below, in this section, is *less* than the 2% threshold for a taxpayer, **there is no point in entering the expenses into TaxSlayer.**
- Unreimbursed employee expenses *other than* job-related travel
  - Non-travel expenses, including union or professional dues, job search expenses, uniforms, tools, and job supplies, *if not reimbursed by the employer,* are entered on the **Schedule A Unreimbursed Employee Expenses Information** page [Deductions > Itemized Deductions > Unreimbursed Employee Business Expense.]
    - Job search expenses must be for the taxpayer's current line of work, can include costs for preparing and mailing a résumé, can include transportation, meals, and lodging expenses if a trip is mainly to look for a new job, and can include job placement and employment agency fees.
  - Certain education-related expenses *can* be claimed here. Expenses must be for education that maintains or improves the taxpayer's job skills or that the taxpayer's employer, or a law, requires for the taxpayer to keep his or her salary, status, or job. **But** the education cannot be part of a program that will qualify the taxpayer for a new trade or business.
- Job-related travel expenses are entered on the **Form 2106 Information** page [Deductions > Itemized Deductions > Job-Related Travel Expenses.]
  - If a MFJ return, select the person for whom the form applies**.** (You can create a second set of expenses, subsequently, if you want, for the other spouse.)
  - If expenses were *partially* reimbursed by employer, then Form 2106 cannot be used and the return is ***out-of-scope.***
  - Vehicle expenses are in-scope *only* if the standard mileage rate is used.
  - Note that meals expenses are to be entered *in full*; TaxSlayer will calculate the allowed amount, using the stated percent, and put that amount on Schedule A.
    - Beginning with tax year 2018, entertainment expenses are not deductible on the federal Schedule C.
- Other deductions, not related to employment, which are subject to the 2%-of-AGI reduction are entered on the **Schedule A – Miscellaneous Deductions** page [Deductions > Itemized Deductions > Miscellaneous Deductions.] These include:
  - Tax return preparation fees
  - Safe deposit box rental (if used to store investment-related documents)
  - Investment expenses (***tip***: Review all brokerage statements of the taxpayer.)
    - ***Note:*** Investment expenses in box 5 of the Form 1099-INT and in box 6 of Form 1099-DIV, entered along with other amounts on those forms, should **not** be entered again in the federal Schedule A section. TaxSlayer automatically flows those expenses to CA Schedule CA, Part II, line 21.
  - Claim repayments of $3,000 or less (These are repayments by the taxpayer of amounts reported as income in an earlier year.) – click the "Add Additional" button.

LINE 12B - CHARITABLE CONTRIBUTIONS WHEN NOT ITEMIZING

- For tax year 2021, taxpayers who *do not itemize on the federal return* can still take a deduction for charitable contributions, of up to $300 ($600 if MFJ). This must be *cash* donations (made by check or credit card, unless

an organization, such as a church, provides documentation of donations made with currency and coin), **not** donations of goods.

- There are two ways to enter this deduction:
  - In the Federal Section, go to the Deductions Menu page and find "Cares Act 2020" at the bottom of the list. Choosing this menu item will take you to a question "Did you make any cash or check contributions to a charity?" Answering "yes" will take you to the **Charity Contribution** page of the Itemized deductions section. Choose "Override" and enter the amount of cash contributions.
    - If you take this path, when you're done, you will still see "Itemized Deductions" on the left navigation bar, even though the taxpayer is not going to itemize.
  - Follow the path that you would normally take if itemizing: Deductions > Itemized Deductions > Gifts to Charity > Cash Gifts to Charities, and use the "Override" option.
- ***Note for CA state returns:*** For tax year 2021, the $300/$600 deduction is entered on the federal return *after* the federal AGI is calculated, so there is no need to make an adjustment to the CA return. ; there is no comparable state deduction.

LINE 13 - QUALIFIED BUSINESS INCOME DEDUCTION

The QBI deduction is generally 20 percent of business income. TaxSlayer calculates the QBI deduction automatically, and it should **not** be manually changed.

- If taxable income, Line 15, plus the QBI deduction, Line 13, exceeds $164,900 ($329,800 if MFJ) for tax year 2021, the return is ***out-of-scope***.
- The QBI deduction can be less than 20 percent of business income. When the amount of taxable income that is in excess of any net capital gain is less than business income, then the 20 percent calculation is done on the smaller number.
- The QBI deduction can be more than 20 percent of business income if there are section 199A (REIT) dividends reported in box 5 of Form 1099-DIV, because the deduction also includes 20 percent of those dividends.
- ***Under no circumstances*** *should the* ***Qualified Business Income Deduction Amounts*** *page, which available from the Schedule C menu, be used.*

LINE 16 - TAX

- If Line 15, Taxable Income, is positive, but Line 16 is blank or zero, *this is not an error.* For taxpayers in the 10 and 12 percent tax brackets, capital gains and qualified dividends are taxed at a rate of **zero**. If the total of capital gains and qualified dividends is greater than the taxable income on Line 15, then the Tax amount is in fact *zero*.

NON-REFUNDABLE CREDITS

- Line 19 on Form 1040, and Schedule 1, Line 1 through 6, are for **non-refundable** credits. Such credits can only be used to offset taxes due (Line 16 on the 1040). In contrast, **refundable** credits benefit the taxpayer even if no tax is due. The Earned Income Credit, for example, often results in a tax refund of thousands of dollars.
  - The child tax credit used to be a hybrid – part of the credit could be non-refundable, and the rest refundable. For 2021, in almost all circumstances, the entire credit is refundable.
  - In 2021, the American Opportunity Credit remains a hybrid – it goes to Line 3 of Schedule 3, as needed, and the refundable portion, if any, can flow to Line 29 of Form 1040.
- Non-refundable credits are found on the **Credits** page of TaxSlayer [Deductions > Credits Menu], as shown in **Pub 4012, on page G-1**.
- If the amount of nonrefundable credits is greater than the amount of taxes due, that may affect other calculations, such as the amount of capital loss carryover that created a tax benefit, or the amount of a state tax refund that is taxable.
  - *Enter all information for non-refundable credits for which the taxpayer is eligible into TaxSlayer, regardless of their anticipated impact on the total tax owed. They may provide a benefit in the* ***next*** *tax year.*

LINE 19 – NONREFUNDABLE CHILD TAX CREDIT OR CREDIT FOR OTHER DEPENDENTS

- On the front of Form 1040, in the Dependents section, to the far right of each dependent's name, are checkboxes for these two credits, showing who has qualified.
- On the Summary/Print page (**Tax Return Summary** page), if someone is shown as getting one of these credits but does *not* qualify, then:
  - In the Basic Information section in TaxSlayer, go to the page for that person. Then check the box labeled "Check if this qualifying child is NOT YOUR DEPENDENT". This will remove the person from the Dependents section, as well as also prevents the taxpayer from getting the child tax credit or the credit for other dependents for that person.

Child Tax Credit

- Any **non-refundable** child tax credit ($2,000 or less per child) is because the taxpayer (or spouse if married filing jointly) did **not** have a principal place of abode (main home) in the United States for more than half of 2021. If they **did** have such an abode, the taxpayer is entitled to the **refundable** child tax credit, as discussed on page **104**.
  - The **non-refundable** CTC is discussed on on **page G-3 of Pub 4012**.
  - ***Note for CA state returns:*** doing a part-year or nonresident CA return is *out-of-scope*.
- To tell TaxSlayer that the taxpayer in fact qualifies for the **refundable** child tax, go to the Advance Child Tax Credit page [COVID-19 Relief > Advance Child Tax Credit > …], and check "Yes". (The rest of that page is filled out as discussed in the section Advance Child Tax Credit on page **105**.

Credit for Other Dependents

- This credit ***cannot be claimed*** if any of the following are true:
  - The dependent had gross income of $4,300 or more in 2021.
  - The dependent provided more than half of his or her own support.
  - The dependent is not a U.S. citizen or U.S. national, **and** did not live in the United States during the entire year, except for temporary absences.
- Detailed information on this credit is found on **page G-6 of Pub 4012**.

SCHEDULE 3, LINE 1 - FOREIGN TAX CREDIT

- Foreign taxes paid by a taxpayer can either be claimed as a **credit**, entered (directly or indirectly) on Form 1116 and flowing to Line 1 of Schedule 3, or as a **deduction**, entered on line 6 of Schedule A ("Other taxes"). The taxpayer must make one choice or the other; the amount of foreign taxes paid *cannot be split between the credit and the deduction*.
- If the total foreign tax paid by taxpayer EXCEEDS $300 ($600 for a joint return), claiming the credit is normally ***out-of-scope***, because that requires completion of a **full** Form 1116, which is ***out-of-scope.*** (Tax-Aide tax preparation uses on the *simplified* method of claiming the credit.) The exception is when there are two or more counselors with international certification.
- When claiming a credit is ***out-of-scope,*** the taxpayer has two options:
  - Use a paid preparer, or tax software, to prepare the return, claiming the full credit on Line 1 of Schedule 3.
  - Treat the entire amount of foreign taxes paid as an *itemized deduction*, to go onto line 6 of Schedule A, "Other taxes", as described on page **82**.
    - The Scheduled A option, of course, has no value to the taxpayer for the federal return unless they are taking an itemized deduction rather than the standard deduction
    - ***Note for CA state returns:*** No CA deduction is permitted for foreign income taxes, so this option has no value for the CA return.
- **Pub 514, Foreign Tax Credit for Individuals**, is the definitive guidance on this topic.

SCHEDULE 3, LINE 2 - CREDIT FOR CHILD AND DEPENDENT CARE EXPENSES

- Refer to **Pub 4012, starting at page G-10**.
  - ***Note:*** If the care provider worked in the taxpayer's home and the total amount paid in 2021 was over $2,300, determine if the taxpayer is required to file **Schedule H, Household Employment Taxes**. If this form **is** required, the return is ***out-of-scope***.

- This credit is available if the taxpayer paid someone else, including an organization, to care for a qualifying person. A qualifying person is:
  (1) A dependent child who was under age 13, OR
  (2) A dependent or spouse, regardless of age, who could not care for him/herself
  AND (3) this was done so the taxpayer could work or look for work (the qualifying person, the one needing care, must have lived with the taxpayer for more than half the year)
  - ***Note:*** In the year that a child turns 13, these expenses are allowable only for the part of the year before their 13th birthday.
  - ***Note****:* For MFJ returns, *both* the taxpayer and spouse must have earned income, unless disabled or a full-time student.
- While this credit is for expenses for *care*, not for *education*, education *below* kindergarten is an acceptable expense, as is after-school care *if* the primary purpose is *not* educational. Also acceptable are day camp, but not overnight camp, adult day care, and in-home care.
  - Expenses for care do not include amounts that the taxpayer paid for food, lodging, clothing, education, and/or entertainment. However, the taxpayer can include small amounts paid for these items if they are incidental to and cannot be separated from the cost of caring for the qualifying person.
- This is a **refundable credit only if TaxSlayer is told that the taxpayer had a principal place of abode in the U.S. for more than half the year.**
  - This is done via the **Advance Child Tax Credit** page, as discussed on page **105**.
- Go to the **F2441 - Child Care Credit - Page 1** page [Deductions > Credits Menu > Child Care Credit.]
  - Click "ADD A CHILD CARE PROVIDER."
  - Enter all provider information.
    - ***Note:*** **If** an EIN/SSN of a provider is unavailable, the return **must be paper filed.** (Create a note, see page **9**, saying that.)
    - Enter the total amount paid to the provider, including any amounts paid by the employer and reported in box 10 on the Form W-2. (If any dependent care benefits were paid by the employer, make sure that this amount has been entered correctly on the **W-2** page; amounts entered in box 10 will appear automatically on line 12 of Form 2441.)
    - Additional providers can be added.
    - When done with the section, click "Continue."
  - Click "Step 2 – Dependents."
    - Click "Edit" next to the dependent's name to enter the total Qualified Expenses paid to the provider for each dependent. The *source* of the funds to pay these expenses is not relevant – it can be a combination of employer benefits and the amount paid out-of-pocket by the taxpayer.
      - ***Warning:*** The pull-down list in TaxSlayer includes all dependents, not just dependents who qualify for this credit.
    - Make sure that the total of the amounts paid to providers matches the total of expenses allocated to dependents. (The "Difference" amount at the top of page 1 should be zero; if not, TaxSlayer will show a warning.)
    - ***Note:*** When a taxpayer has two qualifying persons for this credit but only one qualifying person has child and dependent care expenses, the IRS still allows use of the $6,000 limit that applies to two or more qualifying persons. In this situation, **add a second dependent who has no expenses**, but check the box "Qualifying Person had no expenses."
    - Click "Continue" after entering qualifying expenses for each dependent.
    - ***If a child does not qualify for this credit, do not enter expenses, and do not check the box about having no expenses.***
      - If TaxSlayer lists a person who does not qualify for this credit, there is no way to remove the person. Simply do not enter expenses, nor indicate there are no expenses, and TaxSlayer won't include that person in its calculations.
  - Click "Step 3 – Qualifying Persons" **if** there are qualified expenses for non-dependents.
    - *Do not add qualifying persons here*. All dependents and qualifying person should be entered in the Basic Information section, on the Dependents and Qualifying Children page – see page **22.**
  - Click "Continue to Page 2."
- On **Child Care Credit - Page 2**:
  - ***Note:*** For most taxpayers no information will need to be entered on Page 2.

- If the taxpayer and/or spouse were a full-time student or disabled, then they are considered to have worked and earned income.
  - This information can be found on page 1 of the Intake Booklet, in box 6 (and box 9, if a MFJ return.)
  - "Full-time student" means being enrolled for at least five months (any part of a month counts as a full month) during the tax year, at a "brick and mortar" school. That school doesn't have to be a college or university, but the enrollment must be for the number of hours or courses considered full-time attendance by the school.
- Follow the directions on the form to calculate and enter the earned income for purposes of this credit. Income entered on Page 2 increases the amount on line 4 of the Form 2441.
- Dependent care benefits received but not reported on a Form W-2, or forfeited benefits, are also entered on Page 2.
- Even if no information was entered on page **Child Care Credit - Page 2**, click "Continue" to complete the Child Care Credit process.

- Form 2441 is one of ten for which a PDF can be created from a menu within the return.
- ***Note for CA state returns:*** CA has a **nonrefundable** credit for Child and Dependent Care Expenses, which requires CA Form 3506. TaxSlayer automatically generates this after Form 2441 information is entered in the Federal Section.
  - The CA credit is not available to taxpayers whose federal AGI is over $100,000.
  - If the provider's business address, entered on the **F2441 - Child Care Credit - Page 1** page, is the same as the address where the care was provided, then *no action is needed for CA Form 3506*.
  - Otherwise, go to the **Child Care Credit** page in the State Section [Credits > Child Care Credit.]
    - ***Note:*** Entering information about other funds received is **not** required; that information does not affect the calculations in CA Form 3506.
    - ***Note:*** As of the date of this manual, it is unclear how TaxSlayer will be modified to collect information on the physical address where care was provided if that address is different than the business address of the care provider.
  - When done with this form, click "Continue."

SCHEDULE 3, LINE 3 - EDUCATION CREDITS

- If the taxpayer paid, or was deemed to have paid, or used loans for qualified expenses for themselves or a dependent to enroll in or attend an eligible educational institution, an education credit or adjustment may be available.
  - Expenses used for calculating credits or the adjustment must be paid during the tax year.
  - Expenses used for calculating credits or the adjustment must be reduced by any scholarship amount designated for those expenses.
  - If the taxpayer is filing MFS, none of these benefits are allowable.
- An **eligible educational institution** is an accredited postsecondary institution.
  - If there is any doubt as to accreditation, check the U.S. Department of Education database at **ed.gov/accreditation**.
- The taxpayer can take **ONLY ONE** credit or adjustment **per student**: the American Opportunity Credit (AOC), the Lifetime Learning credit, or the tuition and fees deduction (available only prior to 2021).
  - ***Note:*** The American Opportunity Credit is often referred to as the American Opportunity Tax Credit (abbreviated AOTC). For consistency with NTTC training slides, the abbreviation "AOC" is used in this manual.
- If a taxpayer could be claimed as a dependent but was not, that taxpayer is still eligible for a credit. Situations where it makes financial sense to shift an education credit to a dependent are rare, and mostly involve high-income taxpayers, for example someone paying AMT (which is, of course, out of scope.)
  - ***CA process note:*** In such a circumstance, the taxpayer would still want to claim the dependent on the CA return. This *is* possible, in TaxSlayer – for the process, see the end of the Dependents and Qualifying Children section, on page **23**.
- Normally the student will have received a Form 1098-T from the educational institution, which shows tuition and fees paid, and whether the student was at least a half-time student, as well as scholarships and grants.
  - If box 4, "Adjustments made for a prior year", has an amount in it, the return is ***out-of-scope*** if the taxpayer wants to use any of the expenses on the Form 1098-T to claim an educational credit or a deduction on either Schedule A or Schedule C.

- 1098-T information is entered on **Form 8863 - Educational Credit**, as described below. That TaxSlayer page is limited to *two Form 1098-Ts per student.*
  - If a student has three or more 1098-Ts that can be used for a specific educational credit, the return must be completed by hand and a paper return must be submitted.
- If the 1098-T has a dollar amount in box 5, "Scholarships or grants", see the section Scholarships, Fellowships and Grants – Form 1098-T on page **34** regarding whether this amount is taxable.
  - ***Note:*** Quite often, when a scholarship is for a dependent, the best approach is to treat $2000 of that (or the full scholarship, if less than $2000) as taxable income for the dependent and use the related $2000 of expenses to maximize the educational credit for the taxpayer.

Which Education Benefit is Best?

- If the student qualifies for the American Opportunity Credit (AOC), in almost all cases it will be the most beneficial credit because
  - It is a partially refundable credit
  - Eligible expenses include course materials as well as tuition and fees
- If the student does not qualify for the AOC because they are not a half-time student or are not in their first four years of college, the Lifetime Learning Credit should be claimed, unless a Schedule C business-related expense is available and better.
  - ***Note:*** Education expenses over the amounts allowable for either credit may be deductible elsewhere.
- A systematic process should be used to determine which education credit is best.
  - First complete ALL other aspects of the return.
  - If the taxpayer had health insurance through the Marketplace, make sure that ACA information is entered.
  - Use one of the listed tools below; if that does not provide a clear answer, then use a manual process.
- There are tools that can be used to determine the amounts eligible for the two education credits and for the adjustment, to help the taxpayer decide which is best:
  - Pages **J-2 through J-4 of Pub 4012** provide a comprehensive overview of the taxpayer's choices; **page J-5** compares the American Opportunity Credit to the Lifetime Learning Credit.
  - The Education Calculator, an optimizer, can be found at **cotaxaide.org/tools.**
- **Pub 970, Tax Benefits for Education,** provides a comprehensive list of options.

American Opportunity Credit (AOC)

- This credit can be claimed if all the following apply:
  - The student had not completed the first four years of postsecondary education (generally, the freshman through senior years of college), as determined by the eligible educational institution, by the beginning of the tax year, and has not already claimed this credit four times.
  - The student is enrolled at least half-time in a degree program.
    - ***Note:*** If the student completed a four-year program in the first part of the current year, and then enrolled in a masters or PhD program, expenses for that advanced degree which are incurred in the current year *can be used for the AOC.* This is one reason why it may be advantageous to not claim AOC for the freshman year of a student if that begins in the fall and therefore only five months of costs can be claimed.
  - Neither the AOC nor its predecessor, the Hope Scholarship Credit, has been claimed (by the taxpayer or anyone else) for this student for any four prior tax years.
    - ***Note:*** It may be advantageous to amend a prior year return where a lower AOC credit was claimed, and to instead claim the Lifetime Learning Credit for that prior year, to make the taxpayer eligible to claim a larger AOC credit in the current year, assuming all other conditions are met. [From the IRS perspective, there is no limit to how many years back this amendment can be made, because the taxpayer will be paying an additional amount with the amended return, but amended returns by Tax-Aide are in scope for the prior three years.]
  - The student has not been convicted of a felony drug offense.
- Regarding those four years:
  - Foreign college-level study is also counted toward the first four years if the eligible education institution counts that study toward the first four years.
  - These qualifying first four years do not have to immediately follow secondary school and do not have to be continuous; there can be breaks between.
- Allowable expenses are tuition, fees, books, supplies, and (potentially) computers.

- It is the position of the Tax-Aide program that having a computer *is* needed for students *if* the student says that a computer is needed, as, for example, to look at homework assignments which are posted only online.
- Amounts paid by others, such as grandparents, are deemed paid by the taxpayer.

- The credit is split into refundable and non-refundable parts.
  - 60% is non-refundable (to a maximum of $1,500); this goes on Line 3 of Schedule 3.
  - 40% is refundable (to a maximum of $1,000); this goes on Line 29 of Form 1040.
- **When the student is the taxpayer** and is less than 24 year of age, refer to **Pub 4012, page J-10**, which is a set of seven questions to be answered to determine if the refundable part of AOC can be claimed.
  - TaxSlayer asks these questions toward the bottom of the **Form 8863 – Educational Credit** page, if AOC has been selected. ("Are you eligible for the refundable portion of the American Opportunity Credit? Answer NO if 1, 2, & 3 apply to you:") *If the student is not the taxpayer or spouse, ignore the 1, 2, and 3, and just answer "Yes."*
    - If the student *is* the taxpayer or spouse, *and* questions 1, 2, and 3 do seem to apply, see the full set of questions in Pub 4012 for a final determination of whether to answer "Yes" or "No."
  - If you reach question 7, and the answer to that question is "... no, you do not qualify...", then education expenses should probably be used, if possible, for the Lifetime Learning Credit or as an expense or deduction on Schedule C or Schedule A.
- If the AOC was previously disallowed and the taxpayer is now – appropriately – claiming that credit, go to the **Information to Claim Certain Refundable Credits After Disallowance** menu page [Deductions > Credits Menu > Claiming Refundable Credits after Disallowance > ...]; reachable via the search box by entering 8862], and select "Claim AOTC After Disallowance."
  - ***Note:*** The menu option "Claim AOTC After Disallowance" will only appear if Form 8863, claiming AOC, has been added to the return.
  - ***Note:*** If the IRS makes a final determination that the AOTC claim was due to reckless or intentional disregard of the rules, the taxpayer is barred from claiming that credit for the following two tax years and should not file Form 8862 in either of those years. If the final determination is that fraud was involved, the prohibition is for ten years rather than two; do not file Form 8862 during this ten-year period.
  - ***Note:*** Once a Form 8862 has been filed, it is *not* necessary to file that form in future years *unless* a claim for this credit is again reduced or disallowed.

Lifetime Learning Credit

- This credit is limited to courses that "*either part of a post-secondary degree program or taken by the student to acquire or improve job skills",* per Pub 970.
- Allowable expenses are normally only tuition and fees. Amounts **required** to be paid to the institution for course-related books, supplies, and equipment are also allowable, but note that normally such items can be purchased from places other than the institution.
  - Amounts paid by others, such as grandparents, are deemed paid by the taxpayer.
- There is a limit of $10,000 of costs per return, regardless of the number of students for whom this credit is claimed.

Entering Education Information into TaxSlayer

- To begin the process of claiming a benefit, go to the **Form 8863 - Educational Credit** page [Federal Section > Deductions > Credits Menu > Education Credits.]
- Select the name of an eligible student.
- Select which of the benefits is being claimed, and the dollar amount of qualified expenses for that benefit.
  - Qualified expenses for the three benefits are discussed above. For the tuition and fees deduction, not surprisingly, only *tuition* and *school fees* are qualified expenses, and these qualified expenses cannot have been paid by third party. (For the two credits, qualified educational expenses paid by a third party may be claimed.)
- When AOC or Lifetime Learning is selected, TaxSlayer will display a box asking for more information about the educational institution.
  - **Both** educational credits require the student to have attended an institution eligible to participate in a student aid program administered by the U.S. Department of Education.
    - *Note:* Educational expenses related to self-employment, and deductible as an expense on Schedule C, do *not* have this requirement.
  - Schools that qualify are listed at **fafsa.ed.gov/spa/fsc/#/SEARCH**.

  - **The IRS will not accept an e-filed return if an EIN was not entered.**
    - TaxSlayer will not allow entry of an EIN unless at least one of the two questions about a 1098-T is answered "Yes."
    - If no EIN is entered, TaxSlayer will generate a warning, and the return *must be paper filed*.
- The question about whether the Hope credit or AOC has "already been claimed on 4 prior tax returns?" must be answered "No" *if* the AOC has been selected at the top of the page [that is the requirement]; if the LLC has been selected, you must answer "Yes" to complete the page.
  - If the question is answered "No", then answer the next one to three questions.
    - Also, create a note (per page **9**) that records the individuals and years for which the American Opportunity credit has been claimed.
- Click "Continue" to have TaxSlayer calculate how the information you entered affects the tax return.
  - ***Warning:*** TaxSlayer may determine that the credit selected by the preparer was incorrect – for example, AOC was checked but TaxSlayer decided that the taxpayer wasn't eligible, and instead awarded the Lifetime Learning Credit. *Look at the listing* that appears after clicking "Continue" to determine if the expected credit was awarded.
  - For either the AOC or LLC, TaxSlayer creates Form 8863.
- ***Note for CA state returns:*** CA has no education credits, nor an adjustment for tuition and fees, so education expenses allocated on the federal return for an education credit can be allocated otherwise on the CA return
  - If the taxpayer has a Schedule C on the return, **and** the educational expenses are related to that business, **and** the business has a net profit, then follow the procedure in the section Manually Entering Income Differences on CA Schedule CA, on page **110**, to *reduce* income on the CA return [the reduction is the *lesser* of the educational expenses or the net profit.]
  - If the taxpayer is itemizing on the CA return **and** cannot use some or all the expenses on a Schedule C, **and** the educational expenses are job-related, then – subject to the 2%-of-AGI reduction, the educational expenses can be added to the CA return as an additional itemized deduction.
    - There is no way to directly claim this additional deduction in the State Section of TaxSlayer. Instead, add that amount to Schedule A, as described in the section Schedule A - Unreimbursed Employee Expenses and Miscellaneous Deductions Subject to 2%-of-AGI Reduction (No line on Schedule A), on page **87**, so that it will flow from there to CA Schedule CA, Part II.

SCHEDULE 3, LINE 4 - RETIREMENT SAVINGS CONTRIBUTION CREDIT

- This credit is available to taxpayers who made **elective** contributions to IRAs, Roth IRAs, and other qualified retirement accounts. Such contributions are of two general types:
  - Contributions on a Form W-2: in Box 12, codes **D, E, F, G, H, S, AA,** and/or **BB**; or, in Box 14, an amount coded, in TaxSlayer, as "Retirement (Not in Box 12) – Carry to Form 8880"
  - IRA contributions (for both traditional **and** Roth IRAs) made directly by the taxpayer, rather than through an employer (See page 2 of the Intake Booklet, and specifically Part IV, question 2.)
    - Traditional IRA contributions will have been entered in the **IRA Deduction** page, as described in the Schedule 1, Line 20 - IRA Deduction section, on page **74**.
    - Roth IRA contributions are entered on the **Retirement Savings Contributions Credits** page, as described below.
- Taxpayers who made contributions as described above, may still be disqualified from using the credit by the following factors:
  - The taxpayer was not 18 years old as of January 2, 2021 (for the 2021 tax year.)
  - The taxpayer was claimed as a dependent on someone else's return.
  - The taxpayer was a full-time student during the year.
- If, based on the above, the taxpayer is eligible, determine if the taxpayer's income is too high. Review the following *after the taxpayer's AGI has been determined*.
  - For 2021, the credit is not available to those whose incomes (AGI) were above the following:
    - Single: $33,000
    - Head of Household: $49,550
    - Married Filing Jointly: $66,000
  - TaxSlayer correctly prevents award of this credit if an income limit is exceeded; no further action by the preparer is needed. No Form 8880 is created.

- If the taxpayer *did* make a contribution, *did not* have a disqualifying factor, and *did* stay under the AGI limit, then go to the **Retirement Savings Contributions Credits** page [Deductions > Credits Menu > Retirement Savings Credit]; this page is partially illustrated on **page G-14 of Pub 4012**.
  - In the first box, enter qualifying retirement distributions **made in 2019 and 2020, but not 2021. (**The software automatically includes, in its calculations, 2021 information.)
    - Ideally this information comes from actual 2019 and 2020 tax returns. If those are unavailable, take the taxpayer's word as to whether there were distributions in those years, and the (estimated) amount, but warn the taxpayer that any retirement credit on the 2021 return might be required to be repaid if the IRS determines that 2019 and/or 2020 distributions were not reported or were underreported.
    - "Qualifying retirement distributions" includes distributions from IRAs, 401Ks, and similar retirement accounts. It also includes pensions *where the employee could make voluntary retirement contributions*.
      - Federal employees who entered service **after 1987** were enrolled in the Federal Employee Retirement System (FERS), which does not allow voluntary retirement contributions.
      - Similarly, U.S. military pensions are *not* qualifying distributions.
  - The second box ("Enter as a negative number …") should **no longer be used** (it was relevant for tax years 2018 and earlier). Instead, any 2021 distribution that should not be included in Form 8880 calculations, such as a rollover, should be handled by using the [new as of 2019] checkbox that is located below box 2a on the TaxSlayer input page for 1099-Rs. (For details, see the section 1099-R Form – Distributions from Retirement Accounts, which begins on page **39**.)
  - Enter, in the third box, the total of current year traditional or Roth IRA contributions.
    - Do **not** include any traditional IRA contribution entered elsewhere; TaxSlayer automatically includes those in its calculations.
    - If you enter an amount in the third box, TaxSlayer will, when you exit the Form 8880, show that amount as "Taxpayer Contribution", on a "list" page. The presence of an entry on this list page does *not* mean that TaxSlayer has determined that there will be a retirement savings credit on the tax return.
  - The fourth box involves deferred salary arrangements, which are ***out-of-scope.***
- After entering information on the **Retirement Savings Contributions Credits** page, you can see what Form 8880 will look like from the Credits menu – this form is one of ten for which a PDF can be created from a menu within the return.
  - You can only see the Form 8880 if TaxSlayer calculates that a retirement savings credit is applicable; if it does not, it doesn't create Form 8880.
- If the taxpayer meets all the requirements for the retirement credit *except* for being a student, TaxSlayer correctly calculates the credit as being zero, but includes a Form 8880 in the PDF of the tax return. If this form is printed as part of the taxpayer's copy of the tax return, discard and shred it.

SCHEDULE 3, LINE 5 - RESIDENTIAL ENERGY CREDITS

Note: Credits for solar electric property and solar water heating property do not expire until December 31, 2021. These credits have never been in-scope for the Tax-Aide program. Only Part II of Form 5695 has been in-scope.

- **Page EXT-6 of Pub 4012** has information on what qualifies for the residential energy credit, and limitations; also refer to the **Instructions for Form 5695** as necessary.
  - The credit given is 10% of the cost of the qualifying improvements, with maximum amounts on some items, and an overall maximum of $500 for all years since 2005.
  - Items that *potentially* qualify for the credit are insulation, exterior doors, roofing, exterior windows and skylights, purchase of an energy-efficient building, and furnaces and hot water boilers (including a main air circulating fans.)
- Go to **Form 5695 - Non-Business Energy Property** page. [Deductions > Credits Menu > Residential Energy Credit.]
  - Check the box indicating "The energy efficiency improvements or residential energy property costs were made to the taxpayer's **main home** located in the United States", if applicable.
    - Second homes, rental homes and other property do not qualify.
  - Do not check the box indicating the improvements were related to the construction of the home. These improvements are ***out-of-scope***.
  - Click "Continue."
  - On the **Form 5695** page, on the "Nonbusiness Energy Property" line, click "Begin."
    - The other item, "Energy Efficient Improvement", is ***out-of-scope.***

- On the **Form 5695 – Nonbusiness Energy Property** page, enter the following information:
  - For the address of the main home**,** clicking the red underlined "Use my main address" fills in the address from the Basic Information section.
  - In the "Qualifying Improvements" section of this page, enter the dollar amount(s) spent.
    - For certain items, such as insulation, only the costs of the **material** can be claimed – not the costs of installing the material, or permits, or any other costs.
    - The taxpayer must have documentation, such as a billing from the contractor, for such items, to separate material costs from all other costs.
    - If the improvement is for exterior windows, and windows have been claimed on previous tax returns, enter the amount of the credits previously *received specifically for windows* (Form 1040, Line 53, for 2017 and prior years.)
      - There is a $200 lifetime **credit** limit for windows.
  - In the "Prior Year Credits" section, enter any residential credits received on tax returns since 2005, using the amounts that were on the specified lines of Form 5695 for those years.
    - To complete this section, the taxpayer must either bring the tax returns for these years or must be sure that the energy credit amounts were **zero** for these years.
    - It's not necessary to enter zeros.
  - Click "Continue" to finish the page.

SCHEDULE 3, LINE 6 - OTHER NONREFUNDABLE CREDITS

Schedule R: Credit for the Elderly and Disabled (Line 6d)

- This credit applies ONLY if the taxpayer or spouse:
  - (1) was **age 65 or older** at the end of the tax year **OR**
  - (2) retired on **permanent and total disability**, had taxable disability income (typically, code 3 on a 1099-R), AND was under the minimum retirement age as of December 31 of the tax year.
- This is a non-refundable credit; if the taxpayer owes no tax (see Line 16 of the 1040), it will have no impact on the taxes owed, but still should be entered because it can impact calculations such as the taxable amount of a state income tax refund.
- There are income and other limitations for this credit.
  - If AGI is greater than $25,000, or Social Security benefits are more than $7,500, then the taxpayer is **not eligible** for this credit; do not go to the TaxSlayer pages or research further.
  - If the taxpayer (disabled, or at least 65 years old) is under those dollar limits, use the screening sheet on **Page G-18 of Pub 4012** to determine whether a taxpayer qualifies.
    - **Pub 524, Credit for the Elderly or the Disabled**, has even more information, if there are still questions.
    - If the taxpayer **does not** qualify, do not enter any information into TaxSlayer.
- If the taxpayer *does* qualify, based on the screening sheet in Pub 4012, go to the **Schedule R Retired/Disability Question** page [Deductions > Credits Menu > Credit for the Elderly or Disabled Schedule R > Schedule R Retired…] (in the search box, this will show as "Go to Form Elderly or the Disabled Credit now".)
  - If the taxpayer or spouse is under 65 but retired on permanent and total disability, then the related box (6.b and/or 9.b.) on Page 1 of the Intake Booklet should have been checked.
  - On the initial page, select the appropriate category.
  - The second page, **Statement of Disability,** should not be shown by TaxSlayer if the taxpayer (or both the taxpayer and spouse, for a MFJ return) are 65 or older. But it should appear if one or both is disabled *and* under age 65.
    - The format for the physician's statement, mentioned on the second page, is shown in the **Instructions for Schedule R**.
  - The third page, **Income**, is critical. The two dollar fields *are used differently in TaxSlayer calculations.*
    - "Total disability income" should include *only* disability income entered *elsewhere* in TaxSlayer, such as a code 3 (disability) distribution on a 1099-R.
    - "Other pension, annuity, or disability benefit that is excluded from income under any other provision of law" should include *only* income that is *not* entered elsewhere in TaxSlayer; one example would be Supplemental Security Income (SSI) payments.
  - Click "Continue" to finish the entering of information for this credit.

All other credits for Line 6 of Schedule 3 are out-of-scope.

OTHER TAXES

SCHEDULE 2, LINE 1 - ALTERNATIVE MINIMUM TAX (*out-of-scope)*

- This is calculated by TaxSlayer. Any value on this line makes the return ***out-of-scope***.

SCHEDULE 2, LINE 2 - EXCESS ADVANCE PREMIUM TAX CREDIT REPAYMENT

- The amount on Line 2 of Schedule 2, if any, is determined by TaxSlayer based on information input from Form 1095-A. This form is issued to taxpayers who purchased health coverage through the Marketplace (Exchange) – that is, those who answered (or should have answered) "Yes" to final question on page 2 of the Intake Booklet, and who probably received an advance premium tax credit (APTC.)
  - APTCs (also known as "subsidies") are paid by the federal government to the health insurer, not to the taxpayer. When the taxpayer files their annual tax return, part of completing the return is the determination (by the software) as to whether the subsidies for the year were too high, too low, or just right.
  - The amount of the APTC paid to the health insurer was based on *what the taxpayer told the ACA exchange* about the taxpayer's *expected* income during the tax year.
    - Note: Taxpayers receiving APTC should always notify the exchange when they have a significant change to their income or family during the year. Otherwise, they may owe a substantial amount (for excess subsidies) when they file their tax return. Or they may pay unnecessarily high premiums during the year, recovering the extra amounts only after filing their tax return.
- ***CA process note:*** The term "State Marketplace" or just "Marketplace", "or "exchange", should be taken to refer to Covered California (at **coveredca.com**) unless the taxpayer lived outside CA during the year.
  - If the taxpayer has a Form 1095-A from a state other than CA, then the state return will be ***out-of-scope*** (because the taxpayer was not a full-time resident of CA during the tax-year). But the federal return is in scope if the policy for your site allows federal-only returns to be prepared.
- Detailed information on the premium tax credit can be found beginning on **Page H-12 of Pub 4012**. More information is available in Chart 3 of the "ACA Flowchart TY18" document, available on the Volunteer Portal.

Health Insurance Section

- On the **Health Insurance Questionnaire** page, answering "No" when in fact the taxpayer did obtain coverage through the Marketplace (in California, this is CoveredCalifornia), will cause the tax return to **reject,** with code F8962-070. This is a new reject code, beginning with tax year 2021. The taxpayer needs to provide their Form 1095-A, to be entered into TaxSlayer, in order to successfully e-file their return.
- On the **Verify Your Household Members** page, clicking "Add New Household Member" generally means that the return is ***out-of-scope*** because it would require answering questions related to Part IV, "Allocation of Policy Amounts", of Form 8962. Part IV is ***out-of-scope***.
  - All dependents should have been entered in the Basic Information > Dependents/Qualifying Person section.
  - If the taxpayer got coverage through the Marketplace (so, has a Form 1095-A), **and** received APTC (which is the norm), **and** someone is listed on the 1095-A who is not listed on the tax return, that requires a "shared policy allocation," which is ***out-of-scope*** because it requires completion of Part IV of Form 8962, which is ***out-of-scope.***
    - One example might be a child whose parents divorced in 2021. Another is a child under the age of 26 who is otherwise independent.
    - *If done right, this problem should be caught before the return is started. Names on the 1065-A should be matched against names on page 1 of the Intake Bookley.*
  - If the taxpayer got married during the year and *chooses* to use the alternative calculation for the year of marriage (Part V of Form 8962), then the return is ***out-of-scope.***

Form 1095-A Information

- TaxSlayer, on the **Advanced Premium Tax Credit (1095-A)** page, asks if the taxpayer received a Form 1095-A, or any subsidies. *If the taxpayer purchased health insurance through a Marketplace such as Covered California, they should have gotten a Form 1095-A.*
  - If the taxpayer purchased insurance through a Marketplace, but the answer is **"No"**, then further analysis is needed. Even if a taxpayer who purchased health insurance through a Marketplace *did not receive any APTC (subsidies)*, the taxpayer should have received a Form 1095-A, and the taxpayer *might* be entitled to

a net premium tax credit (Line 9 of Schedule 3). If so, information related to that form should be entered into TaxSlayer, which means the taxpayer should contact the marketplace to get that form.
    - If you're sure that (a) the taxpayer didn't receive any subsidies from the Marketplace, and (b) the taxpayer's return puts the taxpayer (and family, if any) above 400% of the federal poverty line ($51,040 for a 2021 return for a single person; see **page H-23 of Pub 4012** for the full table), then there isn't any point in asking the taxpayer to obtain a Form 1095-A. Instead, enter **"No"** in TaxSlayer. Then Line 2 on Schedule 2, and the related Line 9 on Schedule 3, will be **zero,** and you're done with those two lines on Form 1040.
    - If in fact the taxpayer's return puts him/her at or below 400% of the federal poverty line, then enter **"No"** but *also make a note (page 9) that the taxpayer needs to obtain Form 1095-A in order to complete the return; the 1095-A is a missing document.*
  - If the answer is "**Yes**", but **taxpayer does not have a Form 1095-A, or a Form 1095-A is incomplete, or incorrect, the return cannot be completed.** The taxpayer must contact the Marketplace (see above) to get a Form 1095-A, or a corrected one, or the information which should be on the Form 1095-A. If the taxpayer can get this information over the phone, the return can be completed.
  - If the answer is "**Yes**", and the taxpayer has one or more Form 1095-A's which are correct, and none are missing [almost always a taxpayer will have just one Form 1095-A], then proceed.
    - TaxSlayer will use information entered in this and the following page (about dependent income) to prepare **Form 8962, Premium Tax Credit (PTC)**; this form is one of ten for which a PDF can be created from a page within the return. (This form is printable from the first page in the Health Insurance section – look for the small printer icon and "Print" to the left of the "Continue" button.)
      - **Page H-16 of Pub 4012** shows what should appear on the Form 8962.
    - The **Advanced Premium Tax Credit (1095-A)** page will expand to allow entering information from the Form 1095-A into TaxSlayer, after the first question is answered "Yes".
    - ***Note:*** **Page H-13 of Pub 4012** discusses Form 1095-A in detail; **page H-17** discusses how to handle **multiple 1095-A's**, particularly for column B entries.
  - If the taxpayer stopped paying premiums, and the Form 1095-A shows, for any month, a zero in column A but dollar figures in columns B and C, see the bottom of page H-17 of Pub 4012 regarding what options the taxpayer has.
  - If the taxpayer had Marketplace coverage during the year *and* was covered by Medicare or employer insurance during a month when the taxpayer was *also* receiving APTC, the taxpayer is not entitled to APTC for that month. For such a month, change the SLCSP shown in column B of the 1095-A to $0.
  - If the taxpayer had both Marketplace coverage *and* was covered by Medicaid during a month when the taxpayer was *also* receiving APTC, that does not affect the calculations for possible APTC repayment, nor what is entered into TaxSlayer.

Dependents' Modified AGI (if filing requirement)

- This TaxSlayer page will be visible only if the taxpayer has dependents on the return. It requires information to be entered **only** for dependents who were **required** to file their own tax returns due to their gross income.
  - Do **not** enter information for dependents who are filing a tax return only to claim a refund of tax withheld or estimated tax paid or filing only because they owe self-employment tax (Schedule C.)
  - **Page A-2 of Pub 4012** has information on when dependents are **required** to file a tax return.

Repayments of APTC

- After completing the Health Insurance section, **look at Line 2 of Schedule 2** (via the Summary/Print option; go to page 2), or look at Form 8962 (printable from the first page of the Health Insurance section), to see whether TaxSlayer has calculated that the taxpayer must repay some or all the APTC received during the tax year.
  - For tax year 2021, two changes in the tax law will reduce the amount of APTC that might have to be repaid:
    - There is no cutoff at 400% of the federal poverty line (FPL)
    - If the taxpayer (a) received unemployment in 2021, or (b) was approved (in late 2021) for unemployment for any week during 2021, even though payments did not occur until 2022, **then the household income in excess of 133% of FPL is disregarding.**
  - ***Note:*** The calculation of the amount to be repaid is based on the taxpayer's **MAGI** (AGI + any excluded foreign earned income + any exempt interest income + any nontaxable SS income + any included dependent income). So, it's important to have entered all income into TaxSlayer before analyzing the repayment situation.

- If the taxpayer is repaying APTC received (the amount in Column C of the Form 1095-A), consider ways to reduce the taxpayer's MAGI .
  - The most common way to reduce MAGI is for the taxpayer to contribute to a traditional IRA before the filing deadline of April 18, 2022. Other options are listed on **page H-19 of Pub 4012**.
  - ***Note:*** MFS filers are *not eligible for APTC* unless a victim of domestic abuse or spousal abandonment, but there still may be an advantage in filing as MFS because of a repayment cap.
    - ***CA policy:*** Filing MFS to reduce APTC repayments, rather than filing MFJ, is ***out-of-scope***.
- Normally, filing as HoH is more advantageous than filing as Single. However, if the taxpayer is required to repay a large amount of excess Advanced PTC (but not all), a filing status of Single may be advantageous, since the repayment is capped at $1,350 for Single filers, but at $2,700 for HoH filers, for tax year 2021.
- If the taxpayer is repaying a significant amount of APTC, look at Form 8962 to determine if he/she is just above an **internal break point** (400% or 300% or 200% of FPL). If so, getting the taxpayer's MAGI *below* the threshold, using one of the options discussed above, could save the taxpayer a lot of money.
  - For example, for 2021, a HoH or MFJ household with MAGI at 201% of FPL has their APTC repayment capped at $1,600. But if that household made an IRA contribution that lowered the MAGI to 199%, they would be required to repay no more than $650.
  - Repayment caps are listed at the bottom of **page H-19 of Pub 4012**.
- If the taxpayer is repaying all or a significant amount of APTC, discuss with the taxpayer whether they have Marketplace coverage for 2022, and, if so, whether the Marketplace has a good estimate for the taxpayer's income in 2022. (If not, they should *call*.) A good estimate is important for avoiding a large repayment when taxes are filed for tax year 2022.
- APTC repayment on Line 2 of Schedule 2 **is an allowable medical expense** on Schedule A, as are insurance premiums listed on Form 1095-A. The amount on Line 2 of Schedule 2 should be treated **as if the taxpayer had paid the premiums during the tax year of the return.** (This is an exception to the normal "calendar year" determination.)

SCHEDULE 2, LINE 4 - SELF-EMPLOYMENT TAX

- TaxSlayer determines the amount on Line 4, Self-employment tax, based on information entered on Schedule C; for 2021 the amount is 15.3 percent of net earnings on Schedule C, up to the first $142,800 of net income, and 2.9 percent beyond that.
  - ***Note:*** No self-employment tax is owed if net earnings on Schedule C are less than $433, although the *filing requirement* is for $400 or more of net earnings.
- For tax year 2020 only, self-employed individuals had the option of deferring the payment of 50 percent of the Social Security tax that was owed on net earnings from self-employment income for the period from March 27, 2020, through December 31, 2020. Taxpayers who chose this option had to pay the deferred taxes by December 31, 2021, and repayment was considered part of their *2020* tax return.
- If Schedule C income is from a notary business, self-employment tax does not apply, and an adjustment must be made – see the section Notary Fees, on page **63**.
- Unique rules apply to the clergy; such returns are ***out-of-scope***.
- ***Note:*** Self-employment tax does not apply to statutory employees - FICA and Medicare taxes are withheld on their Form W-2s.

SCHEDULE 2, LINE 5 - UNCOLLECTED SS AND MEDICARE TAX ON TIP INCOME

- An amount on this line should come from Form 4137 tip income not reported on Form W-2s; see the section W-2 Form - Tip Income (part of Form 1040, Line 1), page **32**.

SCHEDULE 2, LINE 6 - UNCOLLECTED SS AND MEDICARE TAX ON WAGES *(OOS)*

- The use of Form 8919, Uncollected Social Security and Medicare Tax on Wages (for taxpayers who were employees but were treated as independent contractors by their employer), would make the return ***out-of-scope***.

SCHEDULE 2, LINE 8 - ADDITIONAL TAX ON IRAS, OTHER QUALIFIED PLANS

- Form 5329 is used for the assessment of various additional taxes. The most common is for an early withdrawal from IRAs and other tax-favored accounts.
- If additional tax is assessed, it will show on both Form 5329 [visible on the PDF for the return] and on Line 8 of Schedule 2.

- If no exception applies to the penalties that are automatically calculated by TaxSlayer, then Form 5329 does not need to be included in the return.

5329 Part I – Additional Tax on Early Distributions

- An "early withdrawal" means is one that is taken before the age of 59½.
- TaxSlayer assesses the federal 10% penalty if there is a code **1** or code **J** in box 7 of a Form 1099-R. The surtax is 25% in the case of a SIMPLE early withdrawal – code **S** in box 7 of the Form 1099-R.
  - While code **J** is potentially subject to the penalty, if it was determined to be in-scope per the chart on page **page D-39 of Pub 4012**, then it isn't subject to 10% penalty.
  - ***Note for CA state returns:*** CA also assesses a 2.5% penalty on Form 3805P; this appears on line 63 of the Form 540.
- Any penalty can be eliminated if the taxpayer qualifies for an exception, which is entered on Part I of the **Form 5329** page. The process for doing this is discussed in the section 1099-R Form – Exceptions to Early Withdrawal Penalties, on page **41**.

5329 Parts II through VIII - Out-of-scope

- If the taxpayer received a Form 1099-QA, Distribution from ABLE Accounts, determine if the distribution was fully spent on **qualified expenses** – for the designated beneficiary's blindness or disability, in maintaining or improving his or her health, independence, or quality of life.
  - If so, the return is in-scope; the distribution is not reportable as income and does not have to be entered into TaxSlayer.
    - Qualified expenses paid from an ABLE account can't be used elsewhere on the tax return.
  - If not, Part II of Form 5329 needs to be filled out, which makes the return ***out-of-scope***.

5329 Part IX – RMD Not Taken

- If an RMD was taken in 2021 and then redeposited – a rollover – see the section 1099-R Form – Transfer or Rollover, on page **42**). If the taxpayer reached 72 years of age by December 31, 2021, the taxpayer should have begun taking withdrawals from tax-deferred retirement accounts, such as regular IRAs. If the taxpayer failed to take their required minimum distribution (RMD) in 2021, they might have been liable for the excess accumulation surtax (50%), which is computed in Part IX.
  - For such taxpayers, there were two exceptions to the withdrawal requirement:
    - The taxpayer could have elected to *defer* taking the RMD in the year in which they reach 72 years of age. In that case, the taxpayer must essentially do **two** RMD withdrawals in the following year.
    - If the taxpayer was still working for an organization, the taxpayer was not required to make withdrawals from that organization's 401(k) or 403(b) plans, regardless of age, *if* they still participated in the plan, and *if* the organization's plan so allowed.
- The RMD amount is shown in box 12b of Form 5498, which the IRA administrator (for example, a bank) should have sent to the taxpayer.
  - ***Note:*** While this form is *not* required in order to do a tax return, it may be necessary to ask the taxpayer to return with it if taxpayer was 73 years old, or older, in the tax year, has one or more qualified retirement accounts, and has made *no* withdrawals, or very limited withdrawals, during the tax year.
- The RMD must be calculated separately for each IRA that the taxpayer owns, but the taxpayer can withdraw the **total** amount from one or more of the IRAs. Similarly, a 403(b) contract owner must calculate the RMD separately for each 403(b) contract that he or she owns, but can take the **total** amount from one or more of the 403(b) contracts.
  - However, RMDs required from other types of retirement plans, such as 401(k) and 457(b) plans, have to be taken **separately** from **each** of those plan accounts.
  - SEP and SIMPLE IRAs *are* included in these calculations; Roth IRAs are *not*. .
- RMD information, including the exact percentage of December 31 balances that are required to be distributed to meet RMD rules, can be found at **irs.gov/pub/irs-tege/uniform_rmd_wksht.pdf**.
- If the taxpayer has failed to take a required distribution, they need to correct the problem by taking the required distribution as soon as possible, which will result in a taking two distributions during the year in which the correcting distribution is taken.
- To report a RMD which has not been taken, go to the Part IX of the **Form 5329** page [Federal Section > Other Taxes > Tax on Early Distribution]
  - Enter the RMD amount in the box for "Minimum required distribution for current year"

        - If the taxpayer has more than one retirement account subject to RMD, calculate the total of all RMDs
    - Enter total distributions in the box for "Amount actually distributed to you in current year"
        - If the taxpayer had distributions (on a Form 1099-R) from more than one retirement account, calculate and enter the total of all RMD amounts
- On the **Form 5329** page, a waiver of the entire 50% surtax may be requested. To do so:
    - Check the box labeled "Check here to claim a waiver ... "
    - Enter the amount for which a waiver is being requested
    - Provide the IRS with an explanation.
        - A waiver request requires describing the circumstances that led to the failure and how the shortfall has been remedied (by taking the required distribution, belatedly)
        - Remediation must be done; the IRS may ask for proof the required distribution was done before approving the waiver. Ideally, remediation will be done before the return is filed, but if that would delay the return beyond April 18, don't wait for remediation before filing the return.
    - There are two recommended ways to get the explanation to the IRS, both involving the 70-character field which (after the box is checked) will be at the bottom of the **Form 5329** page:
        - Use the 70 character field to make the explanation (70 characters is roughly 14 words)
        - Or, in the field, write "See separate explanation, attached", then put the information into one or more Preparer Notes; each of these notes can have up to 1000 characters of information, and is sent to the IRS with the e-filed tax return.
            - To create a Preparer note, go to the **Preparer Note** page [Miscellaneous Forms > Explanations > ...]
    - Form 5329 is one of ten for which a PDF can be created from a menu within the return.

SCHEDULE 2, LINE 9 - HOUSEHOLD EMPLOYMENT TAXES (*out-of-scope*)

SCHEDULE 2, LINE 10 - REPAYMENT OF FIRST-TIME HOMEBUYER CREDIT

- 2008 homebuyers who received the First Time Homebuyer (FTHB) credit (2008 Form 1040, line 68) were required to **repay** the credit, starting in 2010 – *the credit was a **loan***.
    - The repayment is spread over 15 years, at $500 per year (so payments could continue through 2024).
- If taxpayer has already repaid their entire credit (ahead of schedule), do not enter any information into TaxSlayer.
- If the taxpayer is unsure of the status of repayment, information can be looked up online at **irs.gov/individuals/first-time-homebuyer-credit-account-look-up** .
    - ***Note:*** This link is at the bottom of the **Form 5405 - First-Time Homebuyer Credit and Repayment** page, after the first question on that page is answered.
- If the credit has not been fully re-paid, the 2008 tax return was a MFJ return, and the 2021 tax return is also a MFJ return, then separate pages are required for the taxpayer and spouse.
    - Each is credited with half of the repayments made in prior years.
    - If one spouse on the 2008 tax return is deceased, that half of the credit does not have to be repaid; refer to **Form 5405 instructions**.
- Repayment of some or all the un-repaid portion of the credit may be required if the home is disposed of.
    - Repayment is affected by whether the house was disposed of at a profit or loss.
    - If the house is no longer the primary residence of the taxpayer because of destruction or condemnation, the return is ***out-of-scope***. The taxpayer needs to go to a paid tax preparer or use tax-preparation software.
- If the taxpayer *has not* repaid all the credit, go to the **Form 5405 - First-Time Homebuyer Credit and Repayment** page [Federal Section > Other Taxes > First-time Homebuyer Repayment.]
    - Note that this TaxSlayer page pertains *only* to the credit given in 2008. If the credit was given in 2009, 2010, or 2011, that would have been a *grant* that doesn't need to be repaid.
    - If the taxpayer has repaid only the minimum - $500 per year – beginning in 2010, then the "the full amount repaid with your prior year tax returns" would, for the 2021 tax return, be eleven times $500, for a total of $5,500.
        - *Do not assume that the taxpayer has paid only the minimum amount each year – **ask**.* If the taxpayer is unsure, that information can be looked up on-line (see the irs.gov link above.)

- If the current year's return will not be the final one for repayment of the loan, it is not necessary to create a note – TaxSlayer has Carryforward for this, as well as a warning if a payment was made in 2020 but is not being made on the 2021 return.
- Click "Continue" when done.
- ***Note:*** Form 5405 is one of ten for which a PDF can be created from a menu within the return, in this case, the **Other Taxes** menu page. It is *not* required to be filed when the taxpayer is making a routine annual payment.

SCHEDULE 2, LINE 13 - UNCOLLECTED TAXES

- If box 12 on a **W-2** page has a dollar amount for a code of A, B, M, or N, for uncollected Social Security/RRTA or Medicare tax on the taxable cost of group-term life insurance, then TaxSlayer places the uncollected tax amount on this line.
- The other taxes that go on this line (from Form 8959, Additional Medicare Tax, and 8960, Net Investment Income Tax), if applicable, make the return ***out-of-scope***.

PAYMENTS AND REFUNDABLE CREDITS

LINE 25 - FEDERAL INCOME TAX WITHHELD

- Federal tax withheld is carried to this line from entries on **W-2** pages and some 1099s.
- For Form 1099 withholding not entered elsewhere (for example, on a Form 1099-B), go to the **Other Federal Withholdings** page [Federal Section > Payments & Estimates > Other Federal Withholdings], enter the amount, check the box (if appropriate), and click "Continue."

LINE 26 - 2021 ESTIMATED TAX PAYMENTS

- These are payments that the taxpayer HAS MADE using Form 1040-ES (federal) for the CURRENT tax year, plus any overpayment amount from the prior year that was credited toward estimated taxes for the current year.
  - ***Note:*** See Federal Estimated Tax Payments, page **121**, to prepare payment vouchers for NEXT year's estimated tax payments.
- Go to the **Payments - Estimated Payments** page [Federal Section > Payments & Estimates > Federal Estimated Payments for 2021] and enter information using taxpayer information (actual amounts paid) and, if applicable, the prior year's tax return.
  - Before entering a figure for "Amount Applied from Prior Year Refund", confirm with the taxpayer that the expected refund (on the tax return) was actually received by the taxpayer, and not changed by the IRS.

LINE 27 - EARNED INCOME CREDIT

- EIC (sometimes referred to as EITC) is available to people who have earned income, subject to income limits.
  - For tax year 2021, the minimum age is 19 (except 24 for students who are eligible for AOC, and 18 for qualified former foster youth or homeless youth.
  - For tax year 2021, **no maximum age.**
    - If filing MFJ without a qualifying child, only one taxpayer must meet the age requirement.
  - ***Note for CA state returns:*** For the CalEITC, taxpayers 18 years and older are eligible, regardless of whether there is a qualifying dependent. (Details are on page **117**.)
- EIC is a refundable credit – it is not necessary to owe federal tax to claim the credit.
- **For 2021 returns, earned income in 2019** may be used, if **higher**. (TaxSlayer decides whether it is more advantageous to use 2019 or 2021 earned income.) This is entered on the Personal Information page – see the section Other Personal Information, on page **20** (specifically, the eighth box).
  - ***Note:*** 2020 returns had the same option – to use 2019 earned income, if higher.
- To claim EIC for a dependent, that dependent must have a Social Security number.
  - ***Warning:*** a return *cannot be amended to retroactively claim EIC after a dependent gets an SSN. If the taxpayer expects to get that SSN by October 15, he/she must* ***file an extension*** *rather than file the tax return in order to preserve the right to EIC for that dependent.*
- For 2021, the **income limits** (after which the taxpayer is not eligible for EIC), are:

Filing Status	Qualifying Children Claimed

	Zero	One	Two	Three or More
Single, HoH, or QW	$21,430	$42,158	$47,915	$51,464
MFJ	$27,380	$48,101	$53,865	$57,414

- If TaxSlayer has determined that a return does not qualify the taxpayer for EIC, this will be shown at the top of the **Calculation Summary** page – the first page when an existing return is opened (and, of course, available from the left navigation bar, by clicking "Summary/Print.)
  - The notice (in a box with a light green background) is titled "REASONS FOR NO EARNED INCOME CREDIT (EIC)."
- If EIC was disallowed in a prior year, more information must be entered into the tax return in order to claim EIC for 2021.
  - The **Information to Claim Certain Refundable Credits After Disallowance** menu page [Deductions > Credits Menu > Claiming Refundable Credits after Disallowance > ...]; reachable via the search box by entering **8862**] is needed only very infrequently for EIC issues. It used when you need to (a) claim eligibility for the EIC when that is has been disallowed in a prior year, or (b) to disallow EIC when TaxSlayer has calculated an amount for that credit.
  - ***Note:*** If the IRS makes a final determination that the EIC claim was due to reckless or intentional disregard of the rules, the taxpayer is barred from claiming that credit for the following two tax years and should not file Form 8862 in either of those years. If the final determination is that fraud was involved, the prohibition is for ten years rather than two; do not file Form 8862 during this ten-year period.
  - ***Note:*** Once a Form 8862 has been filed, it is *not* necessary to file that form in future years *unless* a claim for this credit is again reduced or disallowed.
- To check the amount that TaxSlayer has calculated for EIC, you can go to the **Calculation Summary** page (via Summary/Print on the left navigation bar), and look at the entry on Form 1040, Line 17a.

LINE 28 - REFUNDABLE CHILD TAX CREDIT

Basics

- The refundable CTC is discussed on **pages G-2 and G-4 of Pub 4012** and in **Pub 972, Child Tax Credit**. It is also available at **ChildTaxCredit.gov** .
- The Child Tax Credit is very different for tax year 2021:
  - It is fully refundable for almost all taxpayers.
  - It is now $3,000 per child, not $2,000. (For a child is under the age of 6 as of December 31, 2021, the amount is $3,600.)
  - The maximum age is 17, as of December 31, 2021, rather than 16.
  - There is no earned income requirement.
  - The taxpayer probably got Advance Child Tax Credit, as discussed in the next section,
- Other factors:
  - For the 2021 tax return, a qualifying child must have a Social Security number as of the filing date, or as of April 18, 2022, whichever is earlier.
  - A custodial parent can allow the non-custodial parent to claim a dependent for the purposes of the child tax credit, education credits, and the medical expense deduction.
    - This requires a written declaration – Form 8332 or similar documentation.
  - The taxpayer and/or spouse do *not* need SSNs, but dependents do need them.
    - ***Warning:*** a return *cannot be amended to retroactively claim CTC after a dependent gets a Social Security number. If the taxpayer expects to get that SSN by October 15, he or she should* ***file an extension*** *rather than file a tax return, to preserve the right to CTC for that dependent.*
- If CTC is received on the 2021 tax return, and the qualifying child is **16 or 17 years old** as of the end of the tax year, remind the taxpayer that for tax year 2022, the CTC eligibility age reverts to 16, so they will not be getting CTC in tax year 2022 for such a child.
- If the CTC and/or ACTC was reduced or disallowed in a prior year and the taxpayer is now – appropriately – claiming one or both of those credits, go to the **Information to Claim Certain Refundable Credits After Disallowance** menu page [Deductions > Credits Menu > Claiming Refundable Credits after Disallowance > ...]; reachable via the search box by entering 8862] and select "Claim CTC/ACTC After Disallowance."

- ***Note:*** If the IRS makes a final determination that the CTC claim was due to reckless or intentional disregard of the rules, the taxpayer is barred from claiming that credit for the following two tax years and should not file Form 8862 in either of those years. If the final determination is that fraud was involved, the prohibition is for ten years rather than two; do not file Form 8862 during this ten-year period.
- ***Note:*** Once a Form 8862 has been filed, it is *not* necessary to file that form in future years *unless* a claim for this credit is again reduced or disallowed.

Advance Child Tax Credit

- Starting in July 2021, taxpayers received $300 per month per eligible child unless they opted out of getting these advance payments on the CTC. These advance payments reduce the amount of the CTC credit available to reduce taxes owed on the 2021 tax return, or to increase the 2021 tax refund.
  - The taxpayer could go online and opt out of the advance CTC payments. (For MFJ returns, *both* taxpayer and spouse had to opt out, individually, before the IRS would stop payments.)
  - There are *some* provisions to protect (lower-income) taxpayers from having to repay excess advance CTC payments.
- The advance Child Tax Credit is discussed on **page G-5 of Pub 4012**. Important points are also covered on pages G-3 and G-5 of the NTTC version of Pub 4012.
- To enter the amount of the advance CTC, go to the **Advance Child Tax Credit** page [COVID-19 Relief > Advance Child Tax Credit > …]
  - The first question is to tell TaxSlayer that the taxpayer in fact qualifies for the **refundable** child tax, not the **non-refundable** (and smaller) version, by checking "Yes".
  - The "Aggregate amount of advance child tax credit payments … " comes from the IRS Letter 6419 that taxpayers received. For MFJ taxpayers (on their 2020 tax return), the amount on the letter for each of the couple is *half* of the total paid out for dependents on the 2020 return; **total** the two amounts.
  - For the "Number of qualifying children taken into account … ", enter **zero** if the taxpayer opted out of all advance payments, and did not receive any. Otherwise:
    - (1) If the filing status is other than MFJ in 2021, use the number of children in box 2 of the IRS letter.
    - (2) If (a) the filing status is MFJ for the 2021 return, and (b) was MFJ for the 2020 tax return, **and** the (c) spouse is the same, then add the numbers in box 2 on each of the forms, and divide the total by two.
    - (3) If the filing status is MFJ for the 2021 return, but either (2)(b) or (2)(c) are *not* true, then add the numbers in box 2 on each of the forms.

LINE 29 - AMERICAN OPPORTUNITY CREDIT

- Up to 40% (maximum $1,000) of the AOC may be refundable.
  - See the American Opportunity Credit (AOC) section, page **93**, for details.

LINE 30 - RECOVERY REBATE CREDIT

- Information for this credit is entered from a new menu (COVID-19 Relief), which is listed under the Federal section on the left navigation bar.
  - ***Note:*** Extensive information on this credit is available at **irs.gov/coronavirus/third-economic-impact-payment** , and on **page H-8 of Pub 4012**.
- The Recovery Rebate Credit is a credit that began in the 2020 tax year. For tax year 2021, there was one Economic Impact Payment. The 2021 EIP was $1,400 per eligible taxpayer ($2,800 for married taxpayers filing a joint tax return), plus $1,400 per qualifying dependent.
  - **TaxSlayer takes care of calculating entitlement to this credit**, based on information entered on the 2021 tax return for the taxpayer, spouse (if any), and dependents (if any).
  - To get their $1,400, taxpayers must have a SSN.
  - To get the credit for a dependent, the taxpayer must be claiming, for that dependent, either the child tax credit (page **90**) or the credit for other dependents (page **90**).
- The amount of money (credit) that taxpayers are eligible for also depends on their 2021 income (AGI). For single/MFS filers, the amount of the credit begins phasing out beginning at an AGI (on the 2020 return) of $75,000, and is completely phased out at $80,000. For HoH filers the phaseout starts at $112,500; For MFJ/QW returns, the phaseout starts at $150,000 and ends at $160,000.
  - No payment is made once AGI reaches these limits: $80,000 for single/MFS, $120,000 for HoH, and $160,000 for MFJ/QW.

- Those filing a 2021 tax return need to indicate what EIP amount(s) they received.
  - Taxpayers should have received an IRS Notice 14444-C, "Your 2021 Economic Impact Payment", within a few weeks after receiving their payment. This notice is helpful in completing Form 1040 correctly, but *is not required, and the IRS has no process for replacing it if a taxpayer cannot find it*.
  - Taxpayers should also receive an IRS letter 6475, "Your 2021 Economic Impact Payment(s)", listing the total amount of their EIP payment.
    - For MFJ returns, *both the taxpayer and spouse should have received a letter*, even though a single payment was issued. The amount paid will be split equally between the taxpayer and spouse, so when entering into TaxSlayer, the two amounts must be combined.
  - It is possible to look up the 2021 EIP amount on the IRS website – see **sa.www4.irs.gov/irfof-wmsp/login**.
  - **If IRS information, from one or more of the above sources, does not match what the taxpayer says, the IRS will disallow the taxpayer's claim for the (excess) RRC.** If this mismatch occurs, it is better to help the taxpayer start a payment trace than to claim the missing EIP on the 2021 tax return.
    - The taxpayer can start a payment trace by calling 800-919-9835, or by mailing or faxing a completed **Form 3911, Taxpayer Statement Regarding Refund**.
- On the 2021 tax return, one of three situations will exist:
  - The taxpayer is entitled to more money. People who did not receive the right amount of EIP, because because 2021 AGI is different than 2020, or because of a new qualifying dependent, can receive the missing money on their 2021 tax return.
    - Given the processes used for 2020 tax returns, the IRS is likely to review all 2021 returns claiming RRC, to compare what the taxpayer says was received in EIP versus what IRS computers say, *before* issuing a requested refund. The client should be advised that this could considerably slow the issuance of a refund.
  - The taxpayer was fully paid. There will be no RRC on the 2021 tax return. (If a taxpayer would otherwise have no filing requirement for tax year 2020, and has received their full EIP, **then there is still no requirement to file a 2020 tax return.**)
  - EIP payments were higher than what the taxpayer is eligible for, based on what is or would be on their 2020 tax return. **In this situation, the taxpayer does not have to pay back the difference.**
    - Again, if the taxpayer would otherwise have no filing requirement for tax year 2021, there is no requirement to file a 2021 tax return.

SCHEDULE 3, LINE 9 - NET PREMIUM TAX CREDIT

This line will have an amount only if the taxpayer purchased health insurance on an exchange, such as Covered California, and if the advance premium tax credit (APTC), also known as "subsidies", was less than the taxpayer was entitled to. (Typically, that's when the taxpayer had *less actual* income in the tax year than the taxpayer told the exchange they *expected* to earn.)

- If Line 8 of Schedule 3 has an amount in it, an adjustment may be required to Schedule A.
  - If the taxpayer itemizes, and the itemization includes medical expenses, and those medical expenses include the premiums paid for health insurance purchase on an exchange, such as Covered California (these will be listed in the "monthly enrollment premiums" column on the Form 1095-A), then the amount entered into Schedule A must be *reduced* by the amount on Line 8 of Schedule 3.
    - This is an exception to the rule that only income received, and expenses incurred within a calendar (tax) year can be included on the return for that year.
- For details about how this credit is calculated, see the section Schedule 2, Line 2 - Excess Advance Premium Tax Credit Repayment on page **98**.

SCHEDULE 3, LINE 10 - AMOUNT PAID WITH REQUEST FOR EXTENSION TO FILE

- Line 9 of Schedule 3 is relevant only when preparing a tax return after the regular filing season has ended, at a site open during the summer and fall, or when preparing a prior year tax return.
- For the tax year being prepared, if the taxpayer requested an extension, by filing Form 4868, Application for Automatic Extension of Time To File U.S. Individual Income Tax Return, to delay tax filing for up to six months, then the taxpayer **may** have made a payment with that extension request. **Ask the taxpayer if such a payment was made, and if so, how much was paid.**

- If the taxpayer is unsure of the amount – or even whether an amount was paid – then do not guess; instead, *do not enter a dollar amount*. If the taxpayer did file an extension request and did pay an amount, the IRS will correct the tax return and will issue the taxpayer a refund check for the amount paid with the extension but not reported on Line 9.

- If the taxpayer confirms that a Form 4868 was filed and knows the payment amount that was made for the tax year being prepared, enter that payment into TaxSlayer: go to the **Amount Paid with Extension Request** page [Federal Section > Payments & Estimates > ....]

SCHEDULE 3, LINE 11 - EXCESS SOCIAL SECURITY

TaxSlayer makes this entry automatically if there are multiple Form W-2s for an individual and the combined wages exceed the maximum subject to Social Security taxes for the year ($142,800 for 2021.)

SCHEDULE 3, LINE 13 - OTHER PAYMENTS OR REFUNDABLE CREDITS

This line is in-scope only for qualified sick and family leave credits, Line 13b and Line 13h, and the refundable part of the credit for child and dependent care expenses, Line 13g.

Qualified Sick and Family Leave Credits, Line 13b

- Eligible self-employed individuals are allowed an income tax credit to offset their federal self-employment tax in an amount equal to their "qualified sick leave equivalent amount" or "qualified family leave equivalent amount."
  - The credit is for self-employed taxpayers who are unable to work or telework because of one or more specified situations related to the COVID-19 pandemic, experienced by either the taxpayer or a member of the taxpayer's family.
  - Details of the requirements are on **page H-9 of Pub 4012**. Both Form 7202, Qualified Sick and Family Leave Credits, and **the instructions for Form 7202**, have additional information.
  - If a taxpayer and spouse are both self-employed and both are eligible for the credits, the tax return will include two Form 7202s.
- Go to the **Form F7202 – Credits for Sick Leave and Family Leave** page **[Federal Section > Credits > Credits for Sick Leave and Family Leave for Certain Self-Employed Individual]** ***Credit for Child and Dependent Care Expenses (Refundable Portion), Line 13g***
- If any part of child and dependent care expenses are refundable, that will show on Form 2441, line 10. TaxSlayer will automatically put that amount on Line 13g. (For further discussion, see the section Schedule 3, Line 2 - Credit for Child and Dependent Care Expenses on page **90**.)

STATE SECTION AND CA ADJUSTMENTS & DIFFERENCES

GENERAL INFORMATION

Prevent or remove the California Return

- In some cases, you won't want a CA return - for example, the taxpayer did not live in California for the entire tax year. (CA Tax-Aide policy is that part-year CA returns will not be prepared.)
- There are two ways to prevent or remove a CA return from TaxSlayer:
  - In TaxSlayer, a state return will be specified on the **Personal Information** page in the Basic Information section, in the field labeled "Resident State as of 12/31/2021". Change the value to read "none."
  - Or, once past the Basic Information section, you can click on "State Section", in the left navigation bar. If you see a state return listed (presumably "California"), click the trashcan icon on the far right to remove that state return.
- If you prevent a CA return from being created, or delete the CA return, you **must** make your ERO aware of that:
  - In your Activity Reporting log, record that the tax return is "Federal only."
  - Also create a note inside the return (page **9**) saying that there is no CA return.

State Information Requested Immediately After the Personal Information Page

- One of TaxSlayer's useful features, though confusing at first, is the page that immediately follows the **Personal Information** page, when starting a new return. The page, though titled **California Return**, does not put the

preparer into the state return. Instead, the page is designed to capture *common* state information, so that the preparer often does not need to go into the State Section to complete a return.

- For CA returns, this "pop-up" page asks information about the Renter Credit and Use Tax.

Renter Credit

- For the taxpayer to be eligible for this credit:
  - **Rent must have been paid** on a principal residence **in CA for 6 months** or more during the tax year.
    - The residence could be a mobile home for which the taxpayer pays rent for the land, and property taxes or an in-lieu registration tax for the mobile home itself, or a boat slip, if the residence is a boat.
  - The taxpayer **did not claim a homeowners property tax exemption** at any time during the year (to do so, the taxpayer must have owned a home at some time during the tax year.)
  - The residence where rent was paid was **not exempt from property taxes** (the most common case where no property tax is paid is when a property is owned by a non-profit organization, or a government entity.)
  - The taxpayer **did not live with another person for more than half the year**, where that person (such as a parent) **claimed the taxpayer as a dependent**.
  - At no time during the tax year was the taxpayer (a) a **minor** who also was (b) living with and under the **care of a parent, foster parent, or guardian**.
- If the taxpayer is eligible, based on these five criteria, answer "Yes" to the question "Do you qualify for the Renter's Credit?" otherwise answer "No."
  - The FTB does not require that any supporting information, such as the name of the landlord or the landlord's phone number, be submitted with the CA return. The taxpayer must be prepared to substantiate that they do pay rent, if audited.
- There are **two additional criteria** for eligibility for this credit – the taxpayer must be a CA resident for the entire year [but, of course, it is Tax-Aide policy that we do not do partial-year CA returns], and, for 2021, CA AGI must be $45,488 or less (single) or $90,896 (MFJ, HoH, or QW). TaxSlayer handles the income criterion correctly - if the question is answered "Yes" but the taxpayer's income is too high, TaxSlayer will *not* give this credit to the taxpayer.
  - Because TaxSlayer handles the income criterion correctly, it is recommended that the preparer answer the question based solely on the first five criteria above, *ignoring income*.
- The Renter Credit will show on CA Form 540, Page 2, line 46, **if** the question was answered "Yes", and **if** the income limit was not exceeded.
  - ***Note:*** Even though this is a *non-refundable* credit, and therefore has no value if line 34, Tax, on Page 2 of CA Form 540, is zero, TaxSlayer will *always* list the credit amount on Line 46 when the taxpayer is eligible for the credit.

CA Use Tax

- Background: If someone in California buys merchandise, they must pay sales tax unless that item is specifically exempt (for example, food). If a California resident purchases a taxable item for use in California from an out-of-state vendor, and that vendor does not charge California sales tax, then the individual who purchased the item is still required to pay the California sales tax amount, in the form of "use tax."
  - The taxpayer, or a member of the taxpayer's tax family, could have ordered items on the Internet, or by mail (catalog sales), or by phone (800 call center), and not paid CA sales tax. (Vendors without a "physical presence" in California are not currently required to collect CA sales tax.)
  - The taxpayer could have made a purchase while out of state and brought the purchased item back to California.
    - If the taxpayer paid another state's sales tax on a purchase brought back to California for use within California, that payment can be subtracted from what would otherwise be owed, to the extent of the applicable CA use tax on that purchase.
    - Goods purchased outside the U.S., carried into the U.S. (not shipped), and declared for customs purposes are subject to use tax to the extent they exceed $800 in value. (Goods purchased from a vendor outside the United States and shipped to California are fully subject to use tax.)
- The amount of use tax to be paid the taxpayer is normally entered on the CA-specific page that appears after the **Personal Information** page is completed. If that number needs to be changed (or the CA-specific page does not appear), go to the **Tax** page [State Section > **California State Return** > ...], and enter or change the amount in the "Use Tax" field, then click "Save."

- If zero is entered, then TaxSlayer will, on the Form 540, page 4, check the box below line 91 that says "No use tax is owed."

- To calculate the amount owed, the taxpayer has three choices:
  - (1) If the taxpayer has tracked out-of-state purchases made during the year, the total owed can be calculated using the taxpayer's figures, and the local sales tax rate.
    - This includes **a use tax of zero dollars**, if the taxpayer made no out-of-state purchases, or is sure that they paid CA sales tax on all out-of-state items shipped to them, and that, for all purchases made in person while out of state, the sales tax charged was at or above their local sales tax rate.
    - In almost all cases, option (2), if the taxpayer qualifies for this, *will be better.*
  - (2) If **all** items purchased without sales tax being charged **each** had a cost of less than $1,000, then the taxpayer has the option of using the Estimated Use Tax Lookup Table [see below] to calculate the use tax owed.
  - (3) If one or more items costing $1,000 or more were purchased without sales tax being charged, then the use tax must be calculated using the use tax worksheet found on page 16 of the **CA 540 booklet.**
- The **Estimated Use Tax Lookup Table** *for taxpayers who did **not** purchase an untaxed item having a value of $1,000 or more*, is shown below. (***Note**:* these are 2021 figures.)

Adjusted gross income (AGI)	Use tax to be paid	Adjusted gross income (AGI)	Use tax to be paid
Less than $10,000	$0	$80,000 to $89,999	$7
$10,000 to $19,999	$1	$90,000 to $99,999	$8
$20,000 to $29,999	$2	$100,000 to $124,999	$9
$30,000 to $39,999	$3	$125,000 to $149,999	$11
$40,000 to $49,999	$4	$150,000 to $174,999	$13
$50,000 to $59,999	$4	$175,000 to $199,999	$15
$60,000 to $69,999	$5	More than $199,999	Multiply by 0.008% (0.00008)
$70,000 to $79,999	$6		

- Use tax for vehicles and mobile homes purchased outside of California should be paid directly to the California Department of Tax and Fee Administration (CDTFA); exclude such purchases from the calculations involving Form 540, page 3, line 91. **If the Use Tax amount is zero, and a payment was made to CDTFA,** change the answer to the question "If your use tax is zero, did you pay your use tax obligation directly to CDTFA?" to be "Yes".

Viewing the PDF for the State Return

- On the first page of the State Section, a printer icon will appear on the state return grid (on the page where the "Add Another State Return" link appears) after a CA return has been created, either automatically by TaxSlayer, or manually. Clicking the printer icon will open a new window that displays the PDF for the state return.

When CA-Related Changes Take Effect in TaxSlayer

- *Entering information on a page in the State Section **does not change** the displayed CA Refund (or CA Amount Due) until you have clicked "Continue" (or "Save") repeatedly, to reach the **State Return** page. That's because TaxSlayer doesn't do its computations for the state return until you reach the **State Return** page. The delay in doing computations is why TaxSlayer objects if you try to go directly from a State Section page to a page in any other section of the return.*

BASIC INFORMATION MENU PAGE

- This menu page has links to four pages. Information on those pages should generally have been entered (or noted as being *needed to be entered*) while the Federal Section was being worked on.
- **Head of Household:** California requires an additional form, CA Form 3532, be filled out for those filing as HoH. Information about that form is in the Head of Household section, on page 17.
  - ***Note:*** This menu item appears on the **Basic Information** menu only if the federal filing status is Head of Household.
- **Additional Personal Information**: This page collects information on whether the taxpayer or spouse is a dependent of another person, change of last name, and the name of the person being paid alimony. Directions to

enter that information are found in various, logical places, in the pages above for the Federal Section of the return.

- **Complete if You Were Active-Duty Military**: This page is ***out-of-scope*** except for military sites.
- **Taxpayer or Spouse is Deceased**: Information entered on this page, and related actions, are discussed in the Other Personal Information section, on page **20.**

ADJUSTMENTS AND DIFFERENCES

The information below identifies specific situations that MAY need to be addressed for a CA return. For most returns, none of the information in this section will require any action by a tax preparer.

If the preparer knows that there is no need to enter information in the State Section, that section of TaxSlayer can be ignored.

- While California generally follows federal tax law, there are some situations where California and the federal law differ – see **FTB Pub 1001, Supplemental Guidelines to California Adjustments** (available via e-mail only) for more information.
- When these differences lead to adjustments on the CA tax return, the adjustments are listed in CA Schedule CA.
  - An example is Social Security benefits, which are taxable up to 85% on the federal return, but which are not taxed at all by California.
  - In TaxSlayer, viewing CA Schedule CA requires looking at the PDF for the entire state return.
    - The quickest way to see this PDF is to go to the State Section and click on the small printer icon.
- In most cases, TaxSlayer will automatically make the appropriate adjustments from entries on the federal forms.
  - Where TaxSlayer does not automatically make the appropriate adjustment, the word "**manually**" is used, below, to indicate that you must make entries in TaxSlayer, and the name of the entry is underlined.
- Preparers and reviewers should verify all entries on CA Schedule CA, if that form appears in the PDF for the tax return.

Manually Entering Income Differences on CA Schedule CA

- When the federal return and the CA return differ regarding the taxability of income, **and** TaxSlayer does not automatically handle the difference (by posting to CA Schedule CA), then the difference must be entered **manually**.
  - On the State Section main menu page, select "Additions to Income" or "Subtractions from Income."
- The total of the addition(s) and the total of subtraction(s) amounts on these two TaxSlayer pages will appear on CA Schedule CA, Part I, Section B, line 8f, separately.
  - It is not possible, within TaxSlayer, to make **manual** entries that post to columns B or C of most of Part I, Section A (specifically, to lines 1 through 6) or to most of Part I, Section B (specifically, to lines 1 through 7.)

ADDITIONS TO INCOME

California includes as income certain items which are not taxable on the federal return; these appear on CA Schedule CA, Part I. [The specific section and line number are listed in brackets below.]

- [A, 1] Wages – HSA employer contributions – see Health Savings Accounts in CA, page **115**.
  - The CA adjustment is done automatically by TaxSlayer.
- [A, 2] Interest from non-CA state and municipal bonds – see 1040 Line 2, page **35**.
  - TaxSlayer's page allows an amount of tax-exempt interest to be specified as *taxable* on the state return.
- [A, 2] Interest or other income earned in an HSA – see Health Savings Accounts in CA, page **115**.
  - The CA adjustment must be **manually** entered; it will post to line 8f of Part B of CA Schedule CA.
- [A, 3] Dividends from non-CA municipal bond funds – see 1040 Line 3, page **37**.
  - The amount to be taxable, if any, by the state can be specified in TaxSlayer, and so the CA adjustment is done automatically by TaxSlayer.
- [A, 5] Survivor benefits (on a Form 1099-R) attributable to service by a public safety officer who was killed in the line of duty before January 1, 1997, are excludible from federal income tax; CA does not conform.
  - The CA adjustment must be **manually** entered; it will post to Section B, line 8f.

- [A, 5] Canadian and German Social Security (all other retirement payments from foreign governments are ***out-of-scope***, as discussed on page **51.**)
  - The CA adjustment for Canadian and German social security payments must be **manually** entered; it will post to Section B, line 8f.
- [B, 8f] Withdrawals from 529 plans that are used for K-12 expenses
  - If the taxpayer has a Form 1099-Q, as discussed on page **67**, you must ask the taxpayer whether expenditures were for college-level expenses. If not, then the withdrawal is taxable income, and a **manual** adjustment is required. (On the *federal* return, qualified expenditures also include expenses at the K-12 level, starting with tax year 2018; apprenticeship costs, starting with tax year 2019; and up to $10,000 of qualified student loan principal and/or interest payments, also starting with tax year 2019.)
- [C, 20] IRA contributions after age 70 ½, as discussed on page **74**.

SUBTRACTIONS FROM INCOME – INCOME NOT TAXED

Income Not Taxed

California does not tax certain income items which *are* taxable on the federal return; these are listed below by section and line number in Part I of CA Schedule CA [section and line number are in brackets, for where the income is reported in *Column A* of Part I.]

- ***Note:*** There is a question, in TaxSlayer, in the California section, on the **Other Subtraction 1** [or **2** or **3**] page: "Is this entry exempt Native American Income, which may be reported on FTB 3504?". This question refers to FTB Form 3504, Enrolled Tribal Member Certification. (**2020**) (**2021**) Tribal members are supposed to file this form (separately from their tax return) to document any income that is not taxable by CA. (Instructions are **here**.) Except where noted below, the answer to the question is "No."

- [A, 1] Military income: Active-duty military pay is not included as part of California taxable income unless the military member is domiciled and stationed in California and the pay is earned in California.
  - ***Tax preparers must have the Military certification to prepare returns involving active duty pay.***
  - The CA adjustment must be **manually** entered; it will post to Section B, line 8f.
  - See FTB Pub 1032, Tax Information for Military Personnel (**2020**) (**2021**) for other differences between federal and CA tax rules.
- [A,1] Clergy housing income –tax provisions peculiar to clergy make the return ***out-of-scope.***)
- [A,1] Indian tribal members' income, if the member lives and works on tribal land – see the section W-2 Form - Indian Tribal Income, on page **30**.
  - The CA adjustment must be **manually** entered; also answer "Yes" to the question about FTB Form 3504. The adjustment will post to Section B, line 8f.
- [A,1] Ridesharing fringe benefits - the employer should have reported different state wages in box 16 of Form W-2, compared to box 1.
  - The CA adjustment must be **manually** entered; it will post to Section B, line 8f.
- [A,2] Interest paid on municipal bonds issued by the state of California, including counties, cities, and agencies - see the section Interest Income on Form 1099-INT, on page **35**.
  - TaxSlayer's page allows an amount of tax-exempt interest to be specified as *taxable* on the state return; if not so specified, then it is automatically treated as not taxable at the state level.
- [A,2] Interest earned from U.S. Government Savings Bonds, U.S. Treasury Bills, and any other bonds of the U.S. or U.S. territories – see page **35**.
  - TaxSlayer's page allows such interest to be specified as *not taxable* by California; this should be done.
- [A,3] Dividends from CA municipal bond funds - see the Line 3 - Dividends, on page **37**.
  - The amount to be taxable, if any, by CA can be specified on the TaxSlayer page for 1099-DIV information.
- [A,3] Dividends from U.S. government bond funds (Form 1040, Line 3) – see page **37**.
  - TaxSlayer provides a line to enter the adjustment on the TaxSlayer page for 1099-DIV information.
- [A,5] Tier II Railroad Retirement benefits (1040 Line 5) - see page **47**.
  - TaxSlayer automatically makes the adjustment.
- [A,6] Social Security benefits (U.S. only) (1040 Line 6) - see page **48**.
  - TaxSlayer automatically makes the adjustment. *If Canadian or German social security is entered, a manual adjustment is required, because these payments **are** taxable by California – see page **49**.*
- [A,6] Tier 1 Railroad Retirement benefits (1040 Line 6) - see page **50**.

  - TaxSlayer automatically makes the adjustment (this is Social Security equivalent.)
- [10] Any state tax refunds (1040 Schedule 1, Line 1) - see page **38**.
  - TaxSlayer automatically makes the adjustment.
- [19] Unemployment compensation paid by CA or another state (Schedule 1, Line 7) - see page **65**.
  - TaxSlayer automatically makes the adjustment.
- [21] Indian tribal members' benefits, if the member lives on his or her tribal land – see 1099-MISC Income on Line 8 of Schedule 1, on page **67**.
  - The CA adjustment must be **manually** entered; also answer "Yes" to the question about FTB Form 3504.
- [21] CA Lottery winnings (Schedule 1, Line 8b) – see page **66** (lottery winnings from other states are taxable for CA.)
  - The CA adjustment must be **manually** entered.
- [21] Government-agency authorized reward from a crime hotline (1040 Schedule 1, Line 8) (see **FTB Pub 1001** for details.)
  - The CA adjustment must be **manually** entered.
- [21] HSA distribution in excess of qualified medical expenses (1040 Schedule 1, Line 8) – see Health Savings Accounts in CA, page **115**.
  - The CA adjustment must be **manually** entered.

Additional Business Expenses

California allows certain business-related expenses to be added to the calculation of net profit from self-employment, expenses not allowed on the federal Schedule A. These expenses *reduce* California taxable income, and are entered on CA Schedule CA, Part I, line 12.

- Work-related educational expenses for which the Lifetime Learning Credit was claimed
  - If the taxpayer has a Schedule C on the return, **and** the educational expenses are related to that business, **and** the business has a net profit, then those work-related educational expenses can be used to *reduce* income on the CA return [the reduction is the *lesser* of the educational expenses or the net profit.]
    - The adjustment must be made **manually.**
- Entertainment expenses which are business-related
  - California does not conform to the elimination of entertainment expenses as an allowable business expense. As of the publication date of this manual, TaxSlayer does not separate meal expenses from entertainment expenses, on the **Schedule C – Expenses** page, so it is necessary to handle entertainment expenses as a **manual** adjustment.

OTHER DIFFERENCES IN CALCULATING INCOME

In three other areas, California may calculate income differently than on the federal return.

Inherited Property Basis Difference (page **52**)

- For CA, for property inherited from decedents, the basis is always the fair market value (FMV) as the date of death.
- The federal basis for property inherited in 2010 (and sold during the 2021 tax year) may be different than FMV; this will be shown on the **Form 8939, Allocation of Increase in Basis for Property Acquired From a Decedent (2010)**. If the basis is not FMV, the return is ***out-of-scope***.

IRA Basis Difference

- ***Note:*** For the federal return, the IRA basis recovery is on Form 8606 Part I.
- There may be a basis difference for CA as shown in the table below.
- The taxpayer must have records showing the amount contributed for each of these years and the amount deducted for federal and CA, if any.
  - Without records, there will be no adjustment of the taxable IRA distribution.
- Generally, CA basis in excess of federal basis is applied to reduce the amount of taxable IRA distribution until CA basis is the same as federal basis.
  - Thereafter, no further adjustment would be needed as CA follows federal IRA basis recovery rules
- **FTB Pub 1005** has detailed instructions and worksheets.

Year	Federal	California
1975	Maximum deduction of $1,500	No IRA deduction
1982-1986	Maximum of $2,000; must be earned income	Maximum of $1,500; not allowed if covered by pension plan
1987-1994	IRA limited to net federal *Schedule C* income plus wages	IRA limited to net income on *CA C Page 1* if less than federal
2007-2009	AGI limits increased for deductible IRA for active participants	CA AGI limits lower, allowed deduction could have been lower
2007-2009	Catch-up provisions	Non-conformity
1987 - Present	Non-deductible contributions	Separate election

Capital Loss Carryover (CA Schedule D)

- Capital loss carryover amounts can vary between federal and CA - see page **54** for how to determine this, and how to handle it.

FEDERAL ADJUSTMENTS TREATED DIFFERENTLY BY CA

Adjustments on Federal Return not Recognized by CA

California does not recognize (allow) three adjustments (reductions of income) that appear on Schedule 1 of the federal Form 1040. On CA Schedule CA, the changes are entered as *subtractions* from what is on Schedule 1; the net effect is to *increase* the income amount that is taxable (the California AGI). The three federal adjustments that are affected are:

- Educator expenses (Schedule 1, Line 11) - see page **88**.
  - TaxSlayer automatically makes the adjustment.
    - However, if the taxpayer wants to claim this amount, on the CA return, as unreimbursed employee expenses (a type of itemized expense subject to a 2%-of-AGI reduction on Schedule A), this is a **manual** adjustment – see the next section, below.
- Health savings account deduction (Schedule 1, Line 13) - see page **71** [these are *employee* contributions, which are *not* on Form W-2.]
  - TaxSlayer automatically makes the adjustment.
- [Part I, Section C, line 19] IRA deductions made after age 70½; a **manual** adjustment (**income addition**) is required – see page **74**.

Adjustments on Federal Return Handled Differently by CA

California handles differently any alimony paid for divorces finalized after December 31, 2018, as well as separations signed after that date.

- On the **federal return,** such alimony is not treated as income to the recipient, nor can the paying taxpayer take the alimony amount as an adjustment on Schedule 1, Line 19a.
- On the California return, **all** alimony paid, regardless of the date of divorce or separation, as income to the recipient and an allowable adjustment for the payer.
- For alimony paid for divorces finalized after December 31, 2018, as well as separations signed after that date, TaxSlayer automatically makes adjustments:
  - Alimony paid is entered on CA Schedule CA, Part I, Section C, line 19a, which reduces CA income.
  - Alimony received is entered on CA Schedule CA, Part I, Section B, line 2a, which increases CA income.

ITEMIZED DEDUCTIONS TREATED DIFFERENTLY BY CA

- CA treats some Schedule A itemized deductions differently than how they are handled on the federal return. The Federal amounts, and changes to the federal amounts for the CA return, are now recorded *by line* on the CA Schedule CA, Part II
- Adjustments to federal deductions can be entered **manually** when TaxSlayer does not handle them automatically. To **manually** adjust deductions, in the State Section, select "Itemized Deductions."
  - The **Itemized Deductions** page in the CA section ("State Section") of TaxSlayer lists some specific adjustments that can be made. For example, because the CA still allows interest on non-acquisition debt

secured by a home to be deducted (up to $100,000 of debt), you might need to enter an amount in the "Additions - Home mortgage interest and points reported to you on Form 1098" box.
  - There is also a non-specific "Other Adjustments to California Itemized Deductions" option at the bottom of the page; **this is for adoption-related expenses**, which is *out-of-scope.*
- ***Note:*** Bracketed numbers, below, are the line numbers for Part II of CA Schedule CA.

- [Line 4] Medical expenses in excess of 7.5% of federal AGI.
  - Medical expenses reimbursed by an HSA account, on line 15 of Form 8889, are not deductible on federal Schedule A, but possibly can be added to line 4 of Part II of CA Schedule CA. A **manual addition** is required.
  - The actual entry is **tricky, and should not be done until Schedule A on the federal return is complete.**
  - ***Warning:*** Qualifying expenses for HSA distributions include items, such as OTC drugs, that are *not qualifying for Schedule A.* Do **not** include expenditures on such items in the CA Schedule CA entry.
  - What is entered in TaxSlayer depends on where the taxpayer is with regard to the 7.5% threshold. Three examples follow. For all of them, assume a Federal AGI of $40,000, so that the 7.5% threshold is $3,000, that the HSA distribution was $1000, and that $900 qualified for Schedule A (but was *not* entered there; it was used for HSA purposes on the federal return).
    - (1) Schedule A (federal) medical expenses are $3,500, which is $500 over the threshold. Enter $900 into TaxSlayer.
    - (2) Schedule A (federal) medical expenses are $2,000. *Do not enter anything into TaxSlayer*. (If you enter $900, TaxSlayer thinks that this the amount in excess of $3,000, and it counts the $900 as part of the CA itemization.
    - (3) Schedule A (federal) medical expenses are $2,500. Enter $400 into TaxSlayer. (Total allowable medical expenses on the CA return are $2,500 plus $900 equals $3,400; that's $400 over the threshold.)
- [5a] State and local taxes – see page 79. Beginning with tax year 2018, the total federal itemized deduction for state and local taxes (SALT) is limited to $10,000.
  - CA does not conform to the inclusion of state income tax or state sales tax in allowable itemized deductions, regardless of amount.
  - For real estate and personal property taxes, CA does not conform to the limitation $10,000 limit, though it is rare for the taxpayers we serve to exceed that amount, for these two types of taxes. In any case, all real estate taxes and personal property taxes that were paid should be entered on the federal Schedule A, if the taxpayer is itemizing on the CA return.
  - TaxSlayer will automatically flow real estate tax and personal property tax amounts to CA Schedule CA, Part II, lines 5b and 5c, while eliminating the state income tax or state sales tax amount.
- [6] Foreign income taxes (see page 82)
  - The CA adjustment must be entered as a **manual subtraction** (note that line 6 on the federal Schedule A is for all other taxes, not just foreign taxes; subtract only foreign taxes.)
    - ***Note:*** Foreign taxes are normally taken as a credit on the federal return. They only go onto Schedule A – and require a CA adjustment - if they exceed $300 (if MFJ, $600.)
- [8] Home mortgage interest and points
  - CA does not conform to the reduction in mortgage and line-of-credit interest that can be deducted on the federal return, for loans made after December 15, 2017; the total was reduced to $750,000. For CA, interest paid for a total of up to $1 million in loans ($500,000 MFS) is still deductible on the CA return, to the extent that these loans were used to **buy, build, or improve a home**.
    - Any difference (interest on loan amounts over $750,000 but not exceeding $1 million) must be entered as a **manual addition**.
  - CA does not confirm to the elimination of interest and points on up to $100,000 of "home equity debt" (debt secured by a home, but **not** used to buy, build, or improve that home.)
    - The amount of such interest and points must be entered as a **manual addition**.
  - Calculation of what is acquisition debt (buy, build, or improve) versus non-acquisition debt (home equity debt) is complicated; see page 83 for a detailed discussion.
- [16] Gambling losses to offset CA Lottery winnings – see page 87
  - The CA adjustment must be entered as a **manual subtraction**; in TaxSlayer, this goes in the "Other Miscellaneous Itemized Deductions" section.
- [16] Repayment of unemployment benefits for a prior year – see page 65

  - The CA adjustment must be entered as a **manual subtraction**; in TaxSlayer, this goes in the "Other Miscellaneous Itemized Deductions" section.
- [19-21] Expenses that were subject to a 2%-of-AGI reduction.
  - Beginning with tax year 2018, the entire category of itemized expenses subject to a 2%-of-AGI reduction, such as the expense of a safe deposit box, or tax preparation fees, **is no longer deductible on the federal Schedule A.** However, California conforms to allowable federal Schedule A deductions *as of 2015*, so such expenses *are still allowable* as a CA itemized deductions subject to a 2%-of-AGI reduction. [The 2% is based on the **federal AGI.**]
  - Most of the "2%-of-AGI reduction" expenses that were allowed for the CA return were entered into Schedule A on the *federal* return. TaxSlayer handles such "no longer valid for federal, but possibly valid for states" deductible expenses by continuing to allow them to be entered in the federal itemization section.
    - These expenses are described in the section, on page **86.**
    - These expenses flow automatically from the federal Schedule A to Part II of CA Schedule CA.
  - There are two "2%-of-AGI reduction" expenses that are allowable on the CA return but are *not* included in the federal Schedule A. Both need to be entered as **manual additions** in Part II of CA Schedule CA.
    - Educator expenses for which a federal deduction was claimed on Schedule 1, Line 1 (see page **88**) (This is the deduction of up to $250.)
      - TaxSlayer automatically makes the adjustment to increase CA *income*, as mentioned above, but does not adjust itemized deductions. These expenses are claimable as CA itemized deductions.
    - Work-related expenses for which a federal education credit was claimed
      - TaxSlayer doesn't know if expenses for either of the two education credits (see page **94**) were ***work-related.*** If they *were*, **and** they were not used to reduce self-employment income on the CA return, then they *are* deductible using CA Schedule CA.

HEALTH SAVINGS ACCOUNTS IN CA

- CA does not recognize HSAs nor the trust that is created for federal tax purposes.
  - This can impact many parts of a return.
- Form W-2 – contributions made by an employer to a Health Savings Account, shown in box 12 with code W, are not federally taxable, **but** they are taxable by California. The federal income on the Form W-2 (box 1) does not include the amount in box 12, but this amount is taxable on the CA return.
  - TaxSlayer automatically makes the adjustment on line 7 of Part I of CA Schedule CA.
- Interest or other income earned in an HSA account is taxable on the CA return.
  - Follow the procedure in the section Manually Entering Income Differences on CA Schedule CA, on page **110**.
- Capital gains or losses within the HSA trust are taxable by California.
  - In TaxSlayer, there is currently no way to make this adjustment.
  - ***Note:*** an adjustment may result in a different capital loss carryover for CA purposes.
- HSA distributions for which there are qualified expenses are not taxable income on either the federal return or the CA return; no CA *income* adjustment is needed.
- For HSA distributions in excess of qualified medical expenses, on line 16 of Form 8889, TaxSlayer includes the distribution in income on the federal return (on Line 8 of Schedule 1, Other Income); but it is not taxable for CA; a **manual** adjustment is required.
  - Follow the procedure in the section Manually Entering Income Differences on CA Schedule CA, on page **110**.
- HSA contributions made by or on behalf of the taxpayer (Schedule 1, Line 13) reduce taxable income on the federal return, but CA does not recognize such reductions.
  - TaxSlayer automatically makes an entry on CA Schedule CA, Part I, line 25, to adjust for CA rules.
- Medical expenses reimbursed by the HSA, on line 15 of Form 8889, are not deductible on federal Schedule A, but should be added to CA Schedule CA as an additional itemized deduction. A **manual** adjustment is needed for Schedule CA, Part II, line 1.
- Follow the procedure in the section Itemized Deductions Treated Differently by CA on page **113**.

CA-ONLY NON-REFUNDABLE CREDITS

- All California-only credits are reached from Credits menu page in the State Section. On the Credits menu page, four specific credits are listed: Child Care Credit; Renter Credit; Schedule S, Other State Tax Credit; and the CA Earned Income Credit.
  - Schedule S, Other State Tax Credit, is ***out-of-scope.***
    - If the taxpayer decides to not claim credit for taxes paid to the other state(s), then Schedule S is not needed and does not cause a scope issue. If the taxpayer does want to claim this credit, the taxpayer needs to use a paid tax preparer or tax preparation software.
  - For CA credits other than the four that are listed, use the **Other Credits** link.
    - TaxSlayer allows a maximum of *two* credits to be entered on the **Other Credits** page.
- All of California's credits are ***non-refundable*** except for the Young Child Tax Credit and the CalEITC. That means that if line 34, Tax, is zero, then *only* those two refundable credits can generate a tax refund for the taxpayer, assuming he/she did not have any California tax withholding.

Child and Dependent Care Credit (CA 3506), CA Form 540, Page 2, line 40

- See Schedule 3, Line 2 - Credit for Child and Dependent Care Expenses, on page **90**, regarding this credit. (Care must be physically provided within California.)

College Access Tax Credit, Code 235, CA Form 540, Page 2, lines 43-45

- This credit is for individuals who make cash contributions to the College Access Tax Credit (CATC) Fund.
- Donors must apply for the credit and get certified by the California Educational Facilities Authority (CEFA) before they can make the donation.
- For tax years 2016 through 2022, the amount of the credit for each tax year is 50 percent of the amount contributed.
- Only the non-credit part of the contribution **is allowed as an itemized deduction in Schedule A.**

Joint Custody Head of Household Credit, Code 170, CA Form 540, Page 2, lines 43-45

- This credit is available to a person who files as Single or as MFS if:
  - The person paid more than one-half the household expenses for their home.
  - Which is the main home of the taxpayer's child, stepchild, or grandchild for at least 146 days but less than 219 days of the taxable year.
  - And the custody arrangement for the child is part of a decree of dissolution or legal separation, or part of a written agreement entered into before the final decree is issued.
- If MFS, the taxpayer must have lived apart from their spouse/RDP for the entire tax year.
- The credit is 30% of the tax due (CA Form 540, Page 2, line 35), limited to a maximum of $513 for 2021.
- The credit cannot be claimed if the Dependent Parent Credit, code 173, is claimed.
- See **FTB Instructions for Form 540** if there are any questions about entitlement to this credit.

Dependent Parent Credit, Code 173, CA Form 540, Page 2, lines 43-45

- ***Note:*** There are very limited situations where a MFS return is in-scope – see page **16**.
- This credit is available to a person filing MFS where:
  - The spouse did not live in the taxpayer's household during the last six months of the year.
  - The taxpayer has a mother or father who is their dependent.
  - The taxpayer paid the costs of more than half of the household expenses of that dependent, whether or not the dependent lived in the taxpayer's home.
- The credit is 30% of the tax due (CA Form 540, Page 2, line 35), with a maximum credit of $513 for 2021.
- ***Note:*** The credit cannot be claimed if the Joint Custody HoH Credit code 170 is claimed.
- **FTB Instructions for Form 540** has full details if there are questions.

Senior Head of Household Credit, Code 163, CA Form 540, Page 2, lines 43-45

- This credit is available for a person 65 or older who:
  - Qualified as head of household for 2019 or 2020.
  - Does not qualify for HoH in 2021 because the qualifying relative for HoH died in 2019 or 2020.
  - Whose AGI does not exceed $83,039 for 2021 – **caution, TaxSlayer may not apply this income limit properly**.
- See **FTB Instructions for Form 540** for full details.

- The credit is 2% of CA Taxable Income (CA Form 540, Page 2, line 19), but not more than $1,565 for 2021.

Child Adoption Credit, Code 197-- out-of-scope

Renter Credit, CA Form 540, Page 2, 1ine 46

- Since TaxSlayer asks about this credit for *every* CA return, the information on this credit is near the top of the State Section - see page 107.

CA-ONLY REFUNDABLE CREDITS

California Earned Income Tax Credit (CalEITC), CA Form 540, Page 2, line 75

- CA has a refundable state EITC. The credit, which appears on CA Form 540, Page 3, line 75, could be a maximum of $3,027 in 2020.
- Eligibility:
  - For 2021, **the federal** AGI must be less than $30,000.
    - Beginning with the 2018 tax year, the taxpayer (or spouse, if a MFJ return) must be **18 years or older,** and *there is* ***no longer a maximum age*** *beyond which this credit cannot be received.*
    - Beginning with the 2020 tax year, a taxpayer and/or spouse qualifies ***even if they have an ITIN***.
    - The taxpayer cannot get CalEITC if he/she is eligible to be claimed as a dependent on another taxpayer's return.
  - The credit is calculated using earned income.
    - Income from self-employment **does** qualify as earned income when calculating the CalEITC.
    - To count for CalEITC purposes, any income reported on a Form W-2 must be subject to California withholding. That means that such employment must be in California.
  - Filing status cannot be MFS.
  - The taxpayer (and spouse, if filing MFJ) must have lived in California for more than half the year.
  - Investment income, broadly defined, must be less than $3,882 (as of 2020). [The investment income amount goes on line 4 of the FTB 3514.]
- FTB 3514, California Earned Income Tax Credit, must be completed and filed with the return.
  - TaxSlayer will complete this form automatically. Manual entries on the **CA Earned Income Credit (Form 3514)** page are needed only if:
    - The IRS or the FTB previously disallowed the taxpayer's federal or CalEITC (respectively). [This doesn't disqualify the taxpayer. It just increases the likelihood of an audit.]
    - There was prison inmate income.
    - There was income from a nonqualified plan. [Such plans are designed for executives and other select employees; if payment is via Form W-2, there will be an amount in box 11; if payment was by Form 1099-R, the code in box 7 probably will be "D".]

Young Child Tax Credit, CA Form 540, Page 2, line 76

- Any taxpayer who is eligible for the CalEITC is eligible for the Young Child Tax Credit (YCTC) **if** they have one or more qualifying children who are under the age of six as of December 31, 2021. A Social Security number *is not required* (it was in 2019), but if the child has neither an SSN or an ITIN, then (as with the dependent exemption credit), FTB Form 3568 is required, alternative identifying information must be provided (to prove the existence of the child), and the CA return must be **paper filed.**
  - See the section Entering Information into TaxSlayer on page 22 for further steps for a child with neither an SSN or an ITIN.
- The maximum credit is $1,000 per qualifying child; TaxSlayer handles this automatically.
- As with the CalEITC, **federal** AGI for 2021 must be under $30,000 to receive this credit.
- YCTC information appears in Part VII of CA Form 3514, "California Earned Income Tax Credit."

CA SUBSIDIES AND PENALTIES FOR HEALTH INSURANCE

Individual Shared Responsibility (ISR) Penalty, CA Form 540, Page 3, line 92

- California adopted the Individual Healthcare Mandate as of January 1, 2020. All California residents and their dependents are required to obtain and maintain healthcare coverage throughout the year. For 2021, failure to do so could result in a penalty of up to $800 per uninsured person. (For those under age 18 as of December 31, the maximum amount is halved.)

- The California penalties for lack of healthcare coverage are similar to federal penalties that were in effect for tax year 2018, except that the short coverage gap for California is three months, not two months. The reporting of coverage and exceptions, for those who did not have full-year coverage, is done on **FTB 3853, Health Coverage Exemptions and Individual Shared Responsibility Penalty Form**, analogous to IRS Form 8963 (no longer in use.)
- CA health care mandate information is available **at ftb.ca.gov/about-ftb/newsroom/health-care-mandate/index.html**.
- Two excellent guides to the CA shared responsibility penalty can be found in the shared CA training folder (Google Drive), under Instructor Workshops > CA2 . [would like direct links]

Subsidies for Covered California Policies, CA Form 540, Page 2, line 76

- In 2020 and early 2021, California provided subsidies for healthcare coverage for lower-income individuals and families who buy health insurance through Covered California. To document those subsidies (or their absence), Covered California issues a **FTB 3895, California Health Insurance Marketplace Statement**, analogous to IRS Form 1095-A, **for all Covered California policies**. That FTB form will be used, in TaxSlayer, to determine the Payment Assistance Subsidy (PAS) that the taxpayer is entitled to, as calculated on **FTB 3849, Premium Assistance Subsidy Form**, analogous to IRS Form 8962.
- Taxpayers who received a California subsidy for health coverage in 2021 will have to pay back some or all of the amount received from California. That's because in March 2021, the American Rescue Plan Act (ARPA) increased the amount of federal subsidy available to taxpayers, retroactive to January 1, 2021. Because of the increases in federal subsidies, the last month of California subsidies was April 2021. The PAS form should thus show no subsidies for May through December.

CA-ONLY VOLUNTARY CONTRIBUTIONS

- California allows the taxpayer to make contributions to any special funds listed on CA Form 540, Page 4.
- Unlike giving $3 to the Presidential Election Campaign Fund, a CA contribution increases the amount due or decreases the amount of the refund.
- If the taxpayer wants to make such a contribution, then from the **California State Return** menu, go to the **Voluntary Contributions** page.

STATE TAX WITHHELD

- CA taxes withheld from a Form W-2, W-2G, 1099-DIV, 1099-G, 1099-INT, 1099-OID, 1099-R, and 1099-MISC will appear on CA Form 540, Page 3, line 71, if entered on the respective pages in the Federal Section.
  - For state withholdings amounts that appear on 1099-B, enter the amount of the state withholding on the **Payments - Other State Withholding** page [Federal Section > Payments & Estimates > Other State Withholdings]. If the taxpayer is itemizing, the amount on this page will be included, by TaxSlayer, as part of the amount on line 5a of Schedule A. It will also be included on CA Form 540, Page 3, line 71.
- If state tax withholding is done from more than one type of form 1099, not including 1099-Rs, then the state tax return must be **paper-filed**.
  - E-filing of a CA return has withholding from two or more types of 1099 forms, other than 1099-Rs, will result in a CA reject, with reject code CA 41.
- ***Note:*** CA tax withheld from a state-only form (for example, on a CA Form 593, Real Estate Withholding Statement, which is entered in the State Section, as described in the section Sale of Home, which begins on page **54**), will appear on CA Form 540, Page 3, line 73.

STATE ESTIMATED TAX PAYMENTS

- These are payments that the taxpayer **has made** using CA Form 540-ES for the CURRENT tax year, plus any overpayment amount from the prior year that was credited toward estimated taxes for the current year.
  - ***Note:*** See the section CA Estimated Tax Payments (CA Form 540-ES), page **122**, if payment vouchers are needed for NEXT year's estimated tax payments.
- Go to the **Payments – State Estimated Payments** page [Federal Section > Payments & Estimates > State Estimated Payments] and enter information using taxpayer information (actual amounts paid) and, if applicable, the prior year's tax return.

- All payments listed on this page *which are within the tax year* will be carried to line 5a of Schedule A, as an amount that might be used for an itemized deduction.

BALANCE DUE

- Most taxpayers will pay the balance due by mailing a check, together with a payment voucher form (Form 1040-V, for federal; CA Form 3582, for CA), to the IRS and/or FTB (addresses are on page 4). But taxpayers can pay in other ways: by providing information on their tax return for a direct debit (taking money directly from a bank account), or by various direct pay options, which include paying by credit card.
  - See **pages K-15 through K-17 of Pub 4012** for detailed information on the various payment options that a taxpayer has.
- If a taxpayer cannot pay at all, or cannot pay in full, see the "Unable to Pay/Late Filing" section on page **133**.

UNDERPAYMENT PENALTIES

- Calculation of estimated tax penalties is ***out-of-scope***. Tax-Aide policy is that any penalties must be calculated by and billed by federal and state tax authorities.
- If the taxpayer owes more than $1,000 on their federal return, the taxpayer may – depending on a variety of factors - be billed by the IRS for the underpayment.
  - Inform the taxpayer of a potential penalty or penalties, that the penalty or penalties will not be on the return, and that the tax authorities *may* send them a bill for the penalty amount(s.)
  - If large amounts are due, you should talk to the taxpayer about adjusting withholding on wages, pensions, Social Security, and other recurring payments, and/or making or increasing quarterly estimated payments. See page **121** for further discussion on this.
- ***Note for CA state returns:*** For CA, the threshold for *potential* penalties is owing more than $500.

Federal Penalty

- When you start the E-file section, if the taxpayer owes more than $1,000, you'll see a warning that includes "You may be subject to an estimated tax penalty." The warning also includes information on how to get to the TaxSlayer page to enter information for Form 2210, to calculate the penalty. *Do not enter information for Form 2210; it is* ***out-of-scope****.*
- The federal penalty – if Form 2210 is filled out by mistake – shows on Line 24 of Form 1040.
  - To remove the amount of Line 38, enter "2210" in the search box, which will take you to the **Underpayment of Estimated Tax** page. Put $1 in the "Prior year's tax" field, set the payment date to 4-18-2022, and click "Continue."

CA Penalty

- Do not enter any information into the **Underpayment of Estimated Tax, Form 5805** page, in the State Section.
- The CA penalty – if CA Form 5805 is filled out by mistake – shows on line 113 of the Form 540 (on page 5).
  - If the page is mistakenly filled out, go to the page (State Section > Miscellaneous Forms) and change the answer to the first question to "No,"

DIRECT DEBIT

- When a taxpayer has a federal or state balance due, they may specify that it should be paid by a direct withdrawal from their bank account.
- Payment information is entered on the E-File page, in the "Taxpayer Bank Account Information" section – see page **124** for details, including how to give the taxpayer a printed record of the direct debit information.
- ***Warning:*** TaxSlayer may still print a 1040-V, Payment Voucher, as part of the copy of the tax return for the taxpayer. If it does print, **do not** give the document to the taxpayer.
- The taxpayer can revoke (cancel) their federal direct debit payment by contacting the U.S. Treasury Financial Agent at 888-353-4537, an automated system. However, the call must be made no later than 11:59 p.m. Eastern Time two business days prior to the scheduled payment date.
  - ***Note for CA state returns:*** A scheduled direct debit payment on an e-filed California state tax return can be cancelled; follow the instructions on **CA Form 8455**.)

DIRECT PAY

- Federal: After Tax-Aide has e-filed a return, the taxpayer can go to **IRS.gov/Payments** to pay a balance due on that return, or to make a quarterly estimated payment.
  - One option is "Pay Directly from Your Bank Account"; this is functionally the same as direct debit
    - There is no fee.
  - Another option is "Pay with Your Debit or Credit Card."
    - Processing fees are charged (and paid to third parties). For credit cards, the fee is approximately 2 percent of the payment. The exact percentage varies by processing company and is clearly shown on the IRS page where the taxpayer would make the payment.
- CA: The taxpayer can go to **ftb.ca.gov** to see a similar range of options (click on "Pay".)

REFUND DUE

Note: if a taxpayer's refund will be offset to pay a past debt to the IRS and this will cause an economic hardship for the taxpayer, the site coordinator should refer the taxpayer to the IRS Taxpayer Advocate Service (TAS), at 1-877-777-4778, *before* the taxpayer's return is e-filed.

DIRECT DEPOSIT

- Specifying what should be done with a federal and/or state refund is done in the E-file section of TaxSlayer, on the **Fee Summary** page, as described on page **124**.
  - A taxpayer's federal refund can be deposited directly to the one or more taxpayer bank accounts, which gets the refund to the taxpayer at least one week earlier than if the return is paper filed.
    - Paper returns *can* request that a refund be paid using direct deposit.
  - The taxpayer is **not** notified by the IRS when the refund has been deposited but can check online at **irs.gov/refunds** [click on "Check My Refund Status".]
- ***Note for CA state returns:*** **For a CA refund:**
  - TaxSlayer uses the **first-listed bank account** in the "Taxpayer Bank Account Information" section of the **E-File** page.
    - In TaxSlayer, the CA refund cannot be split between two or more bank accounts.
    - Paper returns *can* request that a refund be paid using direct deposit.
  - The taxpayer will **not** be notified by the FTB when a refund has been deposited, but can check online at **ftb.ca.gov/refund/.**
  - Starting as of July 2018, if the FTB identifies a correctible problem with a tax return, such as an error in estimated tax payments made during the year, it will automatically correct the return and – when direct deposit has been requested – will still do direct deposit.
    - A notice of the correction will be sent to the taxpayer via mail, which may arrive *after* the direct deposit has occurred. The FTB has requested that taxpayers *not* call about a refund, if different than expected, until they have received a notice from the FTB (or, of course, until a reasonable period – a week or more – has occurred after the deposit occurred, and no notice has been received.)

APPLICATION OF OVERPAYMENTS TO NEXT YEAR'S TAX RETURN

Federal

- A refund can be applied to next year's tax return. This is **not recommended**.
  - If the prior year paper return is not brought in by the taxpayer, or the current year return has no Carryforward data, there is a good chance that the taxpayer will not remember that an amount was applied, or how much.
  - If there was any change to the return – either by the IRS, or by an amended return, the amount on the printed Form 1040, Page 2, as being applied, will probably have been affected. The taxpayer may not remember or mention such a change.
- However, if the taxpayer insists, proceed as follows:
  - Go to the **Payment Apply Refund** page [Federal Section > Payments & Estimates > Apply Overpayment to Next Year's Taxes] and enter the amount – which can be less than the full refund – that is to be applied toward next year's taxes.

California

- To apply some or all of a state refund to next year's state tax return, go to the **Apply your State Refund to your 2021 tax return** page [State Section > Payments > ....]
  - *This is not recommended*, as discussed above (applying a federal refund to next year's federal return.)

INJURED SPOUSE CLAIM

- If there is a refund due (because of withholding or estimates paid by the taxpayer) and that refund will be offset by debts to the IRS of the spouse, debts that originated before marriage, the taxpayer may request that a Form 8379, Injured Spouse Allocation, be filed with the return.
- ***CA policy:*** Because Form 8379 requires income-splitting, it makes the return ***out-of-scope***, because California is a community property state.
- ***Note for CA state returns:*** For the CA state tax return, there is no equivalent to the federal "injured spouse" allocation.

ESTIMATED TAX PAYMENTS FOR NEXT YEAR

FEDERAL ESTIMATED TAX PAYMENTS

- If a taxpayer expects a balance due of $1,000 or more for next year's (2022) tax return, and will otherwise not have paid at least 90% of the tax due, then they risk having the IRS assess a penalty for underpayment. To avoid this, there are four options:
  - Increase withholding from their paychecks using **Form W-4**, normally available from their employer, but which can be printed from the irs.gov website if necessary.
    - ***Note:*** The IRS has an online tool to help complete this form, at **https://apps.irs.gov/app/tax-withholding-estimator**.
  - Increase withholding from their retirement income using **Form W-4P**, which can be completed online and then printed.
  - Increase withholding from federal payments (for example, Social Security), using **Form W-4V**, which can be completed online, and then printed.
    - ***Note:*** Form W-4V offers only four federal withholding options: 7%, 10%, 12%, and 22%, and state tax withholding is not available.
  - **Make (or increase) quarterly estimated payments, as described in this section.**
- To determine the quarterly amount for estimated tax payments (normally these are set to be equal), which will show on the quarterly Form 1040-ES:
  - If no substantial change in income is expected for calendar year 2022, compared to 2021, the 2021 return can be used as the basis for determining the quarterly amounts.
  - If a substantial change in income, filing status, dependents, or credits is expected in 2022, or has already happened by the time the 2021 return is being prepared, there are three options for calculating the approximate amounts that the taxpayer should pay as estimated payments:
    - Use the **Tax Withholding Estimator** [a link to this is available in TaxSlayer, on the Main Menu page, at the bottom of the left navigation bar.]
    - Use the Bogart "Estimated Tax Worksheet", at **cotaxaide.org/tools/**.
    - Print the "2022 Estimated Tax Worksheet", from the **instructions for Form 1040-ES**, and fill that out with the taxpayer.
  - Keep in mind that the taxpayer would owe no underpayment penalty for their 2022 tax return if the taxes withheld in 2022 are at least 100% of what was owed in 2021 (Line 24, Total Tax, on the Form 1040 for 2021.)
    - ***Note:*** For returns where the AGI is over $150,000 in 2021, the threshold is 110%.
- Once the desired quarterly amounts have been calculated, go to the **Estimated Payments for Next Year** page [Federal Section > Payments & Estimates > Vouchers for Next Year's Estimated Payments] and enter the amounts
  - Four 1040-ES forms will print as part of the PDF for the tax return.
    - Make sure that the taxpayer understands that it is not *required*, when making the quarterly payment, to pay *exactly* what is on the printed page. If the taxpayer is mailing the 1040-ES, the payment can be for a different amount. The taxpayer should line through the incorrect printed amount on Form 1040-ES, and write in the actual amount being paid.

- Quarterly payments can be made in several different ways, although paying by check, through the mail, is the most common.
  - If a quarterly payment of estimated tax is made by mail, it should be done separately from mailing the 1040-V payment voucher or the federal tax return. The mailing address is listed in the section Where to Mail Returns and Payments, page 4.
  - Taxpayers may also make estimated tax payments by an ACH withdrawal from their bank account, or by other methods such as a credit card (for which there is an additional fee). The options are described at **IRS.gov/payments**.

CA ESTIMATED TAX PAYMENTS (CA FORM 540-ES)

- If a taxpayer expects a balance due of $500 or more on next year's (2022) California tax return, they should:
  - Increase withholding from their paychecks (**Form DE 4** should be available from their employer, as well as online.)
  - Increase withholding from their retirement income (Form DE 4P is available at **edd.ca.gov/pdf_pub_ctr/de4p.pdf**; it can be completed online and then printed.)
    - ***Note:*** State tax cannot be withheld from Social Security payments, nor from unemployment payments.
  - If withholding is unavailable or not preferred, make estimated payments to avoid penalties.
- CA estimated payment requirements are slightly different from the IRS requirements, but are generally close enough that the same procedures can be used to estimate the tax.
  - If the 2021 and 2022 tax returns are expected to be about the same, use the CA Form 540 for 2021 to determine how much in estimated payments should be made in 2022.
  - If a substantial change in income, filing status, dependents, or credits is expected in 2022, or has already happened by the time the 2021 return is being prepared, consider using the 2022 California Estimated Tax Worksheet, which is in the **instructions for CA Form 540-ES**.
- The FTB states that a taxpayer must pay at least the following to avoid a penalty (for paying the bulk of estimated taxes *later* in the tax year than they should be). For tax year 2021, those amounts are:
  - 30 percent first quarter (due mid-April 2022)
  - 40 percent second quarter (due mid-June 2022)
  - 0 percent third quarter (due mid-September 2022)
  - 30 percent fourth quarter (due mid-January 2023)
- Although the stated amount for the third quarter is 0 percent, CA Form 540-ES *does* include a form to be mailed in the third quarter, and TaxSlayer *does* print the third quarter form even when the dollar amount entered into TaxSlayer for that quarter is zero.
- To create CA 540-ES vouchers, go to the **Estimated Payment Vouchers, Form 540ES** page **[**State Section > Miscellaneous Forms > ...] and enter dollar amounts for the first, second, and fourth quarters.
  - Use the required percentages (30-40-0-30) to allocate the total amount of estimated payments that the taxpayer decides he/she wants to make.
- The 540-ES forms will print as part of the PDF for the tax return.
  - Make sure that the taxpayer understands that it is not *required*, when mailing in a Form 540-ES, to pay *exactly* what is on the printed page. They can make a payment in a different amount; if they do, they should simply line through the printed amount on Form 1040-ES and write in the actual amount being paid.
  - Taxpayers do not have to make estimated payments by mail, with a check, though that is the most common option. They can also pay by credit card (there is an additional fee) or by direct debit from a bank account. For a complete list of options, see **ftb.ca.gov/pay**.

E-FILE SECTION

- In TaxSlayer, the "E-file" section is the final section in preparing a return. It must be completed for **all** returns, including paper returns.
- The E-file section is dynamically created by TaxSlayer based on errors, warnings, and information determined to be needed for the return.
- This section describes completing the process for going through the E-file section **as the preparer**. For actions to be taken by the **reviewer** in the E-file section, see the Quality Review,section, on page **127**.

WARNINGS AND ERRORS

Warnings Page

- If there are Notes for the return (see page 9), their content will show on the **Warnings Concerning Your Federal Return** page.
  - Notes may require action; all of them should be reviewed.
- Also listed on this first page are TaxSlayer-determined *warnings*, generally for missing information.
  - TaxSlayer normally provides a link to click, to go to a page where the problem can be fixed. Normally these warnings are fixed before quality review begins.
  - Warnings usually will not prevent a return from being e-filed.
- If there are no notes or warnings, the **Warnings** page won't be shown.

Errors Page

- If there are *errors* on the return that TaxSlayer has identified, this page will be shown, and will list errors.
  - Clicking on "Visit" will take you to the page where you can correct a listed error.
  - Errors that are not corrected will prevent the E-file section from being finished.
- If there are no errors, the **Errors** page won't be shown.

E-FILE PAGE

- There are eight sections of the E-file page, with a progress bar across the top. (One section, "Bank Account", is visible only if needed.)
- Clicking "Continue" at the bottom of a section will save the information entered in that section.
- At any time, you can return to the main part of the return by clicking on something in the left navigation bar, but if you do, anything entered since the last "Continue" was clicked won't be saved.

Return Details section

Select how the federal and state returns will be filed (E-file or paper) and how the refund or payment will be handled (paper check, direct deposit, direct debit).

- "E-File: Mail Payment" includes *any* payment option other than direct debit from a bank account that is specified in the return. (Taxpayer options for paying an amount due are discussed in the Balance Due section on page 119.)
- [Workaround] *If the taxpayer is neither getting a refund from nor owes money to the IRS,* select "E-File: Mail Payment" if the return is to be filed electronically; otherwise select "Paper Return".
- ***Note for CA state returns:*** If the taxpayer has a balance due and is going to pay this via a direct debit from a bank account, the printed return should include a CA Form 8455, California e-file Payment Record for Individuals. When printed, check this form to make sure that it has a dollar amount on it; if not, enter that manually.

- Checking the "Only transmit the state return(s)" box will result in e-filing of *only* the state return - the federal return will **not** be transmitted to the IRS.
  - This is typically used when the federal return has been accepted but the state return rejected. After making corrections, the state return can be electronically filed by checking this box and using the "Save and Transmit Return" button in the **Submission Page** section, if having ERO capabilities.
  - ***CA process note:*** For someone not an ERO, this box should be checked only after getting approval from the LC.
- Email addresses
  - Beginning with tax year 2021, email address fields appear on this page.
  - Whether counselors should enter email addresses, or not, is a decision for the Local Coordinator.
  - The Intake Booklet (Page 1, Part I, question 12) has space for the taxpayer to enter one e-mail address. It is not necessary to ask the taxpayer (for MFJ returns) for a second e-mail address.
- This is no reason to change the default PINs on the page.
- Optional questions:
  - Third party designee information: This section is only used when the taxpayer is designating someone who can speak to the IRS on their behalf.
    - This is a very limited authorization, not a power of attorney, and the taxpayer must still sign the return or Form 8879 themselves.

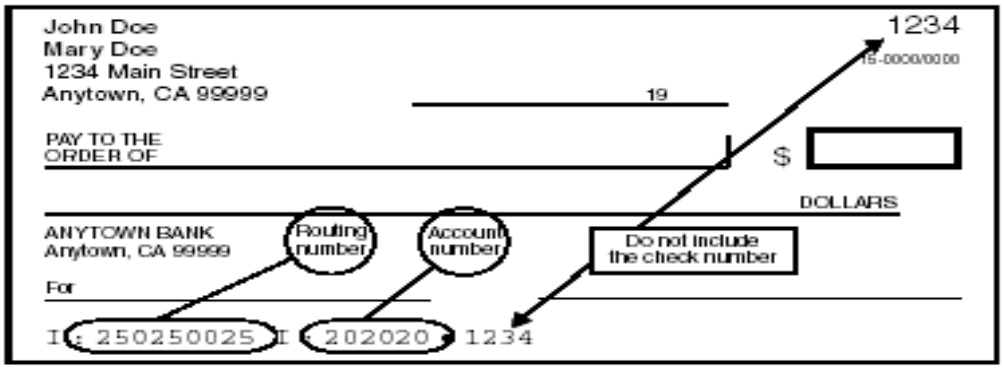
        - You or any other counselor or volunteer may **never** be a third-party designee.
    - If an elderly taxpayer is accompanied by their adult child and the taxpayer seems to depend on the child for understanding interview questions, or if there are other issues, then the taxpayer might be asked if they would like to designate someone for this limited purpose.
        - If they agree, they will have to provide a name, phone number, and PIN, which authorizes the named third party (for example, their adult child) to discuss the return with the IRS.
    - Third Party Designee information will appear on Form 1040 (except amended returns) just above the signature line. An authorization expires one year from the due date of the tax return.

Fee Summary Section

- This page is not relevant to Tax-Aide – either skip it, or click "Continue" to go to the next section.

Bank Account Section

- ***Note:*** This section will not be show in the progress bar at the top of the E-File page, and will not be accessible unless the **Return Details** section specifies a direct deposit or direct debit for the federal and/or state returns.
- In this section, the bank account information that is entered is normally taken from a **check** that the taxpayer has with them.
    - The taxpayer does not have to void the check; in fact, it does not even have to be removed from the taxpayer's checkbook.
    - Taxpayers who do not use checks should be encouraged to go to their bank to obtain a letter of account verification. The same information, from a website or mobile app, visible on the taxpayer's mobile phone, is also acceptable.
    - It is *not* acceptable to have the taxpayer provide direct deposit information by calling a site or a counselor, because if an error is later discovered, it is impossible to prove who was at fault.
    - If the taxpayer wants to use the account information from the prior year's return, then it is acceptable to put the non-verified account information on the return, **if the preparer does the following:**
        - Advises the taxpayer that without verification the account information put on the return is at their own risk, and if the funds do not arrive in their account that there will be no way to trace or replace the funds.
        - Documents, in a note (page 9), that the taxpayer did not have a check or letter or account verification.
        - Have the taxpayer write his or her initials next to the account information on the printed return. The initials will serve as indication that they have been warned that the account information has not been verified.
- Specifics:
    - Entering a bank name is not required.
    - Multiple bank accounts **can** be entered in TaxSlayer because the use of Form 8888, Allocation of Refund (Including Savings Bond Purchases), is mandatory within the Tax-Aide program, starting with tax year 2018.
        - The **state** refund or payment (if done electronically) will use the first account listed. (A state refund or payment can never be split among multiple accounts in TaxSlayer.)
        - Use the "Pull Refund" button if the entire refund amount is to go into the first account that is entered (which for most returns will be the *only* account entered)
        - TaxSlayer will not include a Form 8888 in the printed tax return unless multiple bank accounts are entered.
    - For each bank account, enter the 9-digit Routing/Transit number (which is always on the left side of the MICR encoded line on checks) and the account number.
        - Never use a deposit slip – the routing number for deposit slips is often different than the routing number for checks
        - Omit spaces, dashes, and special symbols
    - DO NOT enter the check (sequence) number, which will match the check number on the upper right corner of the check
        - The check number may appear **before** the account number, though it normally is after.



- The taxpayer can designate a portion of their federal refund to buy up to $5,000 in U.S. Savings Bonds, Series I.
  - Each amount requested must be a multiple of $50.
  - The bonds can be issued in the name of both taxpayers, if this is a joint return, or in the name of just one spouse, or for others, and a co-owner or beneficiary can be designated.
  - On the federal return, this information appears on Form 8888.
  - Taxpayers will receive the bonds by mail.
  - Taxpayers can contact Treasury Retail Securities at 1-800-245-2804 to check the status of their bonds.
- If there is a "Direct Debit Information" area, the "Requested Payment Date" field must be 04/15/2021 **or earlier.** The phone number – required – is that of the taxpayer; it auto-fills from the phone number entered in the Basic Information section.
  - ***Warning:*** TaxSlayer includes direct debit information for the federal return in a form – the Client Form Listing Summary – that is usually *not printed and therefore not given to the taxpayer*. To provide documentation for the direct debit, generate the Quality Review PDF and print **only** the page which includes the direct debit information.

State ID License Section

- ***CA process note:*** Information in this section is **not** required and should not be entered. You do **not** need to select "Not Provided".

Taxpayer Consent Section

- There are three consent forms in the Intake Booklet, responses to which must be entered into TaxSlayer.
  - ***If the taxpayer does not consent, then he or she should NOT SIGN that particular consent form.***
    - After the tax preparer has confirmed that the taxpayer does not consent (as opposed to the taxpayer not understanding the consent form), the tax preparer should write "**NO**" or "**DENY**" or **"DECLINE"** on the consent form. This makes it clear to the Quality Reviewer that the taxpayer has not consented.
  - **For MFJ returns**, both the taxpayer and the spouse must agree (sign) a given consent form for it to take effect.
    - This means that if only one of the two is present during the preparation of the tax return, you or another counselor must *see* the signed consent form and enter that information into TaxSlayer based on seeing that form, when the taxpayer or spouse returns with the Intake Booklet.
  - Page 5 (not numbered) of the Intake Booklet is "How to Use this Intake Booklet". It provides good summaries of the three consent forms. If the taxpayer has questions about a consent form, this page may provide them with answers.
  - A two-page document, "AARP Foundation Tax-Aide Intake Booklet – Tax Year 2019" is available, in the Portal, with more details about the three consents. (Search for "Intake Booklet Volunteer Guidance".)
- The three consent forms are:
  - Consent to Disclose Tax Return Information to VITA/TCE Tax Preparation Sites (page 6) [**Consent 1**]
    - If consent is given, **Carryforward** information from the 2021 tax return will be available to *any* Tax-Aide or other TCE site, as well as *any* VITA site, when starting a 2022 tax return. The full 2021 tax return will remain accessible *only at the site where it was prepared.*
    - If consent is *not* given, Carryforward information will be available only at the site where the 2021 tax return was prepared.
  - Consent to Disclose/Use Information to AARP Foundation (page 7) [**Consent 2**]

        - This consent allows a very limited number of AARP Foundation staff to create statistical reports from taxpayer information stored on TaxSlayer servers. The focus of the statistical reports is the diversity information on pages 3 and 4 of the Intake Booklet.
    - Consent for AARP Foundation to use select tax return information to provide you with additional information about other free AARP Foundation programs or services (page 8) [**Consent 3**]
        - Note that the taxpayer will *not* be contacted about anything other than **free** AARP services if he/she consents.
- If, for each of the three consent forms, the taxpayer has either signed (to consent) or the consent form is clearly marked as "Deny" or "Decline" or similar, then you should enter this information into TaxSlayer without further discussion with the taxpayer.
- PINs and dates
    - PINs are arbitrary; entering the same digit five times is the fastest way to enter one. *Do not ask the taxpayer for a PIN.*
    - The fastest way to enter the date is to use the calendar. (The current date is highlighted.)
    - For MFJ returns, entering a consent/authorization requires two PINs (which can be the same) and two dates.
    - If the taxpayer **denies** a request for a consent, then in TaxSlayer, **you do not need to enter a PIN and a date** for that consent.

Custom Questions Section

- This section has four types of questions:
    - Questions 1 through 5 are specified by the IRS, as a sponsor of the Tax-Aide program. The first four questions are on page 3 of the Intake Booklet (questions 7 through 10.)
        - The taxpayer has the absolute right to refuse to provide answers to these questions.
        - For question 5, "Was the taxpayer physically present during the entire return preparation and quality review process?", and the return is for a married couple, answer "Yes" even if only one spouse was present.
        - IRS questions do **not** require tax preparers to make a choice for each question; if the taxpayer does not provide answers, those questions can be skipped.
    - Questions TA01 through TA09 are specified by the AARP Foundation; these are questions 11 through 19 on pages 3 and 4 of the Intake Booklet.
        - For returns other than MFJ, spousal questions should be answered "No spouse" if that is an option; if it is not, no answer may be required.
        - As with the IRS questions, the taxpayer has the absolute right to refuse to provide answers to these nine questions.
    - Questions TA10 and TA11 are also specified by the AARP Foundation, but **should be answered by the preparer, not by asking the taxpayer** – the information is in the Taxpayer Bank Account Information section.
    - *Custom questions*, set up at the district or site level.
        - For example, a district might ask a question about who the Quality Reviewer was for the return, with the answer being selected from the initials (or first name and last initial) of the counselors at the site.

Custom Credits Section

- This page is not relevant to Tax-Aide – either skip it, or click "Continue" to go to the next section.

Submission Page Section

- The final step is the completing the E-file section is the **Submission Page**.
    - ***Note:*** If you see a message at the top of the section, something like "You can't e-file", that means that **you**, the preparer, or quality reviewer (whoever is logged in), hasn't been given the permission to **transmit** returns to the IRS. The return itself *can* be efiled, but that must be done by someone else.
- Electronic signatures: Tax-Aide does not use thes processes in TaxSlayer.
- Printing: If you are the **preparer**, you normally would not print a copy of the return until it has been quality reviewed.
- Sharing tax documents: The Customer Portal is for taxpayers who have uploaded their tax documents, and the return is being prepared virtually; no physical site Tax-Aide site is involved.
- Return status tags: Select whatever return tag(s) are appropriate.

- Keep in mind that TaxSlayer treats the return tags as *text*, not as something that causes any action. So, for example, if you select the "OK to E-file" (or similar) tag, this does *not* put the return into the transmittal queue. Similarly, a tag like "Signature required" will *not* prevent a return from being e-filed.
  - Tags are simply a way of communicating – to other counselors – what is going on with a return. They help LCs and EROs to sort and find specific returns on the **Client Search** page.
- More than one return tag can be selected, though normally only one is.
- "Signature Needed" (or similar) should be selected if this is a MFJ return with only one taxpayer present.

- The final actions of a **preparer** within TaxSlayer, prior to quality review:
  - Click "Mark tax return ready for review" to change the status of the return on the **Client Search (Office Client List)** page to "Review Pending." This puts the return in the "Return Reviews" section (accessible to all counselors whose security template includes review functionality).
  - Click "Save and Exit Return."

FINAL STEPS IN TAX RETURN PREPARATION

EXITING A RETURN BEFORE COMPLETION

- IF you stop working on a return before completing it – for example, the taxpayer needs to come back with a missing tax document, then:
  - Create a note (page 9) about the situation; if it involves needed (missing) documents, indicate which documents are needed.
  - After exiting the return, set a **tag** (see page 9) to indicate that the taxpayer needs to return with more information, or that the taxpayer left, or something else, if appropriate. (The exact tag to be used depends on the choices defined by your district or local site.)
  - Add an explanation of the status of this return to your Activity Reporting log.
- ***Note:*** *Until you are logged out or you open another return, the return you worked on is locked and cannot be opened by another user for 30 minutes.*

QUALITY REVIEW

- The quality review process is described beginning on **page K-7 of Pub 4012** and in the second half of **Pub 5101, Intake/Interview & Quality Review Training**. Other relevant IRS publications are **Pub 5353, Intake/Interview & Quality Review Policy**, and **Pub 5299, VITA/TCE Quality Review Refresher**.
- Every return prepared at a Tax-Aide site **must** be quality reviewed by another counselor.
  - If the return requires additional certification (for 2017, 2018, and 2019 returns, the only additional certification is HSA, other than at military sites), then **both** the preparer and reviewer must be so certified.
  - The taxpayer should be present to observe the quality review and answer any questions.
  - Quality review of the information entered in TaxSlayer is best done on screen rather than from printouts.
- In TaxSlayer, the preparer should have checked "Mark tax return ready for review" on the Submission Page section of the **E-File** page and exited the return. Checking that box will place the return in a separate section on the main page called "Review Returns."
  - If you don't see that section of the main page, then the security profile for your login doesn't include the ability to approve returns – to act in the QR role. That's unusual – it means your assigned security profile doesn't include "Review Returns."
- The reviewer must examine the Intake Booklet and supporting documents supplied by the taxpayer and compare them with the information on the return, to check for the accuracy and completeness of what was entered. That may be done using one or a combination of the following three approaches, depending on the nature of the return:
  - (1) Review all TaxSlayer pages where the preparer entered information.
    - For Basic Information, this is four pages (2021 tax return).
    - For the Federal Section, this can be done very quickly using the items that appear in the left navigation bar when it is fully expanded vertically. For example, clicking on "Retirement Income" will take you immediately to where 1099-Rs have been entered in TaxSlayer.
    - In the State section, the only way to get to the input pages, if any were used, is through the menu system (look for buttons labeled "Edit".)

- (2) From the **Calculation Summary** page, compare information on various lines of Form 1040 to the documents provided by the taxpayer, checking individual TaxSlayer pages as needed.
  - This approach can't cover information entered in the State section; one of the other two approaches must be used for State section data entries, if any.
- (3) Review the PDF of the "Quality Review" print set for the tax return, comparing what is on the PDF to documents provided by the taxpayer.
  - The PDF includes *images* of forms like the W-2 as well as copies of federal schedules.
  - A "Quality Review" print set is available on the final page of E-file section, **Submission** and also from the **Client Search (Office Client List)** page.

- If any needed changes to the tax return are identified, discuss these with the preparer unless they are very minor.
  - If you make minor changes, you *still* should let the preparer know, so that they are less likely to make the same mistake in the future.
- The last part of the quality review is to go through the pages in the E-File Section, as discussed on page **122**.
  - Pay particular attention to the information on the **Warnings** page if one appears.
    - Make sure that existing notes are still needed, and accurate. Also, add notes as necessary. For example, if the return is to be paper filed, or if a second signature (for a MFJ return) is needed, that should be in a note.
  - In the Customer Questions section, if the local site has set up a custom question to record the quality reviewer, make sure that this is answered correctly.
  - On the final section of the E-file section, the Submission Page section:
    - Verify that at least one return tag is selected, and that tags selected are correct.
      - If a second signature is needed for a MFJ return, make sure that a return tag has been selected which says "Awaiting signature" (or similar.)
      - If the site uses return tags to indicate who has done the quality review, then check the appropriate tag - for example, "PatS-reviewer".
    - In the "Transmit Return" area of the section, the "Approved" button will be visible. If the QR process, *including all discussions with the taxpayer,* is complete, and the return needs no further changes, then click this button.
      - If the only thing needed to e-file the return is to get the signatures of a spouse who isn't present (for a MFJ return), then the return should be approved.
    - Determine if the "Mark tax return as complete" box should be checked.
      - It should be checked if this is a paper return, including a paper amended return.
      - It should be checked if the return is to be e-filed and all needed signatures can or will be obtained immediately after the return is printed. (With a MFJ return, if the taxpayer or spouse is not present, then *do not* check this box.)
    - **If the "Mark tax return as complete" box is incorrectly checked,** it can be **unchecked** only by preparers who have that authority. If the box was checked in error, and you can't uncheck it, **notify your LC immediately**.
- Final steps:
  - Print the return for the taxpayer (alternatively, this could be done by the preparer.)
    - For detailed information about printing a return, see the Printing Returns section, page **129**.
    - If the return is going to be paper filed, see also the Printing section, on page **132**.
  - Click "Save & Exit"
  - Enter reviewer initials on the preparer's Activity Log, or on the Site Activity Log.

REVIEW RETURNS WITH THE TAXPAYER

- Either the preparer or the quality reviewer must review the return with the taxpayer to the extent needed or requested to ensure taxpayer understanding.
  - Part of the review is to point out to the taxpayer that the accuracy and completeness of the return is the taxpayer's responsibility, as stated on the Forms 8879 (federal and state), and on the Tax Record Envelope.
- This review can be done either from the computer screen OR by using a printed return.
  - Decide which works best for you and the taxpayer
  - For more complex returns, such as those with many documents, it may be easier to work from a printed copy – see "Printing Returns", immediately below.

- If the prior year's return is available, it can be very helpful to review the differences with the taxpayer.
  - TaxSlayer has a "Prior Year Comparison" feature, which compares the current tax year return to *any* prior year tax return which has been done at the same site. This is a very limited comparison, of ten lines on the tax return, not a complete line-by-line match. It's available from the **Calculation Summary** page (click Summary/Print on the left navigation bar), and in the "Helpful Tools" section of the pulldown menu under the taxpayer's name (upper right of the screen.)
- If the taxpayer has had a significant change in the amount owed or amount refunded between tax years 2020 and 2021, the two most likely sources of that change are:
  - The taxpayer's status or income or expenses changed significantly.
    - If taxable income increased significantly, then the taxpayer might have gotten into the 22% marginal tax rate. [For 2021, for single and MFS returns, that rate starts at $40,525; for HoH returns it starts at $54,201; for MFJ returns it starts at $81,050.]
  - Withholding differences: The taxpayer may have submitted a W-4 to change federal withholding, or instructed a pension trustee to change withholding, or taken an IRA distribution in a different amount than the prior year, and/or with a different tax withholding percentage.
- While it is difficult to predict exactly when a taxpayer will receive a refund, IRS guidance in previous years has been that most filers should receive their refund within 21 days of e-filing, and sooner than that if the refund is being sent electronically to a bank account (direct deposit.)

PRINTING RETURNS

- For MFJ returns, the taxpayer copy of a return will be printed and given to the taxpayer or spouse when one is missing. The absent taxpayer or spouse must have the opportunity to review the printed return before signing the Form 8879s, as well as the consent forms in the Intake Booklet.
- When you start the print process in TaxSlayer, a PDF file will be created and displayed in a separate window or area of the screen.
- There are three places where a PDF can be created:
  - Within the return, in the Submission Page section of the E-file section
    - *This is the best place to print a return, because of the full choice of print sets.*
  - On the **Client Search (Office Client List)** page (accessible via the main menu), by clicking on the printer icon for a return. (This is to the left of the "Tools" drop-down menu.)
  - Within the return, the "View/Print Return" option on upper right of the **Calculation Summary** page
    - You can get to the same option from the Taxpayer name pull-down menu (Helpful Tools > Print or View Your Return.)
    - What is produced is the "2021 Taxpayer Copy Print" set, which has a number of pages normally not given to a taxpayer.
- No matter which PDF is created, it can be scrolled through to see what will print. The PDF, on the screen, can also be used in reviewing the return with the taxpayer.
- In the resulting print dialog, either print the entire file (normal), or select specific pages to be printed (unusual)
  - If you work at more than one Tax-Aide site, or are using a personal computer, **make sure that the printer listed in the print dialog is the correct one.**
    - If, after you expect printing to begin, it does not, one of the most common causes is having specified the wrong printer [if this happens repeatedly, *change the default printer*; if necessary, get another counselor to assist.]
    - Another reason why something might not print is a printer problem: out of paper, out of ink, or a paper jam, for example.
- If you are printing a return that will be paper filed, see the additional information in the Printing section [part of "Paper Returns"], below, on page 132.
- ***Note:*** It is a violation of Tax-Aide policy to save a PDF file created in the printing process, or to give that file to a taxpayer in electronic form.

Printing Individual Schedules and Forms

- If you need to print just one specific federal schedule or form, there are two options:
  - Print from a TaxSlayer menu - there are five schedules and ten forms that can be printed individually, provided that an entry has been made on the related schedule or form.
  - Create a PDF for the entire return, and then specify, in the printer dialog, that you want printed only the page which has the schedule or form that you need.

- If for some reason a specific form is part of the return, but is not included in the standard print set, look for a more comprehensive PDF that you can generate (for example, "Quality Review"); the needed page may be part of that PDF, and you can print just the needed page.

Printing Blank Forms

- A blank tax form may be printed for a taxpayer who is coming to the site only for advice or assistance with a return that he or she is manually preparing.
- TaxSlayer doesn't have an internal process to print blank forms; instead, get them from the Internet:
  - Federal forms are at **irs.gov/forms-instructions**, which you can get to by clicking "Print Blank IRS Forms" from either the Main Menu page or the **Client Search (Office Client List)** page.
    - You can use the search box on that IRS page, but it's better to click on "List All Current Forms and Instructions" and use the search box on *that* page.
  - ***Note for CA state returns:*** CA forms are at **ftb.ca.gov/forms/search/** .

E-FILING: SIGNATURES

- The taxpayer's signature and (if married) the spouse's signature are required for all tax returns.
- ***Note:*** If you expect to see two Form 8879s (federal and state) when you print the return, but only see one, it is probably because one of the two return types was erroneously set to *paper*. [A paper return doesn't require a Form 8879.] If so, *correct the return* and print the missing Form 8879.

Married Filing Jointly

- If a return is MFJ and only one taxpayer is present, make sure that return is marked to indicate that a second signature is still needed, and that the return should be held, not e-filed, until that second signature is received.
  - Add a return tag (see page **9**) which says that a signature is needed to complete the return; you may also want to add a note.
  - Mark your Activity Log to show that a signature is required before the return is e-filed.
- Print the return; then:
  - Have the taxpayer who is present sign Form 8879, IRS *e-file* Signature Authorization, and CA Form 8879, California e-file Signature Authorization for Individuals.
  - Make it clear to the taxpayer that the return will not be e-filed until a Tax-Aide volunteer at the site has witnessed that the signatures of both taxpayers are on both forms, but that we do not keep these forms. **Also remind the taxpayer that we will need to see the Intake Booklet again, to enter information as to which consent forms were signed.**
  - Per paragraph 4.4.3 of the 2021-2022 *Policy and Procedures Manual of Tax-Aide*, "For married filing a joint return, Local Coordinator discretion is needed if only one taxpayer is present at the time the return is prepared; taxpayer and spouse must still sign the IRS Form 8879. State Coordinators may set a state-wide policy regarding joint return signatures."
    - **When both taxpayers are not present, for a MFJ return, the spouse who is present will receive the taxpayer copy of the tax returns that were prepared, along with the 8879s.**
    - ***Make sure that the taxpayer knows that returns cannot be electronically filed until 8879s are completed and brought back to the site to confirm the 8879s were properly signed.***
  - State, district, or local (site) policy may require one of the following:
    - Both taxpayers come to the site, together, with picture identification and the 8879s, signed by both.
    - The taxpayer who is not present at the preparation of the return comes to the site, with picture identification and the 8879s signed by both (or signs the 8879s in the presence of a counselor.)
    - The taxpayer who was present at the preparation of the return to come back to the site, with picture identification of their spouse, and the 8879s, signed by both.
  - Instruct the taxpayer to follow the site policy regarding the signature of their spouse on the federal and CA 8879 forms, so the return can be filed electronically.
- ***Note****:* As an alternative, the taxpayer can be given a printed copy of the return to take home, get the spousal signature, and mail.
- ***Note:*** A married taxpayer can sign for a spouse when injury or disease prevents the spouse from **physically** being able to sign. LC approval is required.

Rejected Returns

- If a return is rejected, and then dollar amounts are changed, new 8879 signatures are required if the any of the following are true, per **Pub 1345**:

- "Total income" or AGI changed by more than $50.
- "Total tax," "Federal income tax withheld," "Refund", or "Amount you owe" changed by more than $14.

Deceased Person - Signature Requirements

- A surviving spouse will sign the return and add "as surviving spouse" after their name.
- If there is no surviving spouse, an executor or administrator will sign their own name with their title, typically "Executor". Such authority is based on:
  - Copy of the will appointing the executor if there is one
  - Other authorizing document, such as a court appointment
  - If there is no document, the term "executor" includes anyone in actual or constructive possession of any property of the decedent – see **Pub 559, Survivors, Executors, and Administrators.**
- Form 1310, Statement of Person Claiming Refund Due a Deceased Taxpayer, must be included if the return is filed by other than a surviving spouse **and** there is a refund due. (See the section Other Personal Information, which begins on page **20**, for details.)

Power of Attorney (POA)

- If an agent is signing the return for a **living** taxpayer, a Power of Attorney (POA) is required; this may be a Form 2848, Power of Attorney and Declaration of Representative, or another format.
  - The POA must either be (a) signed by the taxpayer, and notarized, or (b) issued by a court.
  - The POA must state explicitly that the representative is authorized to sign tax returns.
  - POAs may be used for signing tax returns only in the case of disease or illness of the taxpayer.
  - ***Note:*** A Power of Attorney expires when a person dies.
- Confirm the identity of the agent (photo ID) and add a note in TaxSlayer (page **9**) stating that signature was done via POA.
  - The note should include the name and ID information, such as driver license number of the agent, the date of expiration of the POA, contact information for the agent, and any other relevant information.
  - If the return is being e-filed, the agent must sign Form 8879s.
  - If the return is mailed to the IRS, then a copy of the POA must be attached to the Form 1040.
- The taxpayer should retain a copy of the POA with their copy of the tax return in case the IRS asks for such documentation.

PAPER RETURNS

Starting Paper Returns

- When a paper return is required because the return cannot be e-filed, the federal and state return types must be set to a paper option, in the Return Type section of the Fee Summary .
- The preparer's Activity Log should be annotated to indicate a paper return, and the reason why.
- The reason why the return is being paper-filed should have already been entered into a note; if one doesn't exist, create one.
- ***Note for CA state returns:*** Early in the tax season, Form 540s and/or supporting forms may be watermarked by TaxSlayer as "**Do Not Mail**". That means that the *printed version* of the watermarked form *has not been approved by the Franchise Tax Board* and **should not be mailed to the FTB.** The taxpayer **should not be given a second set of state forms for mailing.** Instead, arrangements should be made with the taxpayer to receive a return to be mailed once the "Do Not Mail" watermark no longer appears.
- On paper-filed returns, many non-dollar fields are not required, because paper tax forms will be attached to the return.
  - However, unless you are an expert on paper-filed returns, it may be easier just to complete the forms in TaxSlayer as if the return will be e-filed.
- In cases where the IRS rejected a return because the taxpayer's primary/secondary/dependent SSN was used on another return that has already been filed, **Form 14039, Identity Theft Affidavit**, must be included with the paper return. (This form is available online, not in TaxSlayer.)
  - More information can be found on **page P-2 of Pub 4012**, "Identity Theft Job Aid for Volunteers."
  - ***Note for CA state returns:*** If a Form 14039 has been prepared for the IRS, that form can also be submitted with the paper CA 540. If only the CA return has been affected by identity theft, then **CA Form 3552, Identity Theft Affidavit** , available online, should be prepared, to be filed with the paper CA return.

Printing Paper Returns

- General instructions for printing are on page **129**.
- ***Warning:*** **Some print sets, including the one given to taxpayers who e-file, have "stacked" federal schedules - two of the schedules are on the same page. If the return contains two or more schedules. Such "stacked" schedules cannot be mailed to the IRS.**
- Print two copies of the PDF, one to be mailed, one for the taxpayer.
  - As noted above, this may require using two different print sets.
- ***Warning:*** If the taxpayer has asked for direct deposit of a refund, make sure that the bank information (routing number and account number) has not be X-ed out on Form 1040. If they have been, then it is recommended that the taxpayer attach a check to the paper return, marked "VOID – bank information for direct deposit", with the routing number and account number circled prominently.
- ***Note for CA state returns:*** A paper return for CA requires a copy of the federal return, including schedules, to be attached **if** the federal return includes any Form 1040 schedule other than A or B. This probably requires printing selected pages from a PDF.

Signing and Collating

- The **taxpayer(s)** must sign the first page of the IRS 1040 AND the last page of CA Form 540 for the returns being mailed.
  - If the return involves a deceased taxpayer, see **page K-11 of Pub 4012**, "Return Signature."
- Federal – collate according to Attachment Sequence No., at the top right of each supporting form for Form 1040.
  - This is normally the sequence that forms will be printed; you normally don't need to rearrange the pages.
- CA – collate according to numerical / alpha sequence, followed by the federal return, *if required* (as noted above, a paper return for CA requires a copy of the federal return, including schedules, to be attached **if** the federal return includes any Form 1040 schedule other than A or B.)
- Attach to the first page of 1040 and 540 returns:
  - Form W-2s (Fed – paper Form W-2s; **CA – use machine-readable pages printed by TaxSlayer, if in the print set, instead of attaching paper Form W-2s.**)
  - Form W-2Gs, if tax was withheld (Fed / CA, respectively)
  - Form 1099-Rs, if tax was withheld (Fed / CA, respectively)
  - Any other forms showing tax withheld
- Note: CA Form 3519, the payment voucher, is **not** used with paper returns.

Mailing Paper Returns

- Instruct the taxpayer to mail the returns with any payment vouchers and checks, but **separately** from any payments of quarterly estimated tax.
- Mailing addresses are on page 4, **above** (exception: if there is a W-7 form, the return is mailed to the ITIN Operation unit of the IRS; that address is in the next section.)

Paper Returns that Include a Form W-7

- The taxpayer must complete and sign the W-7(s) that are printed with the paper return, and submit them together with required documents.
  - In TaxSlayer, only the very first page for W-7 information (asking the reason for filing the W-7) **must** be completed to avoid an error message. While it's possible that the taxpayer had on hand all information needed to complete the W-7, and this was entered into TaxSlayer, it's also quite possible that the taxpayer did not.
    - If one or more fields on the form are blank because a question(s) was not answered in TaxSlayer, remind the taxpayer that the Form W-7 is not complete. Tell the taxpayer that they must fill in these fields, manually, before submitting the Form W-7 with the tax return.
- Cross-out, on each 1040 page and supporting schedule and documents, the temporary SSN/ITIN entered by TaxSlayer (typically something like 000-00-0001.)
- If the taxpayer has a family pack that includes multiple Forms W-7 in the taxpayer's return, or multiple returns with one Form W-7, these forms should be staggered and stapled together to show the entire package as a family pack. This will prevent separation of the forms/returns that could increase the processing time.
- The taxpayer must submit the paper return together with the W-7 and required documentation, either by mail or in person.

- If mailing, use the following address, not that of any other IRS office:
  IRS, ITIN Operation
  PO Box 149342
  Austin, TX 78714-9342
- If in person, at a Taxpayer Assistance Center where in-person document review is provided
  - These locations are listed at **irs.gov/help/tac-locations-where-in-person-document-verification-is-provided**; note that they operate by appointment only.

- For the state return, which also must be paper filed, the taxpayer has two choices:
  - If the taxpayer does not have tax due to the state, he or she can hold the state return until they receive their official ITIN letters, which may take 6-8 weeks.
    - Once they have their ITIN cards, they can record the ITINs on the state tax return and mail it in.
  - Alternatively, "Applied For" can be written in the SSN field, and the state tax returns mailed immediately
    - The taxpayer should contact the FTB (1-800-852-5711) once the ITIN is received, to make sure that the tax return is properly processed.

SUBMITTING E-FILES

- It is strongly recommended that only the ERO at the site submit e-files to the IRS and FTB.

UNABLE TO PAY/LATE FILING

- Returns prepared by Tax-Aide during the 2022 filing season will always be filed by April 18, 2022, except for returns prepared by authorized sites that are open year-round.
  - It is important for taxpayers to understand that *whether or not they can pay in full, it is **always** better for them to file their taxes on time.* Timely filing eliminates late-filing penalties, and any amount that can be paid on time reduces IRS interest charges.
- TaxSlayer automatically prints a payment voucher for the full payment due. The taxpayer can always change the dollar amount on the voucher. (Best is to line through the original amount, and write in the amount that is being mailed in.)
  - If they cannot pay in full by April 18, inform the taxpayer of the payment options **below.**
- ***Note for CA state returns:*** Because CA taxes due are usually much smaller than federal taxes due, the taxpayer may want to pay CA in full, if possible, and owe more money to the IRS. That way, the taxpayer is dealing with only one creditor, not two. (Interest rates are similar, if not identical.)

UNABLE TO PAY - FEDERAL

- For federal taxes, more information can be found in **Pub 594, The IRS Collection Process.**
- **Pages K-16 and K-17 of Pub 4012** describe the various options that the taxpayer has.

Pay Within Four Months

- If the full payment can be made **within 120 days** (that is, by mid-October), the first step is for the taxpayer to pay as much as possible by April 18, 2021.
- The second step is for the taxpayer to contact the IRS at 800-829-1040 [best to call *after* the tax-filing deadline in April] or go online at **irs.gov/payments/online-payment-agreement-application** and request a **Short-term Payment Agreement** of 30, 60, 90, or 120 days.
  - This agreement does not have fees; by contrast, an installment agreement (see below), which is longer-term, *does* have fees.
  - A short-term agreement will stop the placement of the account into collection status.
- If this option is feasible, discuss with the taxpayer how payments will be made.
  - Print as many payment vouchers (bottom of page 1 of **Form 1040-V**) as the taxpayer wants, or
  - If the taxpayer prefers to pay directly, by credit card or from their bank account, direct the taxpayer to **irs.gov/Payments**; this also discusses how to pay by cash.
- The taxpayer will owe interest at the federal rate, which changes quarterly. (The rate was 3 percent annually as the calendar quarter beginning January 31, 2022.)

Pay by Credit Card

- At **irs.gov/Payments**, with the option "Pay with Your Debit or Credit Card", the taxpayer can pay some or all of their balance due using a credit card.

- Processing fees are charged (and paid to third parties.) For credit cards, the fee is approximately 2 percent of the payment; the exact fee varies by processing company.
- Taxpayers can pay less than the full amount by credit card, for example as part of a short-term agreement (see above) or an installment agreement (see below.)

Pay on an Installment Agreement

- An installment agreement should be considered only if the taxpayer cannot pay their balance due within four months.
  - The taxpayer can choose the monthly due date and payment amount. The taxpayer may arrange to have the funds withdrawn directly from a bank account, on a recurring basis, or may pay in any of the ways described at **irs.gov/Payments**, including by cash.
  - Taxpayers will owe interest and a late-payment penalty of 0.25% of the balance due each month.
- There is a one-time set-up fee:
  - $31 if the agreement is done online, with payments to be made by direct debit from a bank account.
  - $107 if the agreement is done by phone or in person, but with payments to be made by direct debit from a bank account.
  - $149 if the agreement is done online, with payments to be made by check.
  - $225 if the agreement is done by phone or in person, with payments to be made by check.
  - $43, regardless of how the agreement is made or how payments will be made, by filing **Form 13844** (not available on TaxSlayer), which is for low-income households, defined as those below 250% of the federal poverty line (see **page H-23 of Pub 4012** for poverty line amounts for various-sized households)
- To request an *initial* installment agreement, the taxpayer has four choices:
  - With the tax return: go to the **Form 9465 - Installment Agreement Request** page [Federal Section > Miscellaneous Forms > Installment Agreement.]
    - The IRS adds the set-up fee amount to the amount owed from the tax return, in calculating the total balance due; the fee is not collected if Form 9465 is electronically filed as part of the tax return.
    - Business information should be entered only if for a business run by the taxpayer that *is no longer operating*.
    - If the monthly amount that the taxpayer can pay is less than 1/72nd of the amount owed, then the taxpayer must file **Form 433-F, Collection Information Statement**, with the return. TaxSlayer does not include this form, so it must be printed and filled out separately, and the return must be **paper filed.**
  - Online at **irs.gov/payments/online-payment-agreement-application**. This is the lowest-cost way to request installment payments, other than including the form with an e-filed tax return.
  - By mailing a **Form 9465** to the IRS (to be sent to the IRS address where paper returns are sent; see page 4.)
  - By phone (1-800-829-1040) or in person at an IRS office (call 844-545-5640 to schedule an appointment [best to call *after* the tax-filing deadline in April.]
- While on an installment agreement, the taxpayer may amend the agreement, including adding additional years, if necessary, on irs.gov, or by calling the IRS; the fee for restructuring is $89.

Other Options

On rare occasions, a taxpayer will either have had serious problems with the IRS or is very deeply in debt. In that case, one or more of the following may be appropriate.

- An **offer in compromise** is an agreement between a taxpayer and the IRS that settles a tax debt for less than the full amount owed, because paying the full amount, would cause a financial hardship, even when paying through installment payments. The **Form 656 Booklet** explains how the process works. The IRS website has an **Offer In Compromise Pre-Qualifier online tool** that does **not** require any personally-identifiable information to determine if the taxpayer appears eligible for this option.
- **Low Income Tax Clinics** provide pro bono representation on behalf of low-income taxpayers in tax disputes with the IRS, including audits, appeals, collection matters, and federal tax litigation.
  - Generally, the taxpayer's income must be below 250% of the Federal Poverty Line, and the amount in dispute must be less than $50,000.
- The **IRS Taxpayer Advocate Service** can help taxpayers who have tried to resolve their tax problem through normal IRS channels and have gotten nowhere, or believe an IRS procedure isn't working as it should, or need to have the IRS move faster than normal because of a financial difficulty, such as getting a refund.

UNABLE TO PAY - CALIFORNIA

- The range of options for taxpayer who owe money is shown at **ftb.ca.gov** (click on "Pay"); it is similar to the options offered by the federal government. The fee to pay by credit card is 2.3 percent.
- If the taxpayer wants to make installment payments, that can be done for a $34 filing fee, in any of three ways:
  - Online, at **ftb.ca.gov/pay/payment-plans/**
  - By calling 1-800-689-4776
  - By mailing **FTB Form 3567**, separately from the CA tax return
    - The form is not available in TaxSlayer.

LATE FILING

- If no tax is due, or if the taxpayer is due a refund, there is no penalty for failure to file a tax return.
  - However, if a taxpayer with a filing requirement fails to file, the IRS may hold up refunds from following years until the taxpayer is current with their tax filings.

Penalties

- The **federa**l penalties and interest charges if taxes are owed are:
  - Failure to file penalty: 5% per month of the unpaid tax, for up to five months.
    - Reduced by the amount of the "failure to pay" penalty (see below.)
    - However, if the return is filed more than 60 days after the due date, the minimum penalty is $435, for tax year 2021, or the full amount of the tax due, whichever is less.
    - A taxpayer can submit **Form 1127, Application for Extension of Time for Payment of Tax Due to Undue Hardship** (not available on TaxSlayer). If the application is approved, the IRS will waive the late penalty charges for up to six months.
  - Penalty for late payment ("failure to pay"): The penalty is generally 0.5 percent per month of the taxpayer's unpaid taxes. It can build up to as much as 25 percent of their unpaid taxes.
    - ***Note:*** If both the failure to file and late payment penalties apply, the maximum amount charged for the two penalties is 5% per month.
  - Interest on the amount past due ("underpayment"); this rate can vary by quarter:
    - For the quarter ending March 31, 2022, the interest rate is 3% per year, compounded daily.
- Penalties for failure to file on time, and failure to pay, can be waived under certain circumstances, under the IRS First Time Penalty Abatement program. For details, see the Prior Year Returns section on page **136.**
- ***Note for CA state returns:*** The **California** penalties and interest charges if taxes are owed are:
  - Late filing penalty: The penalty is 5 percent of the unpaid tax due for every month that the return is late, up to a maximum penalty of 25 percent of the unpaid tax.
    - However, if the tax return is filed more than 60 days late, the **minimum** penalty for late filing is $135 or 100 percent of the unpaid tax, whichever is less.
  - Underpayment penalty: The penalty is 5 percent of the unpaid tax plus 1/2 of 1 percent each month, to a maximum of 25 percent of the total unpaid tax.
  - Interest from the original due date of the return to the date that payment is received.
    - The interest rate varies; it is compounded daily and the rate is adjusted every six months.
    - As of January 1, 2021, the CA interest rate is 5%.

Deadlines for Claiming Refunds

- For federal taxes, the deadline for claiming refunds is three years from the date the return was due. For example, the last day for claiming a refund on a 2018 return (due April 15, 2019) will be April 15, 2022.
- ***Note for CA state returns:*** For CA taxes, the deadline for claiming refunds is four years from the due date of the return. For example, the last day for claiming a refund on a 2017 return (due April 17, 2018) will be April 17, 2022.
  - ***Note:*** Only returns for three prior years are in-scope, so Tax-Aide volunteers cannot prepare a CA return for 2017; however, a paid preparer could, and the taxpayer could then still claim a refund.

Prolonged Failure to File and Pay Taxes

- Unlike the three-year deadline for refunds, there is no limit on how far back the IRS can go in assessing taxes for non-filed returns where taxes were due.
- Repeated failures to file could result in criminal charges, which carry a maximum fine of $25,000 and one year in prison for each count (each year of non-filing.)

OTHER RETURNS AND FILINGS

PRIOR YEAR RETURNS

Counselors who prepare or quality review a prior year return must have been certified for the year of that return.

Only returns for the last three prior years may be prepared in the Tax-Aide program. Taxpayers needing older returns should be referred to a paid preparer (but note that they must file ONLY if they will have balance due, or in response to an IRS request; they are not eligible to get a refund). So, for example, if today is January 31, 2022, then returns as far back as tax year 2018 can be prepared by Tax-Aide volunteers.

- Taxpayers who want to file prior year returns often are missing tax forms, such as W-2s. If that is the case, the taxpayer can request a Wage and Income Transcript from the IRS. The request can be done in one of four ways: online, by mail, by phone, or in-person at an IRS office.
  - Online: go to **www.irs.gov/individuals/get-transcript.**
    - ***Note:*** To prevent identity theft, transcripts obtained online show only the last four digits of each EIN. If the taxpayer has prior year and/or subsequent year documents with full EINs, then this "masked" transcript will suffice. Otherwise, another approach should be used.
  - In-person, at an IRS Tax Assistance Center. (Call 844-545-5640 to make an appointment.) . Make sure to ask for an *unmasked* transcript.
  - By phone: Call 800-908-9946. Ask for an *unmasked* transcript and allow 5 to 10 business days to receive the transcript.
  - By mail: The appropriate transcript to request is listed as **number 8** on **Form 4506-T, Request for Transcript of Tax Return**. It is unclear whether the IRS will provide an unmasked transcript in response; if that is needed, the taxpayer should at least write "Unmasked" next to the checkbox for item number 8 or should try another approach.
  - ***Note for CA state returns:*** IRS transcripts don't include CA-specific information, which is primarily state tax withholding. If there is a need for such information, the taxpayer can obtain it by establishing an online MyFTB account (**ftb.ca.gov/myftb/**), or by calling FTB's general information line (800-852-5711); the FTB agent will look up the information and send the taxpayer a copy.
    - ***Note:*** Establishing an online account requires an email address and involves the FTB mailing a PIN to the taxpayer, which can take up to 10 days.
    - An alternative to requesting this information from the FTB is to just file a CA return and let the FTB computers automatically make the adjustment for CA taxes that were withheld. The FTB will then mail a letter to the taxpayer, explaining what corrections were made.
  - Complete W-2s *are* available from the Social Security Administration, but at a fee of $90 for each year since the taxpayer is requesting these for a reason unrelated to Social Security matters.
- Taxpayers with newly issued SSNs or ITINs cannot claim certain credits if/when they file a prior year return, or an amended return for a prior year. See **page M-5 of Pub 4012**, "Prior Year Returns," for details.
- If multiple prior year returns are needed (for example, 2018 and 2019), do the *oldest* year first, so that data Carryforward can be used, sequentially, for the other years.
  - If you've completed a prior year, then try to start the next tax year, and get a message from TaxSlayer that the SSN is in use or that the SSN already exists, two possible workarounds to clear the error message are:
    - Log off TaxSlayer, close the browser, reopen the browser, and log back in.
    - Submit (transmit) the e-file for the prior year.
- Use the 2021 Intake Booklet for prior year returns; the taxpayer should ignore consents #2 and #3.
  - If the taxpayer is having returns done for multiple years, it is *not* necessary for the taxpayer to complete an Intake Booklet for each year, but he/she should indicate, in the booklet, if the filing status, or dependents, or page 2 or page 3 information did change for any of the years
  - Data analysis by the IRS and the AARP Foundation will not exclude any responses to questions for tax year 2020 and earlier. Accordingly, there is **no need to ask, or enter, responses** to questions 7 through 21 on pages 3 and 4 of the 2021 Intake Booklet for prior year returns. (The software should be adjusted so that all questions no longer *require* an answer.)

- Federal forms and instructions for prior years can be viewed and downloaded from **irs.gov/forms-instructions.**
  - ***Note for CA tax preparers:*** prior-year versions of this manual can be found at **aarpca2.org**, under "Documents" (password required.)
- To start a prior year return in TaxSlayer, use the "Change Tax Year" pull-down menu (upper right) to select the desired year, then click "Select", to the right of "Start New Tax Return."
  - The IRS allows registered preparers to electronically file tax returns for the current tax year and the two previous tax years, so 2019 and 2020 returns **can** be e-filed, but 2018 returns must be paper filed.
  - The IRS will not do direct deposit refunds for prior year returns. If direct deposit information is entered on the tax return, the IRS will still mail a paper check to the taxpayer.
- When doing a prior year return, always ask if the taxpayer filed a Form 4868, Application for Automatic Extension of Time To File U.S. Individual Income Tax Return, to delay tax filing for up to six months. If so, then ask the taxpayer if a payment was made when the Form 4868 was filed, and **if so, how much was paid.**
  - If the taxpayer knows the amount, see the section Schedule 3, Line 10 - Amount Paid with Request for Extension to File, on page **106**.
- On the **E-File** page, *all questions are optional and should be skipped.* (Statistical reports related to these questions are no longer available.)
- The print set for 2017 and earlier, for e-filed returns, is different from 2018 and later print sets: use the **PY Taxpayer Copy Print** option when selecting the print set for 2017 and earlier.
- If the taxpayer owes money, *and can pay the amount due*, he/she may be eligible for the **IRS First Time Penalty Abatement program**, which gives a waiver for penalties that would otherwise be assessed for failure to file and for failure to pay.
  - Before assisting the taxpayer with such a waiver, consider whether these penalties are likely to be significant – see page **135**. For example, if the taxpayer owes $50, and is filing 10 months late, the two penalties combined would be less than $60.
  - Requesting such a waiver should only be done when the taxpayer meets *all* the following criteria:
    - For the three tax years prior to the tax year for which a waiver is being requested, the taxpayer either didn't have to file a return or did file a return and had no penalty assessed for that return.
    - The taxpayer is up to date on filing all tax returns, or – if this is a current year return being filed after April 18, 2022 – has filed an extension and is still within the extension period.
    - The taxpayer has paid or has arranged to pay (with a short-term payment agreement, as discussed on page **133**, or an installment agreement, as discussed on page **134**), the tax due on the return.
      - If an installment agreement is in place, payments must be current.
  - The written request should include all relevant information in the request (taxpayer name, identification number, tax year), and should clearly state that the taxpayer meets the criteria for the First Time Penalty Abatement Program. The written statement should also include a detailed explanation of any reasonable cause for failing to pay or file, if there is such a cause - the IRS might decide that while the waiver criteria have not been met, but the reasonable cause is sufficient to justify waiving the penalties.
  - The written request for a waiver should be mailed to the IRS service center where the taxpayer is required to file paper returns.
    - If a paper return is being filed, the request can accompany that return, as long as payment in full – a check or direct debit information - also accompanies the paper return.
- ***Note for CA state returns***: Golden State Stimulus (GSS) payments for tax year 2020 required filing the 2020 CA tax return by October 15, 2021. Advise the taxpayer filing a 2020 return that they will **not** be eligible for the $600 per household GSS payment because they missed that deadline. (Household income in excess of $75,000 would also have made them ineligible.)
  - As an aside, such payments are *not* taxable income on either a federal or state return. No 1099-G will be issued.
- ***Note for CA state returns:*** California has a four-year statute of limitations, rather than the federal limit of three years, but going back four years is ***out-of-scope*** for the Tax-Aide program. If a taxpayer believes they could get a significant refund from the FTB by filing such a return, the taxpayer should consider using a paid tax preparer or tax-preparation software.

AMENDED RETURNS

Counselors who prepare or quality review an amended return (1040-X) must have been certified for the year of that return.

Only returns for the current tax year (2021) and the three prior years may be amended by Tax-Aide counselors. Taxpayers needing to amend returns older than 2018 can be referred to a paid preparer, keeping in mind that taxpayers can no longer get a federal tax refund if the tax return was due more than three years prior to the current date.

- The **deadline for getting a refund** by filing an amended return is generally the **later** of (a) three years from the date the tax return was filed (if filed timely), or (b) two years after the date the taxpayer paid the tax on the originally-filed tax return.
- Per **Pub 1084, VITA/TCE Volunteer Site Coordinator Handbook**, Tax-Aide sites may prepare an amended return for a taxpayer even if they did not prepare the original return.
  - The original return *can* be out-of-scope if the amendment brings it back into scope.
- An **adjustment letter** (CP2000) is not automatically a reason to amend a return.
  - If there are no changes other than those proposed by the IRS, the taxpayer only needs to tell the IRS that they accept the proposed changes; no 1040-X is needed.
  - ***Note for CA state returns:*** Even if the federal adjustment proposed is correct and is acceptable to the taxpayer, a CA amended return may be necessary so that CA information agrees with the IRS-adjusted 1040 amounts.
- ***CA policy:*** If a taxpayer discovers **$200 or less of missed income**, after filing, *no amended return will be prepared.* Instead, the taxpayer should wait for a letter from the IRS. (As noted above, the taxpayer may have the option of simply accepting the IRS calculation of how much additional tax is owed, as stated on an adjustment letter from the IRS, and mailing a check for that amount.)
- **A taxpayer should not file an amended return until the IRS has had time to process the original return.**
  - If the taxpayer has filed a return for which a refund is due, but has not yet gotten that refund, an amended return should not be prepared until that refund is received.
    - The taxpayer *should* cash/deposit the refund check. (If the taxpayer expects to have to repay some or all of that refund, he/she shouldn't spend it, of course.)
  - If no refund is due, and the return was e-filed, the amended return can be prepared at any time, but *should not be submitted by the taxpayer* until at least four weeks after the date that the original return was e-filed.
- Taxpayers with newly issued SSNs or ITINs cannot retroactively claim certain credits if/when they file an amended return, or a return for a prior year. See **page M-5 of Pub 4012**, "Prior Year Returns", for details.
- ***Note for CA state returns:*** When amending a federal return, it's best to start with the assumption that the related CA return also needs to be amended.
  - Use the TaxSlayer refund monitor to determine if the CA refund amount changes as you modify the federal return. If not, then an amended CA return doesn't need to be prepared, printed, or mailed.
- If a taxpayer is amending multiple years [this is uncommon], each year's amended return should be mailed separately.
- Amended federal returns prior to tax year 2019 **must be paper filed**.
  - For tax years 2019 and later, an amended federal return can be e-filed only if the original return was e-filed.
  - ***Note for CA state returns:*** **All** amended state returns must still be paper-filed because e-filing of amended returns is not supported by TaxSlayer software.
- Taxpayers can track the status of their amended tax return three weeks after they file, by going to **irs.gov/filing/Where's-My-Amended-Return**. The IRS tool can track the status of an amended return for the current year and up to three previous years.

Process

- **Pages M-1 through M-4 of Pub 4012** discuss the process for amending a previously filed tax return.
  - If you mistakenly start an amended return, you can tell TaxSlayer that you do not in fact want a 1040-X. Select "Delete Amended Return", then go to the end of the return (the **Submission** page) and click on "Save and Exit Return."
- ***Note for CA state returns:*** Amending a CA return is a different process, because Form 540X has been discontinued. Instead, after data entry (discussed below in detail), the result will be a revised Form 540 (at the

top of the form, the box for "Amended" will be checked), plus a CA Schedule X, California Explanation of Amended Return Changes.

Step 1: Start with the Original Return

- If the original return *is on TaxSlayer*, including a prior year return, open that return.
  - You will be able to find a return, to open and amend it, only if it was prepared in TaxSlayer *at your site.*
    - If done at your site, you can generate a copy of the return *as accepted by the IRS and by CA computers, even if the return has been changed:*
      - From the **Client Search (Office Client List)** page, find the taxpayer's return [make sure you have the right year.]
      - From the Tools drop-down list, select "Client Status."
      - In the section of the page showing transmissions, you'll see print icons on the far right for the federal and state transmissions.
  - If you have access to the original return, and the taxpayer does not have a printed copy of the return, then *print a copy*. (This copy isn't needed for filing an amended return but is needed during the process of creating the amendment.)
- If you *do not have access* to the original return, then a new return must be created to match the original printed return provided by the taxpayer.
  - Make sure that you start the new return in the correct year, which *usually will not be the current year.*
    - From the Main Menu, use "Change Tax Year" (upper right) to select a prior year.
  - Enter information from the printed original return into TaxSlayer
    - If contact information (address, phone number) in the Basic Information section has changed from what it was on the original return, enter the *current* information rather than what was on the original return.
    - Because the amended return will be paper-filed, the underlying detail entered into TaxSlayer is irrelevant as long as (a) the resulting, printed Form 1040 (two pages) is identical to the originally filed return, and (b) any schedules that have **changed** are correct at the detail level.
      - See "Amending Returns – Original Return Not Created in TaxSlayer", on **page M-4 of Pub 4012**, for suggestions on consolidating information to minimize input into TaxSlayer.
- Regardless of whether the original return is available in TaxSlayer or is recreated, confirm that **all amounts** on Form 1040, and supporting schedules, and on CA Form 540, in the PDF in TaxSlayer, **exactly match** the amounts on the **printed (**original) federal return and California return before doing Step 2. Also make sure that any schedules or forms you need to amend *match the original schedule or form.*

Step 2: Create the Federal Amended Return

- From inside the return, click on the "20__ Amended Return" link on the left navigation bar, which opens the menu page **Amended Tax Return - Form 1040X.**
- Click "Original Federal Return Information."
  - If the original return was e-filed at your site, then TaxSlayer will automatically fill in the original amounts using the data transmitted to the IRS, *except for the amount paid or amount refunded.*
  - If the original return was not e-filed at your site, enter the dollar amounts from the taxpayer's Form 1040 into TaxSlayer.
  - **It is critical** to **enter** either the amount the taxpayer has paid ("Amount of tax paid with original return plus additional tax paid after it was filed"), or the amount refunded ("Overpayment, if any, as shown on original return or as previously adjusted by the IRS"), in order for the figures at the bottom of page 1 of Form 1040-X to be correct when the 1040-X is created.
  - **If the IRS adjusted the return** – for example, notified the taxpayer that they had corrected the RRC amount, then **modify the amounts of the original return to take into account the IRS adjustment.**
  - When all the required information has been entered, click "Continue."

Step 3: Make Changes to the Original or Adjusted Return

- **If the IRS adjusted the return** – for example, notified the taxpayer that they had corrected the RRC amount, then update the return, print it, and mark the printed return, at the top, "Revised by the IRS". **modify the amounts of the original return to take into account the IRS adjustment.**
- Make all necessary changes to the return, based on the new information from the taxpayer.
  - ***Note:*** TaxSlayer has no way to revert changes that you make, should you want to go back to the original version of the return. As you make changes, the only place where the information on the original (filed) tax

return is available is the *printed copy* that the taxpayer has, unless (see Step 1, above) a copy of the e-filed return is available via Client Status.

Step 4: Explain Changes

- Click "Explain Changes", enter text, and click "Continue."
  - The explanation entered in TaxSlayer will appear on page 2 of Form 1040-X.
  - The explanation should contain line numbers and/or schedule information; for example: "Line 1: A missing W-2 was added to the return" or "Schedule A, line 1: Amount of medical and dental expenses was increased."
  - Note that the maximum number of characters that can be entered is 100.

Step 5: Create the State Amended Return, IF NEEDED

- ***Note for CA state returns:*** It's possible that a change in the federal tax return won't affect the balance due or the refund amount on the state return, particularly if the refund amount was originally zero. If the state refund amount, or amount owed, has not changed [compare the refund monitor amount to the amount on the original state return], then **don't** prepare, print, or have the taxpayer file a state amended return.
- If you *do* need to amend the CA return, and you're not at the **Amended Tax Return - Form 1040X** page, click on "201_ Amended Return" in the left navigation bar.
- Click on "Amend State Return(s)."
  - Click on "Amend State". This adds "Amended Return" to the bottom of the **California Return** page.
  - From the main state menu, use the regular menu items, such as "Credits", to edit any state-specific information *that has changed*. (This will be uncommon; normally all changes will have already been made on pages of the federal return.)
  - After making any needed changes to state-specific information, scroll down on the main menu of the State Section to the line "Amended Return". Click on "Begin".
    - *If you clicked on the edit icon, rather than "Edit Amended", you may not see the "Amended Return" item at the bottom of the menu. If you don't, click "Exit California Return", use the left navigation bar to go back into the amended return process, to get back to the **Amended State Return** page, where you can click "Amend State".*
  - On the first page, select "Yes" from the pull-down menu and click "Begin."
  - Complete all relevant information – this is what goes on the CA Schedule X.
    - Select " Yes", then click "BEGIN".
    - Enter either the amount **actually paid**, or the refund expected to be received *if no amended return was filed.*
    - Click "BEGIN" for Reasons for Amending. (You normally check the seventh box, "Error on original return(s)." Click "CONTINUE".
    - Click "BEGIN" for Explanation of Changes. (You can enter up to 50 characters on each of six lines.) Click "CONTINUE" three times to get to where you can exit the CA return.

Step 6A: Electronically File the Amended Return, if Possible

- 2019, 2020 and 2021 federal 1040-X amended tax returns can (and should be) e-filed.
- Once the amended return information has been entered in TaxSlayer, a new section, "Amended Return Information", will appear on the **E-File** page.
- In that section, check the "Yes" box, then click "Save."
- On the **Submission** page, at the bottom, you'll see a new button, "Save and Transmit Amended Return."
- After transmitting the amended return, give the taxpayer their printed information (see "*For taxpayers"*, in the next section.)

Step 6B: Print and Assemble the Amended Return(s)

- *For mailing:* In addition to printing Form 1040-X, an amended 540, and a CA Schedule X, you should print any form or schedule that differs from the return as originally filed, to be attached to the amended federal (2018 and earlier) and CA returns.
  - **For example**, if the return is being amended because the taxpayer is reporting additional expenses for their business:
    - Federal – print and mail the following to the IRS: the 1040-X, Schedule C, and Schedule SE; and if credits such as EIC were also affected, the related forms.

    - CA: amended 540, CA Schedule X, federal Schedule C, federal Schedule SE
  - Write "as amended" at the bottom of each page that is being re-filed as part of the amended return, except the 1040-X and the amended 540.
  - Print an extra copy of the Form 1040 (amended version), to be mailed with the CA return, **only if** the Form 540 says, at the top, "ATTACH FEDERAL RETURN", **and there is a (check)mark to the right of those words**.
- *For taxpayers:*
  - The taxpayer should be given copy of all pages being mailed to the IRS or FTB; mark these at the top "**Amended – Copy" so that they cannot be confused with the forms submitted with the original return**.
  - A copy of the changed Form 1040 should be printed for the taxpayer *even though this is not being submitted to the IRS*; this should similarly be marked "**Amended – Copy."**
- Information on how to generate a PDF, for printing, is in the section Printing Returns, on page **129**; additional information for printing paper returns is on page **132**.
- **Federal filing:** The taxpayer must **sign** and mail one copy of the 1040X with all revised supporting forms and schedules.
  - Attach (staple) to the front of the return any W-2 or W-2c that supports the changes made on the return; also attach any Form W-2G or 1099-R involved with the change if tax was withheld on such a form.
  - Assemble any needed schedules and forms behind Form 1040X in order of the "Attachment Sequence No." shown in the upper-right corner of the schedule or form (again, these are schedules and forms *that support the change*, not all schedules and forms in the original return.)
  - Do not send the IRS the revised Form 1040 (the taxpayer does get a copy of this, of course), even if a change appears *only* on Form 1040, because the explanation on the 1040-X should specify exactly which lines were changed, and, if only lines on the 1040 were changed, the explanation should include the dollar amounts changed from and to.
  - Do not include a 1040-V, payment voucher. If TaxSlayer includes the payment voucher in the PDF, either don't print it, or – if printed – shred it or give it to the taxpayer to be shredded [clearly marked, or torn, to indicate it is not to be used.]
  - If the amended return is the result of a letter or notice from the IRS, mail the amended return, with a copy of the letter or notice enclosed, to the address shown on the letter.
    - Otherwise, mail the amended return to the address shown on page 4.
- ***Note for CA state returns:***
  - Print the amended 540 (if necessary, do this from the state section). The taxpayer must **sign** and mail one copy of the amended 540, together with the following, to the FTB.
    - CA Schedule X, California Explanation of Amended Return Changes
    - Documents supporting the changes discussed on Schedule X, such as corrected or previously missing W-2, 1099s, and K-1s
    - Any federal (1040) schedules that have changed
    - The (revised) Form 1040 **if** page 1 of the Form 540 says (top right) "ATTACH FEDERAL RETURN" **and has a mark to the right of this wording, to indicate that it is applicable.**
  - If the amended return is the result of a letter or notice from the FTB, mail the amended return, with a copy of the letter attached to the address shown on the letter.
    - Otherwise, mail the amended return to the address shown on page 4.

Checking the Status of an Amended Return

- An amended return can take up to 3 weeks after being mailed before it is entered into the IRS system and its status shows up when checked. Fully processing it can take up to 16 weeks.
  - ***Note:*** Any payment accompanying an amended return *is deposited immediately upon receipt*, and the payment will therefore show up in the taxpayer's account quite quickly.
- Taxpayers can check the status of a federal amended return by calling 866-464-2050, or look online at **irs.gov/filing/wheres-my-amended-return.**

Same-Year Amendments Involving Payments

- If a current year tax return is amended before the end of the tax season, the original return showed that the taxpayer owed money, and taxpayer has not submitted a payment for the original return, then:
  - The amended return should *not* show the taxpayer as having paid the original amount due.

- The taxpayer, if still owing money, should pay the *corrected/amended* amount due, not the original amount due. (If the taxpayer is now due a refund, he/she should pay *nothing*.)
- If/when contacted by the IRS, because of what appears to be an underpayment, the taxpayer should respond to the letter by sending the IRS a copy of the amended return, stating that he/she paid (or did not pay, if due a refund) based on that amended return. This response *should* result in the taxpayer case being closed once the amended return has been processed, assuming that the amended return is accepted.

REQUEST FOR EXTENSION OF TIME TO FILE

- The key point that the taxpayer must understand is that any tax liability (which will have to be estimated) must be paid to the IRS and/or CA by April 18, otherwise interest and/or a penalty will accrue. Filing an extension does not avoid penalties for underpayment of taxes.
  - There is little point in filing an extension if no payment is going to be made with the extension request: if the taxpayer owes money when (finally) filing, but does not pay anything with the extension, then the IRS is likely to treat the matter as a late filing, disregarding the extension request. And if the taxpayer in fact owes no money or is getting a refund, there is no value in filing an extension request because a taxpayer in that situation isn't subject to a late filing penalty.
- An automatic six-month extension of time to file a federal return is available for most taxpayers. There five different ways do this.
  - By making an online payment and selecting "Extension" and/or "Form 4868" as the reason for the payment, or where the payment is to be applied. There are two online payment options:
    - Payment from a bank account (EFT), at **irs.gov/payments/direct-pay**
    - Payment by a checking or debit card, at **irs.gov/payments/pay-taxes-by-credit-or-debit-card**
      - Processing fees are charged (and paid to third parties). For credit cards, the fee is approximately 2 percent of the payment; the exact fee varies by processing company.
  - Filing Form 4868 by phone (888-972-9829, 888-729-1040, or 888-872-9829), which **requires** making a payment by credit card or other electronic method
  - On IRS.gov, using Free File software, *regardless of income*
  - By **printing** and mailing **Form 4868,** with a check
  - Through TaxSlayer, *with approval of the LC*
    - Form 4868 should be e-filed only if the taxpayer *is expected to come back to have their full tax return filed by Tax-Aide*.
      - **If the taxpayer won't be back to do the full return, then it is much quicker to help the taxpayer use the direct payment option at irs.gov (see above), if wanting to pay by direct debit, or to use a paper Form 4868, if paying by check.**
- To prepare a Form 4868 using TaxSlayer (again, *this is not the norm)*:
  - Enter name and address information in the Basic Information section.
  - Don't enter information in the Federal or State sections unless the site is open after April 18, 2022, and the taxpayer will return to the site to complete the return.
  - Go to **Form 4868 - Application for Extension** [Federal Section > Miscellaneous Forms > Application for Extension.]
  - Fill in the requested dollar amounts.
    - "Tax Liability" is an estimate of the amount that will be on Line 24, Total Tax, of Form 1040, when filed. (Use the prior year's tax return, if available, as a starting point – for tax year 2020, this is Line 16 on Form 1040.)
    - "Tax Payments" is an estimate of the amount that will be on Line 25d plus Line 26 of Form 1040, when filed, *not including* the amount of Line 9 of Schedule 3 (the amount being paid with the request for extension). As a starting point, total the amount of federal taxes withheld on available taxpayer documents, plus federal estimated tax payments made.
  - Check the box "I was out of the country" if the taxpayer *expects* to be out of the country on the regular due date of the return (April 18, 2022.)
  - After entering a dollar amount for "Amount Paid with Extension", **tab – do not click on "Go to Extension Payment" or "Continue".** TaxSlayer will display the question "Would you like to pay your balance due electronically?"
    - If you check the box, to indicate "Yes", TaxSlayer will extend the page so that bank information can be entered.

        - If you don't check the box, the taxpayer will be paying by check. [If paying with a credit or a debit card, Form 4868 *should not be prepared through TaxSlayer, as discussed above.*]
        - Click "Continue."
    - **If the taxpayer is paying by direct debit**, the request for extension should be e-filed. (If paying by check, *do not e-file*.)
        - Go to the E-file section.
        - The **Application for Extension Found** page will appear. Click "File Extension."
        - The **Submit Extension** page will appear. Click "I Understand" and then "Continue."
        - On the **Review** page, enter any five-digit number for the taxpayer (and, if MFJ, do similar for the spouse), then click "Continue."
        - You'll see a page saying that the extension request has been submitted; click "Continue" to complete the process.
    - **If the taxpayer is going to pay by check**, a printed copy of the Form 4868 should be mailed with the check. The form can be printed by generating a standard PDF for the return, then printing just the Form 4868 page.
        - **Do not** e-file if the taxpayer is going to pay by check.
    - Printing any pages of the return for the taxpayer, other than the Form 4868 page, assuming that information from tax documents has been entered into TaxSlayer (to make an informed estimate of the amount owed), is **not recommended**: the return is not complete and will not be filed. Printing of pages may lead the taxpayer to believe that the return was in fact filed by Tax-Aide.
        - If you do print any pages, "DRAFT" should be written on each page to make clear that the return will not be filed by Tax-Aide.
- **IMPORTANT:** Regardless of how the request for an extension is made, inform the taxpayer that their federal and state tax returns must be complete and filed by October 15 to avoid penalties for late filing. If there are any Tax-Aide sites in your district, or a nearby district, that will be operating after April 18, 2022, or any VITA sites, provide that information to the taxpayer.
- ***Note for CA state returns:*** CA grants an automatic extension of time to file provided that the tax is paid in full by the due date.
    - No form is needed if the taxpayer does not expect to owe any money when the CA return is filed.
    - If a payment will be mailed to the FTB, **CA Form 3519** is the voucher that should accompany the payment.
    - Extension payments can also be made online: go to **FTB.ca.gov/Payment options.**
    - ("Web pay" is a withdrawal from a checking or savings account; the other option is to pay by credit card, with a 2.3% service fee.)

INDIVIDUAL TAXPAYER IDENTIFICATION NUMBER (ITIN)

About ITINs

- Federal law requires individuals with U.S. income, regardless of immigration status, to pay applicable U.S. taxes. That includes individuals who do not have Social Security numbers.
- The ITIN is a nine-digit number, beginning with the number 9 and having a 7 or 8 as the fourth digit, created for use on tax returns by those taxpayers who do not currently qualify for (or have) a Social Security number.
- *Taxpayers must file a request to be issued an ITIN; ITINs are not automatically issued.*
- An ITIN will be issued to individuals who have a valid filing requirement, who file to claim a refund of taxes withheld, or if needed on the tax return of another individual (for example, a parent or spouse.)
- Having an ITIN does NOT:
    - Authorize work in the U.S., or establish immigration status
    - Create eligibility for Social Security benefits OR the Earned Income Tax Credit or (for a dependent) the Child Tax Credit (beginning with tax year 2018)
    - Provide valid identification outside the tax system
- More information on ITINs can be found at **irs.gov/individuals/individual-taxpayer-identification-number,** in Chapter 1, "Filing Information", of **Pub 17**, and in **Pub 1915, Understanding Your IRS Individual Taxpayer Identification Number.**

Expired and Expiring ITINs

- If the IRS letter assigning an ITIN was issued prior to January 1, 2013, that **ITIN has *expired*** and needs to be renewed.

  - Also, any ITIN not used in the past three years (2020, 2019, or 2018) is also considered to be expired, and must be renewed.
- If the taxpayer has such an ITIN, the IRS should have sent the taxpayer **Letter 5821**.
  - If an ITIN has expired, the taxpayer must submit a Form W-7 to renew it. This can be submitted *with* the tax return in which case the return must be paper-filed or can be submitted separately. Both options are discussed below.
- A tax return that is e-filed with an expired ITIN **will** be accepted by the IRS. However, it will be processed without allowing any exemptions or credits claimed, and no refund will be issued. The IRS will send the taxpayer a notice explaining the delay in any refund and that the ITIN must be renewed.
  - Once the ITIN is renewed, any exemptions and credits will be processed, and any allowed refund will be paid.
  - If the ITIN is not renewed, the taxpayer may be subject to interest and penalties for any tax owed as a result of disallowed exemptions and credits.

When the Taxpayer Obtains a Valid SSN and Previously Filed Using an ITIN

- Prepare the current year return using the new, valid SSN and e-file the return.
- If of benefit to the taxpayer, amend prior-year returns that were filed using an ITIN.
  - The reason stated on *1040X Page 2* should include "Previous return filed with ITIN _____" as well as a description of what else has changed.
  - ***Note:*** Taxpayers with newly issued SSNs or ITINs cannot retroactively claim certain credits if/when they file an amended return, or a return for a prior year. See **page M-5 of Pub 4012**, "Prior Year Returns" for details.

When the Taxpayer is Applying for an ITIN

- It generally takes 4 to 6 weeks after an application is submitted to receive an ITIN, but 8 to 10 weeks if requested during the filing season.
- Form W-7 Submitted with a Tax Return
  - Preparation of a Form W-7, Application for IRS Individual Taxpayer Identification Number, when the form is going to be filed with the tax return (which must be paper-filed), *is* in-scope.
  - The process of completing a W-7 in TaxSlayer is described in the three places in the sections above: Social Security Number (for the taxpayer), on page **13**; Spouse Social Security Number, on page **19**; and Dependents and Qualifying Children, on page **22**.
  - The process of printing a Form W-7 to be filed with the tax return is described in the section Paper Returns that Include a Form W-7, on page **132**.
- Form W-7 Submitted Separately
  - Preparation of a form W-7 as a **separate document**, not part of a tax return, is ***out-of-scope***. However, it is acceptable to print a blank W-7 and give it to the taxpayer; the taxpayer is responsible for completing it.
    - A blank Form W-7, Application for IRS Individual Taxpayer Identification Number, and instructions, can be found **on the IRS.gov website**.
    - To complete the form, the applicant(s) should follow the instructions for the form.
  - The Form W-7 can be submitted either by mail or in person.
    - If by mail, to the following address:

      IRS, ITIN Operation
      PO Box 149342
      Austin, TX 78714-9342
    - Applying in person can be done either at a Taxpayer Assistance Center or with an IRS-authorized Acceptance Agent. An advantage of applying in person is that documentation required to be submitted with the application can be returned immediately.
      - Taxpayer Assistance Center locations where in-person document review is provided are listed **here** (the link is also on page 4 of the instructions for the form.)
      - A list of acceptance agents can be found at **irs.gov/individuals/international-taxpayers/acceptance-agent-program** [Some of these are free; some charge a fee.]

END-OF-SHIFT

Shutdown Procedures for AARP Foundation Chromebooks

- Log out of TaxSlayer by clicking the **Log out** link at the upper right of the screen, at the **Main Menu**.

Follow the proper procedures for shutting down your laptop computer – do not just pull out the power cord and close the lid! Not fully shutting down could result in the battery running down to zero, and will always add extra start-up time the next time you use your computer.

- Shut down the computer: press and hold down the power button on the keyboard (upper right); then, on the pop-up menu, select "Power off".
- Wait until the computer screen turns completely black and the power switch goes dark before pulling out the power plug and closing the laptop lid.
    - When the power plug is pulled, ALL lights on the keyboard should go out. If they don't, then the shutdown process was not done properly.

GLOSSARY

ACA	Patient Protection and Affordable Care Act
ACTC	Additional child tax credit
AGI	Adjusted gross income
AMT	Alternative minimum tax
AOC	American Opportunity Credit, formerly HOPE education credit
APTC	Advance premium tax credit (part of the ACA)
CASDI	California state disability insurance
COD/CODI	Cancellation of debt / Cancellation of debt income
CTC	Child tax credit
DC	District Coordinator - the individual responsible for all sites in a district
EFIN	Electronic Filing Identification Number - a unique number assigned by the IRS to identify each electronic filing site, which is used as the electronic "address" for the site
EIC / EITC	Earned income credit / Earned income tax credit
EIN / FEIN	Employer (Tax) Identification Number - the federal ID number for processing employer payroll information
ERO	Electronic Return Originator - the person responsible for the efiling of tax returns
FTB	Franchise Tax Board – California governmental unit that handles the CA state income tax
HoH	Head of household (filing status)
HSA	Health savings account
ITIN	Individual taxpayer identification number – for those without an SSN
LC	Local Coordinator (the Tax-Aide volunteer responsible for one or more tax preparation sites)
LTC	Long-term care (insurance)
MAGI	Modified adjusted gross income. *This is calculated differently depending on what the MAGI figure is being used for; see individual sections*. .
MEC	Minimum essential coverage (for ACA)
MFJ	Married filing jointly (filing status)
MFS	Married filing separately (filing status)
OPM	Office of Personnel Management - the federal agency which pays government pensions
PAB	Private activity bond
POA	Power of attorney
Pub	IRS publication
PSO	Public safety officer
PTC	Premium tax credit (ACA) – the federal subsidy for those buying insurance through an exchange
QW	Qualifying widow/er (filing status)
SDI	Same as CASDI
SIDN	Site Identification Number - a unique seven-digit number starting with "S" assigned to each physical counseling site operated by Tax-Aide
SPEC	Stakeholder Partnerships Education and Communication office of the IRS
SRP / ISRP	(Individual) Shared Responsibility Payment (for ACA)
SS / SSN	Social Security / Social Security number
TC	Technology Coordinator for a Tax-Aide district
TCE	Tax Counseling for the Elderly – the IRS program in which Tax-Aide is the largest, but not the only participant
VI / VP / VPDI	Voluntary Insurance / Voluntary Payment / Voluntary Payment Disability Insurance - NONE of which are deductible (on Schedule A) as a state tax
VITA	Voluntary Income Tax Assistance Program – free tax preparation for low-income taxpayers, done by various community organizations, such as United Way. Has an income cap (varies by organization); for 2021 returns, typically will be $66,000 or less.

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